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P J Towers, Dalal Street,
Mumbai–400 001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the Post Results Earnings Call held on May 18, 2023

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Company's Q4 FY23 post results earnings call held on May 18, 2023.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY

Encl.: As above

"Zydus Lifesciences Limited Q 4 FY 23
Post Results Earnings Call"

May 18, 202 3

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - SENIOR VICE PRESIDENT , INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - SENIOR VICE PRESIDENT , MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Ganesh Nayak : Good evening , ladies and gentlemen. Welcome to our post results teleconference for the fourth quarter and the financial year ended March 31 ,2023. On today's call , we have with us Dr. Sharvil Patel, Managing Director ; Mr. Nitin Parik h, Chief Financial Officer ; Mr. Arvind Bothra, Senior Vice President , Investor Relations and Mr. Alok Garg , Senior Vice President from the Managing Director 's Office .

I'm sure you would have gone through the financials and other material which we have fil ed with the stock exchanges.

To begin with, let me give you an overview of the performance for the year gone by. As we progressed through the year, all businesses demonstrated strong momentum and delivered double digit growth consistently . Consequently, w e close the year on an encouraging note, with overall revenue growth of 14% . Our EBITDA growth of 16% was faster than the revenue growth , thanks to margin improvement achieved during the year.

Our formulations business in India built further on the growth momentum from the previous financial year and registered double -digit growth through the year on a COVID adjusted bas e. Our consumer wellness business grew in double digits despite softer consumer demand due to increased inflationary pressure affecting dis cretionary spends. Performance of our US formulations business improved significantly during the year as the business grew sequentially every quarter on the back of volume expansion and meaningful new product launches throughout the year. As a part of our ongoing initiative, we continuously analyse our sp end base and identify and implement various ideas across functions to unlock the efficiencies in our operations . Our innovation journey continues to make progress and achieve important milestones.

With that , let me take you through the financial numbers for the year gone by. During the year , we recorded consolidated revenues of Rs. 172.4 billion , a growth of 14% year -on-year . EBITDA margins expanded during the year despite high base and stood at 22.4% of the revenues, which is an improvement of 30 basis points over the previous year. EBITDA margin , adjusted for one-time COVID related inventory provision , stood at 23.1%. Consequently, the consolidated EBITDA for the year grew by 16% to Rs. 38.6 billion . Net pr ofit for the year , adjusted for certain exceptional and non - recurring items and the impact of discontinued operations, stood at Rs. 26.6 billion , up 16%. The balance sheet strengthened further

as we had a net cash positi

on of Rs. 5.5 billion as on 31st Mar ch 2023 against the net cash of Rs. 0 .6 billion as on 31st March , 2022.

With this, let me go to our performance for the quarter gone by. I'm happy to inform you that our quarterly revenues crossed the Rs. 50 billion mark driven by robust performance acros s segments. Coming to the quarterly financial numbers , we registered revenues of Rs. 50.1 billion , up 32% year -on-year . Reported EBITDA for the quarter was Rs. 12.6 billion , up 75% year -on-year and 31% quarter -on-quarter . EBITDA margin for the quarter stoo d at 25.1% , which is an improvement of 620 basis points on a year - on-year and 260 basis points on a quarter -on-quarter basis. Net profit , adjusted for certain exceptional and non-recurring items and the impact of discontinued operations , stood at Rs. 9 bil lion, up 71% year -on-year.

We expect all our businesses to sustain healthy growth on the back of our rich portfolio of products and focused execution efforts.

Now let me take you through the operating highlights for the fourth quarter of FY23 for our key business segments . Our India geography, which comprises of formulations and the consumer wellness business , accounted for 41% of the total revenues during the quarter and grew 11% year -on-year . The India geography consistently delivered double digit growth in the current fiscal , adjusted for COVID related revenues in formulations business last year. Our formulations business in the India geography posted revenues of Rs. 12.9 billion , up 11% year -on-year . Excluding revenues from COVID related products , growt h during the quarter was 12% year -on-year . On a full year basis to o, the business delivered 12% growth, excluding revenues from COVID related products from the base. We continue d to work towards strengthening our presence in our focused therapy areas. Our first new chemical entity, the brand Lipaglyn continued to enhance the reach as it expanded the patient base by 37% during the year. On the super speciality front, we retained our leadership position in the nephrology segment while in the oncology space, w e were the fastest growing company . Our consumer wellness business recorded revenues of Rs. 7.1 billion , up 12% year -on-year . The business experienced gradual recovery in consumer sentiments during the quarter though the urban demand still remained stronge r than the rural demand. However, the rural demand slowdown seems to have bottomed out and we expect recovery going forward . With appropriate price increases across the portfolio undertaken over the last few quarters coupled with

stabilizing inflation in k ey inputs except milk, the business registered improvement in gross margins, and was in line with the gross margin of Q4 FY22.

Now let me take you to the performance of our US formulations business. The business accounted for 46% of the consolidated revenu es during the quarter with revenues of Rs. 22.5 billion and registered robust 17% growth sequentially. The business delivered sequential growth during each quarter of the current financial year. Growth during the quarter was driven by new launch es and volu me expansion in existing products. We launched eight new products during the quarter. New launches for the quarter include Topiramate extended -release capsules, which was the first generic launch of the product in the US market. During the quarter , we filed two additional ANDAs and received 28 new product approvals, including five tentative approvals . Our Emerging Markets and Europe formulations business continued to deliver healthy growth with all major markets contributing to the growth during the quarter . The business posted revenues of Rs. 4.4 billion , up 34% year -on-year , excluding revenues from COVID related products.

During the quarter , our Moraiya formulations facility successfully completed the pre-approval inspection for trans

dermal patches by

the USFDA . Recently , we received the EIR report from the USFDA for this inspection. Our formulations facility located in Ahmedabad SEZ (known as SE Z 1 facility) was also inspected by the USFDA , which was a pre -approval as well as GMP inspection. The inspection concluded with three observations. We submitted our response to the USFDA within the stipulated timeline and are awaiting their response to the same.

This concludes the business review. I will now request Dr. Sharvil Patel to take you through the key driv ers across businesses and initiatives in our innovation program. Thank you.

Sharvil Patel : Thank you, Dr. Nayak. Good evening, ladies and gentlemen. It is a pleasure to have you all with us today on the call. We are pleased with our performance during the quarter and the year gone by as both our large geographies India and US continue to deliver consistent results driven by focus execution. Our initiatives in R&D have continued to progress favourably in order to meet patients ’ demands across geographies. T hese investments provide us the assurance of sustainable revenue and cash flow stream in the future. On the regulatory front , our Moraiya formulations facility successfully completed product pre -approval inspection by the

USFDA . It was t he second successfu l inspection in Moraiya during the year . We will continue to offer high quality, safe and effective healthcare solutions to patients around the world , thanks to a commitment to upholding high quality standards and continual improvement in the same .

Our st rategic initiatives and interventions over the last six quarters have enabled our India formulations business to deliver consistent double -digit growth. We expect the trend to continue as we remain committed to deliver better than industry growth in the medium term.

The US formulations business had a very successful year with revenue momentum continue d to improve every quarter driven by new product launches and volume expansion. We received 63 ANDA approvals during the year, which is one of the highest numb er of ANDA approvals received in a single financial year for the company. The complex products pipeline developed in -house over the years, coupled with strategic BD&L efforts should help to deliver sustainable revenue growth in the future . Our agile supply chain will help us capitalize on the one time buy opportunities that emerge in the US generics market.

On the innovation front, we are committed to improving patient s' lives , as evidenced by the success of our first NC E Saroglitazar Magnesium since its la unch . We have also created one of the most extensive pipelines of biologicals, serving multiple markets including low and middle -income countries. This has made the treatments affordable and accessible for patients and in turn , has delivered strong volume growth consistently.

With this, let me talk about some of the material developments on the innovation effort. On the NC E front , our lead molecule Saroglitazar Magnesium is currently undergoing a Phase II (b) clinical trial in NASH indication and a Phase II(b)/ III clinical trial for PBC indication for the US market. During the quarter , we received approval from the regulatory authorit y of Turkey to conduct trials for NASH . The molecule is also undergoing clinical trials in the US for PCOS with NAFLD indicat ions. During the quarter , the USFDA also granted an orphan drug designation status to our molecule ZYIL1 and NLRP3 inhibitor. Earlier this year, the molecule achieved positive proof -of-concept in a Phase II clinical trial in patients with Cryopyrin Associa ted Periodic Syndrome known as CAPS .

Coming to our vaccine s' effort , on the global development front , we submitted one of the dos siers of the vaccine to the WHO for the purpose of pre-qualification . This is a second submission to

the WHO . Our rabies vaccin e has already been received WHO pre-qualification . On the speciality front , our wholly owned subsidiary Sentynl Therapeutics continue to work with a licensing partner Cyprium Therapeutics to complete the NDA filing of CUTX -101 targeted at Menkes disease. T he company also continued to work towards adding both Menkes disease and M oCD A deficiency to key genetic lab panels in the US. We are also working towards ensuring early access to Nulibry to patients of M OCD Type A deficiency .

Thank you and now we start t he Q&A session . Over to the coordinator for the Q&A.

Moderator: Thank you very much. We will now begin question -answer session. Anyone who wishes to ask questions may raise your hand from the participant t ab on your screen. Participants are requested to u se head phone or earphone while asking a question . Ladies and gentlemen, we will wait for a moment while the

question queue assembles. First question is from Saion Mukherjee.
Saion Mukherjee: Yes, hi, am I audible? Hi, Dr. Sharvil, f irst question is around the US momentum. You've seen a good momentum here now. Can you throw some light on some of the key assets on Revlimid , Topiramate capsule , Asacol HD and the likes and how should we think about 270 odd million dollars that you've achieved in this quarter? How should we think about the quarterly run rate going forward?
Sharvil Patel: So yes, I think on the US front, as I said, obviously last year, we did continue to improve quarter -on-quarter . Going forward also, we still are seeing a strong quarter one as w e move into the new year. And I think over the full financial year, we still expect growth on the current base.
Saion Mukherjee: Okay, on Topiramate particularly , how's the competition like in the market? And is the number going to come down significantly in Q1 v ersus what you've recorded in Q4?
Sharvil Patel: Yes, so on Trokendi , we believe competition will enter , will be there in Q1 versus Q4. Having said so , in spite of that, I think we will see a good growth in quarter one.
Saion Mukherjee: Okay, and two questions one on , the second question on your , I see a significant increase in employee cost this quarter, if you can give some colo ur on that, and your expectation on R&D spend for next year.

Sharvil Patel: First, may be Nitin bhai, you like to take i t up.
Nitin Parekh: So, year-on-year increase in cost is because of impact of increments. And also, if you consider actuarial valuation that we have done. So , this time we had actua rial loss that we had to provide for and in the last year same quarter, we had actua rial gain . That's the other factor, which is impacting the personnel cost.
Sharvil Patel: On the R &D, as we continue to say, we are likely to be around the 8% range. And if we see better positive outcomes on more projects, maybe 8-8.5% but we ar e probably range bound around that 8% to sales going forward.
Saion Mukherjee: Okay, and I mean, you mean to say incremental investments will be largely on your innovation programs or on the generic side?
Sharvil Patel: I think more so the incremental gr owth will come from the innovation.
Moderator: Thank you. Next question is from Kunal Dhamesha.
Kunal Dhamesha : Hi. Thank you for the opportunity and congratulations on a good set of numbers. Just digging a little bit more on the US revenue, would you be able to kind of give the primary driver on a quarter -on-quarter jump out of $40 million in terms of whether it was majorly new product launches, or whether it was kind of existing product and above and also the price erosion scenario in this quarter ?
Sharv il Patel: So, obviously the larger jump is always because of new products. But as I said, the base business also did well . But the majority of the growth is driven by new products and we have received rich num

ber of approvals, and we are still expecting s ome good approvals in during the year with limited competition. So, we are seeing a good value creation on the new products in this coming financial year.
Kunal Dhamesha : So, would you say that Revlimid was one of the major drivers of sequential jump?
Shar vil Patel: No no, it was an important driver for sure. And Revlimid will continue in quarter one also.
Kunal Dhamesha : And secondly, on the impairment charge, like you have taken on Sentynl , I found that we had already done with that. So, was there anythin g incremental which led us to take this impairment and

right now, let's say in the goodwill number on our balance sheet, is there anything left on that front ?

Nitin Parekh: So, goodwill impairment of Sentynl refers to the legacy business that we had acqui red of Sentynl in 2017. So, now, we don't have any products in the market. Gradually we started discontinuing certain products . Now, there are no more products of legacy business and that is why we have provide d. While the assets which are , two assets that we acquired, they have nothing to do with this and in fact, the valuation of the total businesses was much higher than the goodwill impairment, but once we at a concept level thought that legacy business we are not continuing , we provided full amount of t he goodwill of acquired business.

Kunal Dhamesha : Right now, there is nothing left abo ut Sentynl.

Nitin Parekh: No, nothing left.

Kunal Dhamesha : So right now, whatever I see on consol balance sheet is more or less Heinz acquisition ?

Nitin Parekh: Yes, there would be some goodwill due to internal merger also and Biochem acquisition earlier which is about Rs. 5 00 Crore s. But large part of the goodwill is related to Heinz acquisition.

Moderator: The next question is from Bino .

Bino : Hi, good afternoon to all. So hi, congrats for a great set of numbers. A couple of questions around the US pipeline. Sharvil bhai, in the last call , you had mentioned about one REMS product in the US this year. Are we on track? And will you be able to throw a bit more colour on it?

Sharvil Patel: Yes, so we did have a large REMS payment in the last quarter three. And I think we are still planning for a quarter one. We have two products. Between quarter one and quarter two , launch is still expected for both the products.

Bino : Oh, and still it's not time to reveal the products , is it?

Sharvil Patel: It defy the principles of competition if we say things beforehand.

Bino : Okay. Understood. Asacol HD , competition always the kind of push out by at least six months. So , it's the sa me this time as well ? Do you have any visibility or do we don't see anybody for next six months?

Sharvil Patel: Yes, so our best estimate is similar to what you just said. But I think the good thing that we can see from the business is with the

current new products and the new products we are expecting to launch we are more than offsetting Asacol any future losses.

Bino : And on Saroglitazar, the PBC study Phase III study is that on going as per schedule ? all timelines are intact ?

Sharvil Patel: Mostly on track. We may be one month delayed, but not anything major.

Moderator: The next question is from Surya Patra .

Surya Patra : Yes. Thanks for the opportunity and congrats for the great set of numbers. So , the first question is on the US business. So , is it possible to share let's say ex Revlimid what could be the US growth this year?

Sharvil Patel: No, I don't think we can do ex product because this is something , the US business is a composite business of all our products. So , I don't think we are separatin g out new products . The way the US business grows, is you try and protect your base and grow on new products. So , I sometimes find it very difficult to answer this question that every time people wan

t to remove products, and then the whole point of the US business is to launch new products. So , I think this way of continuing to ask these questions is not good in the light of what a US business is. And the other point I said on concern on Revlimid . Revlimid continues to drive value in the last quarter , in th e coming quarter and will continue to drive value in the next two years. So , it's not a one-off product, which people seem to think.

Surya Patra : Yes, of course. So , but now having seen ramp -up and progression at Revlimid front, is there any sense about w hat volume share that

we might be getting , some sense if not the specific number.
Sharvil Patel: Sorry, can you repeat that question?
Surya Patra : So, having seen the ramp -up on the Revlimid prescription front for you and also in the business so far, so could you give some sense so what is the kind of volume share that you are expecting, let's say for , let's say progressively till ‘26 because up till now we have not been commenting anything on it.
Nitin Parekh: So directionally volumes are going to go up but we can't obviously give specific numbers that being a settlement .
Surya Patra : Okay . So, my second question is on let's say, the kind of approval that what we have seen this year, that is a record number of course for US, but wanted to have a sense t hat see there are many

small values , small targeted value product s that we have witnessed in the list. So , these are like old filing which will pending because of the Moraiya facility issue and now getting released or it is the filing of recent past which are getting .
Sharvil Patel: It's a mix of both . I think there's a lot of background noise where you're talking from so we are finding it difficult.
Surya Patra : Yes. So, I was asking about the number of approvals what we have witnessed this quarter or so, or this year also full year . So, whether these, I mean we planned and filed for this product s having very low target value in US or?
Sharvil Patel: US, I think let me explain the strategy on US. US , we are servicing key clients , key customers . A repre sentation of having a large product portfolio is very important for US generic business and that is always what we have believed in and we strongly believe that a completion or completeness of portfolio is critical. So, from our point of view, it's importa nt for us from servicing the small value products also depending on the market situation, because there is a need to service the patients and customers . And of course, we are also , we also look and file the difficult to do products which have far larger op portunity, but from a strategy point of view , in US, we will be launching all types of products because one important aspect of what we do is to create access for these products. So, we cannot , we have a plan to do that.
Surya Patra : Okay. So, my next que stion is on the domestic business front. So, now, it is quite clear that the at least during last one year period, we have witnessed our core business delivering much faster than the industry growth or the complex portfolio. So, sure, progressively going a head, how should we think and overall portfolio how should that be growing or performing versus the industry and whether we have seen improvement in the profitability in the domestic business and also if you can share the speciality portfolio ’s contributio n in terms of percentages or in terms of mix in the domestic competition business for FY23.
Sharvil Patel: Yes, we are putting efforts behind India formulations business to continue to drive market growth or at least better than market growth. I think , so far in the last year , we have achieved most of the time better than market growth. And in the medium term, we also want to aspire for building better than market growth, which will mean gain in market share. It will be driven a

cross the mass and chronic t herapies . So, I don't think the plan is to only try one specific type of therapy but we are present both in mass segment as well as in the chronic speciality segment. So , all-in-all, I think on

the composite side that will deliver better, at least market g rowth and our aspirations to drive better than market growth .
Surya Patra : And improvement in profitability from the domestic base business , any sense on that ?
Sharvil Patel: It's a good profitable business . On a medium term to long term , it will drive be tter profitability, but we will continue to look at opportunities to continue to invest in this business also. But ye s,

our effort is to drive profitability also.
Surya Patra : Okay. Just last one small clarification , Sir. WHO warning against artificial sw eeteners. So how should that have impact on our let's say key brand under the consumer business .
Sharvil Patel: Very early to give an answer to that . This study is not a new study, but I think it doesn't say not to use the sugar substitute . It has come up with some finding that we are studying, but I don't see an immediate impact but we will keep , will have a plan to counter that effort also.
Moderator: The next question is from Prakash Agarwal.
Prakash Agarwal: Hi, good evening. Am I audible? Yes, congrat ulations on good set of numbers. A couple of questions. One is on trying to understand your comment on new launches and volumes for US growth , you mentioned is led by new launches and volumes. So , when you say new volume or one -time buying opportunity, the se are like short term , three months kind of opportunity , these are six-month kind of commitments or a year kind of commitments and what is the typical size when we talk about it?
Sharvil Patel: So, one time b uy, by the very nature are not long term. So , they are obviously for that month, not even for that quarter generally, but we continue to see those opportunities in that market . It varies product to product. So , it's not the same product all the time. So, I don't think these are like contracted or assur ed businesses, but those opportunities do exist in the market. As I say, on the overall guidance that I said, what we're trying to do is maintain and protect our base. So that's been the effort and that's what's important and will also deliver better resul ts in the coming quarter.
Prakash Agarwal: Yes, but these are sizable in terms of like $10 million - $20 million kind of opportunities or these are small one?
Sharvil Patel: They are sizable.

Prakash Agarwal: Fair enough. And when you say new launches, you mentioned you had 63 approval s which is record, but how much was converted into new launches and how much of those 63 are yet to be launched ?
Sharvil Patel: We launched 32 and we are planning to launch 35 this year.
Prakash Agarwal: And in terms of you men tioned that fiscal '24 is also looking good despite good bas e, which we have achieved in fiscal '23. So, you mentioned Revlimid and apart from these new launches and Trokendi still be a good product and there are two REMS , you mentioned right. So, one is e xpected this quarter and the other one is next quarter. Is that right understanding in terms of stacking the growth drivers ?
Sharvil Patel: Trokendi has already faced competition versus quarter four . Obviously it will come down. But then we have launched t he other Topiramate, which will add value and then we have going forward , some critical launches in the next three months. So, we believe if we are successful in two out of the three also, it'll be good value.
Prakash Agarwal: So, on the US, we can still see high single digit growth despite a very strong performance in fiscal '23?
Sharvil Patel: Yes.
Prakash Agarwal: Okay. And there you're factoring in Asacol or not really factoring in Asacol ?
Nitin Parekh: So, even

after factoring Asacol , we still will ha ve a single digit growth.
Prakash Agarwal: Okay, lovely, that's great. And secondly, on guidance performance . So last year, similar time , the guidance on R&D about 8%, we did around 7%. This year also, we are guiding about 8%. So, anything to read out th ere and what is the margin like , we could see better margin going forward or this with 8% R&D, 22 is a good margin to model ?
Sharvil Patel: So, we are seeing maybe, in spite of building for 100 basis point increase in R&D, we are still building for at lea st another 100 basis

point increase versus last year. So , that we are still seeing . So, we
are seeing good improvement in margin going forward. That's the
current best estimate that we can give . Many things have to work
out and maybe we're being conservati ve, but hopefully that's
what we will try and achieve even assuming some things go
wrong.

Nitin Parekh: So, assuming there is no competition, Prakash on Asacol HD, in
spite of higher R&D by 5 0-100 basis point , we expect margins to
go up by 50-100 basis point.
Prakash Agarwal: That is great. Okay. Thank you. And lastly on India. So , we've seen
good growth, double digit growth coming in. April was soft month.
I mean, you read as an aberration or you think, too early to call or
what is the number ? Do you thi nk industry and yourself will be
double digit growth this year ?
Sharvil Patel: See, it's difficult to , I think that'd be difficult to say I mean,
whether we are in, it's obviously not going to , it will be , we hope
it’s double digit, but it could be anywhe re between 9% to 12% , it is
very difficult to predict where the growth of the industry will be
because we have seen volume growth being a challenge on the
overall industry. The other is also , we continue to have price
challenges with NL EM and other things. If you look at even our
growth in the last quarter, it would have been at least two
percentage points more , had we not have the NL EM impact so
which , we hope to nullify going forward by doing the right product
mix and other areas, but those challenges wil l remain. So , I think
it's difficult to predict. But having said so , I think our focus on
critical brands, the new launches, and more importantly, our
differentiated portfolio driving strong momentum in the market, I
think, in the medium term will allow us to outperform the market.
Prakash Agarwal: Okay. Last one here, M R number, if you can share as of March ?
Sharvil Patel: Field force 7000 plus.
Prakash Agarwal: So, this includes the managers or this is just the field force?
Nitin Parekh: Only field force.
Prakash Agarwal: Okay, and the full team Sir?
Sharvil Patel: Sorry, this includes manager s.
Moderator: Requesting everyone to limit themselves to two questions. The
next question is from Sameer Baisiwala .
Sameer Baisiwala: Hi, thank you very much. And good evening, Sir. A quick question
on Vascepa , your thoughts about when do you plan to launch , are
there any raw material availability issues and the market
dynamics ?
Sharvil Patel: So, Vascepa was a welcome approval for us . We had predicted a
little much later approval but got in the first cycle. So , we are
preparing for the launch. I can't give the exact date but we are

working aggressively to launch the product . On the supply side, I
am confident we'll be able to get enough material which is the
limiting factor in the market. And we are , we believe , we will have
hopefully enough material to get good share.
Sameer Baisiwala: Great. And the second question is on the US launches. So , can you
talk about the transdermal s?
Sharvil Patel: Sure, so transder mals as I said , we, after successfully clearing our
Moraiya facility, we have been in preparation for launching the
products . We are planning for three launches. And those will be
staggered

from the July quarter onwards. So , in this financial year,
we at l east hope to do three launches from Moraiya.
Sameer Baisiwala: Okay, great. So, Sharvil bhai, if I have to summarize the US
calendar, you got two REMS , three trasndermals , Vascepa . And I
guess , all of them should be fairly meaningful, substantive .
Anything else that we are missing out?
Sharvil Patel: We do have at least another five programs which have high value .
So, if we're successful in three also , it should significantly be good.

Sameer Baisiwala: Okay, Sharvil, so this is quite a handful. And you sti ll expect just a single digit sort of a growth for US that's surprising ?
Sharvil Patel: We have to also plan for the negative side which is competition to products , right ? So and the base is also quite decent. So small erosion also is a meaningful erosion.
Sameer Baisiwala: Okay, great. Now all the very best way for fiscal '24. Thank you so much.
Moderator: The next question is from Kunal Randeria .
Kunal Randeria: Hi, good afternoon. Sharvil bhai, if I understand correctly, you will maintain a generics R&D spend at around the current level of Rs. 1,300 crores and the incremental spend will be on NCEs , right ?
Sharvil Patel: No, Rs.1, 300 crores ?
Nitin Parekh: So, we've told the total in FY 24 will be 8% to 8.5% . And normally the additional amount would be mo re or less for innovation portfolio only, and not the generic portfolio.
Kunal Randeria: Sorry, so I was not asking just for '24. But it's a slightly longer -term kind of question in the next two to three years because you will have a lot of NC E spends comi ng up.

Sharvil Patel: So, there will be very little or no growth on the gene ric side because we have hit a base which is comfortable. So , the most , as I said , the future delta of growth that comes on research with the growth in revenue is all going to be t owards the NC E and NBE portfolio.
Kunal Randeria: Yes, sure. And just one more , on the US side , what's the kind of price erosion that you are expecting? How are the competitors behaving because we have seen some shortages going up? We have seen some ANDA withdrawal by competitors. So just to get your thoughts on how the market is evolving for FY24 ?
Sharvil Patel: We always build for a single digit. I mean before we used to see very strong double -digit erosions. But we are building for a single digit price erosion because that's what we expect to happen in FY24 in the best estimate . Obviously in the last quarter, we haven't had any major erosion. But knowing the portfolio and knowing competition, we on a conservative side, we should assume mid-single digit p rice erosion .
Kunal Randeria: Right. And this price mid-single erosion is pretty much similar for all product forms, like oral solids or injectables or trans dermal s?
Sharvil Patel: No, if you are different , alone in the market , the erosions are significant ly larger. When I'm saying that I'm talking for the whole portfolio, otherwise, the erosions could be significant, depending on how much , how exclusive you are in the market.
Moderator: The n ext question is from Cindrella.
Cindrella: Yes, thanks for the o pportunity. My question is on transdermal, you said that you will be launching most probably three products in the coming year, can you highlight the competition scenario that you expect in this? And you have already highlighted that this will be meaningfu l launches for us? What kind of duration do we expect them to be a two-year long opportunity? How should we see it?
Sharvil Patel: So, it's difficult to predict how , what will be the competition . There aren't many transdermal developments going on. So , we at least believe that many of them have at least, I would say at least a two-year opportunity, but could be longer, but two years definitely.
Cindrella: Even for the REMS, two R

EMS product that we spoke about, even for them also , the similar scenario we c an expect?

Sharvil Patel: No, that is I can't predict for the REMS because REMS are not transdermal. So those are two different technologies. So , REMS, I don't , I would say when we launch, we will still have limited competition, but it will be difficult t o say there will be no competition in the medium term to long term.

Cindrella: Right . And when we look at pricing scenario in US, like not just for our portfolio, but overall industry, how do you see the US pricing today? And if you can segregate it on ba sed on products like orals and injectables? Can you help us understand some colo ur, today how does it look ?
Sharvil Patel: It's a very competitive market with a very consolidated buying. So , there's no fundamental shift that has happened in the structure of how the US business is. So, price erosion will continue to be there. As I said, the only way to explain it is when the portfolios mature, the erosion there is not severe, but obviously, if for portfolios where there is limited competition, with competit ion, you would see more price erosion. So , as I said, we estimate generally about single digit price erosion, it could be low single digit to high single digit, but that's the range that we are operating in.
Cindrella: And on the NC E side, what kind of in vestment do you expect over coming two to three years? Because as you witness now, talking about the entire investment going be on the IP side or the NC E side. So what is the plan over two to three years? And what all geographies like apart from US, any ot her reg markets , what kind of, what is your thought process on it if you can share.
Sharvil Patel: So, the NC E developments are global development s. So, they cater for the US and Europe . As I said, we are , when we're talking about the investment , it is ov erall investment . We're talking about 8% to 8.5% of spend, which will include generics and NC Es which would largely be for the clinical programs. So , as the programs reach the clinical phase, the investments go up. So , Saroglitazar is our largest current i nvestment that is going on. And then in the future, we have ZYIL1 and which is entering Phase II and phase III in the future. A few more, but these are all orphan assets. So , the investments are over a period of three to four years. And they are I mean, fr om our estimate, in the current 8% to 8.5% , we can manage our R&D expenses with these two or three programs.
Cindrella: Yes, o n the R&D side, I think we've been clear . On any other kind of investment do you think like on ground , teams preparations, all those you will need to invest or you're planning to do it now or maybe later when we are closer to the phases that's where you will decide ?

Sharvil Patel: Generally , the investment starts one year before the launch and major , large investment six months bef ore. So , our current assumption is that we will commercialize in calendar year ‘26. So , calendar year ‘25 will see major investments.
Cindrella: Okay, thank you so much and all the very best .
Moderator: The next question is from Neha Manpuria .
Neha Manpuri a: Yes, thanks for taking my question. Sir , you mentioned high single digit growth for the US. Just wanted to clarify , this growth would be on the base that we reported in the quarter, I'm assuming, is that fair to assume ?
Sharvil Patel: Over FY23 .
Nitin Parekh: We are talking of growth in FY24 over FY23.
Neha Manpuria: In that case , even if I were to take the higher end range , we are assuming that our quarterly run rate would probably come off from what we've seen in this quarter.
Sharvil Patel: I said n ot for the next quarter immediately, but going forward, we have to also assume competition so.
Neha Manpuria: But okay, but given that we have a fair bit of launc

h , the
transdermal launches , Vascepa etc. Are we being too conservative on this number?
Sharvi l Patel: You have to understand base price erosion is also there, and we have to assume for that also.
Neha Manpuria: Okay, understood. My second question is on the injectable business . Could you give us some colour in terms of how big it is , what we are t argeting , how many launches do we have planned for that? And what's the pipeline there?

Sharvil Patel: So, I don't have the break up like that. But I think for us, when we talk about the US generics business, we talk about whether it's oral solid, topical, transdermal or injectable . So, I think is a composite way of doing business. Having said so, there are good amount of complex filings that have happened on injectables. And we would, we hope to see at least one or two important launches this year, but man y of the launches will be post '25, '26, where we will see highly complex products coming to market. So , it's still a medium -term opportunity not a short term . But currently it has a good base and there are shortages and other issues in the market. So, the growth and momentum is very good, but it will become sizable probably post '25.

Neha Manpuria: Understood. Thank you , sir.

Moderator: The next question is from Tarang Agarwal .

Tarang Agarwal: Hi, good evening a nd thank you for the opportunity. Couple of questions. Just a follow up from the previous participant. Currently, how big would your injectable business be? And what would it be in the previous year? That's one. And the second. I mean, you're generating sizable cash now. So , is there a possibility of you probably looking at growing your business inorganically? If so, where could we see this getting deployed?

Sharvil Patel: So, I think today we are not giving the dosage wise breakup. I think that is not something that in our guidance we are giving. So, we continue to talk about the US generics business separately, and that's the best guidance we can give. Having said so, I have explained that on the injectables front, the meaningful revenue in terms of the overall business will be post '25. But the m omentum and growth is very good. With respect to the future investments, as I said, we have two important markets, India and US which we look at . US from the special ty point of view, where we want to build our presence. So that's one area which we look to find opportunities to invest in. In India , we are continuing to look for brand acquisitions, if available. So that's one area that we will look at. And we have been seeing very strong progress on our developing markets business, including Europe. So , we wi ll and it's growing very well and it's becoming an important part of our business. So , we hope , I would say on an opportunistic basis if we can find some opportunities to leverage our portfolio there.

Tarang Agarwal: Thank you.

Moderator: The next questi on is from Nitin Agarwal.

Nitin Agarwal: Yes, I've seen that on the developing markets you just mentioned. So, from a growth driver perspective, what would be the driver of this, what is the strategy for growth rather in this non -US markets for us? I mean , it's largely going to be driven by biosimilars ? Are there other elements of growth also that you are focusing on?

Sharvil Patel: So, biosimilars will add over a period of time to the business. But today, the business is strongly driven by branded busine ss, branded generics business with areas focusing on cardio metabolic and CNS space. And as I said, we have a focus market strategy where we have the deep penetration in certain markets in which we have identified and the others we do through distribution, but a majority of our focus is to deepen our presence

in the markets where we are very strong. And those markets in spite of fluctuations in currency and other things have cont

inued to deliver good growth and now are becoming profitable also. So , we will continue to drive those.

And it's to do with mostly new product launches, but mostly in the, CNS and cardiometabolic space.

Nitin Agarwal: Secondly o n the US market, this new business opportunities that you sort of referred to, have you seen increased inci dence of these opportunities coming through in the last few months? And

how do you see this sort of as a consequence of what facility closures and all which have been happening because of FDA, recent FDA inspections, and do you se e momentum in this part of the business increasing as we go along ?
Sharvil Patel: So, the earlier question was related to where I would invest in the future and that was more to do with the speciality business which is not with the current businesses which are sort of generic. So, generic business I think on our own we do have a very rich pipeline, we are filling up the gaps or f inding opportunities through BD &L opportunities and really have been able to license very difficult and good products from the generic point of view and com plex genetics point of view. Beyond that , our effort will be to look at the speciality business and invest behind that and not in the current generics business.
Nitin Agarwal: And lastly, I think we mentioned earlier on the call that on Revlimid, the assum ption is that the volumes will keep increasing . So, philosoph ically i s it fair to assume , how should we look at Revlimid as a business ? Revenue should be '23 numbers are like a peak number or number should actually increase to the next couple of years befo re they come off?
Sharvil Patel: Our current best estimate is with the volumes increasing , the numbers will go up at least for the next two years.
Nitin Agarwal: You mean ' 24 would be higher – '24 would be higher than '23 and '25 Probably should be higher than '24 .
Sharvil Patel: Yes. And as I said, we do still expect quarter one sales of Revlimid also.
Nitin Agarwal: Thank you .
Moderator: The next question is from Vishal.

Vishal Manchanda : Hi, good evening. Thanks for the opportunity. So , on the two REM S as said that we are expecting to launch . Are you going to launch them as an authorized generic or under our own AND A?
Sharvil Patel: Own AND A.
Vishal Manchanda : Okay. And would you be able to share the indication of the two?
Sharvil Patel: No, we won't be able to do that . When we launch, we will update everybody.
Vishal Manchanda : Right. And a second one on the Menkes disease asset, any timelines for approval?
Sharvil Patel: They are in their rolling NDA stage. So , it's difficult still to give a timeline . I would be able to give better understanding maybe in two quarters, but not before that.
Vishal Manchanda: Okay. On the vaccine front, do you expect to file any more vaccines for WHO pre-qualification this financial year?
Sharvil Patel: We have two vacci nes, the TCV and the MR. So those two will be going for WHO pre-qualification .
Vishal Manchanda: And the one that you filed this quarter was for which indication?
Sharvil Patel: TCV.
Vishal Manchanda: Okay, and the two that you're going to file are for ?
Sharvil Patel: So, one we already have, which is the rabies then TC V typhoid conjugate and measles rubella. And then , we are also doing pre - qualification for some other products. But slowly, we will add more products. But these are the current plans .
Vishal Manchanda: Would you have a number as to how large the WHO market is for TCV?
Sharvil Patel: I can share it offline, but it's a very, very large market, but we can share it to you offline.
Vishal Manchanda: Got it. And just on the Africa and Europe busi ness, which grew sharply this quarter, can we expect that kind of a run rate to continue for the rest of the year?
Sharvil Patel: Yes, it will have a strong double -digit gr

owth.
Vishal Manchanda: And any colour on what drove the strong growth this quarte r?
Sharvil Patel: It's a branded business, so it's quarter -on-quarter good performance , across the board.

Vishal Manchanda: Okay, and it was across geographies, not any specific space.
Ganesh Nayak : Correct.
Vishal Manchanda: Okay, thank you .
Moderator : The next question is from Naser Parekh.
Naser Parekh: Sorry, hi, am I audible? Hi, thanks for taking the question. My question is on oncology. So , across both Indian and US formulations, what would be your share of oncology and how is that growth going ?
Sharvil Patel: So, in India, we are now a leading oncology player . Our aspiration is to be in the top three and one day achieve the number one rank , if possible. So, that's what we are aspiring for with the kind of access of medicines we are creating, whi ch are largely driven by biologics and also some small molecules. So that's our aspirations. We are amongst the top five or maybe third, but we hope to be in the top few with adding more products to the basket . With related to beyond India, and US, US obvi ously, it's not a branded business , it's a gene ric side. So, we do have the three oncology sites , two injectables and one oral and we are using those sites to build for the US oncology business where we do have some day one launches planned. I would see if we just look at the oncology business, and US gene rics point of view, it's maybe three years out when we will see significant revenue uptake .
Naser Parekh: In terms of capacity either in India or US, we've seen lot of people obviously putting up oncology plans for the last one or two years. So just overall from a demand supply situation, how we are seeing the growth in that segment, what is your view, do you think that there has been increased capacity that we've built in which has built for the industry and in the next two, three years, that could create some kind of oversupply or there is just enough demand growth?
Sharvil Patel: I do. To some extent, I do feel there is over capacity, but they seem to be regulated, approved, I mean, plan ts that are appro ved in the regulated markets. So , I'm sure there is a little bit of excess demand, because the volumes are not very high in oncology. So , I think it'll depend a lot on the product mix and what type of products one company has, which will drive value, not t he volume.
Naser Parekh: Okay, got it. Thank you so much.

Moderator: The next question is from Punit, and this is the second last question.
Punit: Yes, hi, thanks for taking my question. So I have one question on specialty innovations initiatives. So , in Saroglitazar PBC indication , there are two molecules that are ahead in terms of timelines. And both are PPAR agonists. So , by the time we launch, we'll be forth player in the entire PBC market and considering the r are nature of the market, how are you ex pecting the numbers to flow through ?
Sharvil Patel: Yes, so on the PBC asset, our current business model assumes that we will be fourth or third. So , I think there'll be one PPAR and two others, but we assume we will be , in the worst case will be the fourt h, in a good case we can be the third. And our business case is appropriate for that , I mean our investments are still very much appropriate for that scenario. The market is as you said, it's an orphan indication. But it is a sizable market, which is growi ng.
Punit: Understood. And my second question was on the Phase II trial we completed for ZYIL1 . So, by when can we expect Phase II b/3 to commence?
Sharvil Patel: We're just finalizing that strategy. So , if everything goes well, we'll start in a quarter o r maximum, five to six months.
Moderator: Thank you. The last question is from Ishita Jain.
Ishita Jain: Hi, just a quick one, relating to what the previous partici pant asked on the products in the pipeline. The NC E especially products like the NLRP3 inhibitor , are these partner ed products or is Zydus

doing it independently ?
Sharvil Patel: We are doing it independent ly.
Ishita Jain: So, none of including Saroglitazar nothing is partnered.
Sharvil Patel: Yes, right now, all our development phase programs are done by Zydus individual ly.
Ishita Jain: Okay. That's great, just as short follow up. So, once we are like you mentioned that you will be , expenses will increase as we are closer to the launch date, will that also include expenses such as setting up dedicated field force once we are closer to approvals?
Sharvil Patel: Yes, I think in that earlier question, when they spoke about, I was speaking about the field force and commercial operations team, that we need to set up if we are seeing good data on Saroglitazar.

Ishita Jain: Understood , got it. And is this the same approach that is going to be used in the European market as well? Or there are we going to out licence ?
Sharvil Patel: There's a higher probability we will out license in Europe.
Ishita Ja in: Perfect. Thanks a lot. All the best.
Moderator: Thank you. As there are no further questions, I will now hand the conference over to management for the closing comments.
Ganesh Nayak: Thank you very much and have a good evening. And l ook forward to interacting with you again in the month of August for the quarter one FY24 results . Good night.
Moderator: Thank you . On behalf of Zydus Lifesciences Limited that concludes this conference. Thank you for joining us and you may now disconnect and exit the webinar.

END OF TRANSCRIPT

Call: Aug 2023

August 1 8, 202 3

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Mumbai –400 001

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NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai –400 051

Sub: Transcript of the Post Results Earnings Call held on August 11 , 202 3

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Company's Q 1 FY24 post results earnings call held on August 11 , 202 3.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY

Encl.: As above

"Zydus Lifesciences Limited Q 1 FY24
Post Results Earnings Call"

August 11, 202 3

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - SENIOR VICE PRESIDENT , INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - SENIOR VICE PRESIDENT , MD OFFICE , ZYDUS LIFESC IENCES LIMITED

Moderator : Welcome to Zydus Life sciences Limited Q1 FY24 Earnings Conference Call. Please note that all participants ' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to Mr. Ganesh Nayak, Executive Director of Zydus Life sciences. Thank you and over to you, Sir.

Ganesh Nayak : Good afternoon, ladies and gentlemen. Welcome to our post results teleconference for the quarter ended 30th June, 2023. On this call, we have with us Dr. Sharvil Patel, Managing Director; Mr. Nitin Parekh, Chief Financial Officer; Mr. Arvind Bothra, Senior Vice President , Investor Relations; and Mr. Alok Garg, Sen ior Vice President from the Managing Director's office.

Let me now give you a broad overview of the developments during the quarter.

We had a strong start to the financial year as we capitalized on the momentum built over the last several quarters and delivered robust growth across businesses. This , coupled with sustained improvement in profitability , helped us achieve the highest ever operating profit and margins during this quarter. Our formulations business in India performed well as the branded bus iness registered double digit growth on a year -on-year basis for yet another quarter. In the consumer wellness space, we continue to hold leadership position in five out of six brands in their respective categories. Nycil, Sugar Free, and Everyuth brands gained market share during the quarter. Our US formulations business registered growth on a sequential basis driven by new launches and volume expansion in the base portfolio. We achieved important milestones in our innovation journey in a quest to offer innovative solutions to the patients across the globe to meet their diverse healthcare needs.

With that, let me take you through the financial numbers for the year gone by. I am happy to inform you that our quarterly revenues surpassed the ■50 billion mark for the second consecutive quarter driven by robust performance across segments. During the quarter, we recorded consolidated revenues of ■51.4 billion, a growth of 30% on a year -on-year basis. Reported EBITDA for the quarter was ■15.1 b illion , up 81% year -on-year and 20% quarter -on-quarter. EBITDA margin for the quarter was 29.3%, which is an improvement of 830 basis points on a year -on-year and 420 basis points on a quarter -on-quarter basis. Net pro

fit for the quarter stood at ■10.9 bil lion, up 110%

year -on-year. Our balance sheet further strengthened with the net cash position of ■8.8 billion as at 30th June, 2023 as against the net cash of ■5.5 billion as at 31st March, 2023.

Now, let me take you through the operating highlights for t he first quarter of FY24 for our key business segments. Our India geography, which comprises of formulations and the consumer wellness businesses , accounted for 38% of the total revenues during the quarter and grew 6% year -on-year. Our branded formulations business in India delivered double digit growth as it grew by 10% year -on-year during the quarter. Excluding the impact of NLEM led price reduction, the branded business grew 12% year -on-year. Our innovation brands viz. Lipaglyn , Bilypsa, Ujvira and Oxe mia witnessed strong volume traction during the quarter. We continue d to work towards strengthening our presence in our focused therapy areas. On the super specialty front, we retained the leadership position in the Nephrology segment, while in the Oncolo gy space, we were the fastest

growing company. Our first new chemical entity , Lipaglyn was
ranked as the 47th largest brand in the Indian Pharmaceutical
Market during the quarter, which is an improvement of 19
positions over the previous year. Our Bilypsa brand too , continues
to strengthen its volume share through various patient support
programs and activities. The Ujvira brand, which is the first
biosimilar of an antibody drug conjugate , continued to expand the
volume since its launch on the back of pati ent centric approach
adopted by us to make it affordable to patients. Our consumer
wellness business recorded revenues of ■6.9 billion with a flat
year -on-year growth. Unseasonal rains across key states during
the first half of the quarter impacted the offtake of our key
summer -oriented brand Glucon -D. However , the remaining
portfolio pos ted near double -digit growth during the quarter.
Commodity prices moderated during the quarter on a sequential
basis, which eased the pressure on gross margins.
Now, let me take you through the performance of our US
formulations business. The business ac counted for 48% of the
consolidated revenues during the quarter with revenues of ■24.5
billion. The business continued to display strong traction with the
robust 57% growth on a year -on-year basis driven by new
launches and improvement in the base busines s. On a sequential
basis, the business grew by 9% on a high base of the previous
quarter. We launched 4 new products during the quarter. During
the quarter we filed 4 additional ANDAs and received 20 new
product approvals.

Our emerging markets and europ e formulations businesses
continued to deliver healthy growth with all major markets
contributing to the growth during the quarter. The business
posted revenues of ■4.9 billion , up 30% year -on-year.
On the operations front, The USFDA inspected our three
manufacturing facilities during the quarter. Oral solid dosage
facility II located in the Ahmedabad SEZ completed the USFDA pre -
approval inspection without any observations. Our biologics fill
finish facility located at the Zydus Biotech Park in Changodar and
our animal health formulations manufacturing facility located in
the Ahmedabad SEZ also completed the USFDA inspections
without any observations. This reinforces our commitment to
upholding high quality standards and continual improvement in
the same.
We continue to improve our business processes with a focus on
improving productivity, which helps us stay competitive.
Adoption of dig italization across the organization continues to
gather pace as various analytical tools are deployed to unlock the
efficiencies in our operations and aid data backed decision -making
process.
This concludes the business review. I would now request Dr.
Sharvil Patel to take

you through the key drivers across businesses
and initiatives in our innovation program. Thank you.
Sharvil Patel : Thank you, Dr. Nayak. Good evening, ladies and gentlemen. It is a
pleasure to have you all today on the call. We are p leased with our
performance during the quarter. The performance was driven by
our comprehensive product portfolio, our depth of innovation
pipeline, and our focus on execution. On the India formulations
front, consistent execution across focus ed therapies helped us
achieve double digit growth in the branded segment. We expect
this trend to continue going forward. Portfolio of our innovation
brands register ed strong volume traction during the quarter and
in turn , aided the patients to satisfy their unmet h ealthcare needs.
Our comprehensive product portfolio, strong customer
relationships, and an agility in operations helped us to deliver
consistent growth in our US business. We expect our US business
to grow on a formidable base of FY23 going forward on t he back

of a robust pipeline of complex generics developed in -house as
well as the strategic BD &L efforts. A diversified manufacturing
network catering to the US market backed by the responsive
supply chain augurs well for us to capitalize on one time buy
opportunities that keep on emerging in the US generics market.

Our initiatives in R&D have continued to progress favorably in
order to meet patients ' demands across geographies. The
investments made by us over the years across different areas have
started delivering results and we expect this to scale up further
going ahead. This is evident from the expansion of patient
coverage of different molecules since their launch. We shall
continue to roll out various patient support programs and work
towards creati ng the awareness about our brands in an effort to
make a difference to patients ' lives. Our R&D teams keep working
towards offering solutions to patients across therapies to meet
their unmet needs.
On the regulatory front, we extend our robust compliance record ,
as we completed three USFDA inspections during the quarter. We
also remain committed to maintaining the highest quality
standards across all our manufacturing facilities to offer safe and
effective healthcare solutions to patients globally. We
strengthen ed our backward integration capabilities post the
recent completion of acquisition of Teva's USFDA accredited API
manufacturing facility located at Ambarnath in Maharashtra.
With this, let me talk to you about some material developments
on the in novation front.
On the NCE front, our lead molecule, Saroglitazar magnesium is
currently undergoing phase II(b)/III clinical trials for PBC indication
and phase II (b) clinical trial s for NASH indication for the US
market. So far , we have recruited over 8 0% of the patients
required for the PBC trial. For the NASH indication, we have been
progressing in line with our plans on the patient recruitment front.
The molecule is also undergoing trials in the US for two indications
of PCOS and NAFLD. During the quarter , in order to generate real -
world evidence, we initiated a large phase IV clinical trial of
Saroglitazar magnesium in India in NAFLD patients with
comorbidities. The trial will enrol approximately 1,500 patients
and the primary endpoint is to measur e the change in liver
stiffness from the baseline to 52 weeks. The study duration is
approximately 56 weeks.
In the biotech R&D space, clinical trials for two of our monoclonal
antibodies are ongoing at present and we have completed
recruitment of patien ts for one of these molecules during the
quarter.
Coming to our vaccine pipeline , we have commissioned a newly
constructed measles rubella drug substance manufacturing facility

and we have initiated a phase II clinical trial of our hepatitis E
vaccine duri ng the quarter.
We thank you and

now we start the Q&A session. Over to the
coordinator for Q&A.
Moderator : Thank you, Sir. Thank you very much . We will now begin the question
and answer session . Anyone who wishes to ask questions may raise
your hand f rom the participant tab on your screen . Participants are
requested to use headphones or earphone while asking a question . The
first question is from Neha Man puria.
Neha Manpuria: Yeah, thanks for taking my question. Sir, one on the US business, while
you mentioned in your opening remarks that there was volume growth
in the base portfolio, how much would you say the quarter -on-quarter
traction was because of incremental Revlimid and how much of it was
the core underlying business , the pricing improvement . Then some
colour if you could give on the US generic pricing ?

Sharvil Patel: So, in the first quarter , the growth was driven by the higher volume offtake in our key products which also included Revlimid and also the pricing has been stable during this qua rter and also some new introductions which were launched during the last quarter four also scaled up , so all of that led to the expansion , but obviously driven also by Revlimid .
Neha Manpuria: Understood and given what we have done in the quarter and the l aunch pipeline that we have had including some products that we have not yet launched , doesn't the high single digit growth for US seem fairly conservative , are we still sticking to it , or are there any risks that we are not aware of that is keeping that g uidance at that level ?
Sharvil Patel: No, so as you said is right, despite an elevated base and factoring also competition from Asacol probably in the later part of the year , we still expect the US business now to grow on bac k of volume expansion in double digits .
Neha Manpuria: Okay. Got it and how should we think about margins in that case because I think margins also, we were fairly conservative . If I look at our R&D , we are much below what we had guided for the full year . So, one how should we look at the R&D trajectory and therefore given the double -digit US growth , the margins ?
Sharvil Patel: So, we do expect now the EBITDA margins to increase by 150 to 200 basis points on an annualized basis in this year compared to our earlier guidance of 50 to 100 basis points . So, we are seeing an uptick to our guidance that we had earlier stated . This is also factoring in an increase in R&D , so despite that, we will see margin improvement and also building in for some competition on one of our lead compounds also .
Neha Manpuria: And R&D is still maintained at 8% of sales ?

Sharvil Patel: Yes.
Neha Manpuria: Okay. Thank you so much , Sir.
Moderator: Thank you. The next question is from Bino .
Bino : Hi, good afternoon . Sharvil bhai, couple of questions on US product s. Linagliptin , is that a product you expect in next couple of years or is it very far out ?
Sharvil Patel: Not in the ne xt one to two years .
Bino : Okay and how about tofacitinib , Xeljanz ?
Sharvil Patel: So, I think product -wise , we are not talking because again a lot of things are driven by IP and legal and settlement , but I think we can definitely say that looking at our pipeline that we have , we do see good launches or important launches every year partly driven by our own developments and partly through our licensing efforts . So, we do see a limited competition kind of launches every year at least over the next three years .
Bino : And any update on the timelines of potential Saroglitazar filing in PBC, do we still look forward to a late FY25 filing ?
Shar vil Patel: Yeah , we do still expect a calendar year end 25 filing .
Bino : And one last one , you know , earlier you had guided to 2-3 interesting product launches this year . We have seen possibly one or two , but I don't know if we were originally intending

t hem , so, do we still have one or two interesting product launches this year coming ?
Sharvil Patel: Yes. We did launch topiramate , two brands on that molecule . We recently launched the indomethacin suppository with exclusivity and we do see some more diff erentiated launches during the year .
Bino : Okay and then Trokendi XR , have you already seen competition entry ?
Sharvil Patel: Yes, yes, we have already seen last quarter .
Bino : Great . Thank you very much . I'll join back .
Moderator: Thank you. The next q uestion is from Surya .
Surya: Yeah . Thanks for the opportunity . Sir, congratulations for the great set of numbers . Sir, on the margin front , first, it looks like even if we hypo thetically adjust the Revlimid revenue and see the base business margin , it looks like both on the gross margin front as well as EBITDA margin front , excluding Revlimid , it looks like a very strong performance . So more than kind of 300 basis point kind of positive surprise . So, what is driving this ? Is it purely coming from let' s say the improved

performance in the domestic side , improved product mix in the

domestic side , or it is contributed by the pricing scenario improving in the US market , US base business ?
Sharvil Patel: So, I would say many of the factors, I don't think the re's a single factor . Because both India with the better product mix that we have done , scaling up of the emerging markets which are improving in their profitability and also US with the kind of opportunities to do one of f business , grow the base as well a s obviously launches . I think all of them have aided to the margin expansion .
Surya: So, then is it sustainable one , Sir? Let ’s say Sir, is it a quarter specific performance or let's say it is likely to even continue in the subsequent quarter ?
Sharvil Pat el: I did say that when you talk about sustainability , we have to look at the full year and we do expect an improvement from our last guidance on EBITDA . So, you know , we had earlier guided for 50 to 100 basis points improvement . Now we are talking about 1 50 to 200 basis point s improvement assuming that we still have 8% of our spend on R&D . So, we are talking about an improved profitability for this financial year .
Surya: Okay. Sir, my second question is on the Lenali domi de. So, the prescription trends if I look at it then , I think , we have already surpassed 5% or 5.5%, near about 6% kind of a volume share that we have already achieved . So, whether we have garnered that kind of revenue in line with the kind of prescription ramp up or the potential revenue booking will be seen subsequently and generally if we consider or see generally it is also known that every 12 months , the volume share can increase , so how should we really see it ?
Sharvil Patel: Revlimid is a mid-to-long term opportunity . So, it has , so I think , with the improvement in market shares every year, we would see those numbers trickled through so, but again , all of these are still accessing us to a very limited size of the market , but you would see that every year I would say in those months .
Surya: Sir, then just an extension to this Rev limid question . So, in the initial part of the year or last year , when you had launched the product , you had mentioned that the Revlimid is likely to be a kind of evenly distributed kind of a product for you . So, do you think that is what you are likely to see?
Sharvil Patel: For the year , yes.
Surya: Okay.
Sharvil Patel: Quarter -on-quarter , they will change , but when I give the full year ’s guideline , every year Revlimid will be well distributed .
Surya: Okay and Sir, in terms of the domestic formulation business , there is a positive surprise obviously in terms of growth compared to the market trend and all that . So, what is driving here it is , are you really seeing that

the br

ands in the specialty products , so th ose are really delivering better than your expectation or your guidance is covering those ?
Sharvil Patel: I think over the last two to three quarters , we have shown now at least market led growth or equal to market growth , in some quarters better . This quarter also , we have done much better. I think the good thing to see for this quarter is also the volume expansion of 6% growth because the volume is I think very good in the industry or the market that we are in today and I said it's driven by multiple fac tors, the focus that was put in the rationalization that happened and also the portfolio of innovative products that we have launched, which are scaling up . I think all of that is leading to that . I think a lot of work is still left to be done , but we are hoping that we will continue to build on th ese important launches and scaling up our differentiated products , which will aid to this kind of better than market growth .
Surya: Okay. Just last one question on the balance sheet side , Sir. So, the cash flow position anyway is looking really robust now thanks to Revlimid also and the balance is anyways strong given the cash flow that we had already generated last year . So, if we see that kind of a similar

momentum also in Revlimid and the kind of momentum in other than
Revlimid also that we are talking about , then the cash flow generation is
likely to remain really robust and strong for next couple of years . So,
given that , what would be your capital allocation strategy and if you can
share something on that a nd on the capex front , this quarter that you
have done 220 odd crores . So, what should be your capex plan for the
current year and in which lines ?
Sharvil Patel: So, you are right to say as we would see strong cash flows in the coming
years. I think one i mportant part is the capex cycle . So, we are talking
about the 1000 crore capex in this year. The rest of it , I think , we
continue to obviously expand our research capabilities. So, you know ,
some increase in the R&D will be there and we are looking to e xpand
our opportunities in getting into newer areas in the specialty space in
the US . So, we do believe that we would find opportunities to invest
behind that . Currently, we don't have any major plans beyond this .
Surya: Hello ?
Sharvil Patel: Yeah . Could you hear me ?
Surya: Sorry Sir, I missed last couple of sentences.
Sharvil Patel: We don't have any other significantly large other plans other than the
few I talked about which is looking into the specialty space in the US , our
capex cycle of 1000 crores t hat we will spend and some investments in
research and some market expansion .
Surya: Okay and for the domestic market ?
Nitin Parekh : You have also seen the way , dividend pay -outs are also increase d
depending on the availability of cash flow , even the buyba ck that we did

last year and the enhanced dividend rate that we have proposed this
year .
Surya: Sure Sir. So, just an extension Sir. On the domestic side , what kind of
investment that you are thinking about , is it about adding new product
portfolio or it i s just creating and building our own portfolio in the
specialty area , let's say biosimilar or something like that or what kind of
investment that you are looking at for the domestic market ?
Sharvil Patel: So, in domestic , from our internal point of view, y es, it is investing in
biosimilars , vaccines and the differentiated launches that we want to do ,
including launching our discovery led products like Saro , Desi and now
we hope , in the next few years , a few more. Beyond that is looking to
see if we can fin d the right fitment in terms of acquiring brands, which
we would look at and now as part of our overall life sciences strategy,
we do believe in end -to-end outcomes for diseases . So, companion
diagnostics and those areas

will also become an integral part o f how do
we treat for many disease s, chronic diseases .
Surya: Sure , Sir. Thank you, Sir. Wish you all the best .
Moderator: Thank you. Ladies and gentlemen , we will wait for a moment while the
question queue assembles . The next question is from Neha Man puria.
Neha Manpuria: Thanks for taking my question . Just one question . We received
approval for generic Vascepa last quarter , but we haven't yet launched
the product . Any timelines on when we can probably enter that market
and any reason for the delay ?
Sharvil Patel: So, I think , it's a very complicated API . So, we are making sure that we
risk mitigate our supply chain on API so that we have enough , so that we
don't have problems in the future . So, looking at that timelines and the
approval that we got a nd the manufacturing of this complex
formulation , we are looking at a quarter 3 launch .
Neha Manpuria: Understood , understood , and Sir in terms of our injectable portfolio , we
have seen a fair bit of approvals on the injectable portfolio as well .
What sort of a run rate have we reached ? Do we want to give any
colo ur, any target in terms of what we are targeting on injectables ?
should we see the momentum build and when do we start seeing the
more complex injectable approvals come through ?
Sharvil Patel: So, I think the injectable business is still in the scale up phase . So, I think
it has not reached that size and scale where we talk about as a separate
segment . So, it is part of our overall strategy on the portfolio . But as
and when it becomes large , I think we will segment it in the right way .

So, I think the complex portfolio , we still believe we will see some
approvals in this financial year and also in the coming two financial
year s. So, as I had said slowly you will see launches of complex
injectable s in the next two to three years .
Neha Manpuria: Understood Sir. Thank you so much .

Moderator: Thank you. The next question is from Vishal Manchanda .
Vishal Manchanda: Thanks for the opportunity . Hope , I'm audible .
Sharvil Patel: Yes.
Vishal Manchanda: So, there have been a few approvals you have received in the last few
quarters like chantix , ivermectin cream and the transdermal patches
too. So, have these been launched or they are yet to be launched ?
Sharvil Patel: Yeah , they have been . Not the transde rmals , but the other products
have been launched .
Vishal Manchanda: Okay and then , you have been talking about launching 2 R EMS product
during the year . Again, have these been launched or they are yet to be ?
Sharvil Patel: Yet to be launched .
Vishal Mancha nda: Any colo ur. which quarter of the year ?
Sharvil Patel: In the third and fourth quarter .
Vishal Manchanda: So, these would be limited competition and represent , what market size
do these represent ?
Sharvil Patel: We don't do product wise market size , but they are important launches .
Vishal Manchanda: Okay and finally on the India business , can you share the contribution of
biosimilar business to the overall sales ?
Sharvil Patel: So, again , I said you know biosimilars is part of the therapy expansion in
RA and Oncology and others . So, we don't club biosimilars like that
because it's a branded formulations business . But I would definitely say
that they are scaling up significantly and will continue to scale up in the
next two to three years with the pipelin e that we hope to launch . So, I
think overall , it is doing very well and scaling up . But it is part of our
overall therapy focus , so it's not a technology focus from that point .
Vishal Manchanda: Okay and do you have capacities to execute growth or you wo uld need
to invest in more capacities around biosimilars ?
Sharvil Patel: We are expanding our capacity on biosimilars as we speak .
Vishal Manchanda: Right and what's the investment that you intend

over the next two years
in the biosimilar space ?
Nitin Pare kh: That is part of overall capex budget of 800 to 1000 crore that we have
given guidance for .
Vishal Manchanda: Okay. Thank you.
Moderator: Thank you.

Sharvil Patel: I think if there are maybe no more questions then , oh I think we have
one more .
Moderator : Yes. The next question is from Harith .
Harith: I hope I'm audible ?
Moderator: Yes.
Harith: On transdermals , you mentioned that you haven't done any launches
while the approvals we received a few quarters back . So, what are the
steps from approval to launch that we are undertaking now and then
any color on when we'll be launching ?
Sharvil Patel: Yeah , so I think the most important thing in launches of transdermals is
that when we come to launches , we need to signific antly scale up from
our earlier exhibit batches and it's a long processing cycle and every
material is imported , most of it , 95% of everything what we use is
imported with long lead time . So, getting that supply chain in order to
make sure that we are scal ing up with the batches and launching . For
the first time since we are doing it . It has been longer than our
experience on other products . So, having said so , we expect in this
financial year to have at least two launches .
Harith: Okay. On Asacol HD, you mentioned that you're factoring competition
in the product by the second half of FY24 and then that's part of your
guidance for 10% growth . So, any reasons for this expectation ? Anything
that you're hearing from customers or from competition ?

Sharvil Pat el: That’s part of our build up in terms of planning for it . So, not, we haven't heard anything immediate which we can see . But it's better to be err on the side of caution and at least plan for a competition in second half of the year .

Harith: Okay. That 's all from my side . Thanks .

Moderator: Thank you. As there are no further questions from the participants , I now hand the conference over to management for closing remarks .

Mr. Ganesh Nayak: Thank you very much and look forward to interacting with you ag ain in the month of November, when we declare our quarter 2 results . Thank you and have a nice evening .

Moderator: Thank you so much on behalf of Zydus Life sciences Limited . That concludes this conference . Thank you for joining us and you may now discon nect your lines and exit the webinar .

END OF TRANSCRIPT

Call: Sep 2023

August 1 8, 202 3

Listing Department Code: 532321
BSE LIMITED
P J Towers, Dalal Street,
Mumbai –400 001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai –400 051

Sub: Transcript of the Post Results Earnings Call held on August 11 , 202 3

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Company's Q 1 FY24 post results earnings call held on August 11 , 202 3.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY

Encl.: As above

"Zydus Lifesciences Limited Q 1 FY24
Post Results Earnings Call"

August 11, 202 3

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - SENIOR VICE PRESIDENT , INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - SENIOR VICE PRESIDENT , MD OFFICE , ZYDUS LIFESC IENCES LIMITED

Moderator : Welcome to Zydus Life sciences Limited Q1 FY24 Earnings Conference Call. Please note that all participants ’ lines will be in listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to Mr. Ganesh Nayak, Executive Director of Zydus Life sciences. Thank you and over to you, Sir.

Ganesh Nayak : Good afternoon, ladies and gentlemen. Welcome to our post results teleconference for the quarter ended 30th June, 2023. On this call, we have with us Dr. Sharvil Patel, Managing Director; Mr. Nitin Parekh, Chief Financial Officer; Mr. Arvind Bothra, Senior Vice President , Investor Relations; and Mr. Alok Garg, Sen ior Vice President from the Managing Director's office.

Let me now give you a broad overview of the developments during the quarter.

We had a strong start to the financial year as we capitalized on the momentum built over the last several quarters and delivered robust growth across businesses. This , coupled with sustained improvement in profitability , helped us achieve the highest ever operating profit and margins during this quarter. Our formulations business in India performed well as the branded bus iness registered double digit growth on a year -on-year basis for yet another quarter. In the consumer wellness space, we continue to hold leadership position in five out of six brands in their respective categories. Nycil, Sugar Free, and Everyuth brands gained market share during the quarter. Our US formulations business registered growth on a sequential basis driven by new launches and volume expansion in the base portfolio. We achieved important milestones in our innovation journey in a quest to offer innovative solutions to the patients across the globe to meet their diverse healthcare needs.

With that, let me take you through the financial numbers for the year gone by. I am happy to inform you that our quarterly revenues surpassed the ■50 billion mark for the second consecutive quarter driven by robust performance across segments. During the quarter, we recorded consolidated revenues of ■51.4 billion, a growth of 30% on a year -on-year basis. Reported EBITDA for the quarter was ■15.1 b illion , up 81% year - on-year and 20% quarter -on-quarter. EBITDA margin for the quarter was 29.3%, which is an improvement of 830 basis points on a year -on-year and 420 basis points on a quarter -on-quarter basis. Net pro

fit for the quarter stood at ■10.9 bil lion, up 110%

year -on-year. Our balance sheet further strengthened with the net cash position of ■8.8 billion as at 30th June, 2023 as against the net cash of ■5.5 billion as at 31st March, 2023.

Now, let me take you through the operating highlights for t he first quarter of FY24 for our key business segments. Our India geography, which comprises of formulations and the consumer wellness businesses , accounted for 38% of the total revenues during the quarter and grew 6% year -on-year. Our branded formulations business in India delivered double digit growth as it grew by 10% year -on-year during the quarter. Excluding the impact of NLEM led price reduction, the branded business grew 12% year -on-year. Our innovation brands viz. Lipaglyn , Bilypsa, Ujvira and Oxe mia witnessed strong volume traction during the quarter. We continue d to work towards strengthening our presence in our focused therapy areas. On the super specialty front, we retained the leadership position in the Nephrology segment, while in the Oncolo gy space, we were the fastest

growing company. Our first new chemical entity , Lipaglyn was ranked as the 47th largest brand in the Indian Pharmaceutical Market during the quarter, which is an improvement of 19 positions over the previous year. Our Bilypsa brand too , continues to strengthen its volume share through various patient support programs and activities. The Ujvira brand, which is the first biosimilar of an antibody drug conjugate , continued to expand the volume since its launch on the back of pati ent centric approach adopted by us to make it affordable to patients. Our consumer wellness business recorded revenues of ■6.9 billion with a flat year -on-year growth. Unseasonal rains across key states during the first half of the quarter impacted the offtake of our key summer -oriented brand Glucon -D. However , the remaining portfolio pos ted near double -digit growth during the quarter. Commodity prices moderated during the quarter on a sequential basis, which eased the pressure on gross margins.
Now, let me take you through the performance of our US formulations business. The business ac counted for 48% of the consolidated revenues during the quarter with revenues of ■24.5 billion. The business continued to display strong traction with the robust 57% growth on a year -on-year basis driven by new launches and improvement in the base busines s. On a sequential basis, the business grew by 9% on a high base of the previous quarter. We launched 4 new products during the quarter. During the quarter we filed 4 additional ANDAs and received 20 new product approvals.

Our emerging markets and europ e formulations businesses continued to deliver healthy growth with all major markets contributing to the growth during the quarter. The business posted revenues of ■4.9 billion , up 30% year -on-year.
On the operations front, The USFDA inspected our three manufacturing facilities during the quarter. Oral solid dosage facility II located in the Ahmedabad SEZ completed the USFDA pre -approval inspection without any observations. Our biologics fill finish facility located at the Zydus Biotech Park in Changodar and our animal health formulations manufacturing facility located in the Ahmedabad SEZ also completed the USFDA inspections without any observations. This reinforces our commitment to upholding high quality standards and continual improvement in the same.
We continue to improve our business processes with a focus on improving productivity, which helps us stay competitive.
Adoption of dig italization across the organization continues to gather pace as various analytical tools are deployed to unlock the efficiencies in our operations and aid data backed decision -making process.
This concludes the business review. I would now request Dr. Sharvil Patel to take

you through the key drivers across businesses and initiatives in our innovation program. Thank you.
Sharvil Patel : Thank you, Dr. Nayak. Good evening, ladies and gentlemen. It is a pleasure to have you all today on the call. We are p leased with our performance during the quarter. The performance was driven by our comprehensive product portfolio, our depth of innovation pipeline, and our focus on execution. On the India formulations front, consistent execution across focus ed therapies helped us achieve double digit growth in the branded segment. We expect this trend to continue going forward. Portfolio of our innovation brands register ed strong volume traction during the quarter and in turn , aided the patients to satisfy their unmet h ealthcare needs. Our comprehensive product portfolio, strong customer relationships, and an agility in operations helped us to deliver consistent growth in our US business. We expect our US business to grow on a formidable base of FY23 going forward on t he back

of a robust pipeline of complex generics developed in -house as well as the strategic BD &L efforts. A diversified manufacturing network catering to the US market backed by the responsive supply chain augurs well for us to capitalize on one time buy opportunities that keep on emerging in the US generics market.

Our initiatives in R&D have continued to progress favorably in order to meet patients ' demands across geographies. The investments made by us over the years across different areas have started delivering results and we expect this to scale up further going ahead. This is evident from the expansion of patient coverage of different molecules since their launch. We shall continue to roll out various patient support programs and work towards creati ng the awareness about our brands in an effort to make a difference to patients ' lives. Our R&D teams keep working towards offering solutions to patients across therapies to meet their unmet needs.

On the regulatory front, we extend our robust compliance record , as we completed three USFDA inspections during the quarter. We also remain committed to maintaining the highest quality standards across all our manufacturing facilities to offer safe and effective healthcare solutions to patients globally. We strengthen ed our backward integration capabilities post the recent completion of acquisition of Teva's USFDA accredited API manufacturing facility located at Ambarnath in Maharashtra.

With this, let me talk to you about some material developments on the in novation front.

On the NCE front, our lead molecule, Saroglitazar magnesium is currently undergoing phase II(b)/III clinical trials for PBC indication and phase II (b) clinical trial s for NASH indication for the US market. So far , we have recruited over 8 0% of the patients required for the PBC trial. For the NASH indication, we have been progressing in line with our plans on the patient recruitment front. The molecule is also undergoing trials in the US for two indications of PCOS and NAFLD. During the quarter , in order to generate real - world evidence, we initiated a large phase IV clinical trial of Saroglitazar magnesium in India in NAFLD patients with comorbidities. The trial will enrol approximately 1,500 patients and the primary endpoint is to measur e the change in liver stiffness from the baseline to 52 weeks. The study duration is approximately 56 weeks.

In the biotech R&D space, clinical trials for two of our monoclonal antibodies are ongoing at present and we have completed recruitment of patien ts for one of these molecules during the quarter.

Coming to our vaccine pipeline , we have commissioned a newly constructed measles rubella drug substance manufacturing facility

and we have initiated a phase II clinical trial of our hepatitis E vaccine duri ng the quarter.

We thank you and

now we start the Q&A session. Over to the coordinator for Q&A.

Moderator : Thank you, Sir. Thank you very much . We will now begin the question and answer session . Anyone who wishes to ask questions may raise your hand f rom the participant tab on your screen . Participants are requested to use headphones or earphone while asking a question . The first question is from Neha Man puria.

Neha Manpuria: Yeah, thanks for taking my question. Sir, one on the US business, while you mentioned in your opening remarks that there was volume growth in the base portfolio, how much would you say the quarter -on-quarter traction was because of incremental Revlimid and how much of it was the core underlying business , the pricing improvement . Then some colour if you could give on the US generic pricing ?

Sharvil Patel: So, in the first quarter , the growth was driven by the higher volume offtake in our key products which also included Revlimid and also the pricing has been stable during this qua rter and also some new introductions which were launched during the last quarter four also scaled up , so all of that led to the expansion , but obviously driven also by Revlimid .

Neha Manpuria: Understood and given what we have done in the quarter and the l aunch pipeline that we have had including some products that we have not yet launched , doesn't the high single digit growth for US seem fairly conservative , are we still sticking to it , or are there any risks that we are not aware of that is keeping that g uidance at that level ?

Sharvil Patel: No, so as you said is right, despite an elevated base and factoring also competition from Asacol probably in the later part of the year , we still expect the US business now to grow on bac k of volume expansion in double digits .

Neha Manpuria: Okay. Got it and how should we think about margins in that case because I think margins also, we were fairly conservative . If I look at our R&D , we are much below what we had guided for the full year . So, one how should we look at the R&D trajectory and therefore given the double -digit US growth , the margins ?

Sharvil Patel: So, we do expect now the EBITDA margins to increase by 150 to 200 basis points on an annualized basis in this year compared to our earlier guidance of 50 to 100 basis points . So, we are seeing an uptick to our guidance that we had earlier stated . This is also factoring in an increase in R&D , so despite that, we will see margin improvement and also building in for some competition on one of our lead compounds also .

Neha Manpuria: And R&D is still maintained at 8% of sales ?

Sharvil Patel: Yes.

Neha Manpuria: Okay. Thank you so much , Sir.

Moderator: Thank you. The next question is from Bino .

Bino : Hi, good afternoon . Sharvil bhai, couple of questions on US product s. Linagliptin , is that a product you expect in next couple of years or is it very far out ?

Sharvil Patel: Not in the ne xt one to two years .

Bino : Okay and how about tofacitinib , Xeljanz ?

Sharvil Patel: So, I think product -wise , we are not talking because again a lot of things are driven by IP and legal and settlement , but I think we can definitely say that looking at our pipeline that we have , we do see good launches or important launches every year partly driven by our own developments and partly through our licensing efforts . So, we do see a limited competition kind of launches every year at least over the next three years .

Bino : And any update on the timelines of potential Saroglitazar filing in PBC, do we still look forward to a late FY25 filing ?

Shar vil Patel: Yeah , we do still expect a calendar year end 25 filing .

Bino : And one last one , you know , earlier you had guided to 2-3 interesting product launches this year . We have seen possibly one or two , but I don't know if we were originally intending

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Bino : Okay and then Trokendi XR , have you already seen competition entry ?

Sharvil Patel: Yes, yes, we have already seen last quarter .

Bino : Great . Thank you very much . I'll join back .

Moderator: Thank you. The next q uestion is from Surya .

Surya: Yeah . Thanks for the opportunity . Sir, congratulations for the great set of numbers . Sir, on the margin front , first, it looks like even if we hypo thetically adjust the Revlimid revenue and see the base business margin , it looks like both on the gross margin front as well as EBITDA margin front , excluding Revlimid , it looks like a very strong performance . So more than kind of 300 basis point kind of positive surprise . So, what is driving this ? Is it purely coming from let' s say the improved performance in the domestic side , improved product mix in the

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Surya: Okay. Sir, my second question is on the Lenali domi de. So, the prescription trends if I look at it then , I think , we have already surpassed 5% or 5.5%, near about 6% kind of a volume share that we have already achieved . So, whether we have garnered that kind of revenue in line with the kind of prescription ramp up or the potential revenue booking will be seen subsequently and generally if we consider or see generally it is also known that every 12 months , the volume share can increase , so how should we really see it ?
Sharvil Patel: Revlimid is a mid-to-long term opportunity . So, it has , so I think , with the improvement in market shares every year, we would see those numbers trickled through so, but again , all of these are still accessing us to a very limited size of the market , but you would see that every year I would say in those months .
Surya: Sir, then just an extension to this Rev limid question . So, in the initial part of the year or last year , when you had launched the product , you had mentioned that the Revlimid is likely to be a kind of evenly distributed kind of a product for you . So, do you think that is what you are likely to see?
Sharvil Patel: For the year , yes.
Surya: Okay.
Sharvil Patel: Quarter -on-quarter , they will change , but when I give the full year 's guideline , every year Revlimid will be well distributed .
Surya: Okay and Sir, in terms of the domestic formulation business , there is a positive surprise obviously in terms of growth compared to the market trend and all that . So, what is driving here it is , are you really seeing that

the br

ands in the specialty products , so th ose are really delivering better than your expectation or your guidance is covering those ?
Sharvil Patel: I think over the last two to three quarters , we have shown now at least market led growth or equal to market growth , in some quarters better . This quarter also , we have done much better. I think the good thing to see for this quarter is also the volume expansion of 6% growth because the volume is I think very good in the industry or the market that we are in today and I said it's driven by multiple fac tors, the focus that was put in the rationalization that happened and also the portfolio of innovative products that we have launched, which are scaling up . I think all of that is leading to that . I think a lot of work is still left to be done , but we are hoping that we will continue to build on th ese important launches and scaling up our differentiated products , which will aid to this kind of better than market growth .
Surya: Okay. Just last one question on the balance sheet side , Sir. So, the cash flow position anyway is looking really robust now thanks to Revlimid also and the balance is anyways strong given the cash flow that we had already generated last year . So, if we see that kind of a similar

momentum also in Revlimid and the kind of momentum in other than
Revlimid also that we are talking about , then the cash flow generation is
likely to remain really robust and strong for next couple of years . So,
given that , what would be your capital allocation strategy and if you can
share something on that a nd on the capex front , this quarter that you
have done 220 odd crores . So, what should be your capex plan for the
current year and in which lines ?
Sharvil Patel: So, you are right to say as we would see strong cash flows in the coming
years. I think one i mportant part is the capex cycle . So, we are talking
about the 1000 crore capex in this year. The rest of it , I think , we
continue to obviously expand our research capabilities. So, you know ,
some increase in the R&D will be there and we are looking to e xpand
our opportunities in getting into newer areas in the specialty space in
the US . So, we do believe that we would find opportunities to invest
behind that . Currently, we don't have any major plans beyond this .
Surya: Hello ?
Sharvil Patel: Yeah . Could you hear me ?
Surya: Sorry Sir, I missed last couple of sentences.
Sharvil Patel: We don't have any other significantly large other plans other than the
few I talked about which is looking into the specialty space in the US , our
capex cycle of 1000 crores t hat we will spend and some investments in
research and some market expansion .
Surya: Okay and for the domestic market ?
Nitin Parekh : You have also seen the way , dividend pay -outs are also increase d
depending on the availability of cash flow , even the buyba ck that we did

last year and the enhanced dividend rate that we have proposed this
year .
Surya: Sure Sir. So, just an extension Sir. On the domestic side , what kind of
investment that you are thinking about , is it about adding new product
portfolio or it i s just creating and building our own portfolio in the
specialty area , let's say biosimilar or something like that or what kind of
investment that you are looking at for the domestic market ?
Sharvil Patel: So, in domestic , from our internal point of view, y es, it is investing in
biosimilars , vaccines and the differentiated launches that we want to do ,
including launching our discovery led products like Saro , Desi and now
we hope , in the next few years , a few more. Beyond that is looking to
see if we can fin d the right fitment in terms of acquiring brands, which
we would look at and now as part of our overall life sciences strategy,
we do believe in end -to-end outcomes for diseases . So, companion
diagnostics and those areas

will also become an integral part o f how do
we treat for many disease s, chronic diseases .
Surya: Sure , Sir. Thank you, Sir. Wish you all the best .
Moderator: Thank you. Ladies and gentlemen , we will wait for a moment while the
question queue assembles . The next question is from Neha Man puria.
Neha Manpuria: Thanks for taking my question . Just one question . We received
approval for generic Vascepa last quarter , but we haven't yet launched
the product . Any timelines on when we can probably enter that market
and any reason for the delay ?
Sharvil Patel: So, I think , it's a very complicated API . So, we are making sure that we
risk mitigate our supply chain on API so that we have enough , so that we
don't have problems in the future . So, looking at that timelines and the
approval that we got a nd the manufacturing of this complex
formulation , we are looking at a quarter 3 launch .
Neha Manpuria: Understood , understood , and Sir in terms of our injectable portfolio , we
have seen a fair bit of approvals on the injectable portfolio as well .
What sort of a run rate have we reached ? Do we want to give any
colo ur, any target in terms of what we are targeting on injectables ?
should we see the momentum build and when do we start seeing the
more complex injectable approvals come through ?
Sharvil Patel: So, I think the injectable business is still in the scale up phase . So, I think
it has not reached that size and scale where we talk about as a separate
segment . So, it is part of our overall strategy on the portfolio . But as
and when it becomes large , I think we will segment it in the right way .

So, I think the complex portfolio , we still believe we will see some
approvals in this financial year and also in the coming two financial
year s. So, as I had said slowly you will see launches of complex
injectable s in the next two to three years .
Neha Manpuria: Understood Sir. Thank you so much .

Moderator: Thank you. The next question is from Vishal Manchanda .
Vishal Manchanda: Thanks for the opportunity . Hope , I'm audible .
Sharvil Patel: Yes.
Vishal Manchanda: So, there have been a few approvals you have received in the last few
quarters like chantix , ivermectin cream and the transdermal patches
too. So, have these been launched or they are yet to be launched ?
Sharvil Patel: Yeah , they have been . Not the transde rmals , but the other products
have been launched .
Vishal Manchanda: Okay and then , you have been talking about launching 2 R EMS product
during the year . Again, have these been launched or they are yet to be ?
Sharvil Patel: Yet to be launched .
Vishal Mancha nda: Any colo ur. which quarter of the year ?
Sharvil Patel: In the third and fourth quarter .
Vishal Manchanda: So, these would be limited competition and represent , what market size
do these represent ?
Sharvil Patel: We don't do product wise market size , but they are important launches .
Vishal Manchanda: Okay and finally on the India business , can you share the contribution of
biosimilar business to the overall sales ?
Sharvil Patel: So, again , I said you know biosimilars is part of the therapy expansion in
RA and Oncology and others . So, we don't club biosimilars like that
because it's a branded formulations business . But I would definitely say
that they are scaling up significantly and will continue to scale up in the
next two to three years with the pipelin e that we hope to launch . So, I
think overall , it is doing very well and scaling up . But it is part of our
overall therapy focus , so it's not a technology focus from that point .
Vishal Manchanda: Okay and do you have capacities to execute growth or you wo uld need
to invest in more capacities around biosimilars ?
Sharvil Patel: We are expanding our capacity on biosimilars as we speak .
Vishal Manchanda: Right and what's the investment that you intend

over the next two years
in the biosimilar space ?
Nitin Pare kh: That is part of overall capex budget of 800 to 1000 crore that we have
given guidance for .
Vishal Manchanda: Okay. Thank you.
Moderator: Thank you.

Sharvil Patel: I think if there are maybe no more questions then , oh I think we have
one more .
Moderator : Yes. The next question is from Harith .
Harith: I hope I'm audible ?
Moderator: Yes.
Harith: On transdermals , you mentioned that you haven't done any launches
while the approvals we received a few quarters back . So, what are the
steps from approval to launch that we are undertaking now and then
any color on when we'll be launching ?
Sharvil Patel: Yeah , so I think the most important thing in launches of transdermals is
that when we come to launches , we need to signific antly scale up from
our earlier exhibit batches and it's a long processing cycle and every
material is imported , most of it , 95% of everything what we use is
imported with long lead time . So, getting that supply chain in order to
make sure that we are scal ing up with the batches and launching . For
the first time since we are doing it . It has been longer than our
experience on other products . So, having said so , we expect in this
financial year to have at least two launches .
Harith: Okay. On Asacol HD, you mentioned that you're factoring competition
in the product by the second half of FY24 and then that's part of your
guidance for 10% growth . So, any reasons for this expectation ? Anything
that you're hearing from customers or from competition ?

Sharvil Pat el: That’s part of our build up in terms of planning for it . So, not, we haven't heard anything immediate which we can see . But it's better to be err on the side of caution and at least plan for a competition in second half of the year .
Harith: Okay. That 's all from my side . Thanks .
Moderator: Thank you. As there are no further questions from the participants , I now hand the conference over to management for closing remarks .
Mr. Ganesh Nayak: Thank you very much and look forward to interacting with you ag ain in the month of November, when we declare our quarter 2 results . Thank you and have a nice evening .
Moderator: Thank you so much on behalf of Zydus Life sciences Limited . That concludes this conference . Thank you for joining us and you may now discon nect your lines and exit the webinar .

END OF TRANSCRIPT

Call: Nov 2023

November 11, 2023

Listing Department Code: 532321
BSE LIMITED
P J Towers, Dalal Street,
Mumbai–400 001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the Post Results Earnings Call held on November 7, 2023

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Company's Q2 FY24 post results earnings call held on November 7, 2023.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY

Encl.: As above

"Zydus Lifesciences Limited Q 2 FY24
Post Results Earnings Call"

November 7, 202 3

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - SENIOR VICE PRESIDENT , INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - SENIOR VICE PRESIDENT , MD OFFICE , ZYDUS LIFESC IENCES LIMITED

Ganesh Nayak: Good evening, ladies and gentlemen. Welcome to our post results teleconference for the quarter ended September 30th, 2023. On today's call , we have with us Dr. Sharvil Patel , Managing Director , Mr. Nitin Parekh , Chief Financial Officer, Mr. Arvind Bothra , Senior Vice President , Investor Relations and Mr. Alok Gar g - Senior Vice President from the Managing Director's office.
Now , let me give you a broad overview of the developments during the qu arter. In terms of overall revenues, we registered stable growth of 9% during the quarter. Our branded formulations business in India grew in high single digit after adjusting for impact of NLEM and partly affected by delay in the acute season. The US form ulations business performed on expected lines driven by stable base business and supported by new introductions. Our Emerging Markets and Europe formulations businesses continue with strong growth moment um and delivered double digit growth.
A network of r egulatory compliant manufacturing facilities and a resilient supply chain serves as the backbone of our business es globally . We remain committed to extend our robust compliance record by maintaining the highest standards of quality and in turn , ensure unin terrupted supply to customers across the globe.
Various digitalization initiatives undertaken across different functions have significantly enhanced the efficiency of operations and continue to deliver greater value to all the stakeholders.
With that, let me take you through the financial n umbers for the quarter gone by. We registered consolidated revenues of Rs. 43.7 billion , up 9% on a year -on-year basis. EBIT DA for the quarter was Rs. 11.5 billion, with a growth of 41% on a year -on-year basis.
Operating profitability remained robust as we registered an EBITDA margin of 26.2% during the quarter , which is an improvement of 580 basis points on a year -on-year basis. Net Profit for the quarter stood at Rs. 8 billion , up 53% year -on-year .
Our Balance Sheet continued to strengthen with a net cash position of Rs. 16.4 billion as at 30th September, 2023 as against the net cash of Rs. 5.5 billion as at 31st March , 2023.
Now , let me take you through the operating highlights for the second quarter of FY24 for our key business segments.
Our India geography, which comprises of formulations and consumer wellness business, accounted for 42% of the total revenues during the quarter and grew 5% year -on-year. As mentioned earlier, despite delay in the acute season

onset , our
branded formulations business in India grew in a high single digit

primarily driven by volume expansion and new launches. We gained rank and improved our market share in the anti -diabetic and respiratory therapies on the back of continued efforts to strengthen our presence in focused therapies. On the super speciality front, we retained leadership position in the Nephrology segment while in the Oncology space , we remained the fastest growing company. Our consumer wellness business recorded revenues of Rs. 4.4 billion, up 3% on a year -on-year basis. The Personal Care segment , which comprises of Nycil and the Everyuth brands , registered robust growth during the quarter driven by a favorable season in many parts of the country . Gross margins continue to recov er on account of moderating input prices and calibrated price increases taken earlier.
Now , let me take you through the performance of our US formulations business. The business posted revenues of Rs. 18.7 billion , up 9% year -on-year . On a sequential basis though , the business de -grew by 24% on account of reduction in revenues of the limited competition product , which is in line with our

expectations. We launched eight new products during the quarter. New launches for the quarter include Indomethacin Suppos itory which was granted 180 days of Competitive Generic Therapy exclusivity and Plerixafor I njection, which was a Day-1 launch . During the quarter , we filed four additional ANDAs and received nine new product approvals.
Our international markets business , which comprises of Emerging markets and Europe formulations business , continued to deliver healthy growth with all major markets contributing to the growth during the quarter. The business posted revenues of Rs. 4.5 billion, up 17% year -on-year.
On the ope rations front, we received Establishment Inspection Report s from the USFDA for the inspections of our Oral Solid Dosage Facility 1 and Facility 2 located in the Ahmedabad SEZ and Biologics Fill-Finish facility located at the Z ydus Biotech Park in Chan godar .
This concludes the business review. I would now request Dr. Sharvil Patel to take you through the key drivers as well as initiatives in our innovation program.

Sharvil Patel : Thank you, Dr. Nayak. Good evening, ladies and gentlemen. It is a pleasure to have you all on the call today. We remain focused on building long term growth drivers and augmenting the innovation

efforts in our focused geographies to enhance stakeholder value over time.
On India formulations front, we continue to work towards strengt hening our position across the focus therapies through multiple initiatives. Portfolio of our innovation brands continue to display strong vol ume traction over the last several quarters and helped patients to satisfy the ir unmet healthcare needs. We contin ue to evaluate multiple partnership opportunities and develop novel solutions keeping in mind the unmet healthcare needs and patient convenience.
The U S formulations business continue to display robust momentum. Comprehensive product offerings, key new lau nches, strong customer relationships and agility in operations have ensured sustained growth of our U S business and also going forward .
On the inorganic front , recently , we announced our agreement to acquire U K headquartered LiqMeds group of companies whic h has unique capabilities in delivering novel oral liquids. The acquired entity has a good pipeline of products which comprises of many 505(b)(2) and first to file and first to market products. The acquisition is in line with the strategy to expand the pre sence in the specialty space and offer novel solutions to satisfy the unmet medical needs of patients globally through a differentiated and niche product platform i.e. l iquid dosage forms. There is also a large population globally who suffer from difficu

lt ies in swallowing
due to different diseases . Liquid orals would help such patients and in turn , bring greater ease of convenience and better therapy compliance. Overall, we expect our US business to continue its upward journey going forward on the back of a robust product pipeline across the generics and specialty space.
With this, let me talk about some of the other material developments on the innovation efforts. On the NCE front, we initiated a Phase II clinical trial of ZYIL 1, a novel , oral NLRP3 infla mmasome inhibitor in patients with Amyotrophic Lateral Sclerosis, which is a disease called ALS. ALS is a rare , progressive and fatal neurodegenerative disease with an average life expectancy of 3 -5 years from the time of symptoms onset. We have already es tablished a proof of concept of ZYIL 1 in a Phase II trial in CAPS patients and publish ed the data in Clinical Pharmacology in Drug Development. The USFDA has granted an

orphan drug designation to the molecule to treat patients with CAPS, a rare auto -infla mmatory disease.

We also received approval from CDC O to initiate Phase I clinical trial for our novel PCSK 9 inhibitor. The study will evaluate the safety and tolerability of this candidate which will be administered subcutaneously in healthy h uman volunte ers. Dyslipidaemia patients with high LDL cholesterol are at a high risk of atherosclerotic cardiovascular disease events such as heart attack and stroke. This PCSK9 inhibitor will regulate the level of LDL receptors which are responsible for the uptake an d clearance of cholesterol from the blood .

On the Biotech R &D space , our pipeline continues to advance well in line with our expectations with the completion of clinical trials for one of the monoclonal antibodies and also patient recruitment for another m onoclonal antibody. We have also received regulatory approval to initiate Phase III clinical trial for one more product during the quarter .

On the Specialty and 5 05(b)(2) development front , recently , we received the final approval s from the USFDA for two n ew drug NDA s viz. Sitagliptin under the brand name Zituvio and Sitagliptin and Metformin IR tablets under the brand name Zituvi met in the area of metabolic disorder management.

We also filed one more NDA which is Sitagliptin and Metformin ER tablet s in the area of metabolic disorder management to complete the franchise of Sitagliptin combinations during the quarter.

Thank you and now we can move towards the Q &A session . Over to the coordinator for the Q&A .

Moderator : Thank you. We will now begin the Questi on-Answer session. Anyone who wishes to ask a question may raise your hand from the participant tab on your screen. Participants are requested to use headphones or earphones while asking the question. We'll wait for a moment while question queue assembles.

The first question is from Kunal.

Kunal : Hi. Thank you for the opportunity, Sir. So, the first one on this Sitagliptin franchise that we are trying to build on 505(b)(2) side. How do you see the addressable market? Is there any niche segment that we are targeting there ? Obviously because the innovator has been there for quite some time . And, secondly, would it require any incremental front -end investment from us? And what would be our pricing strategy there? That would be the first question.

Sharvil Patel: So, the Sitagliptin franchise, obviously, is a large , established franchise in the US market. Most of the prescriptions are run through either commercial or Medicare segment s and they are mostly filled by the retail segmen t. So, our strategy will be to go into the retail segment and see how do we get access through different PBM contracts going forward. And, I think, we'll have to slowly work on building the awareness for the product and also find the right ways to create t he right contracts a

nd look at taking market share.

So, I think, it is going to be a slow process to build up this franchise as it is not a substitutable or interchangeable product. But the good thing for us is that we will be alone in the market for some period of time which will allow us to create a good brand over the period of next two to two and a half years .

Kunal : Sure, Sir. And in terms of pricing, would we have any idea or we are still in the deciding phase?

Sharvil Patel: So, this is not a generic substitution. So, pricing is going to be PBM contract . So, it's difficult to give you an idea today till we launch and go through those phases.

Kunal : Sure. And in terms of front -end marketing, do we require marketing presence? O r can w e use Sentynl…
Sharvil Patel: No, our current strategy is that we will go through our, as I said, through contracts and listing and awareness area. So, I don't think we're talking about a front -end team yet.
Kunal : Okay, perfect. And secondly, Sir , if I look at the other expenses this quarter , they have been quite substantially down on a sequential basis. So , any particular reason for it ? How should we think from the future quarter perspective?
Nitin Parekh : So, other expenses also include R&D expe nses as well as expenses related to Zydus Wellness Limited where there is some seasonality involved. Also, certain professional , legal expenses , they are not uniform across all the quarters. So, if you take out the R&D part, I think , 850-900 crore would be the base depending on Zydus Wellness promotion spend .
Kunal : Okay. But R&D has also increased on a sequential basis, right?
Nitin Parekh: So, R&D should not be viewed on a sequential basis. It should be viewed on annual basis because it all depen ds on the projects, filing, registration, other expenses. On an annual basis, we have guided for 7 -8%. We stick to th at guidance.

Kunal : Okay, perfect. I have more questions , I'll join back the queue.
Nitin Parekh: Thank you.
Moderator: Thank yo u. The next question is from Saion Mukherjee.
Saion Mukherjee : Hello?
Sharvil Patel: Hello , Saion . Can you hear us?
Sayan Mukherjee : Hello? Am I audible?
Sharvil Patel: Yes.
Sayan Mukherjee : Okay , sorry. So , yeah, I was asking about the acquisition that you did for the liquid dos age form in UK. So, firstly, if you can take us through medi um term outlook for this acquisition . Because the revenue base is quite low at this point and we paid almost £60 million. So, if you can give us some color on the pipeline and how should, you know, we think about revenues improving and if you can talk about profitability .
And the other question I would have is in the specialty , innovation space. You know, how are yo u looking at M&A opportunities at this point in time? And anything that you can share in terms of activities, spaces that would interest you or you are currently looking at . Thanks.
Sharvil Patel: Yes. So, on the first point on the LiqMeds acquisition . So, this is a specialized delivery business which develops difficult to do liquid products from products that are not available today. So , most of the products are in the nature when you talk about US regulations then, the 505(b)(2) route, many of them, as I said, first to launch or first to file for those markets. They meet an unmet need for people who need to have dose adjustment or have dysphagia. The good part of this business is that they have already had important licensing arrang ement s with the large specialty companies both in UK as well as US. So, they work with Rosemont in UK. and three big specialty companies in US who specialize in selling these type of products. So, I think , from that point of view , there's alr eady a model which is accepted . They have a good relationship and partnership with the companies . They have a very larg

e pipeline
which is partly licensed and still under development , which in future will also be available for launching as wel l as licensing out. So, we see this business as , obviously, a niche business , a good business which will have a technological differentiation , will be built on the specialty footprint in the US mostly and also in many other markets in terms of creating access for it . And, obviously , it

is just the first 12-15 months of launch . So, it's just the beginning of the company in terms of launch. So , the scaling up will happen

over the next three years and we expect , because of the nature of this business and which is to do with mostly the manufacturing , development and licensing , it would have a significantly high profitability like specialty companies do .
Nitin Parekh : So, Saion , also the nature of the business as of now is that currently they don't have their front -end, as Sharvil bhai mentioned about certain customers and contracts. So , the topline is not important . The stream of income is a 3-part, One is whatever manufacturing goods they sell and the profit that they make on that . But large part of income would come in terms of profit sharing as well as certain milestone -based incomes based on sales. So , these are going to come in times to come. So , whatever number of revenue that you are looking at is actually misnomer and that should not be, you know, given so much of importance.
Saion Mukherjee : Okay-okay. T hanks. And on the landscape for specialty, how are you sort of thinking?
Sharvil Patel: So, yeah, on that front, as I said, our keen interest is to continue to look a t ultra rare diseases and orphan diseases in the US. We have our currently two products Nulibry, which is commercialized , and Zycuvo , which is delayed , but we still believe we have a sufficient room to build this rare disease portfolio. We are look ing to do further acquisitions in this ultra rare portfolio and we have some good leads. So , we continue to hope we will be able to exercise more options of acquisition for late-stage products or ready to commercialize products in the US. So, that will be one important aspect of what we will do on the specialty front in the US, on the rare disease front in the US . And that's our current expectation of what we would hope to build out for which is buying niche small assets which are stic ky and commercialize them with small commercial infrastructure both in US and also take them to Europe .
Saion Mukherjee : Okay. And , Dr. Sharvil, do you have like a 3 -5year plan on this ? How many assets you would typically like to have ? You alrea dy have a couple of them, which you have acquired , anything that will be from our own pipeline ? So, how should we think about and what is the medi um-term vision here like when you look at this acquisition how many products ? I mean, how should we think about this particular business , let's say from a 5-year perspective ?

Sharvil Patel: Yeah. So, I think , we are looking to at least add 2 -3 more products to the portfolio. We have at least two under our own development , which are organic, and we contin ue to look for two or three more assets on the M&A front as I said which are late stage or near to commercial approval. So that’s what our hypothesis is. I would say, the next 3 years , our target should be that if we can achieve aspirationally 100 milli on dollars of revenue on that part of the business.
Saion Mukherjee : Ok. thank you and I will join back. Thank you.
Moderator: Thank you. The next question is from Bino .
Bino: Hi, good afternoon! Sharvil bhai, is there any IP related issue around this because there is still drug substance patent around the salt which is there?
Sharvil Patel: We don’t have an issue around launch. We are clear for launch.
Bino : Ok. Second , we had

, in the last quarter itself mentioned that Revlimid would come down significantly from Q1 to Q2. So , has it come down or is it kind of insignificant in Q2?
Sharvil Patel: There is no Revlimid sale in Q2.
Bino : Ok. And on Asacol HD , anything, any further colour from the last call? Are you still expecting a competition this year? This financial year?
Sharvil Patel: Ya, we have built for that, assuming competition. We are not aware of it but we have built for competition.
Bino : Ok, understood, understood. And finally, jus t on the product

Mirabegron , where you have an FTF share. One of you competitors have said that they may be looking at a launch this financial year. Is there any colour from your side that you can give?

Sharvil Patel: Ya, we are evaluating that produ ct. So, it is an important product but I think it is too early for us to make any comments on that yet.

Bino : Ya, thank you. I will join back the queue.

Moderator: Thank you. The next question is from Surya. Surya, I think you may have to unmute.

Surya: Sorry, hello? Thanks for the opportunity Sir. I am sorry for this. My first question is on the sequential decline on the US business. You

mentioned that there is no Revlimid sales in this quarter. Right Sir?

Sharvil Patel: Yes. That’s right.

Sury a: So, practically about Revlimid , you had a kind of a thought process that whatever Revlimid revenue that you will be making, it would be distributed throughout the quarter in the year, evenly distributed.

Sharvil Patel: We have never said Revlimid will be evenly distributed. We have always said that it is quarter 4 and quarter 1 of the calendar year, financial years.

Surya: Ok. Till FY26, that is how it should be. Sir?

Sharvil Patel: Ya.

Surya: Ok, quarter 4 and Quarter…

Sharvil Patel: Quarter 1.

Nitin Parekh: That is our current thinking.

Surya: Ok. Since we have completed the first year of Revlimid and it is a volume limited one, now in the first year, what is the kind of volume that we would have achieved? Is it fair to believe tha t it is more than 6 percent ?

Sharvil Patel: We are not giving volume. It’s a settlement agreement that exists. So, we are not giving that kind of guidelines. As I said, it is a very important aspect of our yearly revenue and with an increase in market share that we will get, we will see an uptake in revenue for Revlimid , at least for the next calendar year.

Surya: Related question Sir . Although the Revlimid number is not there which was in the previous quarter was almost like 70 million do llar plus or something like that, despite that kind of revenue stream not there which is such a high margin business, your gross margin in this current quarter without Revlimid almost maintained the same number what you had achieved in the previous quarte r. So , what is supporting this kind of number and how sustainable the base business is in achieving this kind of gross margin?

Sharvil Patel: So, as I said, it is a mix of our base business and new product launches and overall product mix, lesser realizati on from consumer health in this quarter because of their seasonality. I think all of that has led to a decent GC margin but Nitin bhai if you can add somet hing…

Nitin Parekh : Input cost reduction has also helped especially in Zydus Wellness and they have also taken selling price increase in Zydus Wellness plus the new products that are launched in the quarter in US, they are at better margins. So it’s a business mix and product mix, both helping us , as well as cost reduction.

Surya: Don’t you think that this Revlimid is such a significantly influential gross margin product? So that means, is it fair to believe that once we again see the Revlimid number which will be again elevated versus last year, then our gross margin profil e will really be meaningfully better than the current number, what we ar

e

seeing?

Sharvil Patel: So, if we do not see Asacol competition, then what your hypothesis is right. But we are building for Asacol price erosion .

So, then we will have to see h ow much we can compensate .
Surya: Ok, fine. My second question is on the LiqMeds. Is it a loss -making business or is it on the verge of turning around or something like that?
Sharvil Patel: It is not a loss -making business.
Management: We already cl arified that it is EPS accretive from beginning. So , it is profit making.
Surya: Ok. Because somewhere I had seen the reporting which was showing that networth is negative yet.
Nitin Parekh : That we will check the number. Maybe becaus e of carry forward past losses because they are spending and developing the products initially. So , there are spends and income is in the backend in terms of time frame.
Sharvil Patel: As I said, this company , the business case for today it is develop ment for partners and licensing and they have a cost plus profit share plus milestone based events where they earn margins and these are speciality products so the margins are very high . So, this will be a sufficiently , very high profitable busines s. It is not a sales, top line business but a very profitable business going forward and it will also help us build our specialty play in the US. Maybe not always directly but through partners also.
Surya: Ok. So that means, with this integration, this bas e will not going to work for the customers anymore? It will be captive service kind of thing. That is the right understanding Sir?

Sharvil Patel: No, no, we are partnering with some of the products. We don’t have the capability to sell ourselves a nd we are not present everywhere. So , it will be mostly the current business model only and also we will use these products to file in our developing markets and other markets where these are important products also. Those we will do ourselves. But the cur rent projections of revenue that we have made are mostly through licensing which are already contracted out
Surya: Ok, ok, Ya. Thank you. And just last one question Sir . On the R&D side, whether you have mentioned 100mn dollar kind of a spend that you are targeting for the specialty initiative.
Sharvil Patel: I said 100mn dollar revenue, not spend.
Surya: 100mn dollar revenue.
Sharvil Patel: Somebody had asked a question that mid -term , 3-5 years what do you see, the scale -ups? So , we said, for the rare disease portfolio, our aspiration is that over the next 3 years or 3-5years , we build a 100mn dollar revenue.
Surya: On the R&D side, what ever the spend that we are making , how much of that is for specialty currently and what is the kind of ultimate game plan in terms of investment , creating capacity , capability and what time frame that you are targeting to really build a kind of a sizeable portfolio and a meaningful base over the next 5yrs., let’s say?
Sharvil Patel: Today , our R&D spend , about 50 to 55 percent of our spend is on generics portfolio which is also differentiated and complex and the remaining 45 percent is what we spend on our NC Es and biologics and vaccines. I would say , over a period of time, the generic portfolio will not grow and the growth will be seen in NC Es and biologics as we add more development programs for global development. S o, I would say the mix would change from higher base on the specialty versus the generics on the R&D efforts.
Surya: Ok. And till the time, our R&D spend will be streamlined like this currently at 7 -8 percent ?
Sharvil Patel: Ya, we are seeing around 7-8 percent and overall, over the period of next 3years, we will look at around 8 percent on revenue.
Surya: Sure. Thank you Sir for answering all my queries. Wish you all the best and Happy Diwali to you.
Sharvil Patel: Thank you and Happy Diwali!

Moderator: Thank

you. The next question is from Akshat Gupta.
Akshat: Hello! Yes Sir. I can see that there is reduction in business in US formulations.
Sharvil Patel: Sorry?
Akshat: After analysing the quarter on quarter numbers, we see that there is a 24 percent decrease in business of US formulations.
Sharvil Patel: Ya, because we don’t have Revlimid sales this quarter.
Akshat: What about the margins?
Sharvil Patel: It’s what we reported. Gross margins are 66+ percent.
Akshat: And the quarter on quarte r margins have been reducing Sir.
Sharvil Patel: That’s because of Revlimid . Revlimid last quarter was there versus this quarter.
Akshat: Ok, thank you.
Moderator: Thank you. Do you have one more question?
Akshat: No, that’s it. Thank you.
Moderator: The n ext question is from Kunal Damesha.
Kunal: Thank you sir for the opportunity again . On the Asacol, while we are building in one competitor, now that our product has become reference product, have we seen anymore para 3 filer for that which would come in fu ture, not just in this year but probably in future?
Sharvil Patel: There are people who have filed, who continue to work on it . So, I don’t think there is any patent is left but as I said, we have assumed one competitor and potentially another competito r at the end of the next calendar year. So , we have to assume the worst. But so far , we have no idea when we will see competition.
Kunal: Can you provide update on Saroglitazar trials, for PBC and NASH for the developed market s?
Sharvil Patel: Ya, so on PBC, for Saroglitazar, we hope to complete all our recruitments this financial year, for the recruitment of the trial . So, we are on track to do that and then , obviously subsequently follow -up and then, filing. For NASH , phase II(b) is still on -going. It’s a longer phase II(b). So that is still sometime away. We still need to recruit 130 -150 patients.

Kunal: Sure. Sir, would there be any change in strategy from NAFLD or NASH perspective given the weigh t loss drugs gaining momentum because my belief is NAFLD , NASH are directly linked to the higher weights etc ?
Sharvil Patel: So, again , for our current focus on commercialization and plan is for Saroglitazar and PBC and not in NASH . NASH is still long way out for us in terms of developed market strategy. And we have to see how the therapies do get developed. Yes, these products are also important but maybe in the future, there will be a need for not only this much combinations. So , I don’t t hink a single drug or a single molecule will exist to solve for a particular indication like NASH and NAFL D which is very complicated with multiple issues. So, I would say that there is still enough opportunity for that segment but we are still far away from any commercialization capability for NASH in the medium to long term.
Kunal: And the 100 mn target that we have given for specialty, would that include PBC approval for Saro?
Sharvil Patel: No, the 100mn aspiration that we have said for our rare disease business is not to do with Saro.
Kunal: So, it’s over and above, whatever we do on Saro.
Sharvil Patel: Saro is our orphan disease platform which is a different business unit that we are targeting.
Kunal: Ok, perfect. And sir, given there is, while you have suggested that Q4, Q1 is where Revlimid would be . But would you be comfortable giving us some direction as to where we could see our US revenue for the next couple of quarters. We have said that it will grow but what tha t growth could look like based on the products that we have in our portfolio?
Sharvil Patel: As I had said, for this financial year, we do expect a double digit

growth for the US. As we have new launches, significantly important new launches as well as lim ited competition products that we hope to continue, our expectation is to continue to grow the US generics business.
Kunal:

And overall within US, have you seen any improvement in price erosion, the competitive dynamics because the shortage environment con tinues there?
Sharvil Patel: No, I think it's similar. I don't see any drastic change in the market.
Kunal: So, what would be our price erosion for this quarter?

Sharvil Patel: We don't give price erosion for the quarter but overall , we are expecting mid -single digit price erosion.
Kunal: Because historically, we have said that almost 1.5 to 2 percent sequential price erosion , which kind of adds to high single digit price erosion.
Sharvil Patel: I think that's our best estimate and it will all depend on the portfolio. When we see competition on Asacol and others, then obviously depending on that, the erosion will be more but on a normalized basis, we are seeing mid to high single digit depending on the portfolio.
Kunal: Sure, sure, thank you Sir and a ll the best.
Moderator: Thank you. Requesting everyone to limit their questions to two. Next question is from Vishal Manchanda.
Vishal: Thanks for the opportunity. Did we get any benefit from PLI incentives during the quarter?
Sharvil Patel: Yes.
Nitin Parekh : Yes. In the quarter, we have 40 crore rupees accrued in this quarter for PLI scheme.
Vishal: Was this booked as part of other operating income?
Sharvil Patel: Yes.
Vishal: Ok. And second on LiqMeds acquisition, can you share how many products have been commercialized so far?
Sharvil Patel: There are 16 products that are approved in UK. All are not commercialized yet and there are 5 505(b)(2) products approved in the US which are getting commercialized. Some are commercialized and som e are to be commercialized and they have multiple products filed and to be filed.
Vishal: Any guidance in terms of how many approvals we can expect in the next say, 2 years from LiqMed s?
Sharvil Patel: I don't think we will be able to give that right now b ut as I said, currently in the next 3 years planning wise, most of the products are developed or filed. So , the visibility is much clearer for over the next 2 -3 years . But the future pipleline, we still need to come back to you. But there is a very large pipeline so the main is, how do we prioritize and file these products?

Vishal: On the products which are commercialized , these are early stages of launch and so they can ramp -up?
Sharvil Patel: Yes. These are early stages of launch and the se are all specialty products. These are not generic substitution products.
Vishal: Ok. And just one final , you talked about a launch, around REMS product that you were expected to launch. So , any guidance there? Can we expect this in the next 2 quarters ?
Sharvil Patel: I think we are about to launch or launched one already. The second, we will launch in the last quarter or the first quarter of next year.
Vishal: Which is the one you already launched?
Sharvil Patel: Isotretinoin.
Vishal: Ok. Got i t. Thank you.
Moderator: Thank you. Next question is from Nitin Agarwal.
Nitin Agarwal: On the US business, I mean we look at sequential decline, you said that decline is entirely attributed to Revlimid or other parts of the business have also contributed to the decline?

Sharvil Patel: No, the decline is because of Revlimid . With new products and base business , we actually improved from the base of Revlimid .
Nitin Agarwal: The question that I am asking is, we are almost on a 70 mn delta on a QoQ basis. So , I am suggesting that Revlimid was higher than 70 million dollars in Q2 ? Is that right inference to make ?
Sharvil Patel: Yes, ya.
Nitin Agarwal: If you look at , for example last year, we were at about 215 mn dollars of business, obviously Revlimid was not in the base . We have had a reasonable number of new launches coming through the years over the last few quarters. We are still around the same level, 215

becoming 225 in the current quarter. How shoul d one look at this progression of this business, ex of the contribution probably from the likes of Revlimid ?
Sharvil Patel: As I said, overall , we believe that, this year, FY24 we will see a double -digit growth for our US bus iness and that will be our endeavour, with new launches we continue to do that. The only point is, it's wrong for us to remove Revlimid . Revlimid is not a one year phenomenon. It's already been there for 2, almost 2

years and it will continue at l east for the next two years. So, this is really with inclusion of Revlimid, which will continue every year.
Nitin Agarwal: So, I'm saying about you know, and on the India part of the business, you know, do we have no w visibility of m aybe , inline market or higher and comfortable market inline to above market growth on a going forward basis from here on?
Sharvil Patel: Yes, we will grow in-line with market. And we will now I think with the better growth in October for the market, we hope to have better, much better growth in the coming quarter also.
Nitin Agarwal: Last if you can s queeze in, on Sitagliptin , when are you looking to launch these products?
Sharvil Patel: Next financial year .
Nitin Agarwal: Okay, do you have in your experience, or any sort of past experiences where 505 (b)(2) launches like th ese have happened and companies who've done that have been reasonably successful in there, whatever success they've had in such launches in the past ?
Sharvil Patel: So, it has been, I won't say there have been any meaningful big successes on oral 505(b)(2) . So, something new for all of us or the industry also but we are hopeful that we should aspire for 8 to 10% market share to begin with.
Nitin Agarwal: Okay, t hank you very much.
Moderator: Thank you . Requesting all participants to refrain themselves with two questions only. The next question is from Bino .
Bino : Hi, thanks for the follow up . From your p ress release, I can see that there are two biotech products in one of which you have completed the trial and one for which you have finished recruitment. So, are these phase three trials ?
Sharvil Patel: Yes, these are phase three trials . One we have finished and filed and one we have just finished recruitment and hope to file in the last quarter.
Bino : Okay and I assume these are in India and in that case are they more like kind of biosimilars or is it a completely new bio product s?
Sharvil Patel: Yeah. So, these are biosimilars and these are when I said that clinical trials, these were done in India for India market and developing countries.

Binu : Okay, b iosimilars basically. Great, thank you.
Moderator: Thank you, the next question is from Damyanti.
Damyanti: Thank y ou for the opportunity. So, my question is on India business. S o, you mentioned you'd like your India business to now grow at least in line with the market. So, if you can talk about the key growth drivers for India from here on, and also what is your

expectation for Desidustat , which seems like an interesting
product in your portfolio.
Sharvil Patel: So, we continue to reiterate that we will grow in line with the
market . The strategy is going to be driven by our growth booster
brands that we have, which will drive large part of the growth for
the company and which also include the inn ovative products like
Lipaglyn , Bilypsa, Oxemia , which is desidustat and Ujvira and also
adding few more products in the coming year in terms of
differentiation, like Dydrogesterone and others. So , those , the
innovative products will add a significant uptake to our overall
growth story while we continue to maintain and grow on our base
business also . I would say , near term , as I already re iterated with
the improvement in market in the segment in October and going
forward, we would see a better uptake o

n growth for the India
business. And with a larger base being built on these innovative
products, we would also see better than market growth over a
period of time.
Damyanti: Okay and in terms of sales team like are you broadly okay with the
current team strength or you plan to add on more to improve
reach and penetration , etc?
Sharvil Patel: So, in next financial year, we are increasing our footprint .
Damyanti: It will be in the next fiscal year?
Sharvil Patel: But not in a drastic manne r but in a measured manner , we would
add field force , feet on street in the coming financial year .
Damyanti: How many MRs right now in your team ?
Sharvil Patel: 6500 .
Damyanti: Okay. My second question is on the US business. So, like you have
seen good pic kup in approvals, launches , etc. So, in your current
year's portfolio , if you can mention like how much sale s is
contributed by say non -oral solid s, some differentiated products,
which will be the key drivers going ahead also.

Sharvil Patel: So, US busine ss of generics is a basket business which ha s oral
solids , topical products , injectables and complex products like
suppositories as well as transdermal patches. So, I don't think we
have any segment way of doing this business. It's a portfolio
business th at we build. And that is how the generic market also
functions. So, I don't think we can give dosage -wise breakup. But
as I said, the business is constituted of all of these dosage forms.
Damyanti: Okay, and all going ahead also like it depends on the nature of the
product, rather than the dosage, which will determine…
Sharvil Patel: Yeah, there will be always a mix of all of these, which I mentioned
to you.
Damyanti: Okay, thank you for your answers. I'll get back in the queue.
Moderator: Thank you . The next question is from Char ul Agarwal.
Charu l Agarwal: Hi, can you hear me?
Sharvil Patel: Yes.
Charu l Agarwal: Sir, I wanted to understand more about the co-marketing
agreements for the India business for the innovative products that
you have recently signed. So, what would be the rationale for
these given Zydus already has a strong f ield force presence ?
Sharvil Patel: So, I think, first starting with Saroglitazar , I think it is to create a
larger access . We have a certain reach and capab ility and capacity
to reach a certain number of patients. And with the indication
coming through for N ASH and NAFLD for Saro and the only drug to
be approved for this, we do see that potentially adding more
patient s and by creating awareness for more physi cians , is a need
for us. And from that point of view, we did go through a whole
process of identifying the key partners. And so far, we have been
able to have two , one for the desidustat and one for Saroglitazar .
We hope to add one more par tner very soon.
Charu l Agarwal: And what would be the agreement like in terms of profit share or
would it be a fixed fee , how would it be like ?
Sharvil Patel: It's a typical out licensing agreement like others that exist in India.

Charu l Agarwal: Okay . My next question on opex . You did mention that the cost could moderate over the next quarter, but could you throw more light on the nature of the se expenses?

Nitin Parekh : We only talked about other expenses on a quarterly basis, what is the bas e? So, we said that excluding R&D spend , the quarterly base will be 850 to 900 crores.
Charu l Agarwal: Okay, w hat were the lower expenses due to QoQ ?
Sharvil Patel: Savings because of higher input costs last year versus this year, and product mi x also has helped us.
Nitin Parekh : So, I think she is asking about other expenses reduction. And as I said other expenses , they are affected by two major factors . One is R&D spend, which is not uniform across the quarters . Other is Zydus wellness related spend , which is seasonality nature . If you rem

ove these two, which are going to be different for different quarters, the normal base will be 850 to 900 crores and that variability is also because of you know, legal and p rofessional spend and other spend , some spend which are related to sales or product ion, so which again vary from quarter to quarter, but that range, you know, gives you a ballpark number.
Charu l Agarwal: Thank you, sir. I'll get back in the queue.
Moderato r: Thank you. The next question is from Tarang Agarwal.
Tarang Agarwal: Hello ! Am I a udible ?
Sharvil Patel: Yes.
Tarang Agarwal : Hi, three questions from me. One, you know, this is with reference to, you know, onboarding Mr. Patel in North America. You know what really drove this decision and you know, considering that you've been in the market for almost two decades now, how are things likely to change with him coming on board ?
Sharvil Patel: So, our US, as I said, we have t wo important geographies that we have a strong focus on. Now, obviously, over the last 15 years, we have built a good US generics business. But as we move forward, we have an intention to build a rare disease portfolio . We hope to build a Saroglitazar and build an orphan specialty business in the US. We have an animal health business . we have Viona pharmaceuticals . We hope to explo re Canada and enter that market. So, looking at all of that, I think there was a need to consolidate how we run the operations in the US. And we have been looking for somebody to come in and look after all as a consolidated North American business. So that was the main reason for us to do that . That we are able to harmonize, consolidate and grow this business. So , Punit brings both the understanding from the customer side, which is important, but

also brings in his understanding of specialty business in his earlier efforts that he has put both at CVS and his earli er job. So, I think that was the main reason for us to see that how do we continue to build our generics platform, but also all these other new platforms and consolidate the leadership in the US .
Tarang Agarwal: Okay, got it . Second, you know, my sen se is, there was some Revlimid in the base quarter of the previous financial year. So, would it be safe to presume that the US business must have grown by almost 15 to 18% on a constant currency basis?
Sharvil Patel: Definitely.
Karan Agarwal: Okay. And last, how many launches could we see in US over the next half year or say next four quarters?
Sharvil Patel: Next, how many quarters ?
Tarang Agarwal: I mean, next one year from today or next half year till March 2024.
Sharvil Patel: So, we hope to l aunch anywhere between 30 to 40 products every year . So, it varies, but at least 30 products is something that we would continue to launch in the next 12 months or so.
Tarang Agarwal: Okay, thank you.
Moderator: Thank you, the next question is from Saion Mukherjee.

Saion Mukherjee: Yeah, thanks for the follow up. Just that I wanted to, in the US generics , you mentioned 30 to 40 products. But is it possible to give some granular like what kind of products we should sort of look forward to over the next three years and just one specific one, you got an approval for a transdermal , I think a few months back . Just wanted to confirm whether that's launched or when is it going to be launched?
Sharvil Patel: So yeah, we are launching two trans dermals a nd potentially, by the end of this year, financial year , we would have two commercialize transdermal products beyond Rivastigmine, that is already launched. And going forward, we have , obviously , plan s to launch two more on the transd ermal s franchise . We also have some important launches coming both where we believe we will be exclusive going forward. And I think, almost 25 , 26, 27 we do believe , we have one exclusive product to launch every year. That is what

our current belief is. Bu t obviously it has to pan out in terms of both IP and litigation and other areas. But we do have a sufficiently exciting basket of products to be launched. In the near term also, we do have 6 to 10 products, which are you know, in

the 8-10 million plus ran ge kind of value. So, it is the good basket of products that are there scheduled for launch and some of them being very important as well.
Saion Mukherjee: Okay, and any comment you have on the GLP -1 portfolio, which you have filed ? Anything you'd like to share, is that an opportunity you see over the next couple of years ?
Sharvil Patel: I would say not in the immediate future. But this is definitely a very important opportunity. And we do believe that we are also amongst the few c ompanies who have a good position on this. So, it will be an exciting launch, obviously beginning with India and emerging markets but then moving into the developed markets, but I don't think it's a short -term opportunity.
Saion Mukherjee: Okay, an d in India when would these opportunities play out for you?
Sharvil Patel: I think , post patents . I think it's 26 is when the patents go off, I think in India and some other markets. I'll get back to you Saion on that.
Saion Mukherjee: Okay. Thanks.
Moderator: Thank you. The next question is from Kunal Damesha .
Kunal: Just one clarity sir . I believe that we had another product called generic Trokendi XR as well as a good contributor in quarter one, which would have also come down and woul d have been ... So, then the 70 million declines cannot be given to Revlimid, right? There'll be some Trokendi because it was …
Sharvil Patel: That was in quarter fo ur bigger because that was the month then quarter one there was competition already.
Kunal: Okay. So , then the Revlimid decline would be less than 70 million ?
Nitin Parekh : So almost . If not 100%, 90% plus, you know, decline is related to Revlimid only.
Kunal: Okay. Thank you, sir.
Moderator: Thank you. The next question is from Sury a Patra.
Surya: Yeah. S ir, just a query on the Mylabs acquisition. So, what is the thought process there and where it fits to our overall growth strategy ?
Sharvil Patel: So, we haven't acquired any majority stake in Mylabs. We have taken six and a hal f percent equity stake.

Surya: Correct. But any thought process g oing ahead there?
Sharvil Patel: I think one strong belief as a company and as a product portfolio that we say that beyond being a pharmaceutical company, how do we bring better solutions for patients beyond the pill. One area, which is very interesting for us is at home testing and point of care devices. And I think Mylabs is pioneering in both of these areas

and completely homegrown and which also brings efficiencies and cost efficiencies. S o, we believe , we will find an important area to work on creating access for these types of PCR point of care devices which can revolutionize the way molecular diagnostics and advanced diagnostics happens for many of , not only the current conditions an d issues, but future diseases as well. So that's where our focus is going to be and that is why we have partnered with them to bring these kind of portfolio to the physicians and the patient s.
Surya: Okay. But don't you think that is a kind of relatively generic in terms of the earning potential , in terms of the competitive landscape that is there in the market, and whether it is targeted for the domestic market or you're thinking , taking to the other market ?
Sharvil Patel: No, it's for domestic and it is not at all generic. The large diagnostic testing places are generic in nature . These are molecular diagnostic tests, which are highly specific and sensitive and in real time, and where you can do it at home or point of care at a clinic. So, this ha s not been done in India yet. So, there's not

hing generic about it.
Surya: Sure . My second question is on how big is the injectable portfolio ? We have certainly seen some few approvals from the injectable front targeted for US market. B ut right now, at what level that we are and how important this segment could be for US business going ahead?
Sharvil Patel: So, the injectable segment is a very important part of our overall generic strategy. And it will continue to be critical for us to grow in the US. But it is just one part of our overall product mix that we do. So, I would say obviously it is growing and it's small, but the most important part is that we have a franchise that is in injectable , complex oral s, suppositor ies, transdermal s, topical . So, the whole franchise is going to be important.
Surya: Okay, other than the oral solid then including injectables, what is the pipeline it would be looking like for you ?

Sharvil Patel: So, as I said the pipeline constitut es of orals, injectables, inhalation, transdermal , topicals and some suppositor ies.
Surya: In terms of number , pipeline can you say?
Sarvil Patel: We have more than 100 products that we need to file.
Surya: Okay. Sure sir. T hank you
Moder ator: The next qu estion is from Kunal Damesha .
Kunal: All my questions are answered . Thank you.
Moderator : Okay, thank you.
Moderator: The next question is from Tarang Agarwal.
Tarang Agarwal: Hi, just one quick question. How are you looking at th e Zydus Wellness business , purely from where it stands today? I mean, on a consolidated entity level, it's a fair , big drag on the return metrics. So , just wanted to get your sense in terms of how are you looking at this business?
Sharvil Patel: So, I think from our India strategy point of view, Zydus Wellness is a very integral part of our strategy and future profits and growth . And I would say, obviously, in the last two to three quarters, we have had issues on margins because of cost escalation that happened . But I think , as you see in the last quarter that is corrected and the gross margins are back to the original gross margins that it had. So, one part of the problem gets solved in terms of the margin profile, and it's been a tepid quarte r because of low demand, as you can see, for most of the FMCG . But going forward, it is a business that will drive double digit revenue growth and with improvement in margins, also profit growth. So, for us it is a very integral part of what we plan to do in terms of the overall India business .
Karan Agarwal: Okay, thank you.
Sharvil Patel: Thank you.

Moderator: Thank you. I now hand the conference over to Dr. N ayak, for closing remarks.
Ganesh Nayak : Thank you very much. And we look forward to inte racting with you again in the month of February when we declare the next quarter results and wish all of you a very good evening and wish you a very Happy Diwali and a prosperous New Year. Good night.

Moderator: Thank you on behalf of Zydus Lifesciences Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines and exit the webinar.

END OF TRANSCRIPT

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NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the Post Results Earnings Call held on February 9, 2024

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the Company's Q3 FY24 post results earnings call held on February 9, 2024.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY

Encl.: As above

"Zydus Lifesciences Limited Q 3 FY24
Post Results Earnings Call"

February 9, 202 4

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - SENIOR VICE PRESIDENT , INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - SENIOR VICE PRESIDENT , MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Moderator : Welcome to Zydus Lifesciences Limited Q3 FY24 Earnings Conference Call. Please note that all participants' line will be in listen only mode and there will be an opportunity for you to ask questions after the opening remarks. P lease note that this conference is being recorded. I now hand the conference over to Mr. Ganesh Nayak, Executive Director of Zydus Life sciences . Thank you and over to you Sir.
Ganesh Nayak: Good afternoon ladies and gentlemen. Welcome to our post results teleconference for the quarter ended December 31st 2023. For today's call, we have with us Dr. Sharvil Patel - Managing Director, Mr. Nitin Parekh - Chief Financial Officer, Mr. Arvind Bothra - Senior Vice President , Investor Relations and Mr. Alok Gar g - Senior Vice President from the Managing Director's office.
Let me now give you a broad overview of the developments during the quarter.
We are happy to end the calendar year with a strong performance and expect to sustain the growth momentum going ahead. The quarter gone by , was an encouraging one for our India formulation business. The business delivered strong double -digit growth during the quarter on the back of healthy volume growth and new product launches. In the consumer wellness space, our category leading brands like Glucon D, Everyuth Scrub & Peel Off and Nycil gained market share during the quarter despite the challenging demand scenario. Our US base business registered improvement in profitability driven by sustained volume expansion and new product introductions made over the last 12 months. On the Emerging markets and Europe formulations front, robust growth momentum built over the last several quarters sustained with the business delivering healthy double -digit growth for yet another quarter.
With that, let me take you through the financial numbers for the quarter gone by. We registered consolidated revenues of 45.1 bn rupees, up 6 % on a year on year basis. For the first nine months of the current fiscal, the growth was 15 %, driven by healthy double - digit growth registered in all our key markets. EBITDA for the quarter was 11 bn rupees with a growth of 15 % on a year on year basis. EBITDA margin for the quarter stood at 24.5 % which is an improvement of 200 basis points on a year on year basis. The business delivered robust operating performance during the current fiscal as the EBITDA margin for the first nine months of FY24 was 26.8 %, up 550 basis points over the corresponding period of the previous financial year.

Net profit for the quarter sto od at

7.9 bn rupees, up 27 % year on year. Our balance sheet continued to strengthen with a net cash position of 15.2 bn rupees as at 31st December 2023 as against a net cash of 5.5 bn rupees as at 31st March 2023.
Now let me take you through the operating highlights for the third quarter of FY24 for our key business segments .
Our India geography , which comprises of the formulations and consumer wellness business , accounted for 42 % of the total revenues during the quarter and grew 11 % year on year. As ment ioned earlier, our formulation business in India delivered a strong double -digit growth during the quarter with a growth of 16 % year on year. The branded portfolio grew faster with a growth of 17% year on year. Portfolio of key pillar brands and innovation products registered strong volume growth driving overall growth during the quarter. During the quarter, we gained ranking in the cardiac and anti -infective therapies and registered improvement in market share in the anti -diabetic and anti -infective therap ies. On

the super specialty front, we retained leadership position in the nephrology segment while in the oncology space, we remained the fastest growing company in the IPM. As per IQVIA MAT December 2023, our chronic portfolio grew faster than the market with a growth of 12 % against the IPM growth of 11 %. Our share of chronic portfolio has gone up by 136 basis points in CY23 to 41 %.
Consumer wellness business recorded revenues of 4 bn rupees, down 3 % on a year on year basis. The sector continues to witnes s subdued demand similar to the previous quarter as the expected buoyancy in rural demand continues to lag. The personal care segment , which comprises of Nycil and Everyuth brands , registered yet another quarter of strong growth. Gross margins continued it s upward journey with an improvement both on a sequential and year on year basis.
Now let me take you through the performance of our US formulations business. The base business displayed robust momentum during the quarter with sustained volume expansion on a sequential basis well supported by new product launches , including some differentiated launches , which helped profitability improvement. Overall, the business posted revenues of 18.4 bn rupees during the quarter. We launched 11 new products during the q uarter. New launches for the quarter include launch of our first 505(b)(2) product Zituvio and 2 transdermal products. We filed 12 additional ANDAs and received final approval for 6 ANDAs during the quarter. As mentioned during the last earnings call, we

also received final approval for two NDAs viz. Sitagliptin tablets which is ZituvioTM and Sitagliptin and Metformin IR tablets which is Zituvi metTM during this quarter. Of the international markets front , which comprises of Emerging markets and Europe formu lation business, all major markets of Asia Pacific region and Africa registered robust double -digit growth during the quarter. Demand scenario remained strong in Europe while in Mexico , the business continued to grow in double digits. Overall, the business posted revenues of 4.9 bn rupees, up 31 % year on year.
On the operations front, we have built a network of regulatory compliant manufacturing facilities and a resilient supply chain which serves as the backbone of our business es globally. We remain commi tted to extend our robust compliance record by maintaining highest standards of quality and in turn , ensure uninterrupted supply to our customers across the globe.
This concludes the business review. I would now request Dr. Sharvil Patel to take you throu gh the key drivers across businesses as well as initiatives in our innovation program.
Sharvil Patel : Thank you Mr. Nayak and good afternoon ladies and gentlemen. It is a pleasure to have you all here on the call today. Our performance d

uring the current fiscal has been very encouraging so far and we are confident of meeting and possibly exceeding our growth aspirations for the year. All our key markets delivered healthy growth with significant improvement in profitability. We remain committed to expand our presence across markets through expansion of our offerings to satisfy diverse healthcare needs of patients and in turn , generate greater value for all the stakeholders.
On the India formulations front, our endeavour is to strengthen position ac ross focus ed therapies through multiple levers. We continue to work towards expanding our geographical reach, leverage multiple distribution channels, exploring different partnership opportunities, launching new products and leveraging our innovation portf olio to offer normal solutions to the patients. We have been conducting various patient support programs and activities to create greater awareness amongst patients , particularly in the areas of their unmet healthcare needs.
On the US formulations busines s, it continued to exhibit resilience

on the back of volume expansion in base portfolio and new launches. Comprehensive portfolio of generics and proprietary products developed in -house as well as through partnerships , strong customer relationships , a netw ork of regulatory complian t

facilities and an agile supply chain will ensure sustained growth for our US business going forward.

We have a strategic focus to scale up our operations in UK which is part of our international markets business. We will levera ge our global R&D portfolio of differentiated and niche generics as well as specialty products and build a strong growth path for the UK market going ahead.

Integration of Liqmeds , following the transaction completion during the quarter , remains on track. We are excited about the potential of differentiated pipeline of liquid orals of Liqmeds. US and UK are key markets for us for the portfolio of oral liquids. Going forward, we shall expand our offerings of liquid orals to other countries of the internation al markets as well.

Our innovation pipeline across different areas continues to flourish , which is evident from the achievement of the different milestones. Our innovation engine has enabled affordable treatment options what are made accessible to the pat ients and in turn , have delivered strong volume growth consistently for the company.

With this, let me talk about some material development s on our innovation efforts during the quarter.

On the NCE research front, during the quarter , we expect to complete the patient recruitment for our phase II(b)/III clinical trials of Saroglitazar M agnesium for the PBC indication for the US market. We also completed the hepatic impairment study of the molecule in cirrhotic cholestatic patients and published the results of the same in CPDD. The phase II(b) clinical trials of Saroglitazar Magnesium for NASH indication for the US market is also progressing as per plan. We have received permission from the USFDA to initiate phase II clinical trials of ZYIL1 , an NLRP3 inhibit or, in patients with Parkinson’s disease. The study will evaluate the safety, tolerability, pharmacokinetics and pharmaco dynamics of the molecule in patients with Parkinson’s disease. The USFDA has granted an orphan drug designation to the molecule to tre at patients with CAPS, a rare auto -inflammatory disease. ZYIL1 is also undergoing a phase II clinical trial in India in patients with Amyotrophic Lateral Sclerosis, a disease called ALS. ALS is a rare , progressive and fatal neurodegenerative disease with a n average life expectancy of 3 -5 years from the time of symptom onset. We completed the phase II clinical trial of ZY19489, a potential single dose, anti -malarial drug and submitted the protocol to DCGI to initiate the phase III clinical trials.

In the bio tech R&D

space, our pipeline of biological products continue to advance further , with two monoclonal antibodies awaiting marketing approvals in India. Two other products including one mAb are undergoing a phase III clinical trial in India.

On the specialty and 5 05(b)(2) development front, we completed asset transfer of CUTX101, a Copper Histidinate product candidate for the treatment of Menkes disease from Cyprium Therapeutics. Under the agreement, we received worldwide propriet ary rights and the USFDA docu ments pertaining to CUTX101. The rolling NDA submission of CUTX101 is going on at present which is expected to be over during the current calendar year.

Thank you and now we can start with the Q&A session. Over to the co-ordinator for the Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask questions may raise your hand from the participant tab on your screen. The participants are

requested to use headphones or earphones while asking a question.
Ladies and gentlemen, we will wait for a moment while question
queue assembles. The first question is from Neha Manpuria.
Neha Manpuria: Thanks for taking my question. My first question is on the India
growth that we have seen in the quarter. I know you have talked
about India starting to see double digit growth over time but was
there anything specific in the quarter? How sustainable is this trend as
we look at the next year? So that's the first part of the question on
India. Second is, also to main tain this growth momentum, do we think
we need to add MRs or continue to invest in the India business to
support this double -digit growth?
Sharvil Patel: So, as I said, the continued effort , persistent effort on India business
for our key mol ecules and therapies continues . So, there is no one -off
in this. It's all driven by volume growth and new product launches
which has led to this growth and we do believe , we will continue to
look at expansion in terms of number of reps in the India m arket
which we have started to do and I think the full effect of this you will
get to see from quarter one of the next financial year.
Neha Manpuria: How many reps are we adding Sir? What is the current strength and
how much we are adding?
Shar vil Patel: We will be adding around 700.
Neha Manpuria: Got it and are these in specific therapy area s, market penetration?
What's the thought process when we are looking at this rep addition?

Sharvil Patel: It's a mixture of both . Both reach as well as because of a larger
portfolio, better coverage of the portfolio.
Neha Manpuria: Understood . My second question is on the LiqMed acquisition that we
announced last quarter. How should I think about monetization of the
portfolio a s we go ahead? I think from what you announced, they
have a facility in UK. So , how should we think about this business
contributing to the growth in the US, ROW and therefore to earnings?
Sharvil Patel: So, I think on the earnings front , LiqMed will start contributing
immediately because it is a profitable business and as I said, the
business is currently based on 505(b)(2) products which are both
partnered and some of it in the future which will be launched by
Zydus also and also with our expansion in UK and other markets using
this portfolio, we would start seeing revenues but much later. Its
current business plan itself is very good for it to deliver its desired
expectations that are there. As I said, it will be profitable from this
year onwards.
Neha Manpuria: What's the current revenue base from this business that we have?
Sharvil Patel: It's right now very small. It is just in the commercialization phase . So,
maybe in the next financial year, I can give you better input once w e
see it but it is doing well right now.
Neha Manpuria: Got it. Thank you so much.
Moderator: Thank you. The next question

is from Kunal Dhamesha .
Kunal: Hello? Can you hear me?
Sharvil Patel: Ya.
Kunal: Thank you for the opportunity. First one o n the US business . QoQ
revenue seems to be flattish despite launching 11 products. So , any
particular product where we faced lot of price erosion because I
believe the overall price erosion remains benign in the market , Right?
So, what has caused this? I believe Revlimid was also not the factor
last quarter and probably not this quarter as well. So, what has caused
this revenue to remain flat?
Sharvil Patel: So, I think we ar e on track as per expectations for this quarter. This is
the last quarter where distributors also look at their inventories and
looking at re -stocking or de -stocking. So , I think it is in line with what
we expected. Quarter 4 onwards, you will again see the uptake but I
think we are happy with the progress th at we achieved same numbers
as last quarter. With respect to lot of new launches in the last few
months, you have to understand , very little sales happened for new

products in December. So , we hardly get any few months to sell . So, the major impact will be in the next financial year.
Kunal: And any comments on price erosion? What you have seen , what you are expecting for the next couple of quarters?
Sharvil Patel: Always difficult to predict but I think on our base portfolio, we don't see any ma jor price erosion . It is negligible right now but we cannot predict what will happen going forward.
Kunal: Sure! And the second one is on the PBC trials that we are currently doing. So , now that we are done with the patient enrolment, what is the internal estimate about when we reach the primary end -point? Any timelines you would like to share there?
Sharvil Patel: It's a 52 weeks follow -up. So , by next year, our expectation is, by quarter 4 of FY25, we would look for major data as well as submission.
Kunal: So, there are no event related data in this , Right? It's just follow -up and measuring certain chemical……
Sharvil Patel: Ya.
Kunal: Ok, ok. And one for the India business on specialty . we have set up a decent portfolio in India as well. Would you be able to help with what is the contribution of NCE products within our India formulations revenue for the 9 months of FY24?
Sharvil Patel: So, as I said, we are not giving individual product sales but we have two, three NCEs that we commercialized. One is Lipaglyn , sorry, Saroglitazar under 2 brand names – Lipaglyn and Bilypsa. We have our Desidustat , which is Oxemia. We have our Rabimabs , which is monoclonal antibody for treatment, post t reatment of a dog bite which is just starting to commercialize and some differentiated ADC which are not proprietary but which is Ujvira which continues to do very well. But I definitely can say for all of the products, the growth is significant and they a re significantly scaling up. We do believe that first Lipaglyn will become the largest brand for the company very soon and going forward, these are large opportunities for the company.
Kunal: Perfect! Thank you , Sir.
Moderator: Thank you. The next question is from Bino .
Bino : Hi! Good afternoon! Hope you can hear me.
Sharvil Patel: Yes.

Bino : Great! Just beginning with Revlimid, just to recap what you have said earlier, Revlimid will be back in 4Q and then, again be there in 1Q? Is that the same pattern that will continue?
Sharvil Patel: Yes.
Bino : Ok. And second on this Zituvio , Zituvimet product, what's the early signs you are seeing in the market in terms of pickup? What's your strategy there? What sort of target market share you are looking at?
Sharvil Patel: So, I think this is going to be a slow scale up. I don't think we will see significant traction immediately because we have to look at prescriptions for this molecule. We are currently , our initial discussions with both the PBMs, buyer

s and others , look interesting in terms of what we can do with this 505(b)(2) . So, more colour I can give in after the first half of the year but it will be a slow build -up but I think one of the important launches for sure, this will be for FY25, an important value driver.
Bino : Ok. Then this product Mirabegron or Myrbetriq . One of your competitors has kind of guided through a launch, potential launch in Q1 FY25 depe nding on certain legal outcomes. What is your status there?
Sharvil Patel: So, we have a final approval . We have an approval for this and I think once, I think it's little too early to talk about it but at the appropriate time, we will do the proper disclosures on this.
Bino : Ok, great! And last the usual question on Asacol HD competition . Any further updates?
Sharvil Patel: No. We continue to enjoy exclusivity.
Bino : Great. Keep it up. Thank you.
Moderator: Thank you. The next question i s from Surya Patra.

Surya Patra: Yeah. Thank you for this opportunity, Sir. And congrats for the great set of numbers. My first question is on the gross margin front. So, while we know that the elevated number of gross margin number that we have seen i n the recent quarters, it was obviously initially aided by the launch of Revlimid . But in the last two quarters , without Revlimid , we have been almost maintaining the similar kind of gross margin. So , here what is driving this ? And it looks lik e that without Revlimid , if you are maintaining this, then subsequent quarter with Revlimid , we can see even improved number and whether this kind of run rate is sustainable ?

Sharvil Patel: So, I thank you for the good wishes and for the performance. But yes, I would say that the gross margins are driven by many ways. One is obviously the product mix, which is helping us in terms of the gross margin with the right focus both on the India business and what one has to also see is that we have had important l aunches in the US where the gross margins are better than obviously, the average gross margin. So , new products are helping in improving the gross margins. Also, I think scaling up of our other businesses is also leading to healthy improvements also wi th good launches in the international markets also. So, I would say it's an overall improvement across the businesses on the gross margin front which has led to this and going forward, obviously with the Revlimid , you would see a higher upt ick on gross mar gins. But we do believe these are sustainable gross margins that we are showing.

Surya Patra: Okay. So just an extended one. Even for the current year, you have guided that EBITDA margin would be around 27%. So, I think this is a kind of a great number that we are achieving after a gap . So, given the kind of a potential annual volume ramp up that you will see in Revlimid in the subsequent financial year and again, product mix, both in the US as well as in the India market, seeing a kin d of improvement. So, are you kind of guiding a more than 27% kind of margin run rate for next year?

Sharvil Patel: So, I think it's a little early to talk about next year. But if we don't see competition on Asacol , we would obviously , definitely continue comfortably and probably exceed because of the new launches.

Surya Patra: Okay. Okay. The next question is on the domestic formulation side sir, say, in fact , obviously we have outperformed the industry in this quarter and in the recent period. But going ahead , although you have also kind of indicated about the expansion of the field force and all that but see, practically about your chronic therapies performance going ahead, your growth contribution coming from the innovative molecule , biosimilars, differentiated product offerings from your basket . So, considering all that, what is the practical kind of a progression that one should expect from the domestic formulation b

usiness next year and going ahead ?

Sharvil Patel: So, our intention is defin itely to outperform the industry growth driven by many of the points that you raised, both on the chronic as well as on the new portfolio and the proprietary medicines . So, that is our endeavour going forward . I think we are happy with the las t few quarters ' performance and especially the last quarter, and we hope to continue to build this momentum into the coming quarters.

Surya Patra: Okay. Just last one , beside the US business, if you see, we have consistently been maintaining more than 200 kind of quarterly run rate. So, going ahead , what is the kind of a trend and what is the kind of this thing that we should anticipate because you have talked about multiple licensing product opportunities . We have seen some of the announcement relati ng to those in the recent months. But if you can just a collaboratively means combining both these two points of the base business and continuing the way it is and the potential benefit flowing from the in -licensed product opportunities . So, over the next two-year period, what run rate that we can potentially achieve going

ahead , over these two periods , two years?
Sharvil Patel: So, I think from the immediate point of view, I think as you said, for this FY 24, we will end the year with a good double -digit growth and our endeavour is to continue to launch more products into the US market. We do have almost every year, 1 to 2 very large opportunities, both by our own development and in-licensing . So, until 2027, 2028, we have a very good pipeline of day one launches and exclusive launches . So, we are quite excited about the kind of products that we hope to launch in the US, which could be revenue wise, sizable and profit wise. But as I said, the US is a moving par ts business. There are a lot of things we have to achieve, obviously approvals , you have to achieve IP success and then obviously launch . So, hoping all of that goes through as we expect , we are seeing good progress on the US business.
Surya Patra: Yeah. Thank you. Wish you all the best.
Moderator: Thank you. The next question is from Sanath .
Sanath: Hello .
Sharvil Patel: Yes.
Sanath: Can you hear me?
Sharvil Patel: Yes.
Sanath: Okay . So, first of all, congratulations for the good set of numbers. I have two questions. One is related to your consumer wellness business . So, there is no improvement quarter on quarter on this front . So, what is going to be your strategy to improve the situation here? Secondly , which category and I'm talking about not the drug, but which two categories in India and US will propel your growth, coming in the future from near to medium term?
Sharvil Patel: So, I think on the consumer side of the business , we have two portfolios. One is the skin care side, and the other is the food side. On

the personal care side, we have done very well with the strong double -digit growth, both for the year and the quarter. However, on the nutrition and food side, we have found it challenging with both the inflationary issues that have happened and more importantly, rural demand not picking up, which is a normal trend that we have seen recently in the last two quarters in the market . Going forward , from quarter four onwards and more importantl y, in the next financial year, we believe that with the normalized season , we would see better traction for our summer skewed products in the quarter four and quarter one . And with the important new launches , some distribution expansion and also the li ne extensions that we are doing , we believe that , we aspire to at least make sure we grow in double digits. Also, on the gross margin front , we have seen quarter on quarter improvement and further improvement on the gross margins we would see which would h elp in terms of profitability . So, I think it's still early days. We need to wait to see how do we do in the quarter four and quarter one but we have taken steps to make sure that we can find growth. But we also need help with, in terms of the market growi ng for us to grow . The good thing for the wellness business is that in most of the brands, it has gained market share and in Complan , it has just managed to retain its market share . So, overall, in the difficult market also, the brands have continued to gain market share . So, that's in terms of relative performance.
With specifics to the other question that you asked . So, on the US business, as I said, it's a mixture of all our portfolios of businesses, of complex orals, injectables and a whole portf olio that is aiding to the growth . So, I would say going forward, both complex launches in the oral side as well as injectable side will aid further growth in the US market. Good compliance on manufacturing and supply chain is also helping us garner more b usiness. And we do continue to see good amount of launches continuing over the next three years which will help us sustain the US growth. Of course, we still have to wait and see when we see Asacol competition, but not seeing that obviously we have much better trajectory right now. With respect to India, I think, as I said, multiple things , focus on the pillar brands and chronic

portfolio , driving penetration through better marketing practices and also the new launches, day one launches, as well as important areas like oncology and other areas scaling up will all lead to better growths.

And obviously our proprietary medicines have continued momentum, which is helping overall growth as well .
Sanath: Basically, in US. So, when I said category, I meant whether it is going to be antivirals or anti -malarial ones or ….
Sharvil Patel: US is a generics business . It is not a branded business . So, it's not a category wise business.
Sanath: Ah! O kay. And India.
Sharvi l Patel: India , we are present in about six , seven important therapies and we continue to pursue them.
Sanath: Okay. Thank you so much for you r reply.
Sharvil Patel: Thank you.
Sanath: Thank you so much .
Moderator: Thank you. The next question is from Nitin Agarwal .
Nitin Agarwal: Thanks for taking my question. Sharvil bhai , there has been a very strong growth in the emerging market business over the last 3-4 quarters. Anything particularly which has changed in this business and what is the outl ook for this segment as we go forward?
Sharvil Patel: So, I think , yes, the international business is , we are very happy with both , not only the revenue growth, but also their improvements on profits and their thrust on improving profitability . So, I think over the last five years, we have seen good growth , double digit growth and also profitability improving and with the pipeline of products and the focus on key geographies, we continue to see that. Also, I think going forward , with the better , with the ability to leverage our complex dosage forms filed in the regulated markets , in many of the international markets, we will see a much better upside also . So, I think we are very excited that in spite of geographical challenges, country challenges and the related to different issues, we still see a good momentum for the international business and going forward also, it should continue.
Nitin Agarwal: And which would be a key market in these emerging markets group ?
Sharvil Patel: So, we have a Latin American focus , Sou th Asia, we have Philippines , Sri Lanka, Myanmar …..
Ganesh Nayak : South Africa.

Sharvil Patel: ….and also through partners, some other markets including Vietnam. And then in Africa, we have Uganda and So uth Africa, which are the critical markets. And now we have also start ed to register products in Australia . Also other markets in Europe . So, t

he UK, France, Spain and other markets . So, I would say, a more focused strategy and not a very … it's not many markets , it's focused markets.
Nitin Agarwal: And is it fair to say that, if you take the next two, three -year view, this probably could be the fastest growing business for you , you know, worth in the entire …. in the consolidated revenues ?
Sharvil Patel: Yeah. Currently , the scale up is good but as I said there are potentials on also our home markets, which is US and India showing good growth . So, I won't be 100% able to say will this be the fastest but definitely consistency wise , it will be a fast -growing market.
Nitin Agarwal: Okay. Thanks. And on the US, for the last two quarters , we've made about $225 million of revenue . Now, this obviously has a fair chunk of Asacol HD, I presume in this base . Now, assuming there is a risk , assuming the competition for Asacol HD does materialize , I mean, do we have enough launches to offset this over the next couple of years?
Sharvil Patel: Yes, more than enough.
Nitin Agarwal: Okay. That's good. And on Revlimid , what s hould be a base assumption ? Similar sort of revenues, which we've done in ‘24, or we should see a scale up in revenues as we go through the next couple of years ?
Sharvil Patel: I think our immediate expectation is some scale up on revenues . For

the year later , we will still wait and talk about it later, but on the immediate basis we would see some scale up.
Nitin Agarwal: And that should reflect in Q4 and Q1 ?
Sharvil Patel: Yes.
Nitin Agarwal: Okay. And lastl y, you've talked about the point that you mentioned about that there are enough opportunities for you to offset a possible Asacol HD genericization. I mean, if there is a way for you to sort of indicate , over the next two years , how many, you know, $25, $30 million plus launches that we can potentially have in a basket ?
Sharvil Patel: So, I think exactly , I won't be able to give you the number right now, but definitely in the next two years , we have important launches which will overall scale up the overall US generics business. But as I said, even considering FY 26, 27, 28, we have very large , important

launches . So, we have a good pipeline of products where we will see limited or exclusive launches.
Nitin Agarwal: Okay. Thank you so much.
Moderator: Thank you. The next question is from Kunal Dhamesha .
Kunal: Hi. Thank you for the opportunity again . So, this 1-2 very large opportunity per year till 2027 , '28 that we have said . In terms of risk mitigation , would these 8 to 10 products be filed fr om multiple plants of ours or they are currently a single plant filings?
Sharvil Patel: No. This is all diversified . Both from plant dosage form and partnered in products . So, it's not anything related to a specific plant.
Kunal: And so, in ca se……
Sharvil Patel: Majority of the products I'm talking about are already filed . For to be filed products, obviously I don't want to give an early indication without filing them .
Kunal: So, we have done the risk mitigation for these key l arge opportunities , is the way to understand it. Right ? Not a single plant would you know, so every key product will have two plants as the manufacturing site ?
Sharvil Patel: No, that is never possible. All products will not have two plants, but all products are not from one plant.
Kunal: Okay. Okay. Perfect. A nd, in terms of let's say if I have to bucket these 8 to 10 products based on what they are contingent on from the launch , you know A one is settlement , B court litigation and C probably the devel opment front. How would you bucket these ten, 8 to 10 products , that how many would have been settled, which we are, you know, just waiting for that deadline to hit as we can launch and how many are under court litigation right now?
Sharvil Patel: So, a m ajority of wha

t I have just spoken of are all settled products, to be settled products and to be filed products still we are waiting. I mean, we are not talking about those right now.
Kunal: Okay. Perfect. Thank you. And all the best.
Moderator: Thank yo u. The next question is from Nitin Agarwal .
Nitin Agarwal: Hi, thanks for taking my question again. Sharvil bhai , on Zituvio , what is the kind of fair share of market share that you can target , over a period of … over the next two years , I guess that's whe n the exclusivity lasts for us ?

Sharvil Patel: So, I said it's still early days . I think I can give a better picture, maybe two quarters down because both negotiations with PBMs, the right channel, the prescription , all is required . So, I don't think it 's a quick build up . So, generally , success on 505(b)(2) has been limited . So, we are still very , from whatever early traction we are seeing , we are seeing some good opportunity, but it still has to play out . So, I would say still early day s but definitely it will … from whatever we are seeing currently, our best estimate is that this will be a valuable , this first two products will be a valuable launch.
Nitin Agarwal: Okay. Got it. Thank you.
Moderator: Thank you. The next question is from Harith Ahmad.
Harith: Hi, hope I'm audible .
Sharvil Patel: Yes.

Harith: So, my first question is, on the other operating income for the
quarter, there is roughly 50 crore quarter on quarter delta there . So,
can you give some colour on that ?
Sharvil Pat el: Other income?
Harith: Other operating income .
Sharvil Patel: Yeah . So, I think Arvin d can give you that.
Arvind Bothra : Yeah . So, Harith, it is largely driven by incremental export incentive
and processing income and small portion of license fees for a couple
of out licensing deals that we had. But it's consistent with export
incentive and processing income largely.
Harith: Okay . So, on the injectables business in the US , a few quarters back,
we had talked about 150 to 200 million dollar kind of target from that
portfolio . So, how has the ramp up been ? Any update that you can
provide on that front?
Sharvil Patel: So, I think the business is tracking better than what we had planned .
So, I think it's going on the right direction right now. And we are
seeing good opportunities with shortages as well as the complexity of
regulatory approvals and the quality . So, I think the opportunity
seems to be good and we are doing better than our plans.
Harith: Okay. And last one on the transderm al side . Couple of launches that
you had done during the quarter . So, when I think of FY 25 , how
material can transdermal be for us? Can it be a $50 million plus
revenue stream from all the launches in transdermal s?

Sharvil Patel: So yes, the poten tial definitely for our portfolio is about 50-60. It
won't be in FY 25, but in the next 1 to 2 years , yes, it can be a 50 to 60
million dollar opportunity.
Harith: All right. Thanks for taking my questions.
Moderator: Thank you. The next question i s from Devang.
Devang: Hello?
Sharvil Patel: Yes.
Devang: Sir, when we are planning to partner for respiratory therapy in the US
market ? Will we see this in FY 25?
Sharvil Patel: No, it's a little longer term. So, it is still under the developme nt stage .
So, we have to wait couple of years before we can talk about it.
Devang: Okay. And my next question is , could we see double digit revenue
growth for FY 25 and beyond?
Sharvil Patel: I think once we finish this year, we can talk a little bit m ore about the
next year. But as I said, going forward in the next quarter four , we are
seeing good traction driven by US and good base business, and we
continue to hope to build that momentum.
Devang: Thank you, sir.
Sharvil Patel: Thank you.
Moderator: We will wait for a few minutes for the

question queue to assemble.
Whoever wishes to ask the question, please click on the “Raise the
Hand ” button. The next question is from Unnati .
Unnat i: I just have one question specifically for the US market. Why has there
been a decline on a year on year and quarter on quarter basis in this
quarter for the US sales?
Sharvil Patel: Could you repeat what you just asked? We couldn't hear you well.
Unnat i: Well, I just wanted to understand why there has been a decline in the
US sales in this quarter , 4.3% on a year -on-year basis and 1.2% on
quarter -on-quarter basis ?
Sharvil Patel: So, I think the US business , right way to look at it is quarter on quarter
versus year on year. Last year , we had Revlimi d sales, which is not
there this year . But I think the right matrix is to look quarter on
quarter and quarter on quarter , we are almost flat. And as I said, the
last quarter is always where the distributors normally destock or at

least manage their inventories , So, we don't see any concern with
this. This is as per expectations of quarter 4, sorry , quarter 3.
Unnat i: Okay. So, there was absolutely no sales of Revlimid in Q3 of 24 ?
Sharvil Patel: Yes.

Unnat i: Okay, but th en do you believe that it will continue to be the case for the coming quarters, or will it kind of resurge again?
Sharvil Patel: It will resurge again next quarter.
Unnat i: Okay, okay. Thanks. Thanks.
Moderator: Thank you so much. As ther e are no further questions from the participants, I now hand the conference over to management for the closing comments.
Ganesh Nayak : Thank you very much and look forward to interacting with you again in the month of May for the last quarter results of FY 24. Thank you and good night.
Moderator: On behalf of Zydus Life Sciences Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you so much.

END OF TRANSCRIPT

Call: May 2024

May 23, 2024

Listing Department Code: 532321
BSE LIMITED
P J Towers, Dalal Street,
Mumbai–400 001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the post results earnings call held on May 17, 2024 pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“the Listing Regulations”)

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company’s Q4 FY24 post results earnings call held on May 17, 2024.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY

Encl.: As above

“Zydus Lifesciences Limited Q 4 FY24
Post Results Earnings Call”

May 17, 202 4

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - SENIOR VICE PRESIDENT , INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED

MR. ALOK GARG - SENIOR VICE PRESIDENT , MD OFFICE , ZYDUS LIFESCIE NCES LIMITED

Moderator : Welcome to Zydus Lifesciences Limited Q 4 FY24 Earnings Conference Call. Please note that all participants ' line will be in listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Pleas e note that this conference is being recorded. I now hand the conference over to Mr. Ganesh Nayak, Executive Director of Zydus Life sciences. Thank you and over to you , Sir.

Ganesh Nayak: Good evening, ladies and gentlemen. Welcome to our post results telec onference for the fourth quarter and the financial year ended March 31, 2024. For today's call, we have with us Dr. Sharvil Patel - Managing Director, Mr. Nitin Parekh - Chief Financial Officer, Mr. Arvind Bothra - Senior Vice President , Investor Relations and Mr. Alok Gar g - Senior Vice President from the Managing Director's office.

To begin with , let me give you an overview of the performance for the year . During the fiscal 2024 , all our key businesses demonstrated strong performance through the year . Overall , we delivered a healthy double -digit growth during the year in -line with our expectations along with improved profitability. I am happy to inform you that we achieved the highest ever operating profit and margins during the year . Our branded formulat ions business in India grew faster than the market and registered double -digit growth during the year aided by healthy vol ume growth and new product launches .

On the Consumer Wellness front , the FMCG sector witnessed gradual improvement in demand during th e quarter with an uptick in demand also in rural India . Most of our portfolio has seen demand recovery which was further fuelled by the demand of summer led brands like Glucon -D and Ny cil in anticipation of a good s ummer.

We achieved an important milestone in our US formulations business during the year . Revenues of the business crossed US$ 1 billion for the first time on the back of strong, double digit growth . The base business achieved sequential growth every quarter through the year on the back of vol ume expansion and new product int roduct ions.

International markets business , which comprises of Emerging markets and Europe , also delivered double digit growth with all key markets contributing to growth during the year.

In order to stay competitive and serv e our customers in a cost -efficient manner , we continuously analy se the spend base and

identify and imp

lement various ideas across functions to improve efficiencies in our operations. We could improve our profitability in the range of 50 -70 basis points i n the past on account of such initiatives and we expect similar improvement going forward as well.

On the back of our diversified portfolio of products and focused execution efforts, we expect all our businesses to sustain healthy growth.

With that, let m e take you through the financial n umbers for the year gone by. We recorded consolidated revenues of 195.5 billion rupees, up 13% on a year -on-year basis. The business delivered robust operating performance with an EBITDA margin of 27.5% , which is an improv ement of 510 basis points over the previous year. Consequently, the consolidated EBITDA for the year grew by 40% to 53.8 billion rupees . Net Profit for the year stood at 38.6 billion rupees, up 97%. Our balance sheet strengthen ed further with a net cash po sition of 8.6 billion rupees as at 31st March 2024 against the net cash of 5.5 billion rupees as at 31st March 2023 . Coming to our quarterly performance. we ended the fiscal 2024 with a robust performance. Revenue stood at 55.3 billion rupees during the qu arter , up 10% on a year -on-year and 23% on a quarter -on-quarter basis. We registered the highest ever operating profitability during the quarter with an EBITDA margin of 29.5% , which is an improvement of 440 basis points on a year -on-year and 500 basis poi nts on a quarter -on-quarter basis. EBITDA for the quarter stood at 16.3 billion rupees , up 30% on a year -on-year and 48% on a sequential basis. Net Profit for the quarter was 11.8 billion rupees , up 299% on a year -on-year and 50% on a sequential basis.

Now , let me take you through the operating highlights for the fourth quarter of FY24 for our key business segments .

Our India geography, which comprises of formulations and consumer wellness business , accounted for 40% of the total revenues during the quarte r and grew 8% year -on-year. Our branded formulations business in India grew faster than the market during the quarter as well with 8% year -on-year growth . Portfolio of key pillar brands and innovation products were the key growth drivers. During the quar ter, we gain ed market share in derma and the anti -infective therapies . On the super speciality front , we retained the leadership position in the nephrology segment , while in the oncology space , we remained amongst the fastest growing companies in India. Cont ribution of chronic

portfolio has increased consistently over the years and stood at 41.2% as per IQVIA MAT March ’24, an improvement of 360 basis points over the last three years . The consumer wellness business recorded revenues of 7.8 billion rupees , up 1 0% on a year -on-year basis. The personal care segment , which comprises of Nycil and Everyuth brands , registered yet another quarter of strong growth . Performance of food and nutrition segment improved with mid -single digit growth during the quarter . We con tinued to witness gross margin expansion with an improvement of 377 basis points on a year -on-year basis for the quarter driven by calibrated price increase taken earlier and efficient hedging strategy for key commodities.

Now , let me take you through the performance of our US formulations business. The business accounted for 47% of the consolidated revenues during the quarter with revenues of 25.2 billion rupees and delivered robust 37% growth sequentially. As mentioned earlier, the base business continued to expand sequentially during each quarter of the current fiscal on the back of vol ume expansion and new product launches. We launched 5 new products and received approval for 12 ANDAs, including four tentative approvals during the quarter. We filed 20 A NDAs, received approval for 46 new products , including 5 tentative approvals and launched 29 new products duri

ng the year .

On the international markets front , growth moment um built over the last several quarters continued as the business delivered double di git growth for yet another quarter with a healthy demand across key markets . Overall, the business posted revenues of 5 billion rupees , up 13% year -on-year.

During the quarter , we received the EIR from the U SFDA for our API Ahmedabad facility which was in spected by the agency during the preceding quarter. Two of our injectable manufacturing facilities located at Ahmedabad SEZ and Jarod near Vad odara were recently inspected by the USFDA and were issued certain observations upon completion of inspection. We are closely working with the USFDA to implement necessary corrective actions.

This concludes the business review. I would now request Dr .

Shar vil Patel to take you t hrough the key drivers across businesses as well as initiatives in our innovation program.

Sharvil Patel : Thank you , Mr. Nayak . Good evening, ladies and gentlemen. It is a pleasure to have you all here on the call today. We are pleased with our performance during the quarter and the year. All our key businesses are focused on enhancing the value proposition to their customers by fulfilling their diverse healthcare needs. We look forward to expanding our presence in existing therapies and markets and explore newer avenues to serve our customers better and generate greater value for all the stake holders.

On the India formulations front , we continue to channelize our efforts and resources towards strengthening our position in focused therapy areas through multiple leve rs. Our innovation engine continues to offer novel solutions to our customers and satisfy their unmet healthcare needs. Various strategic interventions done in the past have helped our branded formulations business to deliver double digit growth over the last couple of years and we look forward to building onto this moment um.

On the US formulations front , we have built a comprehensive portfolio spread across dosage forms by leveraging our in -house development capabilities as well as exploring partnership opportunities . In the specialty space , acquisition of L iqMeds has augmented our ca pabilities to deliver novel solutions to the patients while in the rare disease space , we have now a meaningful presence with two commercialized products and one product under filing stage . We expect our US business to sustain the growth trajectory going forward. This will be driven by large product portfolio, strong customer relationships, a network of regulatory compliant manufacturing facilities , an agile supply chain and an efficient cost management.

On the international markets front, we are focusing o n growing the business in chosen therapies areas across key geographies by leveraging our global R &D portfolio of differentiated and niche generics as well as speciality products . In Europe , we are working towards strengthening our retail presence in Franc e and Spain through portfolio expansion, improving cost proposition and increasing pharmacy coverage. We also commenced our UK operations during the year where we wish to expand by leveraging our global R &D portfolio.

Our innovation pipeline across differe nt areas progressed well and achieved important milestones during the year. Success of our innovation efforts is evident from the increase in n umber of patients over the years who benefited from the affordable and accessible

treatments options delivered by our innovation engine to fulfil their unmet healthcare needs.

With this, let me talk about some of the material developments on the innovation efforts during the quarter.

On the NC E front, we completed the recruitment of patients for Phase II(b)/III clinical trials for Saroglitazar Magnesium for PBC indication for the U S market. The trial will study the effect

s of a molecule relative to

placebo over 52 weeks across 100 sites. The Phase II(b) clinical trial of Saroglitazar Magnesium for NASH indication for the US market is advancing as per the plans.

Recently, the National Medical Products Administration of China accepted the new drug application of Desidustat made by China Medical Systems holdings Limited (CMS). Earlier , in 2020 , we granted an exclusive li cense for Desidustat to CMS for China, Hong Kong , Macau and Taiwan markets. Phase III clinical trials in China have demonstrated positive results. The primary endpoint of the haemoglobin mean change from baseline to the period of weeks 7 to 9 has indicated that Desidustat is more effective than placebo in increasing haemoglobin levels.

Coming to our key development program ZYIL 1, the WHO's International Non -proprietary Name s (INN) recently approved "Usnoflast " as the recommended name for the molecule . Usnof last is under clinical development for four indications at present - Amyotrophic Lateral Sclerosis (ALS), Parkinson's disease , Cryopyrin - Associated Periodic Syndromes (CAPS) and Ulcerative Colitis .

For ALS indication , Usnoflast is undergoing Phase II clinical trials. ALS affects approximately 31,000 people in the US and on an average , 5000 new patients are diagnosed every year with this disease in the US. Over 30,000 people are estimated to be living with ALS in Europe , while in India , approximately 75,000 people are living with ALS. People with ALS have a median survival of approximately two years from diagnosis.

The USFDA granted the approval to initiate Phase II clinical trial of Usnoflast in patients with Parkinson's disease. It is estimated that there are over 8.5 million people worldwide suffering from Parkinson's disease with 1 million suffering from the disease in the U S. Each year 90,000 new cases of Parkinson's disease are reported in the US.

On the CAPS front , we are the first company to establish Phase II proof of concept for Usnoflast in CAPS patients. Results of the study

were published in the 'Clinical Pharmacology Drug Development '. Usnoflast holds an orphan drug designation from the USFDA for CAPS indication.

We have initiated Phase II proof of concept study of Usnoflast in patients with UC (Ulcerative Coli tis). It is characterized by irregular chronic immune response that creates inflammation and ulcers in the mucosa of the large intestine or rect um. In the year 2023 , the prevalence of Ulcera tive Colitis was estimated to be 5 million cases worldwide .

In the biotech R &D space , during the quarter , we initiated Phase III clinical trials for one product. We completed pre -clinical t ox study for one monoclonal antibody and submitted the report to RC GM.

On the Specialty and 505(b)(2) development front , Sentynl Therapeutics , our wholly owned subsid iary, received marketing authorization from the UK MHR A for NULIBRY for the treatment of patients in Great Britain with Molybdenum C ofactor Deficiency (MoCD) Type A ; an ultra -rare life -threatening genetic disorder. It is the first and only treatment in Great Britain for patients with genetic disorder. An early access program is in place for NULIBRY for eligible patients who meet the specific criteria . Through this program , healthcare professionals can request for the product , if it is not commercially available in their country.

Recently, Sentynl Therapeutics Inc. acquire d world -wide proprietary rights to Z okinvy ® from Eiger Biopharmaceuticals for the treatment of Hutchinson -Gilford Progeria Syndrome, an ultra -rare, fatal , genetic premature aging disease that accelerate mortality in young patients. Zokinvy ® is the first and only treatment approved by the USFDA for Progeria. The product is also approved in EU, Great Britain and Japan for the same indication.

Thank you and we can now start the Q &A. Over to

the coordinator .

Moderator: Thank you very much. We will now begin the Question and Answer session. Anyone who wishes to ask a question may raise your hand from the participant tab on your screen. The participants are requested to use headphones or earphones while asking a question. The first question is from Kunal Damesha .

Kunal Damesha : Hi. G ood evening and thank you for the opportunity and congratulation on goo d set of n umbers. Sir, can you highlight what would be our broader outlook for F Y25 in terms of revenue growth? And also, I think , EBITDA margin , earlier we had suggested that we'll

do EBITDA margin north of 27% but 27% is something we have done in FY24 it self. So, do we expect to do higher EBITDA margin ?
Sharvil Patel: So, we expect all our businesses to register good double -digit growth . At the aggregate level , we expect high teens growth. This is obviously after assuming competition in Asaco l in FY25.
On the EBITDA margins front , I think , assuming we have competition in Asacol , we expect to comfortably maintain FY24 margins of 27.5% in the coming year and we will make our best efforts to continue to improve those margins.
So, y eah, thos e are the two main observations I have on this. And plus, I would say , we still continue to have a robust pipeline of launches with 30 + launches that we planned for F Y25.
Kunal Damesha : Sure -sure. And in terms of R &D expenses, any outlook that we want to share now that we have enrolled patient for PBC trial . Does that mean that there would be a step j ump in the R &D for F Y25 or it would be more like business as usual ?
Sharvil Patel: I think with revenue growth that we expect and also there w ill be growth on R &D, I think we are still giving guidance of around 7 -8% for FY25.
Kunal Damesha : Sure. And the last one with your permission, Sir. On the acquisition of Zokinvy. From here on , whatever th at product is doing, what would be o ur strategy to grow that ? You know revenue, would it be more on getting …So, is it that we are not able to reach , the d rug has not reached all the patient s that are available? And is it more like geographic , you know, adding more geography in terms of laun ch and all? What would be the strategy with that product?
Sharvil Patel: Yes. So , I do think we believe that , with our current capability that we have in the rare disease space, we believe that we will be able to find better ways of, I mean, we'll do bett er execution on finding new patients first obviously in the US. But we also see the opportunity in other markets with the registrations and access programs being created for this to get more patients there. So , we do definitely see a n opportunity t o grow this in FY25 and F Y26.
Kunal Damesha : Sure . I have more questions , I'll join back the queue .
Sharvil Patel: Thank you.
Kunal Damesha : Thank you.
Moderator: Thank you. The next question is from Neha.

Neha : Yeah, thanks for taking my question. Sir, on the US pipeline, based on your commentary that you would launch about 30 products . If I look at the pending pipeline that we have, it seems like it's around the 50 - 60 n umber. So, should we ass ume, as we go ahead, the n umber of launches sort of moderate because we're doing more high value launches ? Or should we see the filing moment um material ly pick up ? What's the strategy to sort of augment this pipeline in the US?
Sharvil Patel: So, we still expect to file 25 -30 plus ANDA s in FY25. This year we ha d filed 20 but we will see that upt ick happen by at least 5 to 10 more.
We are also actively pursuing partnership opportunities for in - licensing important products in the US and recently we obviously announced one but we are seeing succes s on that in terms of finding more opportunities .
And going forward , as I said, we still hope to launch

35 + products in the US in FY25. So, I think from that point of view we still will continue to have a robust pipeline of products that we have filed and to be filed. So, I think we will still achieve 20 -25 plus launches consistently.
But obviously this year we'll see higher launches. I mean, coming year we'll see higher launches.
Neha : Got it. And how many of these launches, you know, a rough breakup of what you're planning in 25 would be injectable, non -injectable ? Just trying to assess the risk given two of our facilities have been inspected. I know we don't know the outcome yet and you're doing your best but how much of this is injectable versus no n-injectable ?

Any colour there ?
Sharvil Patel: So, currently , we believe , four maybe four products , that we may believe may get delayed . That's our current estimate.
Neha : Okay-okay . Got it. Second is on the India business . Now we've started seeing some moment um pick up in the India business . I'm talking about the formulation business this year, particularly in the last few quarters . Should we ass ume that the growth trajectory for India would be now at a higher level or what we saw last year i s the moment um that we will maintain for the India business ?
Sharvil Patel: So, as I said, we do expect double digit growth but definitely we will like to grow ahead of market depending on how the market shapes up in FY25. But currently our expectat ion is to grow in double digits for India business, which is mostly aided by obviously our proprietary and differentiated products which are specifically high value. And also , with the efforts that have been put on certain specialty and chronic segments, we will see better moment um for our growth booster brands that we have allocated.

So, I think , that focused segments plus the proprietary and new differentiated tech no products that we have, we believe we can deliver double digit growth .
Neha : Understood. Sorry, one other question on the US market . On Asacol , you know, you said the guidance includes competition in Asacol . So, you know assuming that there will be competition this year in first half, secon d half ? I mean, do you have any colour on that or this is just being conservative?
Sharvil Patel: Yeah, I think , to be on the conservative side , it is always prudent to assume we will see competition. So , that's what we always , when we are giving gu idance , we are talking about guidance with the competition on Asacol.
Neha : Understood. T hank you so much, Sir.
Moderator: Thank you. The next question is from Surya Patra.
Surya Patra : Yeah, thanks for this opportunity Sir and congrats for the str ong set of numbers. Sir, my first question is on the margin improvement sequen tially w hat we have seen . If I just adjust for let's say some Revlimid kind of a number out of the total reported, it looks like that your base business has seen t he gross margin which is highest ever. And if this is the case, back to back , even third quarter gross margins were significantly better for the base business adjusted for Revlimid . So, what is driving this ? Or it is largely to do with the cons umer business doing better than expected ?
Sharvil Patel: So, yes, one part of the reason s for the gross margins is we saw an improvement on the gross margins for the cons umer business. But, overal l also, we have seen improvement in gross margins with better efficiencies and inflationary pressures reducing. So , I think both of them have aided and, obviously, it's also to do with product mix . As new product sales becomes larger part of the overall business, the gross margin profiles are much better there.
So, I think all of that . So, the product m ix, the wellness business seeing the inflationary pressures ease and better pricing realization and obviously the mix of markets that we have has led t

o that benefit of improved gross margins.
Surya Patra : So, in that case , so what is the sustainable, means whether this is a sustainable one or we can grow up on this ? That is one. And , secondly, the spike in the other expenses also what we are witnessing in this quarter . Is it also largely led by the cons umer business contributing significantly ?

Nitin Parekh : So, gross margin without special products is sustainable . And with continuous efforts in terms of cost ratio nalization, normal price increases that we can take in cons umer business , we are able to ta ke care of inflation in terms of input cost. So far as other expenses are concerned , for the quarter, the increase is partly because of one-off

expenses to the extent of about 50 cr ores and largely because of the seasonality of Cons umer Wellness.
Surya Patra : Okay. This 50 is one of f?
Nitin Parekh : Yes.
Surya Patra : And this is relating to what , Sir?
Nitin Parekh : There are different items .
Surya Patra : Okay. My second question is about the US business. So , obviously we have seen a kind of a strong sequential improvement, obviously also led by special products. But on the base business front, how should one think about? And while you are talking about sustaining the moment um there in the US market as well and all that . So, what is the nature of the products ? Means while you are saying 30 odd products pipe -line for this year, any special products or any kind of a key product opportunities that you are targeting ? If you can highlight select ive few which will give some co nfidence about the sustenance of the double -digit kind of performance in the US business ?
Sharvil Patel: So, I think , there are couple of things. One is obviously the new launches will scale up , as I had spoken of. So , both the new launches that we will do and the last year's launches that are scaling up including the products like in the transdermal space . The LiqMed s specialty US business also is scaling up meaningfully. There is also good contribution that will come in from the animal health business as well as the recent acquisition of Zokinvy which will start getting realized in a quarter from now .
And if you say very meaningfully , recent, obviously, we have launched Mirabegron , which is obviously a very significant lau nch by the company .
Surya Patra: And we have exclusivity kind of thing in both the strength s Sir, for Mirabegron?
Sharvil Patel: Yes. From our best knowledge , right now , on one strength , we have one more competitor and on the larger strength , we are ex clusive for now.

Surya Patra: Okay. Okay. Sir, third question was about , sorry , it is a continuation to the Revlimid point. So, is it fair to believe , Sir, Revlimid is going to have a kind of improved contribution in the next FY25?
Sharvil P atel: Yes.
Surya Patra: Okay. And regards the business diversification, see, in fact now , having seen a kind of a sequential progress and improvising our positioning , presence , growth , all that in the domestic side , which now , along with the cons umer account almost 40% and US more than 45%. So, these are two growth driver s in the recent past but going ahead, for your future progression and all that, are you really thinking about either business diversification in terms of geographically or you think that okay , you can enhance the depth of the business in the existing areas only or existing market only and hence can possibly think about sustaining the growth going ahead? What is your plan going ahead?
Sharvil Patel: So, I think, the two large market s, US and India, I think we are strategically well placed to continue to grow them strongly . So, that we are very confident on . Our developing market or emerging markets business is also scaled up meaningfully over the last five years with good growth

and profitability and that business unit will continue to explore more market opportunities to enter into with the differentiated portfolio that now we have globally . So, that we will see some expansion.
But as I said, overall , we are well pl aced with the portfolio and the future pipeline to see meaningful opportunities in both US and India , which are our largest markets .
Surya Patra: Okay. If you permit me, Sir, one more question. So , how to think about this China Desidustat opportunit y, Sir? A nd what is the kind of arrangement that would be , because obviously size w ise it is a much bigger and larger market ? And if we get a kind of a preference in terms of getting the product introduced into their reimbursement list,

then it can also kind of a meaningful opportunity and what is the kind of arrangement that you would be having in terms of revenue sharing? Some sense and some visibility about this , because it could potentially be a really positive surprise for our overall performance.
Sharvil Patel: So, China is a very, very large market, is probably no. 2 in the world in terms of franchise. The current approved products in China are already clocking very significantly large value. So, we believe that if everything goes we ll and we get approval from the Chinese regulatory authority and with the very strong commercial partner like CMS, we will see good benefit, I mean good significant traction for Desidustat

to become a very large global product for us and it's a royalty -based partnership that we have. So, once everything happens, once we're able to commercialize, we can definitely then speak more about it, but it looks, it's a very positive sign and if everything goes well, it would be only a two -player market kind of thing , which will offer great opportunity for Desidustat.
Surya Patra: So, it's manufactured by them?
Sharvil Patel: No, it's manufactured by Zydus.
Surya Patra: Okay. Sure. Yeah. Thank you, Sir. Wish you all the best.
Moderator: Thank you. The n ext question is from Saion Mukherjee.
Saion Mukherjee: Yeah, hi. Thanks for taking my question. Sir, just one clarification to start with . Your guidance for next year is consolidated high teen growth or double -digit growth, I just miss ed that and also on the margin, you're expecting it to be flat with Asacol HD competition or you expect it to improve for next year?
Sharvil Patel: So, I think on a conservative side, if we see Asacol competition , at the basic, we will definitely maintain FY24 margins, but if we see scale -up of our new critical launch that has happened right now and with other benefits, we will work towards improving it further. In terms of growth, yes again, I think critical launches will play an important role in the growth. So, from double digit to high teens will all depend on the successful launches, one which we have done and few we hope to do. So, if that all goes well, we do hope to see better growth.
Saion Mukherjee: And Sir this number that you mention ed is on a consolidated basis , at overall company level , double digit to high teen is what one can expect?
Nitin Parekh: Saion , just to clarify, Nitin here. What we told , all the businesses will register a double -digit growth and at aggregate level , we expect a high teens growth.
Saion Mukherjee: Okay, understood. Sir, this Mirabegron launch, I mean, what's your expectation of competitive intensity going forward? Do you have a view there?
Sharvil Patel: Our current best estimate is we do n ot expect , in the near term , any more competitive intensity. So, it will be currently , in one strength , two players and on the higher strength , single player market.
Saion Mukherjee: Understood and Sir finally, before I join back , on the sp ecialty and innovation piece, there are a lot of moving parts as we see today. So, from a next three yea

rs perspective, can you just lay out what are the

key milestones we should watch out for , the meaningful ones and also how should we think about th e cost structure here with respect to R&D spend, sales and marketing efforts on the cost side and investment side from a next three -year perspective?
Sharvil Patel: So, for FY25 , our R&D spend, we will be around 7% to 8% , is our current guidance. On the k ey milestones, I think , there are 2 -3 critical milestones. The first , which is for our lead candidate Saroglitazar. So, we finished our recruitment for PBC indication . So, one year from now , we will have a readout on the results and if we see pos itive results, which we hope, then we will be filing it in the US for NDA application and probably six months to one year from then , we would see a commercialization of that. If we are successful with good data , FY26, we will see commercialization exp enses get built in for the

launch and FY27 more meaningfully. Beyond that, as I said , Desidustat will be the next milestone for approval in China and really kicking that off. Third would be our Zycubo , which is CUTX101 , going through a rolling NDA filing and potentially quarter four of FY25 , potentially seeing an approval and launch . And then, there are obviously multiple product launches that we have planned for in India, day one launches , which will be meaningful. So, I think all in all, these will be part of the plans for at least FY25 journey.
Saion Mukherjee: Sir, the experience of Desidustat in India, is there any color, the numbers look a bit low . I mean how do you see that ramping up in India and what are the issues that we 're facing in India currently?
Sharvil Patel: In Desidustat in India, we have seen excellent results. So, I think it is one of our best new launches. So, we don't see any concern and for it to become , you know the 100 -crore plus franchise soon , is defini tely the goal. So, there is actually seeing very good traction on Desidustat. We don't have any growth issues in that market.
Saion Mukherjee: Okay. That's great. Sir, one last, if I can Sir , any color on vaccine, any major uptick you see , WHO ap proval or export opportunities over the next three years and if you can give some granular details on timeline there?
Sharvil Patel: So, I think FY24 , the key milestone for vaccines will be first to get pre - qualification for MR , TCV and renew the rabies pr e-qualification that would be the most important part. If that goes through well, we will see immediately opportunity on rabies in a meaningful manner. Post that, I think more it is a calendar year 26 -27 for MR & TCV global public tender market opp ortunity, which would be very meaningful . Currently, I would say the immediate opportunity for MR will be the India vaccine tender opportunity that is coming up which we would like to participate and see if we can succeed and our flu vaccine a nd

other vaccines continue to scale up meaningfully. So, I think all of that is going well, but as I always have said that it is more FY26 -27 where you will see major scale up of the vaccines business. Also, we don't speak always because i t's not really a vaccine, but our rabies immunoglobulin, which is the dual monoclonal antibody is getting registration across India and other places in terms of getting into the usage and that will also see some improvement over the next two to three years.
Saion Mukherjee: Okay, Sir. Thank you, Sir.
Moderator: Thank you. The next question is from Bino .
Bino : Hi, good evening and congrats on a great set of numbers. Just couple questions, Sharvil bhai , just following up on the previous question, Mirabegron competition, what is preventing it? Is it the patents that are still in force which will run until 2030 or is there some FDA related exclusivity?
Sharvil Patel: No, it is to d

o with litigation , IP.
Bino : Understood. Today morning , you announced this distribution agreement with MSN . Earlier, you have done one with Synthon as well. Just for our understanding, you know , in this kind of distribution agreement, so, what is the sort of profitability th at we get? Is it just a distribution margin around 10% or is it significantly better?
Sharvil Patel: No, it's a profit share arrangement .
Bino : Okay and so it should be much better than a typical distribution agreement?
Sharvil Patel: Yeah, ye ah. It's equal profit share.
Bino : Okay, understood. Have you launched Zituvio , Zituvimet already?
Sharvil Patel: Sorry?
Bino : Zituvio , Zituvimet, the Januvia 505(b)(2) , have you already launched it?
Sharvil Patel: Yes, we have launch ed Zituvimet and Zituvimet IR will be the next one which has also got approval . We have had good success . It’s a tough launch in terms of making a branded launch in the US market, but we are seeing a good traction on it and we see , over th e next five years it being a meaningful product for Zydus.

Bino: Great. One last , if I may please. This year 24, we saw that Revlimid was a bit episodic, more in 1Q and 4Q. Is it going to be similar in 25 as well?
Sharvil Patel: Yeah , Q1 w ill be higher than Q4.
Bino : Q1 and Q4, okay. Great. Thank you very much.
Moderator: Thank you. The next question is from Nimish Mehta.
Nimish Mehta: Yeah, hi. I hope we are able to hear it. Just one question on the US generics market. I m ean, you know from the data that we have; we see that there has been some significant erosion, price erosion in the month of April. How do you see that , I mean and what is the impact on our portfolio?
Sharvil Patel: So, I don't know overall . So, we h ave had, I mean I think our base portfolio is stable and as I said they have been highly genericized and I think , overall we have seen a good traction on the business. So, I think as I always say the market is not changed, it is always going to be a large consolidated buying, which if hyper competition comes in, there will be price , the escalation and depending on where the product is and competition is , that will continue, but with the new products and certain capabilities that we have in supply chain resilience and how we have a strong customer insight as well as supply service levels, I think we are seeing good sticky business. So, but I think fundamentally nothing has changed in the market. It's still hyper competitive if there are more competitors . But as I said our discipline has always been to not sell products without making margin and that is helping us.
Nimish Mehta: Yeah, okay, but I mean, have you seen some fall in pricing on the base business that's what I'm trying to underst and. I understand, I mean the new products and the other strategy that we use for getting the business, but has the base business ?
Sharvil Patel: No, there's only , we don't have a heightened price erosion . It’s normal price erosion that is ther e, but nothing different from the earlier quarters.
Nimish Mehta: Understood. If I may , you know one question on the domestic business as well . I mean if I'm not wrong, most of the large companies including ourself have been focusing now more on the generic - trade generic business in the domestic business. So, you know, can you let us know what is the trigger and if that expands , will that also not require a lot of capacity ? I mean because you know it's a volume business and it's not t ypically a value business? Just your thoughts on that. Thank you.

Sharvil Patel: So, the trade generics business is generally a little different trade channel that utilizes this opportunity. I think , for us , we are more I would say measured in our appro ach towards the trade generics business. We are not , the way we are launching the products

, is we
only focus more on the branded side of our business and with the portfolio that we already have in trade generics and some of the portfolio that we miss be cause we don't want to build it , in the branded side, we have that trade generic offering, but by and large , I think our focus is more towards the branded side. Trade generic is more opportunistic for us.
Nimish Mehta: So, you don't see a significant grow th in that `category, which I think other companies are looking at?
Sharvil Patel: I think the category is showing growth. It is also gonna be hyper competitive and price challenge, but there is growth definitely there . But as I said , for us, our fo cus right now is more on the branded side and the specialty and the proprietary side of the business. This is more of an opportunistic business.
Nimish Mehta: Okay. Okay. Thank you very much.
Moderator: Thank you. The next question is from Bino .
Bino : Hi, thanks for getting me back again. Just two follow up questions. One, there are these two biotech products, one in phase 3 and one

just completed phase 1, are these biosimilars and are these also being
developed for the US market?
Sharvil Patel: So, the biosimilars , currently our strategy is only focused towards
India and emerging markets. One of the phase 1 molecule is our
proprietary molecule that we started. We are starting a phase 1 and
2.
Bino : Understood. Second, there was a recent tentative approval you got
for Prevymis, Letermovir . I believe there is an exclusivity which is
preventing a final approval, but that exclusivity gets over I think in
November or so this year, is that a near term launch?
Sharvil Patel: So, unfortunately, I'm not 100% clear when that launch will be, but we
can come back to you separately, if we have a clear view. Currently, it
is not launched for sure.
Bino : Okay. Thank you very much.
Moderator: Thank you. The next questi on is from Harsh.
Harsh: Yeah, thank you. Am I audible?

Sharvil Patel: Yes.
Harsh: Yep. Thank you. Good evening. 2 -3 quick questions. I joined the call
a little bit late, so maybe repetitive, but one on LiqMeds, the small
molecule portfoli o. I think so, we had mentioned that a large growth
driver would be the US market. So, just from that perspective,
anything for us to keep in mind in terms of important timelines and
would FY25 see any catalyst just from that business per se , of that
segment per se and any launches or partnered assets from that
portfolio would get categorized under the number of launches that
we already report for the US market ?
Sharvil Patel: Yeah. So, I think LiqMeds, the important thing is that we have today
six marketing approvals for the specialty 505(b)(2) side of the
business. In UK, we have 13 products that have been supplied out of
the 15 that we have approval . Number of products that we still have
waiting approv al, there are two more specialty products waiting for
approval and another 15 in UK, which are waiting for approval and we
will see some of these approvals come through . Recently also, we saw
one approval come through and this is the more sp ecialty side of the
business in the US . The scale up, we'll definitely see in FY25 also from
the last year and going forward , we are also seeing meaningful scale
up because these are branded businesses, especially i n the US. So,
once the scale up happens, they will be sticky with very good profit
margins.
Harsh: So, should we assume like 3 to 5 approvals cum launches in FY25 just
from this portfolio roughly?
Sharvil Patel: More.
Harsh: Okay. Okay. And in terms of the margin guidance that we had called
out, in case of Asacol competition and on that part, we had
mentioned that the important launch that we have done recently, the
scale up of that is also pretty important along with other launches.
So, should we assu me another high v

alue launch in second -half of
FY25 which is very similar to the profile of Myrbetriq to that extent?
Sharvil Patel: So, I think as I said, I would say the significant scale launch right now
has been Mirabegron, but we have to se e how do we succeed in that
going forward, but yeah, we have still a lot of products that will come
for approval, which will add to the value growth for the organization.
So, yeah, overall FY25, as I said, we still continue to believe that we'll
see doubl e digit growth in spite of Asacol competition in the US.
Harsh: Sure, and just from our understanding perspective . You have given
the guidance in case of the Asacol competition . Directionally , if you

were to call out a best -case scenario, let's say without Asacol
competition, where should we think about the range of margins per
say, just very directionally?
Sharvil Patel: So, without Asacol competition, obviously we will see very
significantly, much higher margins than what we have current ly

during the last quarter . So, that is the best estimate . I think there are so many moving parts . It's difficult to say, but, now, last quarter we did 29.5% margin . If Asacol competition is not there, it is definitely potent ially possible to achieve that .

Harsh: Sure, that's helpful and one last if I may squeeze in, I might have missed this, but have we launched Vascepa in fourth quarter?

Sharvil Patel: We have launched Vascepa, I think recently, but w e don't have scale manufacturing capacity yet, which we do to third party. So, once we are able to scale up our manufacturing which will require at least two more quarters, then we would see more capability of ours to take any meaningful business, but right now we don't have capacity.

Harsh: But this is not to do anything with the API supply issue per se, right? So, you're just getting in manufactured through a third party?

Sharvil Patel: Yeah.

Harsh: Okay, Sir. Thank you. Thank you.

Moderator: Thank you. The next question is from Saion Mukherjee.

Saion Mukherjee: Yeah. Thanks for taking my question again. Sir, just one question on acquisitions. You know the cash balance is rising and with very high value launches that we've seen a nd we continue to see, I think that's going up. You have done some buyback, but still I think the cash balance will keep rising. So, when you think about acquisition prospects, we haven't seen Zydus doing much in India unlike many of your peers and then you are investing in specialty . So, do you have some size in mind or what exactly you would be looking at? Are you okay doing $500 -$600 million acquisition ? If you can give some color what's available? What you're willing to invest? How you're t hinking about inorganic opportunities in general?

Sharvil Patel: So, I think our first priority will be to diversify our business in the healthcare space. So, it's more to do with the market entry in different kind of geography if we get an opportunity, b ut large part of what we want to focus on is specialty. So, one is our own pipeline and then potentially see an opportunity. If we are successful with our own pipeline to coming to approval to find opportunities to acquire and scale that up meaningfully . So,that will be I think our first wish list

to build orphan disease business. The second obviously which we are already committed to is our rare portfolio of businesses. So, we acquired Zokinvy and we hope we can continue on both our internal pipeli ne, but more importantly continue to find opportunities in the rare disease space for acquisition. We do hope to enter more markets which are meaningful either directly or potentially again with the differentiated pipeline like LiqMeds that we have. So, those will be the first priority of products. In India, we are looking, we will look for brand, you know more brand businesses or brands which can help us

overall in terms of it being accretive to the current business that we do. Aga in, something that is differentiated would be nice. We do like the OTC space also. So, we will look to see what we can do with that both in Wellness or in Pharma. So, I think those are some of the areas that we are looking at. So, I would say the ticke t size will not be the constraint that will look at, but depending on the market and the opportunity, we want to make a profitable business in those places. So, in the US, our first expectation is how do we quickly scale up and become profitable on the sp ecialty front, provided our current assets see the light of day and if that happens, then that will be the focus for the company.

Saion Mukherjee: And Sir, different geographies you mentioned, which geography you would be interested in?

Sharvil Patel : So, I think Europe is something that we need to figure out, right and whether it is some part, building a rare disease or specialty part of the business beyond the trade generics that we do. Also look at certain niche therapy areas and see if we can look at some opportunities to do something there and lastly also look at the hospital franchise that is there in Europe. So, those will be some areas that we continue to look at and overall as I said our mission now is to make sure that we

build patient centric businesses. So, medicines is one part of being
patient centric, but also how do we build businesses that are beyond
just medicine and making sure that we are looking at companion
diagnostics care and other areas that are important for tre ating
chronic diseases. So, those are some of the areas that we want to
continue to pursue. So, in oncology segment, we have already built a
strong companion diagnostics business with our current business with
both Guardant and the other onco product that we have for diagnosis
for breast cancer. So, we're looking to scale those kind of
opportunities further and build a meaningfully different business I
would say.
Saion Mukherjee: Great Sir and just one last if I can ask on the GLP-1 opportunity . How
you see Zydus position there? You have made filings in the US . So,
what are your expectations and if you can talk about the capabilities

that Zydus has developed here and when can we see you know any
meaningful contribution from this portfolio going forward?
Sharvil Patel: Yes, I think the meaningful capability is to obviously develop a peptide
capability to obviously characterize the peptide capability to create a
drug device combination and have the capability of both; obvi ously
the drug part, but also the device part . I think those are the
capabilities that we have now built. On the commercialization part, I
think we will prepare for launch of the GLP -1 whenever the patents
are over and we are preparing for market by market launch
depending on the patent expiry.
Saion Mukherjee: Great, Sir. Thank you.
Moderator: Thank you. The next question is from Nitin Agarwal.
Nitin Agarwal: Hi, Sir. Thank you. Thanks for taking my question . Sharvil bhai , you
know given the way the commentary has been , F25 and also F26 look
to be very, very strong years for us given that we will continue to have
tailwinds from Revlimid, possibly our gAsacol as well as even
Mirabegron for now. You know how should we loo k about, you know
the year after that , post FY26 onwards ? Are we looking at potentially
a largish cliff coming in the earnings as some of these big ticket
opportunities begin to fade away or do you think there is enough in
the pipeline to take care of you know sort of substitute some of these
high growth opportunities ?
Sharvil Patel: So, specific to the US, I think as I said , beyond this, I mean we at least
have two to three other products where we believe we have sole
exclusive lau nches available in the years after 26. So, we do still see a
very healt

hy opportunity for the company to be able to launch
meaningful launches with differentiation or sole exclusivity.
Nitin Agarwal: So, we should not be, we should not look at a situation potentially
that we have a largish cliff coming through for the business on the
high peak that we do in FY25 and FY26?
Sharvil Patel: Yeah. Currently, I think obviously it all depends on IP landscape and
other things, but we have secured so me 180 -day exclusive launches
beyond the ones that we have spoken of.
Nitin Agarwal: Okay, Sir. Thank you so much.
Moderator: Thank you. The next question is from Amman Vij.
Amman Vij: Yeah, hi. My question is on our peptide portfolio. So, if you can talk
about how many products have we filed till today ?
Sharvil Patel: Which portfolio? I'm sorry, we didn't get your question?

Amman Vij: Peptide portfolio.
Sharvil Patel: Currently, we have I think two peptides that are in advan ced stages ,
filed and to be filed and we continue to have a portfolio of another
two products that we hope to file. So, I would say that is the current
portfolio that we have.
Amman Vij: Sure. When are you expecting the first approval for these four
prod ucts?
Sharvil Patel: FY26.
Amman Vij: Okay. So, no contribution for FY25 at least?

Sharvil Patel: No.

Amman Vij: And Sir, these are for US markets or even for other markets?

Sharvil Patel: We would like to commercialize them in other markets also, but what guidance I was giving you is obviously the US market.

Amman Vij: Okay, okay. So, can we assume that other markets might come sooner than FY26 as well?

Sharvil Patel: There's a patent landscape to many of the peptides . So post patent , yes, they will be launched.

Amman Vij: Sure, and my final question is do you think these four products will be a small contributor to us or a meaningful contributor say in FY26 or FY27?

Sharvil Patel: I think it's a little too early to say this, but important markets are opening up like India, like Brazil, and more. So, we'll have to see how do we do there. So, we hope that they will be important, they will definitely be important launches the way the attention has been given by the organiz ation, R&D, manufacturing. We hope they will be commercially successful in these markets.

Amman Vij: And Sir, do we have any FTF filings on any of the dosages for the same?

Sharvil Patel: Yes, and on Sema, we are first to file.

Amman Vij: Sema, we are first to file. One particular dose or is it all the four doses?

Sharvil Patel: On the diabetes indication .

Amman Vij: On the diabetes indication . Okay. Thank you, Sir.

Moderator: Thank you. As there are no furth er questions from the participants, I now hand the conference over to the management for closing comments.

Ganesh Nayak : Thank you very much and look forward to interacting with you during our next Investor and Analyst Conference. Thank you and good night.

Moderator: On behalf of Zydus Life Sciences Limited, that concludes this conference. Thank you for joining and you may now disconnect your line and exit the webinar. Thank you.

END OF TRANSCRIPT

Call: Aug 2024

August 17, 2024

Listing Department Code: 532321
BSE LIMITED
P J Towers, Dalal Street,
Mumbai-400001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai-400051

Sub: Transcript of the post results earnings call held on August 9, 2024 pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“the Listing Regulations”)

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company’s Q1 FY25 post results earnings call held on August 9, 2024.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY

Encl.: As above

“Zydus Lifesciences Limited Q 1 FY25
Post Results Earnings Call”

August 9, 202 4

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - SENIOR VICE PRESIDENT , INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - SENIOR VICE PRESIDENT , MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Moderator : Good afternoon, everyone. Welcome to Z ydus Life Sciences Limited Q1 FY25 Earnings Conference Call. Please note that all participant line s will be in 'listen only ' mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded . I now hand over the conference to Mr. Ganesh Nayak - Executive Director of Zydus Life Sciences. Thank you and over to you.
Ganesh Nayak: Good afternoon, ladies and gentlemen. Welcome to our post results teleconference for the quarter ended June 30th, 2024. For today's call, we have with us , Dr. Shar vil Patel - Managing Director, Mr. Nitin Parekh - Chief Financial Officer, Mr. Arvind Bot hra - Senior Vice President, Investor Relations and Mr. Alok Garg - Senior Vice President from the Managing Director's Office.
Let me now give you a broad overview of the developments during the quarter.
It's my pleasure to share that we commenced fiscal 2025 on a strong note, sustaining the growth momentum across the businesses during the quarter. Overall, we delivered a strong double -digit growth during the quarter. This , coupled with sustained profitability improvement , has helped us achieve the highest ever operating profit and margins during the quarter. Our India branded formulations business outperformed the market growth with 13% year -on-year growth. The consumer wellness business delivered an industry leading double -digit growth during the quarter, aided by improved demand scenario and an extended summer season. Our US formulations business delivered a stellar performance both on a sequential and year -on-year basis, driven by new launches and volume expansion in the base portfolio. Our international business continued its growth trajectory during the quarter.
With that, let me take you through the financial numbers for the quarter gone by. We registered consolidated revenues of Rs. 62.1 billion , up 21% on a year -on-year basis and 12% on a quarter -on-quarter basis. EBITDA for the quarter was Rs. 20.8 billion , a growth of 38% on a year -on-year and 28% on a quarter -on-quarter basis. EBITDA margin for the quarter stood at 33.6%, which is an improvement of 430 basis points on a year -on-year and 410 basis points on a quarter -on-quarter basis. Net profit for the quarter stood at Rs. 14.2 billion , up 31% on a year -on-year and 20% on a quarter -on-quarter basis. We deleveraged ou

r balance sheet
during the quarter by repaying the entire debt.

Now, let me take you through the operating highlights for the first quarter of FY25 for our key business segments.
Our India geography, which comprises of the formulations and consumer wellness business es, accounted for 37% of the total revenues during the quarter and grew 15% year -on-year .
As mentioned earlier, our branded formulation s business in India grew faster than the market during the quarter with 13% year -on-year growth. The business outpaced the market growth both in the chronic and acute segments. Portfolio of key pillar brands and innovation products registered strong volume growth, driving the overall performance during the quarter. We launched 10 new products, including line extensions with three first -in-India launches. We retained our leadership position in the nephrology and remain ed the fastest growing Indian company in oncology in the IPM. The business grew faster than the market in key therapies of cardiology, gynaecology , derma, respiratory, anti - infectives and super specia lty therapies of oncology and nephrology. Contribution of chronic portfolio has increased consistently over the last several years and stood at 41.3% as per

IQVIA MAT June, 2024, which is an improvement of 430 basis points over the last three years.

Our consumer wellness business recorded revenues of Rs. 8.4 billion , up 21% on a year -on-year basis. The growth was broad based and largely driven by 17% volume growth. The personal care segment, which comprises of N ycil and the Ever Yuth brands , continued to deliver robust performance with yet another quarter of strong double -digit growth. Food and nutrition segment witnessed recovery during the quarter and posted double digit growth as well. Gross margins continued to improve both sequentially and on a year -on-year basis.

Now let me take you through the performance of our US formulations business. The business accounted for 51% of the consolidated revenues during the quarter with revenues of Rs. 30.9 billion , up 23% on a sequential basis. We launched seven new products during the quarter. New launches for the quarter include the launch of our second 505 (b)(2) product, viz. Zituvimet in the area of metabolic disorder management and Mirab egron ER tablets. We filed five additional ANDAs and received approval for six ANDAs , including two tentative approvals , during the quarter.

On the international markets front, the demand scenario remains strong across key markets despite ongoing political and economic

challenges in some of the countries. Overall, the business posted revenues of Rs. 5.3 billion , up 9% year -on-year .

On the operations front, the USFDA has classified two of our injectable facilities located in the Ahmedabad SEZ and at Jarod near Baroda as 'Official Action Indicated ', which is OAI. We are working closely with the USFDA to implement the necessary corrective actions as required.

Now this concludes the business review. I would now request Dr. Sharvil Patel to take you through the key drivers across businesses as well as initiatives in our innovation program. Thank you.

Dr. Sharvil Patel: Thank you, Mr. Nayak , and good afternoon, ladies and gentlemen. It is a pleasure to have you all here on the call today. We are pleased with our performance during the quarter. All our businesses continued their robust growth journey from the previous fiscal and performed on expected lines with a focus on fulfilling diverse healthcare needs of the customers across the market s. We remain committed to strengthen our core business and explore newer avenues to generate better outcomes for our patients.

On the India formulations front, our efforts are directed towards expanding the presence across focused therapies , and in turn , serve a larger set of customers. We have successfully leveraged our ri

ch and diverse portfolio of innovation products to offer novel solutions to the patients to satisfy their unmet healthcare needs. We have been conducting various patient support programs and activities to create greater awareness amongst patients, particularly in the area s of the unmet healthcare needs.

In the US, multiple building blocks such as a comprehensive portfolio of generics across dosage forms, capability to deliver novel solutions to patients through the L iqMeds acquisition in the specialty space , and investments in rare disease space , are now in place. This will greatly enhance our ability to address diverse patient needs. This , coupled with strong customer relationships, a network of regulatory compliant manufacturing facilities and an agile supply chain will ensure sustained growth trajectory for the US business going forward.

On the international market front, our focus remains on expanding the presence in selected therapies across key emerging markets by leveraging our global R&D portfolio of generics and

specialty products. Our innovation pipeline across different areas continues to make progress and achieve the desired milestones.
With this, let me share some material developments on our innovation efforts during the quarter.
On the NCE research front, during the quarter, we completed patient recruitment for the Phase II(b)/ III clinical trials of Saroglitaz ar Magnesium for primary biliary cholangitis indication and Phase II(b) clinical trial s of Saroglitaz ar Magnesium for metabolic dysfunction -associated steatohepatitis , which is known as MASH indication for the US. We also completed patient recruitment for Phase II clinical trials of Usnoflast , earlier known as ZYIL1 , for Amyotrophic lateral sclerosis which is known as ALS indication during the quarter. In the biotech R&D space, we submitted a market ing authorization application for one of the monoclonal antibodies to the Indian regulator. On the novel biologics front, we initiated a Phase I clinical trial in India for an anti-prop erdin molecule during the quarter. Recently , in the month of July, we received marketing approvals from the Mexican regulatory authorit y for two products viz BhavaTM, which is the biosimilar of Bevacizumab and Mami traTM for the biosimilar of Trastuzumab. On the specialty and 505(b)(2) d evelopment front, recently , in the month of July, we received final approval for our third NDA viz. ZituvimetTM XR, which is the sitagliptin metformin extended -release tablets in the area of metabolic disorder management. With this approval, we now have all three NDAs of Sitagliptin and combination franchise approved through the 505(b)(2) route. All the three NDAs have received first cycle approvals.
Thank you. And now we can start with the Q&A session . Over to the coordinator for the Q&A. Thank you very much.
Moderator: We'll now begin the Question & Answer session. A nyone who wishes to ask questions may raise your hand from Participant tab on your screen. Participants are requested to use headphones or earphones while asking questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from Yash Gandhi.
Yash Gandhi: Thanks for the opportunity. S ir, congratulations again on a great set of numbers. I think , this quarter, we've got 33% EBITDA margin , one of the highest the company has ever seen in the history. So, I just want to understand the sustainability of this sort of margin going into the next two quarters or for the year.

Dr. Sharvil Patel: So, I think obvious ly, this quarter has been an exceptionally good quarter on the margins front. And as we have stated earlier that last year, we ended on a high with a 27.5% margin. And with looking at the phasing of the coming year, we expect to see an improvement in the margin by 100 to

150 basis points from FY24
margin.
Yash Gandhi: Okay. And s ir, again on the US business . So, this year we've grown 26% Y oY. This is an excellent growth. How do you see the trajectory of the US formulation business doing this year?
Dr. Sharvil Patel: So, we see healthy double -digit growth for the US business during the coming financial year, this financial year.
Yash Gandhi: Okay. Got it. That was it. Thank you.
Moderator: Thank you. The next question is from Kunal.
Kunal: Good afternoon. Sir, first question would be the revenue guidance that we had provided for FY25 . We had said almost from high teens kind of top line growth that we expected. Since the first quart er has been meaningfully above that, are we revising it or we are staying with the same guidance?
Dr. Sharvil Patel: We continue to believe that we will deliver high teens growth for this year.
Kunal: And on one of the speciality portfolio across two geographies, one

is US , where in we have now few commercialized products like
Zokinvy . So, would you be quantifying the current contribution of
our speciality portfolio in US?
Dr. Sharvil Patel: I think it's still in the very early stages. As I said, the patient
acquisition or the finding new patients is a slow process in the US .
So, once it becomes sizable and meaningful, we will obviously talk
about it differently. But right now , it doesn't form a major part of
the overall revenue.
Kunal: And last one on the India business. We have a portfolio of
speciality product with our in -house research like Saroglitazar and
some of the first -in-market, biosimilar launches, etc. So, to that
extent, we have also said that that portfolio has grown very
strongly. Could you quantify the current contribution of that
portfolio for us?
Dr. Sharvil Patel: I don't think . Our focus on India is not driven by dosage form . It's
a therapy and disease focus and brand focus. So, I don't think we
do it that way . But as I said, they do form an integral part of the

overall future innovative portfolio that we have, which is both, as
you mentioned, the Saroglitazar and the breast cancer and other
oncology therapies that we are working on. So, it's more a disease
area where we look at it and how much share of that area we do
have. And as we alluded, like in oncology, we are now the largest
and the fastest growing organization. And similarly in nephrology
and other segments. Obviously , aided by both the proprietary
products that we have, but also the products that are required
beyond just the couple of new drugs that we have.
Kunal: Is it fair to say that there'll be more launches coming, and hence
this portfolio will keep getting bigger and bigger, which is high
growth ?
Dr. Sharvil Patel: Yes, that is a right statement. We do expect these products to
become the largest brands for the organization, which will
obviously mean that they'll form a larger part of the overall
portfolio.
Kunal: Thank you.
Nitin Parekh : Can the coordinator ensure that all others are on mute? There's
some noise coming for other people talking.
Moderator: Thank you , Kunal. The next question is from Neha.
Neha: Yeah, thanks for taking my question. S ir, given you're maintaining
your margin guidance of the 150 basis points margin expansion . Is
it fair to assume that the cost base that we've seen in this quarter,
let's say the R&D cost or the other operating cost, R&D would
materially increase from here, the SG&A cost would remain at
these levels ? Because this was a seasonally strong quarter for the
India business as well as US, we did higher. So how should we
think about the operating cost from a run rate perspective?
Nitin Parekh : Excluding R&D , Neha, there has been a n increase in this particular
quarter, but about 125 crores in this quarter are of one of f nature .
And therefore , I think 1 ,200 to 1 ,250 other costs

excluding R&D
would be the right basis for you to project.
Neha: What is this 125 crores related to Sir, the one of f that you
mentioned?
Nitin Parekh : There are some ERF related costs, there are some legal cost
provisions, there are some project related consultancy
assignments, some professional fees, many items within that. But
they are of non-recurring nature.

Neha: Okay. And on the R&D, how should we look at the R&D , given we
have the patient recruitment completed for two of our NC E
products?
Dr. Sharvil Patel: So as I said, our expectation is that we will see around an 8% kind
of spend on R&D. And that's what we hope to maintain.
Neha: 8% of sales for a full year basis.

Dr. Sharvil Patel: Yeah.
Neha: Understood. My second question is on the US business. Obviously, this quarter we had the benefit of the Re vlimid as well as Mira begron. As we think about the subsequent … first, in this quarter, was there any improvement in the base business besides Revlimid and Mira , and was Revlimid flattish quarter -on-quarter , higher quarter -on-quarter , any qualitative colo ur there?
Dr. Sharvil Patel: So, Revlimid was obviously higher quarter -on-quarter and there was a ramp up to the base business also.
Neha: Okay. Understood. And as I think about the next three or four quarters . Other than Mira, can you give us some colo ur on what sort of launches we should be expecting ? Any other meaningful launch that we should be seeing ? Anything that you can provide us on the US for the base business?
Dr. Sharvil Patel: As I said, we do expect a double -digit growth in the US , and that factors in obviously our current base business and new product launches.
Neha: Okay. And how many launches should we be expecting this year, Sir?
Dr. Sharvil Patel: For the full year, we expect around 25 plus launches.
Neha: Okay. Understood. And my last question, given we have ample amount of net cash that we're sitting on , sorry, given the ample amount of cash generation, how should we look at capital allocation strategy for future growth? What would be two or three key areas that you will be focusing on for inorganic growth opportunities ? And any ticket size that you're thinking would be , something that you'd be comfortable with?
Dr. Sharvil Patel: Yeah, so , I think as I had also tried to speak about in the last quarter . I think , our key focus will be scaling up our speciality business in the US . And for that, obviously we will look to see how do we deploy efficiently our capital to not only scale up the business, but also have a diversified large business on the

speciality front. The second area is India. India , we've done well. We understand the business well. We will continue to see if there are opportunities in India, both from the brand side or some other adjacencies. And recently, with the last five years ' good scale up of our international business and also good profitability that we're seeing , we do believe there can be specific opportunities in the international businesses that we will look to do.
Beyond that, I think, as I said, we have transformed from just being a pharmaceutical business to more of a life sciences organization. And that would mean that, how do we create the right solutions for the patients in different areas will become important. So , going beyond the pill becomes very critical for us. So, whether it is companion diagnostic, med devices or medical med devices or direct -to-patient services, we will be looking at many of these opportunities to scale up our business further.
Neha: Understood, okay. Thank you so much, sir.
Moderator: Thank you, Neha. The next question is from Bino .
Bino : Hi, good evening. I have a few questions. To start with on Mirabegron , how do you look at it?
Moderator: Bino , your voice is not audible. Can you speak loudly

?
Bino : Hello, is it better now?
Dr. Sharvil Patel : Yes.
Bino : Okay, great. How do you look at the timelines on Mirabegron ? I know it's difficult because litigation is going on . But do you think this can be a few quarters ' opportunity or will it last till the next patent expiry? How do you look at it?
Dr. Sharvil Patel: I think you answered it saying it is difficult to answer that question . But at least , I think , short term, at least for the next couple of quarters , it is what it is today . But a little longer term is still very difficult to answer.
Bino : Second on this product, Opsumit or Ma citentan . I believe you had

an FTF in that. Is that still valid? Because I saw somebody got an
approval who m I thought was not an FTF.
Dr. Sharvil Patel: So, I won't have a direct answer on this. It's better my team gets back to you on it specifically so that I don't give it . But I do remember that we did have some first -to-file status . But I'll request my team to give you more specific details on it.

Bino : Sure, sure. And regarding Cabometyx which we recently in-licensed . I believe there was a court verdict expected sometime around this time. Is it, has it come yet?
Dr. Sharvil Patel: I'm sorry . Could you repeat the molecule? Which one did you say?
Bino : Cabometyx . Which we in -licensed recently?
Dr. Sharvil Patel: The one from MSN, right?
Binu : Yeah .
Dr. Sharvil Patel: So, I think that's under still litigation. So as and when we have any outcome on that, we can discuss that . But obviously , it seems to be a good product for the future.
Bino : And finally, on Sa roglitazar PBC indication . When do you expect the readout ? Any timeline?
Dr. Sharvil Patel: It will be in the next financial year . Hopefully in the end of , I mean, second quarter of next financial year.
Bino : Okay, so FY26. So , filing would next year ? So, it could be an FY27 opportunity if everything goes well ?
Dr. Sharvil Patel: Yeah.
Bino : Thank you . I'll join back.
Moderator: Thank you. The next question is from Harsh.
Harsh: Hi, good afternoon, sir. My question is pretty broad based on the US industry. So , after COVID, we had a couple of years of , not for the company, but overall , at the industry level, we had some sort of headw inds in terms of price erosion and lower demand . So, j ust wanted to get a macro view over the next 2-3 years . What kind of environment are we seeing in terms of FD A approvals and the pricing of the base generic formulations?
Dr. Sharvil Patel: So, I think on the approval side, FDA continues to deliver good number of approvals. So , I think fundamentally , that remains constant. I think also , I don't think the nature of business has changed in the US. It is a highly competitive , price sensitive market. And so , whether it was COVID or earlier or now, we don't see any fundamentally different ways of behaving in the market. I think what succeeds in the market is portfolio, your service levels and how fast are you able to deliver your products and what kind of service levels you are able to maintain with your customers , and strong focus on profitability helps you make the right

decisions, I think. So fundamentally, all those things remain the same for that market, whether it was in the past or for the future.
Harsh: And in terms of demand scenario, do you feel anything is different for next 2-3 years compared to what it was after COVID between 2020 and 2023? And in comparison, do you feel the demand scenario changing materially over the next 2-3 years?
Dr. Sharvil Patel: No, I think at least when we look at our generics business, it all depends on large molecules going off patent. And as you can see, till the next five years, there are significant amount of products that will still go off patent. So , the pipeline of future generic portfolio remains attractive.
Harsh:

Sure. And for the international business, the rest of the world business, we see a lot of pharma companies now focusing on that pie of the market. So how does it sit in your overall strategy? And what kind of growth do you foresee over next , if I have to take a 3 to 5 years kind of horizon?
Dr. Sharvil Patel: Yeah, so I think , for us, the international businesses have delivered a consistent double -digit CAGR over the last five years, and also have shown significant improvement in profitability. So,

we believe going forward, the business will definitely scale up meaningfully with strong double -digit growth, and also will continue on the improvement on profitability. So , we are quite bullish on the international market. And that's why we said we will also continue to look at adding more products and geographies to expand it.
Harsh: Sure. Thank you. And that was from my end. Thank you.
Moderator: Thank you. The next question is from Saion .
Saion Mukherjee : Yeah, thanks for taking my question. Dr. Sh arvil, your comments suggest that scaling up US specialties is one of the things that you will be pursuing. I'm wondering if you can provide some aspiration that you carry with respect to the US business . How you want to do this ? We have mixed experience, it seems to be a tough one. I just want to understand what capabilities you would need to sort of develop , to address that opportunity in a way that , and what kind of risk and size of acquisition are you looking at ? Because , I would understand that it probably would require an acquisition for you to meaningfully scale up US specialty. So , if you can give some colo ur. I mean, we are aware of some of the products that you're developing, the rare disease, the liver disease . It would be

great if you can give some clarity as to how you're thinking about this business and what are the steps we should expect.
Dr. Sharvil Patel: Sure. So , I think there are two areas that we are focusing on when it comes to the US specialty side. One is the rare disease business through our business unit of Sentynl Therapeutics. So, today we have two commercialized products, one which we just recently acquired, and one which we had done a few years ago, a year ago. And we have a third molecule, which is the CUTX -101, which is in the NDA stage of filing. So currently, it's a three -asset business. And the way we look at it is that , slowly build that business up over the next two years, mostly through small inorganic opportunities , to scale that up , and build a niche rare disease business.
Now in the rare disease business, the focus has to be , obviously for us to have a product -to-market, because again, the disease is very rare . But then it is to find new patients, which means a lot of work that needs to get done in education , in getting early diagnosis , and getting the right diagnosis and treatment, because these are life -saving drugs. So , our effort is on creating a larger access for some of these drugs and finding the patients at the right time so that we can make them available.
With respect to the orphan disease business that we hope to build , today, we have one asset, which is Saro . If everything goes well, it's a calendar year 27 kind of opportunity to commercialize. I do agree that our aspiration is to be in more than one product and not just a single product , though Saro on its own has a good business profile that we can build on. But we will look at an inorganic opportunity over the next two years to have a commercially ready footprint in the US when Saro comes up for launch. And that is what we hope to do in the next two years , to find a commercial asset that we can either partner or we could acquire , and build a front end commercial asset in the US, which can also take Saro with it. Even if it doesn't, we do already have an organic plan to build our own commer

cial team in the US. But
we will keep both options open for us for the orphan side of it in the US. So , these are the two areas we hope to build . We definitely don't want to be a one product company. So , Saro is very important right now , but we will hope to build on to it either through licensing or inorganic opportunity. And if you look at the timeline, obviously, ‘27 is Saro , but our future molecules are 2030 and beyond. So , we do , in the next five years, require some more options beyond just Saro . So that's what we will focus on.

Saion Mukherjee : Great. The second question I had was on biosimilar s. So, you have done quite well in India, plus some emerging market approvals have also come through. But unlike many of the peers who have global development targeting US and Europe, you have generally avoided that space. So , while you are pursuing a different strategy here, is there any change in thought process with the evolving regulation, or the competitive dynamics? Anything that you can share given the capabilities that you've already built for India and emerging markets?
Dr. Sharvil Patel: Yes, I think , we are quite aligned in terms of what we need to do for India and U S, both in terms of the offerings that we can give in terms of a large pipeline of biosimilars , and also the annual capacit ies that we have built for, which is quite large and total monoclonal capacity of almost 350 KL. I think why we decided not to enter the developed markets , were two reasons. One is both from the investment point of view , the investments were pretty large and sizable for doing a generic version of a biologic. And the second was obviously access to the market looking at the high rebates that exist in different markets. So , I think we found it very difficult to justify the investment from our point of view.
I think two reasons will make us think again about it. One is obviously, if the investment thesis comes down, which is , if we can go towards more generic strategy, which is a PK-PD strategy, then we can look at taking up some of the developed markets. And second, which we seem to think it is happening , is the interchangeability of biosimilars that may come to effect. So , if both those triggers happen, we would look to take development for the developed markets also. But currently, we are limited on that aspect.
And again, it's also to do with our allocation in terms of resources . We do have enough opportunities on the novel side, which has still higher risk, but obviously greater opportunity. So , we are focusing our efforts more on that side. But as I said, if both of these changes do happen, we w ould potentially look to see if we want to take it up for the developed market.
Saion Mukherjee : Yeah, great. Thanks. I'll join back.
Moderator: Thank you. The next question is from Kunal.
Kunal: Hi, thank you for the opportunity again. So , one on the product i.e. that was approved today Ingrezza . Is that a near -term opportunity that we should build either in FY25 or FY26?

Dr. Sharvil Patel: No.
Kunal: So it's more of a longer term opportunity?
Dr. Sharvil Patel: Yeah.
Kunal: Okay. So we have settlement, I guess, right ? So, it should be in line with that settlement , is it a good way to put it ?
Dr. Sharvil Patel: Yeah, it's definitely not a near term opportunity. And as I said, we do have exclusivity and sole exclusivity as we have stated. So , whenever that market formation happen s, that will be the opportunity.
Kunal: And another one on the R&D expense, I'm not sure if this question was asked earlier . But we had said it would be between 7 to 8%. So , do we maintain that guidance even in the, let's say this year and in the medium term?
Dr. Sharvil Patel: Yes, for FY 25, we maintain that guidance.
Kunal: Sure. And beyond FY25, do you think that some of the trial

s
maybe for NASH etc., it could be large clinical trials, and we might need to accelerate the R&D?
Nitin Parekh : So, earlier we had guided that our R&D year on year may range between 7 to 9%, with average for three years around 8%. So , we continue with that guidance even today.
Kunal: Sure, sir. Thank you and all the best.
Moderator: Thank you Kunal. We'll wait for attendees to raise their hand and

ask questions. The next question is from Saion Mukherjee.
Saion Mukherjee: Yeah, hi, thanks. On Sitagliptin and other approvals that you have, Sitagliptin and combination approvals for the US, how are you thinking about it based on the experience so far? I think you talked about possibly mid -high single -digit market share there. What are your latest expectations around the product?
Dr. Sharvil Patel: Yeah, so I think it's been a good learning for us on trying to see how do we get a 5 05(b)(2) market and successful. So , I think what we can say comfortably is that , because of this opportunity, and what we've been able to do , it's definitely not a one -year opportunity, but at least a three to five year opportunity. So , we will see consistent revenue on this business from this franchise, which is very meaningful and good for the organization and learning. So , as I said, it's not a one -year opportunity, but will continue for a longer period of time.

The second is we continue to see how do we get more access to the overall Gliptin franchise and we hope to build more market share from what we have done today. And we're seeing some good opportunities. So , time will tell whether if we can take up further opportunities for the coming year. But overall, it will be a meaningfully good product for us over the next three to five years.
Saion Mukherjee: Right? So , will Sitaglipt in go generic before that? I mean, I'm just wondering whether you would have a window of five years to scale this up.
Dr. Sharvil Patel: It will go generic before, but we have a long -term contract which will not get renewed till five years .
Saion Mukherjee: Okay, understood. And, and the second one, I wanted to check on vaccines. I mean, it seems , you know, you talked about it FY27 -28 timeframe. Any update on that, especially on the export side that you can share?
Dr. Sharvil Patel: Yes, I think we are on track for that period of time. There are three aspects that are important for our success. One is , pre-qualification of the facilities for the three vaccines. The second is the clinical trial completion at different stages and for post pre -qualification, to make sure that we can achieve that in that timeframe. And once we're able to achieve those two, then obviously is to participate in the public tenders that come up in FY27. So , we are on track to do that. No immediate hiccups , and at least on the PQ and other things we're going on a positive direction now.
Saion Mukherjee: So this is fiscal ‘27 or calendar ‘27 w hen the tenders come up?
Dr. Sharvil Patel: Ideally, it will be more fiscal ’28. Calendar ’27, fiscal ‘28.
Saion Mukherjee: Understood. Oka y sir, thank you.
Moderator: Thank you. Requesting attendees to raise their hand for further questions. The next question is from Kunal .
Kunal: Thank you, sir. So , one on the ALS, for which we are doing the clinical trial for ZYIL1. If you could provide some colo ur on the disease landscape in terms of number of patients, potentially current treatment lines, and where are we planning to differentiate?
Dr. Sharvil Patel: So, I think more detail, I would definitely request Arvind to give you specifically . But on broader side, today, there are no critically

approved treatments for ALS. ALS is one of the classified o rphan , rare diseases that exist. So , there is a sizable population of patients, both in India, if you look at it from a home market point of view

, or obviously in US and other countries. So , a highly unmet need exists for patients with ALS. As you know, the lifespan is meaningfully only two to three years or less or around that period. So , it is a very debilitating disease. And as I said, with currently no class of treatment that is very effective, we see a good opportunity for Usnoflast in this area. Our Phase II trial recruitment is over. And if everything goes well, if we see good data and good blood barrier penetration, this will move into a rapid Phase II(b) or Phase III directly from a global program point of view. So , we are quite excited. I think the timeline for this trial would be shorter because of the need and the endpoints. So , it looks good in terms of a speedy development timeline for this drug , if we are able to meet the critical endpoints and the safety margins that we are required to do so.

And as I said, this therapy class has a broader opportunity in any motor neuron disorder. So , ALS is our first target. We will continue to explore Parkinson's as the other indication. And then , there are some other opportunities beyond that. But currently we are focused on these two indications.

Kunal: And one on the Saroglitazar . I think we had got some FDA voucher of… I think, fast -track designation or orphan drug designation . If you could remind us what that is and how that helps us in terms of development timeline or the exclusivity ?

Dr. Sharvil Patel: So, we do have both those status . I think we don't have a voucher . Voucher you achieve when you get full approval. And then , if you still maintain both of those things, then you get a voucher. But I think voucher is not something that we are built in for right now. But we do get expedited review depending on the competition at that point in time and how many drugs are approved. So , I think , coming next financial year, we can give you more update once we file the NDA to suggest whether we are still in . We are definitely in the orphan space, but whether we are also in the fast -track space or not.

Kunal: Sure, sir. And any update on our recent compliance issues at J arod facility? How are we planning to tackle it? Have we submitted more detailed CAPAs or have we kind of onboarded some consultant to resolve those observations?

Dr. Sharvil Patel: Yeah, I think we're taking it very seriously to make sure that we address the concern s. So, as a first step, we have obviously done

the response to the FDA in terms of the remediation that we have done and continue to do. The second aspect is to request the FDA for a meeting to talk about our long -term plan with both these sites, which we hope to do over the next quarter. And post that , we can keep you more updated to see how do we tackle the observations at the site. But we are working very closely to do so and we'll keep you updated if we have any more updates on that.

Kunal: And are there any compliance -related expenses already baked into our Quarter 1 number?

Dr. Sharvil Patel: So, right now , we are not using any external faculty. So , currently we don't have any external expenses . But whatever has to be built in , has already been built in.

Kunal: Sure, sir. Thank you and all the best.

Moderator: Thank you. The next question is from Nitin.

Nitin: Hi sir. Thanks for taking my question. Sharvil bhai, on the US business, this year, obviously, because of the Revlimid , as well as Mirabegron playing out the way it is playing out , and next year, we still have meaningful Revlimid tailwinds for us. Now, I mean, when you look at the US business, say FY27 onwards . I mean, do we have enough drivers in the business to really grow on the top of the high base that we'll end up creating in ‘25 and ‘26?

Dr. Sharvil Patel: Yes, I think , we do still have a good amount of pipeline of products to come through. Second, as I said, we do have some settlements w

hich allow us sole exclusive launches in the years to come, which are meaningful. And so I think between the portfolio and exclusive launches, we do see an opportunity to continue to do well. And as I said, on the base business, we will continue to grow. So , we hope to continue to do that with the new launches.

Nitin: Thanks. And secondly, in the past, you've talked a bit about your

plans for a) injectables and b) transdermals. So, if you can just give us a little more update on where we are on a complex injectable plans and on the transdermal launches ?
Dr. Sharvil Patel: So, I think in transdermals, I think we are still couple of years away from full scale up. So , I think that business will continue to get built. On the injectables front again, I think most of our drug device kind of products are a few years out. So , nothing in the short term that we see. Many of these are more than a couple of years down the line plans. Transdermals is more nearer, but injectables is still a couple of years out.

Nitin: Okay. And secondly, on the India business . We 've had a pretty good growth in this quarter. I mean, we have seen a meaningful pickup coming through in this business and improvement in momentum over the last few quarters now, as you've been highlighting. I mean, over th is period of time, has there been a proportionate or meaningful increase in that domestic business profitability also , qualitatively?
Dr. Sharvil Patel: Yes, I think with the double -digit growth that we have delivered, we have seen good improvement in profitability also. And as I said, our sort of critical growth booster brands and key launches are now more than 45 % plus of our business and growing very fast. So once that business becomes 60 -65% of our overall growth driver, we will continue to see this strong momentum on growth.
Nitin: So, when you look at the next two years for the domestic business, what kind of market outperformance should one look forward to?
Dr. Sharvil Patel: I think we do expect to do better than market and register double digit growth.
Nitin: Okay. Thank you, sir.
Moderator: Thank you. The next question is from Alok.
Alok: So just a question which is pending on As acol HD. Any update on that? Anything on the competition side?
Dr. Sharvil Patel: Yes, I think we still build for competition in this financial year. We were assuming there was some competition coming, but we haven't seen it yet.
Alok: And as per your intelligence, what is keeping the competition away?
Dr. Sharvil Patel: I think it's a difficult product to develop. So , we took quite a while to do it. I guess people are also struggling.
Alok: Okay. And for the US for this year, how many new product launches are being planned?
Dr. Sharvil Patel: 25 plus.
Alok: Okay. All right. That's it from my side. Thank you.
Moderator: Thank you. The next question is from Tushar.

Tushar: Sir, just firstly on generic Vascepa . How has been the scale up in this product? Are we now to the run rate where we expect to be , or we are yet to reach that stable run rate?
Dr. Sharvil Patel: No, we are far away. We will requir e, I mean, right now it's not at the run rate that we expected because of the capacities that we're not able to get from our partner. But meaningfully, I don't think anything in this calendar year can happen.
Tushar: Understood. So, is the capacity constraint on account of the regulatory issue at the partner's side , or the capacity build up itself is going to take much longer?
Dr. Sharvil Patel: The capacity build up. And pricing is very poor. So , we don't want to do it at this pricing.
Tushar: Understood. S ir secondly, just a clarification on EBITDA margin guidance of 28-29%. we are already at 29% . But this quarter was heavy both in terms of, let's say, Revlimid and consumer wellness compared to say the four quarters of F

Y25. And subsequently, it is going to be again, the fourth quarter to be of such kind of

phenomenon. So still 2 8-29% guidance ? Is it possible to call out
other niche products in FY25, which can help sustain such kind of
profitability apart from…?
Dr. Sharvil Patel: Last year, we achieved 27.5%. And our current guidance update
for this year is about 100 -150 basis points, better than FY24.
Tushar: Understood. And as the earlier participant was asking, this is
considering Asacol HD competition. So , if that doesn't come true,
we have scope to further improve the margins.
Dr. Sharvil Patel: Yes.
Tushar: All right.
Moderator: Thank you, Tushar . As there are no further questions from the
participant s, on behalf of Zydus Life Sciences Limited, that
concludes this conference. Thank you for joining us. And you may
now disconnect your lines and exit the webinar.

END OF TRANSCRIP T

Call: Nov 2024

November 19, 2024

Listing Department Code: 532321
BSE LIMITED
P J Towers, Dalal Street,
Mumbai-400001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai-400051

Sub: Transcript of the post results earnings call held on November 12, 2024 pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations")

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company's Q2 FY25 post results earnings call held on November 12, 2024.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY

Encl.: As above

"Zydus Lifesciences Limited Q 2 FY25
Post Results Earnings Call"

November 12, 202 4

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - HEAD, INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Ganesh Nayak : Good afternoon, ladies and gentlemen . Welcome to our post results teleconference for the quarter ended September 30th, 2024. For today's call, we have with us Dr. Sharvil Patel, Managing Director, Mr. Nitin Parekh , Chief Financial Officer, Mr. Arvind Bothra, Head of Investor Relations and Mr. Alok Garg from the Managing Director's Office. Let me now give you a broad overview of the developments during the quarter.

I am happy to inform you that we delivered strong double -digit growth during the quarter on the back of sustained growth across all our key businesses. Our India branded formulations business continue d to outgrow the market with 10 % year on year growth driven by healthy volumes and contributions from new products. The consumer wellness business continued to see robust demand in all categories. The US formulations business continued its upward journey with a robust year on year growth driven by volume expansion and new products launched over the last 12 months. The international formulations business comprising of the emerging markets and Europe , also delivered strong growth on the back of resilient demand across markets during the quarter.

With that, let me take you through the financial numbers for the quarter gone by. We registered consolidated revenues of Rs.52.4 bn, up 20 % on a year -on-year basis. EBITDA for the quarter was 14.6 bn rupees with a growth of 28 % on a year -on-year basis. Our operati ng profitability continue d to improve as the EBITDA margin for the quarter stood at 27.9 %, which is an improvement of 170 basis points on a year -on-year basis. Improvement in EBITDA margin was despite 185 basis points year on year increase in our R&D spend. Net profit for the quarter has gone up by 14 % on a year -on-year basis despite increase in tax expenses due to certain one-offs and stood at 9.1 bn rupees. We had a net cash position of 25.9 bn rupees as at 30th September 2024 as against the net cash of 8.6 bn rupees as at 31st March 2024.

Now let me take you through the operating highlights for the second quarter of FY25 for our key business segments. Our India geography , which comprises of formulations and consumer wellness businesses , accounted for 38 % of the total revenues during the quarter and grew 10 % year on year. As mentioned earlier, our branded formulations business in India grew faster than the market during the quarter with 10 % year on year growth. The business outpaced the market gro

wth both in the chronic and acute segments. Portfolio of key pillar brands and innovation products registered strong volume growth , driving the overall performance during the quarter. We launched 12 new products

(including line extensions) with 4 first -in-India launches. The business grew faster than the market in key therapies of Cardiology, Gastro -Intestinal, Respiratory, Anti-infectives and super specialty therapy of Oncology. On the super specialty front, we continue to hold leadership position in the Nephrology and Oncology therapies. Contribution of chronic portfolio has increased consistently over the last several years and stood at 41.8 % as per IQVIA MAT September 20 24, an improvement of 400 basis points over the last 3 years . Our consumer wellness business recorded revenues of 4.9 bn rupees, up 12 % on a year on year basis, primarily led by strong volume growth of 8.4 %. Both the personal care segment and the food & nutrition segment performed well , driving the overall performance of the business. Our US business accounted for 47 % of the consolidated revenues during the quarter with revenues of 24.2 bn rupees, up 30 % year on year. We launched 4 new products during the quarter. We filed

8 additional ANDAs and received approval for 9 ANDAs (including 3 tentative approvals) during the quarter.

On the international markets front, all key markets delivered robust growth during the quarter despite ongoing political and economic challenges in some countries. Overall, the business posted revenues of 5.4 bn rupees, up 20 % year on year.

On the operations front, the USFDA issued an Establishment Inspection Report (EIR) with a VAI status to our transdermal formulation facility located in the Ahmedabad SEZ against an inspection conducted in the month of July , 2024. During the quarter, the USFDA issued a warning letter to our injectable facility located at Jarod near Baroda. We are working closely with the agency to implement necessary corrective action s and preventive action s for early remediation of the facility.

This concludes the business review. I will now request Dr. Sharvil Patel to take you through the key drivers across businesses as well as initiatives in our innovation program. Thank you.

Dr. Sharvil Patel : Thank you Mr. Nayak and good after -noon ladies and gentlemen . It is a pleasure to have you all today on the call. We are pleased with our performance during the quarter and the first half of this fiscal year. All our business continued their momentum from their previous fiscal and delivered healthy growth numbers. We are on track to achieve our aspirational growth and profitability for the fiscal year of 2025. We remain committed to augment our innovation efforts to drive long term growth across all our

businesses and generate improved outcomes for all our stakeholders.

On the India formulations front , our branded business delivered double digit growth on the back of strong execution. Our sustained thrust on innovation led by our patient centric approach has enabled us to build a healthy pipeline of novel and differentiated products and solutions aimed at fulfilling varied unmet healthcare needs of our patients. Consumer wellness business continued to witness healthy demand across categories , indicating sustained consumer preference for our brands. Our R&D capabilities continue to be on the forefront , helping us to launch new products and extensions to capitalize on emerging consumer trends. The recent acquisition of Natur ell (India) Private Ltd., a leading player in the health y snacking category , which is a fast-growing segment , will enable us to offer more product choices to the health and wellness conscious customers.

In the US, we have built significant capabilities to enhance patient care and treatment options in the form of comprehensive generics products portfolio, specia

lty play through LiqMeds acquisitions and investment in rare diseases space. This , coupled with strong customer relationships, a pool of manufacturing facilities with capabilities to produce diverse dosage forms and an agile supply chain will ensure sustained growth trajectory for the US business going forward.

On the international markets front, the focus remains on growing the business in chosen therapy areas across key geographies by leveraging our global R&D portfolio of differentiated and complex generics as well as specialty products.

During the quarter, we forayed into animal free fermentation - based protein business by forming a JV with Perfect Day Inc. through the acquisition of 50 % stake in Sterling Biotech Ltd. The JV will establish a stat e-of-the-art manufacturing facility that will cater to the global markets. It will accelerate the production of high quality and eco -friendly protein products, reduce environmental impact and cater to the growing consumer demand for fermentation -based and ethically sourced nutrition. Post the formation of the JV with Perfect Day Inc., we entered into a business transfer agreement with the JV to acquire its API business. This business has a fermentation -based product portfolio with the capacity to produce 1600 kilo litres of API and hence , a very good strategic fit for us.

Our innovation pipeline across different areas continues to make progress and achieve desired milestones. With this, let me share some material developments on the innovation efforts during the quarter.
On the NCE front, our data monitoring and follow -up is going on post completion of patient recruitment for the Phase II(b)/ III clinical trial of Saroglitazar Magnesium for PBC indication and also the Phase II(b) clinical trial of Saroglitazar Magnesium for the Metabolic Dysfunction Associated Steatohepatitis known as MASH indication for the US market. We completed Phase II(a) clinical trials of Usnoflast in India for Amyotrophic Lateral Sclerosis (ALS) indication during the quarter. The molecule was well -tolerated in a 12 week, Phase II(a) trial with target levels achieved in both plasma and Cerebrospinal Fluid (CSF) of ALS patients. It showed favourable trends towards reduction in Neurofilament Light Chain, an established biomarker of neuro degeneration in the CSF of ALS patient s. Improvement in ALS function rate scale (ALSFRSR) and slow vital capacity were also observed. We initiated a Phase II proof of concept trial of Desidustat in partnership with the ICMR in patients with sickle cell disease. The partnership marks a pivotal step towards developing new therapies for combating sickle cell disease.
In the biotech R&D space, we completed patient recruitment for a Phase III clinical trial for one of our biosimilars and the follow -up has also been completed. We also completed pre -clinical t ox studies for one of the biosimilars and applied for clinical trial permission to the review committee on genetic manipulation.
On the vaccines front, we completed Phase II clinical trials for Hepatitis E vaccine during the quarter. Recently in the month of October, Typhoid Conjugate Vaccine , which is known as Zy Vac TCV, received in -principle acceptance from the WHO. With this acceptance, ZyVac TCV is now eligible for the purchases by the UN agency. Thank you and now we can start with the Q&A session. Over to the co -ordinator for the Q&A.
Moderator: Thank you very much Sir. We will now begin question and answer session. Anyone who wishes to ask a question may raise your hand from the participant tab on your screen. Participants are requested to use headphones or earphones while asking a question. The first question is from Kunal Dhamesha .
Kunal Dhamesha : Hi Sir! Thank you for taking my question. The first question is on the tax expense. Nitin Sir mention that there are some one -offs.

So, can you highlight or quantify the one -offs and how should we expect the ETR to pan out for the rest of the FY25?
Nitin Parekh: So, effective tax rate for the year would be 24 -25% . One -off refers to one provision in terms of one time MAT credit taken last year , which reduced the effective tax rate and also , in this year, the R&D spend in different entities across globe , where the tax rates are different, that has pushed the rate little bit. But this is only quarter phenomena . For the year as a whole , it will get equalized to around 25% .
Kunal Dhamesha : Sure Sir. Thank you on that and just continuing on the R&D expense , which was obviously meaningfully above our range that we have suggested. So , how should we think about R&D? Is it some one -time trial cost which is factored in this quarter and should we expect normalization from here and what's the outlook beyond FY25?
Dr. Sharvil Patel: So, as I said, R&D spend on quarter basis , is difficult always to estimate but the guideline for the full of FY25 is around 8% of revenue, is what we believe will be our R&D and going forward

also, I think , currently at least for the near future, we are looking
at same percentage.
Kunal Dhamesha : Sure Sir , and one last with your permission. On the guidance, we had suggested something like high teens topline growth guidance and year on year improvement in EBITDA margin for FY25. Are we still sticking to that? Is there an update there?
Dr. Sharvil Patel: Ya, ya, we are ahead of our estimates.
Kunal Dhamesha : So, is there a new estimate or new guidance that you would like to give or we should…..?
Dr. Sharvil Patel No, no, we are comfortably , we should be able to achieve the estimates.
Kunal Dhamesha : Sure Sir. Thank you. If I have more questions, I will join back the queue and all the best.
Moderator: Thank you. Next question is from Neha Manpuria.
Neha Manpuria: Ya, thanks for taking my question. Just on the 2 acquisitions that we announced. The first one, as a part of the wellness business , how big is this business that we acquired and any other details you can give? The second one is on the Perfect Day JV . Is this for the CDMO piece that we are setting up this facility? By when can

we expect commissioning of this facility as a part of the JV that would help please?
Dr. Sharvil Patel On the consumer health front, the business that we acquired of RiteBite Max Protein and its range of products is about 130 crores in annual revenue and obviously it allows us to play in the healthy snacking and we have always indicated that we would like to play in the protein malnutrition/nutrition space . So, this gives us a good area to enter. The brand is obviously a market leader in its category with strong growth and continues to be a leader also in all segments, whether it is general trade, ecommerce, modern trade also. So , we are quite excited with the opportunity. With respect to our joint venture related to Perfect Day, it is going to be, I mean in a way, you call it as a CDMO because it is going to do development also. So , it is not only manufacturing but develop and manufacture large scale fermentation of the protein isolate of milk, which is the whey. We do believe that this will be a large global opportunity with large global consumers , who have already tested and have looked at making this as a part of their resilient supply chain. So, we see this as a tremendously large opportunity to have an animal free derived protein product which can also have a significant ESG benefit.
Neha Manpuria: By when can we expect the commissioning of this facility? Any capex that you would want to highlight on the manufacturing facility?
Dr. Sharvil Patel : Ya, I think , more details we can give over a period of next couple of quarters but we do hope to start the construction of the facility in the next 2

months.
Neha Manpuria: Ok. And my second question is on the gross margins. Obviously , we have seen the benefit of our US pipeline reflect on the gross margins. If we were to look at the gross margins of the base business, is there anything that is materially changed between, from last year to drive this significant improvement besides the high value launches that we have in the US, in the gross margin? What's the sustainable level of gross margin that I should look at beyond this year?
Dr. Sharvil Patel : So, on the US, as I said, it’s all because of the portfolio. So , one is the base business which continues to still grow despite the different challenges that we hear about in the US but one thing which is good, is our base business continues to grow. We are quite disciplined when it comes to, how do we do business in terms of financially . Are we making sure we are doing the right product at the right price and right margin? So that continues and

it's quite healthy. And we still continue to have a lot of near -term opportunities over the next 1 -2, 2-3 years , where we are going to have major big launches. So , we are looking to obviously continue to build our portfolio in the US and continue to make sure that we not only continue our base business but also have products where we will see exceptionally good returns also.

Neha Manpuria: Understood! And these opportunities would be as large as Mirabegron was for us in the next 1 or 2 years?

Dr. Sharvil Patel : So, Mirabegron will still continue for the coming financial year and post that, as we have always said that, in FY27, we have 2 large major launches. So , we would continue to see an uptake in the business until FY28 -29.

Neha Manpuria: And Sir, last one , Mirabegron, any comment on the turn in events when it comes to litigation? What should be the timeline and if not the timelines, what are the events that we should look for, your view on what's going on, on the litigation front?

Dr. Sharvil Patel : Ya, so I think, litigation is always unpredictable . So, I think it is not something imminent. It is at least a few quarters, 1 or 2 quarters out. I don't think we will have anything more credible in the short term from our best estimate.

Neha Manpuria: Got it, thank you so much.

Moderator: Thank you. The next question is from Bino .

Bino : Hi, good afternoon. Just a follow up on Myrbetriq . Sharvil bhai , can we get some idea, quarterly Myrbetriq run rate , is it pretty much the same q-o-q, in Q1 and Q2, and will it continue similar going forward?

Dr. Sharvil Patel: Sorry. Can you repeat the last part? I didn't hear you well.

Bino : Yeah, Mirabegron. My question was, is the quarterly run rate similar for Q1 and Q2, and is it likely to be the same going forward for the next few quarters?

Dr. Sharvil Patel: I think the run rate is going up. The conversion is also going up. So, we would start to see better numbers .

Bino : Okay. Coming to Asacol HD, the competitor has launched the product I believe. What are you seeing on the ground, any price erosion, market share loss, etc .?

Dr. Sharvil Patel: Yeah, so , we are seeing competition in the market and currently what we are seeing , I mean, as per our assumption, we are, I would say in a good place , in terms of what we assume would be market share loss and also price loss. So that is our , as per our estimates , and you will get to see that impact in quarter 3 this year . Also, yeah, the speed of it has been a little slower. So , that has been good for us. Speed of conversion has been slower.

Bino : Yeah. Understood. One last question on Revlimid , generic Revlimid. So, you have this revenue bulked up in Q1 and Q4. So, I assume , Q4 of this year , we will see again and possibly Q1 of next year.

So, but coming into FY 26, you know, the exclusivity is lost before the Q4 of FY 26. So, should we assume that the generic Revlimid run rate would be roughly half plus some volume increase as per your agreement in FY 26 versus FY 25? How do we think about it?

Dr. Sharvil Patel: No, we get more share in FY 26. So, we are still hoping to achieve , I mean, I don't think there'll be any drop in revenue .

Bino : And all that will be booked in Q1 ?

Dr. Sharvil Patel: Q4, Q1 is our , always our expectation .

Bino : Yeah, b ut in FY 26, before Q4 ….

Dr. Sharvil Patel: Yeah, FY 26 will only be Q1 .

Bino : Only be Q1. Still, there won't be a Y -o-Y drop.

Dr. Sharvil Patel: No.

Bino : Understood. Thank you. I'll join back to queue.

Moderator: Thank you. The next question is from Surya Patra. Hi Sur ya, requesting you to unmute and ask your question.
Surya: Yeah. Thank you, sir. Thanks for this opportunity and congrats for the good set of numbers. My first question is on the gross margin again. See, this quarter, obviously we have not seen the benefit of the Revlimid and Revlimid is a kind of a sizeable opportunity , what we have witnessed in the previous two quarters . And although that is not there, though there is some benefit of Mirabegron is visible, but the gross margin is remaining as it is like Revlimid contributing gross margins. So, what is driving this or this quarter?

Because you are also indicating Mirabegron q-o-q would not be significantly large enough. So, what is driving this , sir?
Dr. Sharvil Patel: So, obviously Revlimid is down versus the last quarter but the uptick on Mirabegron continues. So, I think I did say q-o-q there is an upt ick, not stable. So, we see an improvement but in quarter 3 we will see obviously the impact on Asacol, which was less in this quarter. So yeah, that is the current state and again, as I said, quarter 4 will again become very large because of generic Revlimid.
Surya: Yes. And whether you have indicated about Mirabegron FY 26 remaining a kind of strong year as well , sir?
Dr. Sharvil Patel: I mean, it's always based on litigation and what happens. But as with our best estimate today, if it continues , it will remain important.
Surya: Okay. So, regard s the US business, see since long that we have been talking about a series of kind of complex product opportunities, including the in -licensed ones. And just in your opening remarks also, you mentioned about key complex product opportunities in the near future. Could you give some sense about the kind of pipeline opportunity that we are talking about?
Dr. Sharvil Patel: Yeah, so I think , some obviously we have already spoken of like the Palbociclib generic version or the Riociguat a lso, which is also settled. So those are more sure and finite in terms of launches. Beyond that, in terms of our partnership, we have also spoken about a large franchise that we're trying to create on the 505(b)(2) and generic injectable side. And we announced recently if you had read also, we announced a gadolinium, you know.
Dr. Sharvil Patel: Similarly, we are seeing a few more 505(b)(2) that we are looking to file and launch immediately. So, I think we have a healthy pipeline of In -licensing products, which we will get to see . On Cabozantinib , obviously the judgement was not completely , it's partly good, partly in not in favour. So , that appeal will continue, and we'll see how that goes. But despite that, I think on the BD&L efforts, we are seeing significant traction in being able to license high value or limited competition or even 505(b)(2) with patent life kind of products. And that is only getting better. So, I would say, over the next three years, we would see a significant value from the BD&L opportunity beyond what we are obviously filing ourselves in terms of first to file and day one launches.

Surya: Sir, is

it possible to share some more colour about the Viwit pharmaceutical in-licensing and sir, you mentioned about this gadolinium and MRI injectable ?
Dr. Sharvil Patel: So, as I said, it's right now for two of the products. And upon approval, we will commercialise these products. And we have created a capability of a sales team in the US to be able to do some of these things also.
Surya: How big this opportunity could be , sir? I t is a genericized opportunity. It is a kind of NDA opportunity .
Dr. Sharvil Patel: It's limited competition. I don't think there is a generic version today in the market.
Surya: Okay.

Dr. Sharvil Patel: Exact size of the opportunity , I won't be able to today give you an estimate, but it will be niche but valuable.
Surya: Okay, just last one question, sir, about the animal health business, what we have been aspiring for and taking some interesting strides on that front. So, could you give some sense of what is the kind of over the next three year period, let's say how important and how sizeable this could be ?
Dr. Sharvil Patel: So, as I said, for us, US, we have decided that we are going to make , we have focus on US. So , we have three, four legs of growth that we are targeting in the US and participating in a larger ecosystem. One is obviously the generics business, where we are large at , scaling up injectables, which is our second area that is scaling up, also launching competitive generics where you are late to market, as well as also now animal health products. And we are creating a complex, I mean, products which are good, valuable where we are sort of first generic into the market, like we are on the brand side or on the generic side, human generic side, also launching complex technology driven products in the animal health space. So , that will be the other leg of growth for us. And finally, obviously on our rare and speciality product is the final area where we are seeing a significant scale up on Sent ynl coming up and becoming in the next two years, valuable and also obviously our own pipeline of our NC E molecule, which will be more future driven. So, it's a basket of business that we will do . Specific only to the animal health , is has done very well. It's ahead of our estimates on margin and has done good. So, we hope to continue to invest behind it and build it. As I said, we are a serious player in this. Not only do we do R&D, we also do manufacturing

and then obviously sell. So, we have built an end -to-end capability and Zydus generally builds the end -to-end infrastructure to be more relevant and long -term player in the US. So, we hope to remain a long term committed player in the animal health space in the US.
Surya: Sir, thank you. Wish you all the best.
Moderator: Thank you. The next question is from Kunal Dhamesha .
Kunal: Hi sir. Thank you for the opportunity again. I just missed the name of the second product, which could be important for us in US apart from the palbociclib. Can you please share that?
Dr. Sharvil Patel: Riociguat .
Kunal : Riociguat. This is the brand name or ….?
Dr. Sharvil Patel: Molecule.
Kunal : Okay. Sure, sure. And s ir, on the typhoid conjugate vaccine, where we have received the WHO pre-approval. If you could share, I mean, something on the total addressable market and how are we planning there? And you know, what else do we have in the pipeline, you know, to kind of make this business more sustainable?
Dr. Sharvil Patel: Yeah. So, I think currently on TCV, UNICEF is, obviously with the approval on prequalification, we can participate in the UNICEF tenders. UNICEF is the largest procurer of TCV Vaccine. And over in this coming year, obviously, we will participate in the annual tender. The annual tenders generally range from 80 to 150 million doses. So, we hope to take a small percentage of that share, and that cou

ld be very meaningful and sizeable for the organization . Beyond TCV, we are also looking forward to also getting our MR vaccine qualified very soon. So once that happens, that will be also an opportunity for the UNICEF tenders. But beyond that MR, there is also an India tender coming up very soon and we are hopeful we will also participate in that tender. So, I think , finally , I would say that in terms of meaningfully scaling up vaccines, we are going to start to see that from FY 26 and FY 27.

Kunal: Sure sir. But do we have any, you know, like aspirational target in

mind that we want to scale this business to some number based
on the pipeline that you have right now ?
Dr. Sharvil Patel: So, as I said that the opportunities are very large because when I
talk about just for TCV, it's a 80 to 150 million doses tender

volumes and over a period of 2 to 3 years. So, I think, as I said,
from our revenue and what revenue we have today, it will be
quite meaningful. But the scale up , I think we can only talk about
once we win certain tenders. But these are not small tenders. And
the competition is only between one or two or three players. So,
we believe that we can definitely take a small part of that tender
meaningfully and become sizeable.
Kunal: Sure. And sir this tender you said it's for 2 to 3 years. So, is it up
for a renewal now in this year?
Dr. Sharvil Patel: Yeah, I think , we will see that in this coming FY 26 there will be a
tender on TC V and then following year, probably MR.
Kunal: Sure. And sir one question on the US business . In this quarter,
would you have seen any negative pricing action on Asacol ? The
market share loss might be more visible in Q3, but is there any
shelf stock adjustment that we would have taken in our revenue
for Asacol ?
Dr. Sharvil Patel: I think larger impact you will see in quarter 3, but yeah, we would
have taken some in quarter 2 also.
Kunal: Sure, sir. And beyond, you know let's say FY 25 , for FY 26 , any key
products ? Because Palbociclib and maybe the other product that
you talked about is slightly longer -term opportunity. But from FY
26 perspective, would you like to share any key products that we
might be having in our pipeline?
Dr. Sharvil Patel: Yeah. So, if FY 27 and 28 obviously are the two years where you
will see the other two . In FY 26 , we have obviously our internal
pipeline of products that is going to be important. We will see
quarter 1 Revlimid also, which will be important. And then we are
going to see a full year of the 505(b)(2) or on the whole Sitagliptin
franchise, which would be quite meaningful. And we can talk
about it more in the fourth quarter . But we believe that will be a
very important and significant value creator for the , as an
important class for 505(b)(2) with success. And then, as I said, we
do have some impending launches on the injectables front. Also, a
505(b)(2) injectables if we succeed. So, there are quite a few
products that are lined up for FY 26 . But I would say the bigger
chunk of products will come in ‘27 and ‘28. But we are still seeing
FY 26 also in terms of maintaining our current base of business.
Kunal: Sure, sir. Thank you and all the best.
Moderator: Thank you. The next question is from Harsh Shah.

Harsh Shah: Yeah. Good afternoon, sir. So, my first question is on the overall
direction of the business. You have partially answered the
question. Could you just….. ?
Dr. Sharvil Patel: Harsh, sorry, but we are finding it very difficult to understand you.
Harsh Shah: Is this better?
Dr. Sharvil Patel: Yeah. Yeah.
Harsh Shah: Yeah. S ir, part of the question you might have answered, but just
wanted to get a bit of more clarity in terms of the direction of the
overall business. For H1 , of course, we have overshoot on the
guidance but now , as we stand today on the higher base of
revenue with the pea

k of Revlimid almost behind us and then
Mirabegron and Cabozantinib having its own challenges. How do
you see FY 26 and FY 27 panning out in terms of growth and
margin? If you can, you know, share some light on a bit of FY 26
and 27.
Dr. Sharvil Patel: So, our guidance is , FY 26 in the US , we will see growth over FY 25
and which is depending on what ever portfolio and this is despite
Asacol competition. And that is our current guidance. And FY 27

and 28 are obviously meaningfully very large because we have large opportunities , where we have assured launches coming up where we are Day 1 exclusive. So, the trajectory from at least from this point of view and guidance is this . While Asacol of course, is the challenge , Revlimid will still be a good quarter 4, quarter 1 product, and going forward, Mirabegron still remains . It still is growing quarter on quarter. So, I don't see any slowdown on Mirabegron.
Harsh Shah: And on margin front, we will stick to 27% plus kind of a number, or we might see some erosion there ?
Dr. Sharvil Patel: No, we hope to maintain our FY 25 margins , guidance of 27
Nitin Parekh : Guidance that we have given of 100-150 basis point over last year. That will continue.
Harsh Shah: Okay. Okay. And a bit of qualitative question. With the US elections behind us now and the talks about this new government coming in, do you foresee any major challenges, any major regulatory challenges from what has been the policy of the new government that will be coming into effect?
Dr. Sharvil Patel: I mean, I would not be the right person to answer that. But today, in the US, 60% of what is consumed in the US is made in India in

terms of prescription volume. So, I would say , we are in a good place to continue to build on that.
Harsh Shah: Okay, sure. Thank you so much.
Moderator: Thank you. The next question is from Bino .
Bino : Hi. Thanks for taking the question again. Just two follow up questions. One on the tax rate . For this year , you have guided to around 24 to 25%, but that is much higher than previous last two, three years consolidated tax rate. Of course, this year , this quarter , we had some one offs. But FY 26, will it come down back to around 2 0 - 21% which was earlier tax rate, or will it stay high at 24 - 25% ?
Nitin Parekh : Earlier Bino, we got benefit of MAT credit available, but over a period of time , we have started utilising them. So, we will not be left with more MAT credit now. Also the benefit , which we have for backward area in Sikkim that also somewhere in ‘26 and ‘27 is not going to be there. So, we will be then, you know, coming into normal tax rate. Having said so, because while we look at the consolidated tax rate, it constitutes of different entities having different kind of tax rates and therefore you may find something here and there , 1% plus minus. But on the whole that is where guiding for 24 to 25% kind of effective tax rate .
Bino : Understood . Sharvil bhai , this Riociguat , is that your own product or a partnered product ?
Dr. Sharvil Patel: Partnered.
Bino : Okay. And would you be the only , would it be a sole exclusiv ity launch?
Dr. Sharvil Patel: Yes.
Bino : Okay, great. Thank you.
Moderator: Thank you. Next question is from Rahul Jeevani .
Rahul Jeevani : Yeah. Hi, sir. Hope I am audible.
Dr. Sharvil Patel: Yes.
Rahul Jeevani : Yes, sir. Sir, on the Sitagliptin 505(b)(2) opportunity which you spoke about for next year . Sir, next year the Sitagliptin generic market also opens up in mid -2025 and there are already, let's say, around 8 to 10 generic companies who have tentative approval on the product. So, with the generic market opening up on

Sitagliptin next year , so, what kind of a traction do you think you would be able to garner for your 505(b)(2) product?
Dr. Sharvil Patel: So, two things . One is, it is not 25 , it is 2

6 , the patent . May be you can check and I also can check, it is not for 25 . So, we have one more year. And we have as I have always said, yeah, so the

opportunity we are seeing is obviously launching our branded franchise of Sitagliptin . So, we see FY26 will be the most meaningful year. But going forward , we have a long term contract with the US government for supply for 3 years which will continue even after genericization.
And also , because we are building part of the branded business , we hope that post genericization , some part of it we may be able to manage share. But leaving that aside , at least the government business is going to continue for a longer period of time and FY26 may be the larger opportunity on the retail side which may not be substantial in the next year. But for sure , the coming year will be quite meaningful which we can obviously explain more in Q4 also.
Rahul Jeevani : Sure, sir . And this government channel , how big is this on Sitagliptin ?
Dr. Sharvil Patel: It is a valuable business for the company. It becomes a good molecule for us just on that business.
Rahul Jeevani : Sure, sir. And we would need to put up a sales force for this 505(b)(2) product or would you market it through the team which Sentynl might have.
Dr. Sharvil Patel: No, we don't need any marketing team . As I said , we can give you more flavor by Q4. But we are seeing some very good opportunity on it.
Rahul Jeevani : Sure, sir . Thank you. That’s it from my side.
Moderator: Thank you. The next question is from Damyanti.
Damyanti: Hi, good afternoon. I hope I am audible?
Dr. Sharvil Patel: Yes.
Damyanti: Okay, thank you. My first question is , you mentioned about , like good launches lined up specially in ’27 and ’28. So, can you update us, will that include few transdermal products also which I think we have talked in the past ? And if you can update us on what is the current portfolio looking like in terms of transdermal supply ? How do you see scale up ? And similarly , how do you see

your injectable portfolio building up over the next few years in terms of sales ?
Dr. Sharvil Patel: We have total of 8 transdermal filing so far . Out o f which, we have 2 pending approvals left. Out of this , 1 is certain and the other 1 may not be certain. From our point of view, we just recently , I mean we already have the Estradiol combo pack that is already launched in the market. Before that , we obviously had already one transdermal launch. Recently, we did launch Scopolamine Transdermal patch. And going forward , we hope to add twice weekly Estradiol which is also approved but we need to add scale that up, and Clonidine as the future product. Beyond that , we also have some more hormonal patches that are under development and to be filed which will get launched. So, that’s where we are on the overall transdermal business.
On the injectable side of the business , as I said , we continue to file complex drug device combination products in the US. Beyond that obviously , we are actively licensing injectable products whether it is in the contrast media range for radiology or some of the niche like the dyes that we have licensed where we launched Methylene Blue, in future, Indocyanine Green and a few more coloured dyes in the future. So, we have a whole host of differentiated niche products also in the injectable side which we will launch , beyond obviously the large drug device combination products that are also being filed.
Damayanti: Sure. So, currently to your total US sales , I assume injectable sales are like very small in terms of contribution? Can you just give us how much is currently coming from these products ?
Dr. Sharvil Patel: As I said , I think , for us and I also tried to talk a little earlier , I think we are looking at the whole US when we talk about , we look at the whole portfolio and we don't differentiate lik

e injectables,
orals or all of that because we are running it as a portfolio of

choices of products that we do. But I can definitely say that
injectables in the next 3 years will obviously scale up from today's
level and become more meaningful. But I think , for us , it makes
sense for us to talk about the overall portfolio rather than dosage
form because we don't do business like dosage form because it is
very similar ways of selling.
Damayanti: Just want to understand one more point in transdermals . What
we understand , in these market , I guess incumbents have largely
stable markets share , right, few incumbents and they have certain
market share. So, you enter that market, is it like easier to take

market share from existing players ? Here is it more gradual build
up which you generally see ?
Dr. Sharvil Patel: Yes, it is always hard to take market share, whether it is in any
product because we want to take market share with certain
margins. It is always a thin line in terms of whom you target and
how you target. But so far , in the two products that we are selling
we have had decent success.
Damayanti: Okay, that's helpful, t hank you. I will get back in the queue.
Moderator: The next question is from N itin Agarwal .
Moderator : Hi, Nitin, your voice is not clear.
Nitin Agarwal: Excuse me one second. Hello, can you hear me?
Moderator : Yes.
Nitin Agarwal: Thanks. Sir, two questions, one is on the India business . Any
thoughts on the business now ? I think , for the last few quarters ,
we have been performing well in line and above the market. So,
has the business now sort of turned around for good in your
assessment and where do we see the business over the next
couple of years ? What will be the drivers for this business from
here on?
Dr. Sharvil Patel: So, I think , as I said , our aspiration is to grow better than market.
We are in many quarters now doing as market or even better as
we have demonstrated and we hope to continue to deliver on
stronger growth . There are 2 -3 areas that is helping us . One is the
portfolio re -organization and focus has helped us in terms of
growth. So, our innovative portfolio as well as our growth booster
brands have both done extremely well and as that pie of the
business becomes larger and larger , that is contributing
meaningfully. Beyond that , there have been important new
launches that have been successful. So, not only have the existing
products been doing well, but the new launches have seen very
strong meaningful traction and they continue to also drive future.
Also , now our branded , our specialty portfolio or chronic portfolio
is now more than 41% of our overall business and that's also
improving its share in our overall pipeline , which also is allowing
us to have a more sustained growth. I think , all in all, all of these
things are giving us confidence that we can continue to deliver
better than market growth which is our aspiration.
Nitin Agarwal: Sir, in the domestic business , what proportion of business is really
coming from your innovative products now ?

Dr. Sharvil Patel: It is a good question. I don't think , right now , we have a breakup
like that that we give out. But I think give us some time , we will
start preparing a different overall innovative pipeline portfolio.
But I think individual breakup , we don't give right now.
Nitin Agarwal: If we take that forward, sir, on the innovation portfolio, or the
innovation R&D portfolio which is there, in the next couple of
years what are the milestones to really watch out for ?
Dr. Sharvil Patel: So, I think , the milestones would be market share obviously for
Saro, for Desidustat, for also the biologics that we are launching
and also some of the differentiated technology products where
we are first to market. If it is competitive , obviously it is market
share. But beyond that as I have always

said , we do strongly
believe that both Saro and Desidustat will obviously come in the top 50 but hopefully soon in the top 25 in terms of brands of the country and we hope to continue to build that. I think those kinds of rank of molecule will become more and more impactful going forward.

And as I said , when we are launching biologics and other products , we are now at least like I can talk about our Ujvira molecule . We have even higher share than the brand now both by value and volume. And also , if you look at the overall share in the oncology space , we are now potentially the largest Indian oncology player and growing the fastest in this area. Similarly , if you see Desidustat , if you see the traction that we are getting on Saro both by ourselves and our partners , we are seeing significant traction on these molecules. So, the innovative pipeline is definitely driving a lot of meaningful growth and creating larger house brands.

Nitin Agarwal: Sir, on this innovation pipeline , you know , from wherever you are undertaking global trials, what are the major milestones for you on the global approval perspective for these products ?

Dr. Sharvil Patel: So, the nearest product of ours is Saroglitazar . We just finished recruitment for a hybrid Phase II/Phase III trial. And in quarter two of next year , we will have a read -out. That will be one important milestone.

Our Usnoflast in ALS will start a Phase II(b) trial. So, that is still a little while away but that will be the next milestone of starting the next clinical development journey.

And on Desidustat , we are doing a trial in Sickle Cell Anaemia and we are also looking for something in the US in the defence space, so that is the other important milestone if we are able to achieve.

Beyond that , I think , we have large Phase IV trials going on in India to show the safety and efficacy of the medicine and a lot of publications that will all drive better value for the brands.

Nitin Agarwal: And, sir, on the R&D spend increase which has happened , you said it is going to be sustained around these levels, you know, which are the major areas where the increased R&D spends are going towards?

Dr. Sharvil Patel: So, yeah, obviously some part, as I said for us about 60%, 55 , it is half and half almost very soon , so half of it goes for development of whole complex generic , better than generic kind of portfolio.

And the remaining is for biologics and NCEs and for US development. In that , the largest cost is developing Saro for US right now because we are doing a large Phase III and that will continue. That’s the clinical development cost is one of the larger costs of the overall cost.

Nitin Agarwal: The last one, sir . On the emerging market , I think , you have had some pretty decent sequential growth in the business for the last few quarters now. What has really changed and how should we look at this piece, how should we look at this business going forward ?

Dr. Sharvil Patel: I think very strong execution, very strong portfolio of global products that are getting leveraged in all of these markets. More focus on branded business which is allowing us both consistency and profitability growth. Right selection of markets, we also entered new markets now like UK , Australia and we hope to add tactically more markets including Canada and others. So, I think , it has been overall I would strong strategy which led to strong execution, and also going forward we are seeing enough momentum of product portfolio as well as market still continuing to do very well in spite of obviously currency challenges, some geopolitical challenges that we do face market by market. But the portfolio is allowing us to continue with the strong double digit revenue growth and more importantly profitability growing faster than revenue.

Nitin Agarwal : Thank you . And if could just finish the last one, sir . On the US market , I think just to get it correct , you said that even the Mirabegron will continue to be a major product in FY26 for us.

Dr. Sharvil Patel: I think , the current litigation continuing , it will still continue in FY26, but how long it is very difficult to predict right now.

Nitin Agarwal: Okay, sir . Thank you so much.

Moderator: Thank you. The next question is from Vivek Agarwal .

Vivek Agarwal: Hi, thanks for the opportunity. Sir, you talked about Palbociclib as one of the key products in ’27 -28. So, just want to understand two things on this product, is it going to be a capsule or a tablet, if you can clarify ?

Dr. Sharvil Patel: Tablet.

Vivek Agarwal: Okay. So, in tablets , is it likely to be sole exclusivity or is it going to be like you are going to share with a few other players ? How the things are going to be?

Dr. Sharvil Patel: Our best estimate it will be sole, but there can always be an AG.

Vivek Agarwal: Okay, thank you. Any colour on capsules?

Dr. Sharvil Patel: No, I don't have any other update on it.

Vivek Agarwal: Okay . Thank you. That was from my side.

Moderator: Thank you. The next question is from Kunal Randeria .

Kunal: Hi, good afternoon, sir. Sharvil bhai, you mentioned timelines for Saroglitazar. So, what would be the realistic timelines for US filing and launch ? And how should we evaluate the potential considering that two players got approval this year and have a bit of a head start on you in the PBC indication ?

Dr. Sharvil Patel: Yeah, we had always , I mean in our estimate we always assumed that we will be third I mean , if lucky third or fourth, but I think we could be third to the market. As I said the major milestone is our initial read -out of our data in the second quarter of next financial year. If everything goes well then , we will go ahead for submission of the NDA by third or fourth quarter, mostly the fourth quarter and then about a year from there the launch. So, maybe , our estimate is Q4 of FY27 would be the launch which would mean first quarter of the calendar year ‘27.

Kunal : Got it. How do you kind of expect the market to kind of take a turn because even these two products are fairly new. And I presume your product will also be like a second line treatment. So, how do you evaluate this market by the time you launch this product?

Dr. Sharvil Patel: Yes, I think , obviously many moving parts on this. Right now , you know OCA is under regulatory action right now . So, potentially these other products , I mean this class of products will become maybe then the first line of treatment from second line and the other part is it will all depend on our data. If our data is at par or superior obviously depending on that situation, we will know how we will fare. So, very early to comment till we get to see our data. But if we are at par or better obviously the commercial value is quite valuable. If we don't have sufficiently equivalent data , then obviously we have to look at how do we commercialize it.

Kunal: Right. And just one clarity on this and this will be the first indication for Saroglitazar in developed markets, right, MASH and others will come later.

Dr. Sharvil Patel: Yeah, this we are only targeting in US PBC right now.

Kunal: Got it, thank you and all the best.

Moderator: Thank you . As this was our last question I would like to hand the conference over to Mr. Ganesh Nayak for the closing remarks.

Mr. Ganesh Nayak: Thank you very much and have a nice evening and well wish you a Merry Xmas and a happy new year and look forward to interacting with you in the month of February for our Quarter three results. Thank you and good night.

Moderator: On behalf of Zydus Life Sciences Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines and exit the webinar.

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F TRANSCRIPT

Call: Mar 2025

February 11, 2025

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BSE LIMITED
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Mumbai-400001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai-400051

Sub: Transcript of the post results earnings call held on February 5, 2025, pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations")

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company's Q3 FY25 post results earnings call held on February 5, 2025.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY AND COMPLIANCE OFFICER
MEMBERSHIP NO. FCS7063

Encl.: As above

"Zydus Lifesciences Limited Q 3 FY25
Post Results Earnings Call"

February 5, 202 5

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - HEAD, INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Ganesh Nayak : Good afternoon, ladies and gentlemen! Welcome to our post results teleconference for the quarter ended December 31st, 2024 . For today's call, we have with us Dr. Sharvil Patel, Managing Director, Mr. Nitin Parekh , Chief Financial Officer, Mr. Arvind Bothra, Head of Investor Relations , and Mr. Alok Garg from the Managing Director's Office. Let me now give you a broad overview of the developments during the quarter.
We are happy with another quarter of strong financial performance and remain on track to sustain the growth momentum going ahead. Our US formulations business continued its upward revenue trajectory with a high year -on-year growth driven by volume expansion in base business as well as new products launched over the last 12 months. Our India formulations business grew faster than the market with a secondary sales growth of 8% year -on-year. The source being IQVIA. The chronic segment outpaced the market growth driving the overall performance of the business. The Consumer Wellness business registered double digit growth for yet another quarter, aided by robust volume growth amidst a muted demand scenario in the industry. The international formulations business comprising of the emerging markets and Europe continue to deliver strong growth on the back of healthy demand across markets during the quarter and is emerging as a strong third growth engine for the company.
With that, let me take you through the financial numbers for the quarter gone by. We registered consolidated reve nues of ■52.7 billion, up 17% on a year -on-year basis. The EBITDA for the quarter was ■13.9 billion with a growth of 26% on a year -on-year basis. Reported EBITDA margin for the quarter was 26.3% versus 24.5% in quarter three FY24. EBITDA margin improved despite 250 basis points year -on-year increase in the R &D spend . Adjusted for certain non -recurring expenses, the EBITDA margin for the quarter stood at 28.1%. Net profit for the quarter was ■10.2 billion, up by 30% on a year -on-year basis. Our net cash position improved further to ■30.9 billion as a t 31st December 2024 as against the net cash of ■8.6 billion as at 31st March 2024.
Now let me take you through the operating highlights for the third quarter of FY25 for our key business segments.
The US business accounted for 47% of our consolidated revenues during the quarter with revenues of ■24.1 billion , up 31% year -on-

year and flat quarter -on-quarter . We filed 10 additional ANDA s and received approval for 3 new products during the quarter. We

launc hed 5 new products during the quarter. New launches include all three brands of Sita gliptin 505(b)(2) franchise, viz. ZituvioTM, ZituvimetTM and ZituvimetTM XR tablets . We entered into an agreement with CVS Caremark to add ZituvioTM, ZituvimetTM and ZituvimetTM XR tablets to its formulary. These products were added to the formulary from the 1st of January 2025.
Our India geography, which comprises of formulations and the consumer wellness business es, accounted for 38% of the total revenues during the quarter and grew 7% year -on-year .
Our India formulations business delivered 5% growth during the quarter on a high base of the previous year. During the first nine months of the fiscal, the business grew by 9%, outpacing the market growth. Portfolio of innovation products sustained the growth momentum and continued to deliver strong volume growth during the quarter. The business gained market share in key therapies of Cardiology , Respiratory, Anti-Infectives , and the

super speciality therapy of Oncology. On the super specialty front, we continue to strengthen our leadership position in the Oncology and Nephrology therapies. Contribution of the chronic portfolio has increased consistently over the last several years and stood at 42.4% as per IQVIA MAT , December 2024, an improvement of 370 basis points over the last t hree years.

Our consumer wellness business recorded revenues of ■4.5 billion, up 13% year -on-year with 4.8% volume growth. The personal care segment, which comprises of Nycil and Ever Yuth brands, witnessed strong demand and achieved a robust double - digit growth for the quarter. This segment has continued its upward t rajectory over the last several quarters. The EverYuth brand continues to gain market share in the scrub, peel off , and overall facial cleansing category. During the quarter, we completed the acquisition of Natural (India) Pvt. Ltd., a leading healthy snacking company having a portfolio of nutrition bars, protein cookies, protein chips , and health food products , thereby foraying into the consumer snacking space.

Our international markets formulations b usiness delivered robust growth during the quarter wit h revenues of ■5.7 billion, up 16% year -on-year .

This concludes the business review. I would now request Dr. Sharvil Patel to take you through the key drivers across businesses as well as initiatives in our innovation program. Thank you.

Dr. Sharvil Pa tel: Thank you, Mr. Nayak and good evening, ladies and gentlemen. It is a pleasure to have you all on the call today. We are happy to inform you that our clearly articulate strategy backed by careful portfolio selection, deep innovation pipeline, execution excellence, and supply chain resilience is yielding the desired results as we ended the calendar year with a strong double -digit growth and robust profitability . We're confident of meeting our growth and profitability aspirations for the fiscal year 2025 . We remain committed to address diverse healthcare needs of the patients by expanding our offerings across therapies , by leveraging our innovation engine and in turn, enhance stakeholders' value.

In our US generics space, we have built a comprehensive product portfolio across different dosage forms and therapies and remain focused on streamlined execution of the same. On the specialty front, multiple levers such as the 5 05 (b) 2 products portfolio , the LiqMeds portfolio, the rare diseases assets are in place and aimed at fulfilling various unmet healthcare needs of patients globally. This, coupled with strong customer relationships, a pool of manufacturing facilities with capabilities to produce diverse dosage forms and an agile supply chain will ensure sustainable growth

trajectory for our US business going forward.

On the India formulations front, our business grew faster than the market on a YTD basis. Our endeavour is to strengthen the position across focus ed therapies through multiple levers. Our sustained thrust on innovation led by our patient centric approach has enabled us to build a healthy pipeline of novel and differentiated products and solutions aimed at fulfilling the various unmet healthcare needs of the patients .

On the international markets front, the focus remains on expanding presence in chosen therapy areas across key geographies by leveraging our global R&D portfolio of differentiated and complex generics as well as the specialty products .

On the innovation front, we continue to make steady progress paving the way for healthier future. Our innovation engine has consistently delivered multiple treatment options in an affordable manner, making them accessible to a large set of patients and in turn, generated strong volume s for us.

With this, l et me take you through some of the material developments on our journey on innovation during the quarter.

On the NCE front, we have received FDA approval to conduct a Phase II(b) clinical trial of Usnoflast , a novel , oral NLRP 3 inflammasome inhibitor , in patients with amyotrophic lateral sclerosis, ALS. The study will evaluate the efficacy, safety, pharmacokinetics , and pharmacodynamics of the molecule in adult subjects with ALS. Recently, the FDA has granted an orphan drug designation to this molecule, Usnoflast for the ALS indication. The orphan drug designation provides eligibility for certain development incentives, including tax credits for qualified clinical testing, prescription drug user fee exemptions , and a potential seven -year exclusivity upon FDA approval .
Data monitoring and follow -up is going on post the completion of patient recruitment for the Phase II(b)/III clinical trial for Saroglitazar Magnesium for the P BC indication and the Phase II(b) clinical trial for the molecule for MASH indication for the US market . We are looking forward to the Phase II(b)/III trial data readout for P BC indication towards the end of this calendar year.
In the biotech R&D space, we completed a Phase III clinical trial for one of the biosimilars and have submitted an application to the DCGI seeking its permission to initiate Phase III clinical trials for one of the biosimilar antibody drug conjugates (ADC). On the novel biologics front, we received permission from the Review Committee, which is the RCGM , to initiate pre -clinical study for one of our antibody drug conjugate s (ADCs).
On the vaccines front, we completed a Phase I clinical trial for a Bivalent TCV vaccine during the quarter.
Now , onto our specialty business. The USFDA has accepted for filing and granted six months priority review to Sentynl Therapeutics Inc’s NDA of CUTX -101, a copper histidinate product candidate for the treatment of Menk es disease. The NDA was supported by positive top-line clinical efficacy improvement in overall survival for the Menk es disease subjects who received early treatment with CUTX-101.
I'm also very happy to inform you recently , our Chairman , Mr. Pankaj R Patel was conf erred with the Padma Bhushan, one of the highest civilian honors by the Government of India for his contribution in the field of Trade and Industry . We extend our heartfelt gratitude to all our investors and business partners for their unwavering trust and continued support of the Zydus Group over the years. Thank you and now we'll move to the Q&A session. Over to the coordinator.

Moderator: Thank you , Sir. We will open the call for Q&A session. We will wait for few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. Ple

ase raise your hand from the participant tab on the screen to ask the questions. The first question is from, Surya Narayan Patra .
Suryanarayan Patra : Yeah. Hello, am I audible?
Moderator: Yeah.
Suryanarayan Patra: Thank you, Sir. Thank s for the opportunity. Couple of questions. First question is that about the US business. Obviously, we have seen a sequential decline. So, how much of that is because of the kind of competition in Asacol HD and how much is that because of, let's say, the base business weakness? That is one part and the second part of the US question is that Mirabegron supply, the export momentum from India, if you see , that looks really robust , while the execution, it seems not at par with the kind of export that we are making or the kind of inventory build -up that we have done. So, how should we think and how longer this Mirabegron

opportunity can be considered for us ?
Dr. Sharvil Patel : Thank you, Mr. Surya. So, I think first of all, I don't think we have
any critical or any sequential decline between the last quarter and
this quarter and this quarter , we have not had any sale of
Lenalidomide, which would have been there in the earlier quarter.
So, actually both the base business as well as our new launches
are doing well and that has led to a better momentum for our
business despite not having Lenalidomide . With respect to your
second question, could you repeat the second question again ?
Suryanarayan Patra : Yeah, the second part of the same question was about the
Mirabegron. So, the export momentum looks really robust for
that from India, but the execution on that front in terms of the
revenue that you would be booking look limited compared to the
kind of inventory buildup that we are making there in US?
Dr. Sharvil Patel: There is no inventory buildup, which is not normal for an exclusive
launch . So, we don't have inventory build -up, and we would keep
certain amount of inventory obviously, which we do for every
product depending on between 90 days to 120 days , depending
on what criticality of the product is there . There is no exception al
inventory buildup and Mirabegron continues to have better
optics.

Suryanarayan Patra : So, that means , is it fair to believe Sir, this is the kind of a peak
quarterly run rate in the Mirabegron, it has already been achieved
and possibly as long as it continues , the opportunity, we will be
around this level?
Dr. Sharvil Patel: No, I would not say that.
Suryanarayan Patra : Okay. Second question is on the Sitagliptin franchise what we are
building it up. So, we have two opportunities in that. One is the
government supply opportunity, what you have already indicated
and second is the kind of the arrangement , supply arrangement
that we have done with the CVS. So, how big this opportunity
could be considering both , because you would be there in this
product before as a branded product before the genericization of
the product and what would happen post genericization to this
franchise and obviously your US government supply will anyway
continue. So, how should one think this opportunity? Can it be a
kind of the biggest product revenue contributor in the US given
both these two opportunities?
Dr. Sharvil Patel So, Sitagliptin combination from the 505(b)(2) speciality place, I
think has been a great success for the company and probably one
of the rare successes that somebody has seen on an overall
505(b)(2) . So, obviously , we have secured a long -term contract
with the government which will continue. We have also the CVS
deal plus some smaller deals that will continue and this would be
a valuable product for us in terms of the revenue that we are
going to generate as a new product launch. Also, this has led to
the effort and success of Sita is also leading to us being able to
now have almost seven 505(b)(2)s commercialized in the US with
patent ex

clusivities and also we continue to believe that in the
next few quarters , we will have at least three to four more new
licences on 505(b)(2)s for the future. So, as a portfolio, I think the
505(b)(2) franchise with the success of our first seven l aunches ,
we are going to see good amount of opportunity as an area of
interest for Zydus as to build it out forward.
Suryanarayan Patra : Okay. But could you give some sense about the cumulative size of
the opportunity that we can have? Hello. Am I audible, Sir? Is it
possible to quantify at least the government opportunity, is it in
the range of let's say few 10s or a couple of $100 million
opportunity over the period of contract?
Dr. Sharvil Patel : It's a meaningful opportunity, but I think we're not going to do
product wise breakup of revenue, which we have always
communicated. We can talk about the portfolio and how the
portfolios are faring and I said we have now seven 505(b)(2)s and

we continue to believe that in the next few quarters, we'll have four more licensed products on the 505(b)(2) side.

Suryanarayan Patra : Yes Sir. One book -keeping question. See in the presentation what we do see that the employee cost and the R&D cost, it looks like that it has been adjusted among them. So, t he reported the BSE format , employee cost number is not the same that is mentioned in the presentation . So, are you doing any adjustment to that and hence your margin as it is reported in the presentation is different than what we do find ?

Nitin Parekh : R&D cost in this quarter is higher than the previous quarter, but R&D costs , we every time say that it should not be viewed for a for a particular quarter, it should be viewed on a running basis.

Suryanarayan Patra: No, even employee cost I was talking about, Sir.

Nitin Parekh : Sorry ?

Suryanarayan Patra: I was talking about the employee cost.

Arvind Bothra : Surya, I think there is some misunderstanding on the SEBI format. The R&D cost and the employee cost are separated over there. I will take it offline with you, so that , you know , others get a chance. Maybe we can move on to the next participant. You can call me after this call.

Suryanarayan Patra : Sure, sure.

Moderator: Thank you, Surya. Requesting participants to limit their questions to two. The next question is from Neha Manpuria.

Neha Manpuria: Yeah, thanks for taking my question. It seems , I think in the opening remark , you mentioned certain non -recurring costs in the quarter . If you could please quantify the same and where these are allocated, you know , to get to that adjusted margin that you talked about?

Nitin Parekh : So, these are, you know, classified in other expenses. Some of them are marketing related , more in terms of legal and professional fees and also some extra -ordinary expense like GST loss on inventory destruction.

Neha Manpuria: And how much would these be broadly?

Nitin Parekh : We will share separate numbers with you later on. I don't have right now all the numbers with me.

Neha Manpuria: Okay. I'm just wondering as to why you know a marketing spend or a legal or professional fee would be considered non -recurring because you know, I'm assuming there is some amount of lumpiness in that spend quarter -on-quarter, right? So, is there any specific reason why we are calling this as non -recurring?

Nitin Parekh : So, non -recurring because of some specific legal and professional assignment relat ed to some acquisition that we have done and GST loss on inventory destructed was ■17 crore.

Neha Manpuria: Okay. Got it.

Arvind Bothra : Neha, I will revert with the exact number and align it separately.

Neha Manpuria: Understoo d. Okay. Thank you so much. And my second question is on the 505(b)(2) portfolio and speciality portfolio. You know, in terms of the size, I don't want product specific numb

er, but in terms of the size, you know, what is the 505(b)(2) like as a percentage of our revenue or whatever you're comfortable with and how big can this get you know for the company as we launch more products, you know, could this be you know, 5%, 10% of the business of the US business or any, you know, qualitative color in terms of how big this can be? I understand you have a lot of launches, but if I were to quantify that in terms of size , as a percentage of US business that will help us understand the stickiness of this revenue?

Dr. Sharvil Patel : So, on a 505(b)(2) front, there are 2 -3. One is obviously our Sitagliptin franchise which obviously is a significant value and important launch and product for calendar year 25 and w ill

continue in terms of post genericization with at least the
government contracts . The other 505(b)(2)s are our partnered
505(b)(2)s that we have with partners and those revenues are, I
mean more than the revenues are more of profit -sharing
agreement . So, they're not high on revenue, but they're very high
on margins and profits and a bsolute amount of profits also. So,
that's the current portfolio . Going forward , we have few
505(b)(2)s as we believe market making can happen . We can
discuss that, but it's not going to happen in the next one year for
sure . So, overall, it's still a modest revenue size other than
Sitagliptin being a very significant value.
Neha Manpuria: Understood. And my second question is on, you know CUTX -101.
Given that we have you know USFDA date on this in six months .
How are we thinking about commercialization of this asset, I
mean just trying to understand if I have to put some value, how

should I think about, you know what we're going to spend, how
we're going to commercialize the asset?
Dr. Sharvil Patel: So, we are already ready for commercialization. The teams have
already been created in Sentynl and it's already been prepared for
launch . I think from most of that point of is all on track and once
we launch, we can give better idea about how we are preparing ,
but currently in terms of preparedness for launch, we are
prepared .
Neha Manpuria: And you know, given this is a rare disease asset, you know, how
should we think about pricing? You know, typically you know
there are different metrics to use for pricing of a rare disease. So,
you know what would be , I'm not asking you for a price, but in
terms of methodology, what should be the right way to look at
pricing for this asset?
Dr. Sharvil Patel: So, these are extremely rare diseases with very small patient
population . So, with looking at the investment and the thing,
obviously these are in those, the price brackets are in those
products which are in those rare brackets. So, that's how you can
look at it, right.
Neha Manpuria: Okay. So, I can benchmark it against the usual rare disease
assets?
Dr. Sharvil Patel: Yeah.
Neha Manpuria: Okay. Perfect. And my last question on Saro . I see that we have
delayed the readout. I think it was expected in the second
quarter of this calendar year. Now, if I heard it correctly, you
mentioned end CY2 5, So just wanted to confirm that, is there
been a little bit of a delay in the ?
Dr. Sharvil Patel: We will probably still see it in third quarter, end of third quarter.
So, we just meant to say this calendar year.
Neha Manpuria: Okay, okay, okay. Got it. Thank you so much.
Moderator: Thank you. The next question is from Anubhav Agarwal.
Anubhav Agarwal: Yeah. Hi, good evening to all. One question is on the US market.
So, sequentially put, the US sales include one quarter plus sales of
Sitagliptin because if you are starting for 1st Jan, you would have
already supplied inventory . Have you already booked that
revenue in this quarter? Hello, am I audible?
Dr. Sharvil Patel: Sorry?

Anubhav Agarwal: Am I audible?
Dr. Sh

arvil Patel : Yes.
Anubhav Agarwal: Sorry, was my question heard or should I ?
Dr. Sharvil Patel: No, I think we missed the first half of your question . I just heard
that Sitagliptin book sale revenue, so .
Anubhav Agarwal: So, the question is that in US sales in the December quarter, have
we already booked one quarter normalized sales of Sitagliptin
because if you're starting with Jan 25 with CVS, we should have
already supplied that or built inventory in the US?

Dr. Sharvil Patel: No, we have not. Though we have government sale that have been continuing, but we have not booked all the sale.
Nitin Parekh : So, Anubhav, on the question of you know our supplying to US, that is not booked as a sales here because it only gets booked as a sales only in standalone accounts. But to the extent it is not sold in US, it is, you know, reversed in terms of consolidated accounts. The sales means only sales to third parties that way.
Anubhav Agarwal: Yeah, yeah, I'm with you on that. My question was that, you know, if contact is starting with CVS on 1st July, you would have already shipped to CVS before that, that's what I'm asking?
Dr. Sharvil Patel: We have shipped , but it is not that we have shipped everything.
Anubhav Agarwal: And in this quarter, the gross margin sequentially were quite lower, while US sales was flattish, India was largely similar. So, what is the reason that the gross margin declined sharply sequentially?
Nitin Parekh : Business and product mix.
Anubhav Agarwal: No, but anything you want to ?
Dr. Sharvil Patel: We don't have Revlimid sales this quarter.
Anubhav Agarwal: But you didn't have Revlimid in the September quarter as well?
Dr. Sharvil Patil: We had Revlimid this last quarter.
Anubhav Agarwal: Oh, is it ? Okay.
Dr. Sharvil Patel: And also Asacol has come down, right, so cool quarter.
Anubhav Agarwal: So, what has helped you guys maintain the US sales sequentially? What has gone up in this quarter for you guys versus September quarter?

Dr. Sharvil Patel: So, there are 3 -4 things. One is obviously , the base business has done much better. We have also secured many long -term contracts because of supply surity that is required. The new product launch es, all sort of some scaling up has happened in this quarter and obviously Mirabegron sales have also happened.
Anubhav Agarwal: So, Mirabegron sales also have been higher sequentially. Okay.
Dr. Sharvil Patel: Sequentially , yes.
Anubhav Agarwal: and between the two opportunities on Sitagliptin , government contracts versus CVS, qualitatively which one will be larger of the two pieces?
Dr. Sharvil Patel: We have to see, but short -term will be the CVS. Long -term may be the government , could be the one accumulative.
Anubhav Agarwal: Sure. Sure. My last question is on Usnoflast . In terms of when you see the molecule versus Radicava for example, how is this molecule placed because Radicava is the I think the only option right now for ALS. In the initial science, when you've seen it so, in the trial that will plan, it will be noninferiority versus Radicava or will it be an absolute basis? How are seeing th ese molecules versus Radicava ?
Dr. Sharvil Patel: Today, the trial that has been designed has been designed because there's no currently approved treatment for ALS. So, it has to be a placebo -controlled trial. So, this is not going to be a comparative trial, because according to the FDA, there is no , nothing approved to date.
Anubhav Agarwal: That is fair, but patients are still being given Radicava right in the market, right?
Dr. Sharvil Patel: Yeah, but FDA is not going to give an unapproved treatment to test.
Anubhav Agarwal: Okay. It's a fair point now. I agree with that.
Moderator: The next question is from Bino .
Bino : Hi, good afternoon. A couple of questions from my side. Sharvil bhai, what's the la

test update on Mirabegron litigation, how do you expect to pan out , any timelines?
Dr. Sharvil Patel: So, it's still under litigation . So, I think it's very difficult to give any timelines. But as I said, this potentially has the chance to continue for a longer period of time.

Bino : Understood. Second, on your expenses, if I could take all your
expenses, employee, R&D, other expenses etc., you know roughly
the expenses have gone up by 30% YoY for nine months. Of
course, you mentioned about some one offs in the quarter, etc.,
etc. But still this 30% jump how , do we justify this and how we
look at it going forward ?
Dr. Sharvil Patel: You are talking about R&D expense , sorry .
Bino : All put together. R&D , other expense, employee expense etc. All
the fixed costs, if I may put it that way .
Nitin Parekh : So, as we said, you know there are about 95 crores worth of
expenses in this quarter, which are of a non -recurring nature ,
which includes about 51 crore of provision for incentives ,
especially given our achievement in US business . Also , we paid
about 27 crores of legal and professional fee of one-time nature
and 17 core of GST payment, because of inventory destruction.
So, about 95 crore is of one of f nature. Also , when you look at
expenses of this year versus previous year, previous year did not
include , you know , the full impact of you know, expenses of
acquired units like LiqMeds, now Natural . So, those things are
also, you know, playing their role and you know our new sites
which you know , whe re ther e are additions of people in the
current year.
Dr. Sharvil Patel : Manufacturing sites.
Nitin Parekh : Manufacturing sites.
Bino : Understood. And you said there is also some incentives related to
the upsides in the US business, is that correct?
Nitin Parekh : Yes. Yes.
Bino : Okay. Got it. And one last question, if I may squeeze in. This
quarter , you have a very high forex gain about 182 crore , out of
size compared to other quarters. How does that, where does that
come from?
Nitin Parekh : That's because how you know dollar has behave d. You know ,
how the dollar is, you know and the rupee has weakened. So, it's
not a nothing like you know notional. It’s a completely realized
real gain and we fortunately don't have any foreign currency debt
right now . So, we don't have anything in negative side. We have
everything on positive side. So, yes, this has helped . The current
rate, it seems like , is likely to stay in, you know, continue

strengthening dollar and therefore , I think this gain is of business
gain, it is not one -off gain.
Bino : Understood. So, for example , your receivables are completely
unhedged and because of the rupee depreciation, this gain has
come.
Nitin Parekh : Yeah, it's a completely open , natural hedge position for us and
that's the position for last many years now.
Bino : You don't hedge any receivables at all?
Nitin Parekh : No, no.
Bino : I will join back in the queue. Thank you.
Moderator: Thank you. The next question is from Vishal Man chanda .
Vishal Manchanda : Thanks for the opportunity. Hope I'm audible .
Dr. Sharvil Patel : Can you be a little louder please? Thank you.
Vishal Manchanda: I have a question on CUTX-101. So, basically wanted to
understand whether we have been able to qualify for a screening
test here? So , kind of , is there screening test approved for ne o-
natal ?
Dr. Sharvil Patel : You said screening test, right? Hello ?
Moderator: Vishal, we are not able to hear you clearly. Hi Vishal, a re you
there?
Dr. Sharvil Patel : May be we can take the next question and wait for Vishal .
Moderator : Okay . The next question is from Bino .
Bino : Hi. Thanks again for giving me a board again. In terms of Asacol
HD, is the intensity of competition fully visible in Q3 numbers,
assuming there

is no further entry of competition ?
Arvind Bothra : Which product Bino , we know we could not hear you properly?
Bino : Asacol HD .

Dr. Sharvil Patel : Yeah. No, currently Asacol , we will see further competition in Asacol once the CG T exclusively gets over. So, potentially , at least one more player.
Bino : Oh okay. I understood and second on Revlimid , how do we think going forward? Typically , your revenues come in Q1 and Q4 . So, I assume that Q4 will have a good chunk of Lenalidomide. Going into FY26 , by Q4 , the exclusivity of the generic settlers will be over . So, should we assume that you will have Revlimid only in Q1 next year? And would that mean that for the full year , it will be less than this year?
Dr. Sharvil Patel : So, I think it's still a moving scenario . We can't 100% say exactly how it will happen, but our best estimate to Revlimid sales for this calendar year will be , it will be spread across t he year. It will not be just a one month or two -month or one quarter kind of phenomenon because the buying will not happen altogether , is our best estimate right now.
Bino : Understood. But for the financial year, n ext financial year would Lenalidomide be equal to , below or higher than current financial year ?
Dr. Sharvil Patel : So, a lot of scenarios to play out, but with more share, even with lower price, we hope to , at least we can maintain this year's momentum.
Bino : Understood . Thank you.
Moderator: Thank you. The next question is from Nitin Agarwal.
Nitin Agarwal: Can you hear me?
Dr. Sharvil Patel : Yes, I can hear you.
Nitin Agarwal: Just taking off on the previous question . Sir, you know in the last call, you shared a couple of large launches in F27 that'll come through for us . That's more like a second half of F27 opportunity . So, after bulk of the Revlimid is sort of done , are we looking at essentially a situation where there's going to be a period where there are not many big launches or launches will sort of take care of a lot of the delta between Revlimid and the ex-Revlimid business for the time, as some of the bigger launches being kicked?

Dr. Sharvil Patel: So, I think see, one , we have a portfolio of product s that we wish to continue to launch beyond this one offs that we have. Looking forward, if you look at FY26 also, we still believe that assuming some of the scenarios which may pan out , we will s till see a high single digit kind of growth, at least for the US overall geography for us and that is what our best estimate is. But going forward , we do have 25 to 30 plus new launches that will continue to happen with some of them being important as well. So, I think with that and also base portfolio continuing to remain resilient and strengthening and the new products gaining more share, which we have launched in this year and the earlier year , I still believe that the portfolio wise we are still very comfortable. Obviously, w e'll see big jumps in FY27 because of exclusive launches that we will get to see. But we should be able to still have a healthy portfolio in the coming year.
Nitin Agarwal: Oh, t hat's very encouraging, Sir . Because 25 is a pretty large year for us. We have got a large Revlimid component plus Mira begron and on that if you're able to grow in single digits next year, that's pretty commendable , you know, if that's the outlook that we're running with.
Dr. Sharvil Patel : Yeah, that is the best estimate r ight now, yeah.
Nitin Agarwal: That's great and secondly, on the emerging market piece . Sir, what has really changed in this business over the last three or four quarters , we have s een very meaningful pick up and consistent pick up coming through on that part of the business.

Dr. Sharvil Patel: I think , it's, I would say most of the geographies are doing extremely well. We did have a hiccup in Brazil,

which is also recovered. So, I think even that was the only market that was underperforming to some extent and that has a lso recovered . So, I think it's a strong execution across markets . It’s been the portfolio of products that we have launched in these markets, which are, some are complex, some are first generics , and other areas of interest and we have added new markets also in the Middle East and Saudi. So, I think expansion , same markets doing also better branded business so, better margin profile and also risk mitigating some of the difficult market. I think all in all, I think the mix of geographies and the portfolio has helped the EM and will continue to I think continue , we see good visibility of strong growth and improvement in profitability further.

Nitin Agarwal: And this business is what ? This is above corporate , in line with corporate profitability or this is a you know, how should you if you were to just broadly qualitatively assess , given a sense on the profitability of this b usiness overall ?
Dr. Sharvil Patel : No, it is not above compan y’s profitability, but I very strongly believe that it can achieve 23 plus percent EBITDA margin in the next one or two years.
Nitin Agarwal: That was great and the last one . Sir, on the GLP1 , specially Semaglutide . Sir, how are we approaching this opportunity? Is this a relevant opportunity for us? I mean, in India , emerging markets , US obviously follows in much later. But how should we think about our play in GLP ones?
Dr. Sharvil Patel : So, the first is US, o bviously we have one for , we have filed in the US and that opportunity is much later . In India, w e hope to be in the first wave launches with our own Semaglutide franchise with some unique differentiation and similarly, we would like to build this differentiation in the emerging markets also both with the current formats and new format. So, yeah , we will be playing in the Semaglutide m arket starting with India first.
Nitin Agarwal: And Sir, what is the level of integration here? You know, are we making our own API as well as the formulation?
Dr. Sharvil Patel : We are making our own API and form ulation and we have a second source also. So, we are back , we have de-risked also including devices.
Nitin Agarwal: There has been a lot of talk about some of the large market China, Canada, Brazil opening up, you know in F27 . Would we be there in the 1st wave of launches in these markets or are we going to be following later?
Dr. Sharvil Patel: Currently, we don't have immediate China plans . So, I doubt we'll be in any first wave. But we do have plans for the other EM markets.
Nitin Agarwal: Okay. Thank you so much.
Moderator : Thank you. The next question is from Vishal Manchanda.
Vishal Manchanda: Hello. Yeah. am I audible?
Dr. Sharvil Patel : Yeah.

Vishal Manchanda: So, I have a question on CUTX -101. So, one thing I want to understand is what is the duration of treatment? Is this a chronic treatment that children will have to take life -long or will this be a fixed duration treatment, say 2 -3 years?
Dr. Sharvil Patel: Life-long.
Vishal Manchanda: Life-long, okay. And second like , do we have a neo -natal screening test that's approved for Menkes as of now?
Dr. Sharvil Patel: No. That's something that we have been working with the professionals to build a sensitive test for neonatal screening. But because this product has been under clinical trial for a very long period of time with a strong patient registry, there is already a set of significant amount of patients who will be on treatment and

new patients are getting identified.
Vishal Manchanda: Say like , as you had discovered in the clinical trial, early treatment can significantly prolong survival . So, would this not mean you need to kind of identify the patient immediately at birth?
Dr. Sharvi

l Patel: Yeah. Well, not at birth, but very soon.
Vishal Manchanda: Okay. So, any chance you would have the test approved this year prior to approval or will that take longer?
Dr. Sharvil Patel: No, I think the test is not question of only doing the test. The test has to be approved. The test needs to go through every state approval. It needs to go through , make sure that the dry bloodspot test they can detect this and with the current equipments that the centers use. So, it's still , it's not a short -term opportunity. We've been working on this for two years . So, we believe that it's an important area to succeed in, but we currently , I don't think at launch we will have that yet.
Vishal Manchanda: Okay, okay. And second one is on the LiqMeds portfolio . Do you expect any large launch this year or next year?
Dr. Sharvil Patel: Yeah, this year. Yeah , there are two products.
Vishal Manchanda : Okay. So, this year, they're scheduled for launch this year?
Dr. Sharvil Patel: Yeah, one is just launch ed, and one is about to be launched.
Vishal Manchanda : The one is the one that you're talking about is Imatinib Oral Solution.

Dr. Sharvil Patel: That is to be launched now, yeah.
Vishal Manchanda : Okay and would this be large opportunities since you paid a large premium for the acquisition?
Dr. Sharvil Patel: So, because you just said the second statement of large premium, I do not believe we have paid any large premium to this acquisition . But I think it's a very, I would say it's a good acquisition that we have done and it's doing better than what we expected. So, we haven't paid any significant premium.
Vishal Manchanda : Okay. And just one final one.
Dr. Sharvil Patel: The sizable profitable business right now.
Vishal Manchanda : Right. Sir, just one final one. So, when you in license a product or partner a product, you would pay an upfront payment. Is that upfront payment capitalized on the balance sheet or you expense it on the P&L?
Dr. Sharvil Patel: I mean current , all, whatever we have done licensing the most of them are , all of them are , expensed out right now. But if we have very, very large long -term programs which will take years, yeah.
Nitin Parekh : When it's a product acquisition, then product is capitalized in the books, but anything which is under development and we are acquiring and thereafter there is a spend, everything is revenue expenditure.
Vishal Manchanda : Got it Sir. Thank you. That's all from my side. Thank you.
Moderator : Thank you. The next question is from Suryanarayan Patra.
Suryanarayan Patra : Yeah. Thanks for the opportunity again, Sir. One clarification that or update rather . Sir, what is the update about the pact with CMS what w e have done for Desidustat and when this could be a kind of a revenue generating opportunity for us ?
Dr. Sharvil Patel: So, the milestone in terms of filing with the Chinese regulator has already happened and obviously there the new product approvals do take time. So, i f best case scenario is this year or the coming year in this or next year, we should see approval.
Suryanarayan Patra : Okay and regard s the domestic business , in the opening remarks that you had mentioned that, okay , the secondary sales growth looks better than the kind of a market trend. But w hat are the

trend s that you're facing in the primary side , it is looking relatively modest growth it looks like ?
Dr. Sharvil Patel: On a YTD basis , we have grown at 9% with this quarter growth of 5% and which is better than market . As I said , last year we had a high base of growth of almost 17% on the corresponding quarter

to that , so t hat's the base effect, but we are on track to deliver better than m arket growth.
Suryanarayan Patra : Okay. Got it. Yeah. Thank you.
Moderator : Thank you. The next question is from Saion Mukherjee.
Sai

on Mukherjee : Yeah. Hi, good afternoon, Dr. Sharvin, y ou know, one question on the specialty business. I just want to understand, you know, what's the P&L impact currently, specifically, if we can highlight the front end expense that you're currently incurring at Sentynl in this financial year and also on the research and development, how much you know you are spending and going forward, you know, how should we think about these spend and in that context we have done some inorganic moves with respect to specialty, any thought, any color you want to because now you have a good cash on books as well. So, if you can just take us through, you know, your thoughts on spending on specialty both in acquisition and through the P&L , what is currently and how you're thinking going forward?
Dr. Sharvil Patel: So, I'll add and if m aybe then Nitin bhai , if he wants to add anything more . So, we have two front end businesses, the Sentynl Therapeutics and Zydus Therapeutics . Sentynl is already commercial stage company, but with currently 2 products which is scaling up . I think post CUTX launch , we believe that FY26, we can see break -even for this business . So, currently there is still , I mean , commercialization cost going on , but with the three products, the business will break even and turn profitable. With respect to Zydus therapeutic, currently majority of our investment are in clinical nature. In FY26 and F Y27, we would see commercial expenditure coming up for a launch of Saro . I think the better time for us to give update would be after we do a readout of Saro and then talk about how fast we're going to build the commercial footprint, but currently most of the cost has been clinical cost in nature with the small commercial cost in terms of critical talent being hired, but the large amount of expansion will only happen after a readout, and maybe we can give that guidance after that.

Saion Mukherjee: If you can share the numbers Nitin bhai in terms of like R&D spend and also the Sentynl losses if you can highlight for this year?
Dr. Sharvil Patel : Could you r epeat sorry the question ?
Saion Mukherjee: Yeah, I mean I'm looking for the R&D spend on specialty overall which probably is largely in Zydus Therapeutics and also the Sentynl loss, EBITDA loss this year ?
Nitin Parekh : So, once we have our calendar year accounts of 2024 ready, we will share that number because we'll have subsidiary accounts of Sentynl available, we'll be able to share the number. Otherwise, you know, R&D o f Zydus Therapeutic is a part of overall R&D spend.
Saion Mukherjee: Yeah. Can you share approximately like what percentage of R &D was spending on specialty?
Dr. Sharvil Patel: So, I think it changes right ? Because all our , most of our cost on Saro are over in terms of recruitment and follow up now and then the next cost will be on continuing the trial post data. So, I think it's not that it sometimes can be, then sometimes it's not there at all. So, m y point is, it's in the o verall R&D spend that we do as part of that cost and Sentynl doesn't have any major R &D sp end.
Saion Mukherjee: Yeah, I mean, I was wondering, you know, R&D spend has gone up this year versus last year. So, I'm wondering .
Dr. Sharvil Patel: No, I mean, as a portfolio of specialty complex products is about 35% of our spend. NC Es, biologic , some vaccines and specialty products.
Saion Mukherjee: Okay. And just one another question, if I can ask on GLP 1. So, Dr. Sharvil , how are you sensing this opportunity in India and other emerging markets because most of the companies are indicating they would be in the first wave. So, is the dynamics going to be

any different? Any c olor you can provide where the challenges are
and how you think Zydus is sort of placed in all the complexities
that this prod

uct presents ?
Dr. Sharvil Patel: So, I think , I would say first is the complexity . I mean I can talk a
little bit about India first . First is the complexity of the API, which
is sort of now readily available for most companies. I would say
that challenge is gone for us, we are backwards so, only good part

is we would see less disruption, but we also have an alternate
source, so, we have both options.
The second is the formulation and we have two formulations for
the franchise, and we look forward to, you know, creating some
differentiation for us. The third is obviously the device and we
believe the device will also play an important role and I think we
are sort of good on the device, not that we are exclusive, but we
are good on that device. So, I would say that's the first part. The
second is to finish the clinical trial in India and be ready for launch
on time. So, well, many companies will do it. All companies will
not be able to do it, so we'll see how that plays out. But I still
believe it will be a very competitive, disruptive time for the launch
in India, so we have to wait and see. But I think we are fully
geared at least have the product ready and launched. How the
market plans out will depend on obviously individual company
strategy and any differentiation that they can bring for more
compliance or how more compatible and friendly the dosing can
be and I think in some of those things if what we are thinking is
successful then we'll have some differentiation.
With respect to the international markets, we are also going with
the dual strategy of that of doing what is current and doing
something different and we'll have to wait and see how that pans
out for us in the global markets, what works better for us.
Saion Mukherjee : Okay. So, different , Sharvil means you know, sort of device. The
differentiation is primarily on the device front?
Dr. Sharvil Patel: No.
Saion Mukherjee : Okay. I mean is it possible to share anything on that?
Dr. Sharvil Patel: No, it would be a very competitive differentiation which is difficult
to share.
Saion Mukherjee : Understood. Okay. Thank you.
Moderator : The next question is from Kunal Dhamesha.
Kunal Dhamesha : Hi, can you hear me?
Dr. Sharvil Patel: Yes.
Kunal Dhamesha: Yeah. Thank you for the opportunity. Sharvil bhai, first question
on capital allocation. Now, we have almost around 4000 crore

cash. So, how are we looking at it? Would we be deploying more
towards the specialty efforts for the US market or is it more a
doubling down on 505(b)(2)? , How should we think about it and
relative to that, you know, how are the, let's say the overall
environment in terms of valuations of the specialty deals or
505(b)(2) deals have kind of evolved in the last one year?
Dr. Sharvil Patel: So, I think I also missed to answer some part of the earlier
speaker ’s question also. So, I think , on the capital allocation side,
there are 2 -3 things that are important for us over the next two to
three years. On the 505(b)(2) . first, I think we are completely, I
don't think there is, in the sense that in terms of meaningful
significant capital allocation any change in strategy, so we should
be able to license or file one or two new 505(b)(2)s in the next
one to two to three years. So, we have a pipeline that we believe
is quite robust on the conservative side . With respect to the
specialty , sorry, then there is a second angle of we do believe that
with our scaling up happening in different markets both in India,
international , and US, we do believe we need higher capacities
with different complex dosage forms. So, t here is going to be a

higher cycle of capex at least for this coming year and maybe one
more. So, we would be u sing a little bit of additional capex over
the next two years and beyond that, I think our efforts are going
to be on acquiring a

commercially capable ready asset in the US or
a product to sort of synergize with our launches on the orphan
and rare disease side. So, that is something that we continue to
look for and if anything appropriate is there, we would use our,
we'll allocate some capital to that.
Beyond that, I think international markets also offers a n
opportunity for us to expand and that we tactically do look at and
we have some ideas and the final is our foray into Med devices
and we do want to build a different another leg of business of
Med devices for Zydus and that is where we would also be
allocating both on the capex side as well as also looking for other
opportunities to partner or co-build or buy.
Kunal Dhamesha: Sure. So, this higher capex would be up to the tune of what
maybe 20% -30% higher than the last five -year or how should we
think about it?
Dr. Sharvil Patel: Yeah.
Kunal Dhamesha: Okay. Sure. And my second question is you know we have kind of
launched many NC Es you know in India market and these

products are doing well. Saro has multiple indications and doing
well. Desidustat is also there. But from a new product launches,
let's say , in India , from a super specialty or specialty perspective,
how is our pipeline looking on that front?
Dr. Sharvil Patel: So, we have, I mean for us India, we continue to have a very
robust launch pipeline. It comprises of three things. One is the
day one launches of patent molecules and we are happy that we
have most, almost most of the time succeeded in launching day
one generics to branded generics to off patent molecules. The
second is launching complex generics, including biologics, which
are biosimilars. I think again in that we have been most of the
time day one in launching these molecules in the respective
therapies , largely Oncology r ight now . The third is , we still have a
pipeline of , coming up in the next two years a nd ALS study which
will complete Phase 2 , which is not a long Phase 2. We have a
follow , we have few A DCs, which are entering clinical trial,
including a novel biologic for some of the specialty indications.
So, w e have a pipeline in the next three to four years that we will
hope to build at least, you know, two to three more NC Es as
commercial launches for India and beyond that we are obviously
doing life cycle management and better patient adherence
through packaging and other m ethods to innovate on our sort of
large brands and those will be the areas which will continue to
sort of put efforts behind.
Kunal Dhamesha: Sure. Thank you for that and the last one, if I may, on the US, did I
hear it correctly that we expect FY27 also to grow on FY26 base by
mid-single digit, if things , some of the key molecules come in, is
that correct way to understand?
Dr. Sharvil Patel: Yeah, I know. I only spoke FY26. FY27 is a little out there to right
now predict. But as I said , in that year , late part of that year, we
have important large product launches, which are exclusive.
Kunal Dhamesha: Sure. So, FY26, earlier we had said that it would be at least in -line
with FY25, right and then now we're saying that there could be
growth as well?
Dr. Sharvil Patel: FY26 sorry?
Kunal Dhamesha: Earlier we had said that FY26 would be at least in line .
Dr. Sharvil Patel: Yeah, we do expect some growth in FY26.

Kunal Dhamesha : Perfect. Thank you and all the best Sir.
Dr. Sharvil Patel: Thank you.
Moderator : Thank you. The next question is from Anubhav Agarwal.

Anubhav Agarwal: Yeah. Thank you for taking my follow -up question. I want to understand the C VS arrangement here. Not the terms between two of you, but how would it happen in reality ? So , let's say patient , a doctor has prescribed Januvia or Janumet, a patient goes to CVS pharmacy , would the pharmacy have to call up the doctor that I'm substituting because it's not all

owed by the FDA or default substitution can happen or what percentage default substitution can happen?
Dr. Sharvil Patel: The important question, which I don't have immediate answer, but the way to look at it is, it's a formulary that the CVS plans and decides. So, there would be certain training and decision made in the formulary as to how they will make the choice between one brand versus the other. So, it's a brand -to-brand switch, so that's what , how it will happen. It is not a generic switch.
Anubhav Agarwal : Yes, but would the prescriber needs to be involved here or it's just a decision of the pharmacy?
Dr. Sharvil Patel: I'm sure the prescriber is involved.
Anubhav Agarwal : Okay and then what's the incentive for Merck, if they are out of formulary for CVS? I mean to promote the brand, would it not lead to prescriptions falling significantly? They are already impacted by GLP, would Sitagliptin prescription not fall dramatically?
Dr. Sharvil Patel: I think we can, currently for us , obviously it’s a win. I don't know what will happen for Merck, but for us it's a good win because we would see significant amount of prescriptions switch.
Anubhav Agarwal : Okay. Thank you, guys.
Moderator : Thank you. The last question is from Nitin Agarwal.
Nitin Agarwal : I just had one quick question on, Sir , do we have an animal health business in the US?
Dr. Sharvil Patel: Yes.

Nitin Agarwal : Any thoughts around it? You know, because that's one interesting space not too many Indian companies actually explored . What is the size of our business roughly you can give us some sense on that?
Dr. Sharvil Patel: As part of our overall business, it's just almost 15 months of launch only. So, it's not very old, but the good thing is it's in the first short period, it has broken even also, which is very positive. So, we hope to build it, but it will be, it’s not in the lines of what a human formulation business is . So, it's going to be a niche business. The good part is that the portfolio we are growing very well and it should be profitable. But I don't think it will be very large.
Nitin Agarwal: And Sir, on the LiqMeds business, this is what largely going to be a US opportunity, or this is an opportunity that you'll leverage across various markets?
Dr. Sharvil Patel: It's right now, only a US opportunity and focus towards US.
Nitin Agarwal: And how big can this piece really get for us over a period of time? You know, if there is any, I mean , is it like a business can get triple digits or it's a double -digit growth business in size where it can get to over a period of time?
Dr. Sharvil Patel: So, I think , as I said, we have just really commercialized and the growth has been very good. So, we have to wait for the next few years to give you a better feedback. But as I said, as a portfolio, it will be a very interesting and good fit for us. In terms of individually it becoming a large business right now, it's very difficult to sort of say that because we have still a lot of products to develop and then file and launch.
Nitin Agarwal: And so last one on the biosimilar . So far, we've been largely focused on India and emerging markets. Any thoughts on sort of taking on the developed markets with the portfolio and how ?
Dr. Sharvil Patel: Not yet. We are currently mostly focused on India and developing markets. Once we have a thought process on how to build it for other markets , once the regulatory change process changes or the

clinical development program changes, we will probably take the development, but currently it's we don't .

Nitin Agarwal: And what would be a size of this global business, biologic business right now for us on approximately across India and emerging markets where you're doing right now?

Dr. Sharvil Patel: So, currently large part of it is India and we are building the emerging ma

rketplace and it’s a good profitable business with brands that are large and as I said in some markets like even Mexico, we are amongst the only generic biosimilar . So, it should be a good business both from the tender and private market.

Nitin Agarwal: Sure, sure.

Dr. Sharvil Patel: And Russia also.

Nitin Agarwal: Okay. Sir, any color on the size of the business right now?

Dr. Sharvil Patel: No, we're not giving individual breakup because I think while biosimilar is a technology we don't sell biosimilars as that, we sell biosimilars as a therapeutic area. So, it's Oncology is all of that. So, I think to say how much is a type of product sale does not makes sense. But in a therapy, it is going to dominate as it's doing in India. Hopefully, we'll build that kind of capability in international markets. I think the way to look at it is, we look at the large market tenders that happen in this market and we hope to participate in them as one of the few or only generics.

Nitin Agarwal: Okay, Sir. Thank you so much. Best of luck.

Moderator : Thank you. I would request management for the closing remarks.

Ganesh Nayak : Yeah. So, thank you very much and look forward to interacting with you again for the first quarter in the month of May 2025. Thank you and good day.

Moderator: Thank you very much to the Zydus Management Team. Ladies and gentlemen, o n behalf of Zydus Life sciences Limited, that concludes today’s conference. Thank you for joining us. And you may now disconnect your lines and exit the webinar.

END OF TRANSCRIPT

Call: Jun 2025

May 27, 2025

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P J Towers, Dalal Street,
Mumbai–400 001

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NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the post results earnings call held on May 20, 2025, pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations")

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company's Q4 FY25 post results earnings call held on May 20, 2025.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY AND COMPLIANCE OFFICER
MEMBERSHIP NO. FCS7063

Encl.: As above

"Zydus Lifesciences Limited Q 4 FY25
Post Results Earnings Call"

May 20 , 202 5

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - EXECUTIVE DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. TUSHAR SHROFF – PRESIDENT , CORPORATE FINANCE , ZYDUS

LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - HEAD, INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Moderator : Ladies and gentlemen , good day and welcome to Zydus Lifesciences ' earnings con ference call for the fourth quarter of FY25 ended 31st March 2025 .

I now hand over the conference to Mr. Ganesh Nayak for opening remarks. Thank you, and over to you, sir.

Ganesh Nayak: Good evening, ladies and gentlemen. It is my pleasure to welcome you all to our post results teleconference for the fourth quarter and the financial year ended March 31st, 2025. For today's call, we have with us Dr. Sharvil Patel, Managing Director, Mr. Nitin Parekh Chief Financial Officer, Mr. Tushar Shroff, President, Corporate Finance, Mr. Arvind Bothra, Head of Investor Relations and Mr. Alok Garg from the Managing Director's Office.

To begin with l et me give you a n overview of the performance for the year .

I am happy to inform you that we have ended the fiscal 2025 on a strong note. Overall, we delivered healthy growth during the year in line with our expectations. On the profitability front we exceeded our expectations with the highest ever operating profit as well as margins during the year. Improved product mix along with operating leverage helped us improve our profitability above our expected range for the year.

Our US business delivered sound performance with a strong double -digit growth through the year. This was led by both volume expansion and successful new product launches. Our branded formulations business in India outpaced the market growth aided by healthy volume growth and new product introductions. Our consumer wellness business delivered industry lead ing double -digit growth on the back of robust volume growth. International markets business comprising of the emerging markets and Europe continued its growth momentum with a strong demand led growth across geographies.

In order to remain competitive and serve our customers in a cost - efficient manner, we have implemented a number of digitalization and efficiency enhancement measures in our operations. These measures have improved the profitability in the range of 50 to 70 basis points and we expect similar improvement going forward as well.

With that, let me take you through the financial numbers for the year gone by. We re cord ed consolidated revenues of 232.4 billion rupees up 19% on a year -on-year basis. The business delivered

strong operating margin of

30.4% which is an improvement of 290 basis points over the previous year. Consequently, the consolidated EBITDA for the year grew by 31% to 70.6 billion rupees . Net profit , adjusted for exceptional items , for the year was 47.5 b illion rupees up 22% . Aided by strong profitability, our balance sheet strengthened further with a net cash position of 48.8 billion rupees as at 31st March, 2025 against the net cash of 8.6 billion rupees as at 31st March 2024.

Coming to our quarterly performance, we ended the year on a strong trajectory. Our consolidated revenues for the quarter stood at 65.3 billion rupees up 18% on a year -on-year and 24% on a quarter -on-quarter basis. Our operating profitability continued to improve with an EBITDA margin of 32.6% which is an improve ment of 310 basis points on a year -on-year and 63 0 basis points on a quarter -on-quarter basis. EBITDA for the quarter stood at 2 1.3 billion rupees , up 30% on a year -on-year and 53% on a sequential basis. Net profit adjusted for exception al items during the quarter was 13.9 billion rupees up 18% on a year -on-year basis and 36% on a sequential basis.

Now let me take you through the operating highlights for the fourth quarter of FY25 for our key business segments. The US business registered revenues of 31.3 billion rupees during the quarter , up 24% year -on-year and 30% quarter -on-quarter. We filed 3 ANDAs and received 6 approvals and launched 5 new products during the quarter. Our India geography , comprising of formulations and consumer wellness businesses , accounted for 39% of the total revenues during the quarter, and grew 13% year -on-year. The branded formulation business in India grew faster than the market during the quarter with 11% year -on-year growth driven by h igh uptick in pillar brands and innovation brands. The secondary sales during the quarter exceeded the market growth with 10% growth , which was driven by strong performance of chronic segment and overall higher than market growth in our key therapies. Contribution of chronic p ortfolio has increased consistently over the last several years and stood at 4 3% as per IQVIA MAT March 2025 , an improvement of 400 basis points over the last 3 years. Our consumer wellness business recorded revenues of 9.1 billion rupees, up 17% year-on-year with a 13% volume growth. The personal care segment , comprising of Nycil and Ever Yuth brands , witnessed strong consumer traction and achieved robust double -digit growth for the quarter. This segment has been on an upward trajectory over the last several quarters highlighting this segment's resilience. F ood and nutrition segment also registered strong double -digit growth driven by category

expansion & product innovation and supported by the acquisition of Naturell (India) Pvt. Ltd., a leading player in the healthy snacks category with a brand portfolio of Max Protein and RiteBite. International markets formulations business delivered robust growth during the quarter with revenues of 5. 5 billion rupees, up 12% year-on-year.

Recently, our Ambernath API manufacturing facility received an EIR with no action indicated status from the US FDA against an inspection conducted in February 2025 , which was concluded without any observations.

I am also very happy to inform you that we have been ranked number one in the Future Ready Workplaces Survey amongst all Indian companies. This study was conducted by Fortune India. This achievement reflects our organization’s culture, the commitment to NextGen, people -centric practice s, leadership development and our forward -looking workplace ethos.

Now this concludes the business review. I will now request Dr. Sharvil Patel to take you through the key drivers across businesses as well as initiatives in our innovation program. Thank you.

Dr. Sharvil Patel : Thank you, Mr. Nayak , and good evening, ladies a

nd gentlemen .

We are h appy to have you all on the call today. We are quite pleased with our overall performance during the fiscal year 2025. We ended the year with a strong double -digit growth and the highest ever operating profitability. Our strategy of going beyond the pill, backed by strong execution helped us to deliver this good performance and build an impetus for future growth. With a differentiated products portfolio and deep innovation pipeline we remain committed to address diverse healthcare needs for our patients.

In the US generic space, we have increased our presence through the years by building a comprehensive portfolio across dosage forms and therapies through both in -house efforts as well as partnerships. In order to satisfy the unmet healthcare needs of the patient s and ensure access , we have been expanding the specialty footprint in the US by building a portfolio of 5 05(b)(2) products and enhancing our presence in the paediatric rare disease space. This coupled with strong customer relationships, our pool of manufacturing facilities with capabilities to produce diverse dosage forms and agile supply chain and an efficient cost management have ensured sustained growth trajectory for the US business.

On the India formulations front , various strategic interventions done in the past years have helped our branded formulations business to grow faster than the market and we look forward to building onto this momentum. Our aim is to strengthen the presence across focused therapies through multiple levers and in turn , serve a wider set of customers. Our rich and diverse portfolio of innovative products have enabled us to offer novel solutions to patients to address their unmet healthcare needs. Besides medicines we also provide value added services to patients like the patient support programs and be with them during the entire journey.

Both the segments of our consumer wellness business vis-à-vis the personal care and food & nutrition business registered strong double -digit growth during the year , indicating sustained consumer preference for our brands. Our R&D capabilities continue to be on the forefront helping us launch new products and extensions to capitalize on the emerging consumer trends. Our portfolio of wellness products built over the years positions us well for both today and future growth by expanding presence in new business channels such as modern trade and e-commerce, and exploring new opportunities.

On the international markets front, which is our third pillar of growth, t he focus remains on expanding our presence in the chosen therapy areas across key geographies by leveraging our global R&D portfolio of differentiated and complex generics as well as specialty products.

In line with the vision of addressing the diverse healthcare needs of patients throughout their journey , we forayed into the Medtech space by entering into a share purchase agreement to acquire a majority stake in Amplitude Surgical SA, France. Amplitude Surgical is a European Medtech leader i n high quality , lower limb orthopaedic technologies. And it provides numerous value -added innova tions to best meet the needs of the patients, surgeons and the healthcare facility.

Our innovation pipeline across different areas progressed well and we have achieved important milestones during the year . Our innovation engine has also delivered multiple treatment options over the years in an affordable manner making them accessible to a large set of patients. With this , let me share some material developments on the innovation front during the quarter.

On the NCE front , we received the USFDA approval to conduct our Phase II(b) clinical trial of Usnoflast, a novel oral NLRP3

inflammasome inhibitor in patients with ALS. The US FDA has also granted an ‘orphan drug’ designation to Usnoflast for the ALS indicati

on.

The data monitoring and follow up is ongoing on post the completion of our patient recruitment for the Phase II(b)/ III clinical trials of Saroglitazar Magnesium for PBC indication and the Phase II(b) clinical trial of the molecule for MASH indication for the US market. We are now looking forward to the Phase II(b)/III trial read-out for PBC indication towards the end of the calendar year.

In the vaccines R&D space , with the support of the Gates Foundation , we have initiated development of the world’s first combination vaccine against shigellosis and typhoid. We shall conduct early -stage development , animal immunog enici ty studies and the regulatory pre-clinical toxicity studies for this combination

vaccine. We have also received approval to initiate the Phase 2
clinical trial for our Bivalent TCV vaccine during this quarter .
On the specialty business , we have entered into an exclusive
development , licensing , supply and commercialization agreement
with Synthon BV of the Netherlands for a novel 505(b)(2) oncology
product. NDA for this product is likely to be filed in 2026. The
product will provide additional benefits in form of reduced pill
burden, flexibility for dose adjustment and enhanced patient
compliance.
Thank you and now we can start with the Q&A session. Over to
the co -ordinator.
Moderator: Thank you , sir. We will now open the call for Q&A session. We will
wait for a few minutes until the queue assemble. We request
participants to restrict to two questions and then return to the
queue for more questions. Please raise your hand from the
participant tab on the screen to ask a question .
The first question is from Damyanti Kerai .
Damyanti Kerai : Hello.
Moderator: Yes, Damyanti.
Damyanti Kerai : Hi, t hank you for the opportunity. My first question is to Dr. Patel.
Can you comment on the Mirabegron litigation update which we
recently heard and what is your view on the supplies from your
perspective?

Dr. Sharvil Patel : So, I think , with respect to supplies , we continue to supply the
product into the US market . The next trial is scheduled for
February of 2026 , and which is related to the 780 patent and
other asse rted patents. So, we will be preparing for the February
jury trial.
Damyanti Kerai : Okay, sir. Till February , the supply will go as usual, right, there is
no change in your plans ?
Dr. Sharvil Patel: Not yet.
Damyanti Kerai : Okay, my second question is on your specialty portfolio in the US.
So, you have this Sitag liptin franchise . Can you quantify what kind
of contribution you have seen fo r FY25 and how we should look at
this portfolio in coming years?
Dr. Sharvil Patel: So, I think , I mean while we cannot quantify the exact number, I
think, we are doing far better than our initial estimates on the
franchise , both with the private , I mean the private market and
the tender. And we continue to believe that it will be also an
important product for FY26 also. So, that is our current best
estimate. And we have a national , say a contract for 5 years from
the national contract point of view.
Damyanti Kerai : Okay , though y ou cannot quantify , but out of your 1.3 billion sales
in FY25 is it a sizeable number or is it still building out ?
Dr. Sharvil Patel It is a decent number but obviously , it is not a blockbuster product
but it is one of the important new product launches that is there.
Damyanti Kerai : Okay, thank you, I will get back in the queue.
Moderator: Thank you. Next question is from Neha Manpuria.
Neha Manpuria: Yea, thanks for taking my question. My first question is on the US
business. If I look at the quarter -on-quarter improvement,
obviously we do see an uptick from Revlimid . Is that all that drove
the 80 million dollar s incremental sales quarter -on-quarter or any
other improvement in the larger products that we have,

particularly since we saw in the last call.
Dr. Sharvil Patel : Just to clarify , at least for this quarter over the last quarter , we
don't have any major Revlimid sales.
Neha Manpuria: Okay, so the quarter -on-quarter increase is then driven by base
portfolio ?
Dr. Sharvil Patel : Base portfolio and obviously some of the launches that we did last
year and Mirabegron and other products.

Neha Manpuria: In this case , you know , just trying to understand the improvement in the gross margins quarter -on-quarter. I mean , we have seen a very sharp improvement in that number. Any colour that you can provide as to you know , that uptick and how sustainable that gross margin will be if we think about next year ?

Nitin Parekh : Neha, it is a mix of business as well as products . Even base business improvement is there . Contribution from US business, India business, wellness business. So, wellness , we have been able to take some price increase also . We were able to reduce our cost also in some of the products. So, it is a mix of various things.

Neha Manpuria: So, in which case , this margins should be sustainable in the next year?

Nitin Parekh : To the extent, you know, the product specific margin , obviously you would find some impact , but otherwise yes, margins are stable.

Neha Manpuria: Okay. Just on the US business . If this number is not driven you know by Revlimid, in which case , is it fair to assume that 1.4 -1.5 billion dollar is the base ? Obviously, Revlimid goes away three quarter out but this is the base at least for the next few quarters?

Dr. Sharvil Patel : For F Y26, we believe US will still grow in single digit.

Neha Manpuria: Okay, got it. Thank you so much.

Moderator: Thank you. The next question is from Anubhav Agarwal.

Anubhav Agarwal: Hi, thank you. One question is on Mirabegron. So just trying to understand our risk limit for this product. Next litigation update is in February. Is there a risk limit that we have in mind, let's say the litigation continues for another year or so even after February, are we still fine with the risk limit over there?

Dr. Sharvil Patel: Yeah, I think we have done a proper due diligence with expert opinion and everything and we still believe that the risk reward profile has not changed.

Anubhav Agarwal: Okay, if litigation were to take another year , you can still continue to sell the product.

Dr. Sharvil Patel: Yes, currently we believe so.

Anubhav Agarwal : Sure. And clarity on previous question Neha asked . So, quarter -on-quarter, let's say December quarter to March quarter, when you say previous quarter - is sequentially Revlimid contribution is lower or higher, March versus December quarter ?

Dr. Sharvil Patel: It is not there, there is nothing anything significant. So, fourth quarter , there is no Revlimid meaningful contribution .

Anubhav Agarwal: Okay. And Sharvil bhai, when you mention that there will be single digit growth there, just trying to understand can you give some idea about the base business ? Because tracking your company has become very difficult now, Mirabegron, Revlimid, so fluctuating numbers , we have no idea about the base business here. So, how is the base business doing in the US and overall for the company ?

Dr. Sharvil Patel: So, one thing , today , as of now , we have a very strong and healthy base business growth. This also includes when we have obviously lost share on Asacol. But we are seeing significant opportunities on our existing products in terms of new contracts and new requests. We being a very , I would say , resilient supply chain effort that has been put and availability of our products being very good , we are seeing a lot more opportunities for products in the US. And obviously , with the portfolio expanding with other dosage forms including transdermal and others , we are seeing a

n uptick also. I would say it is a mix of both but it is good to see that beyond Revlimid we are seeing good traction on the business.

Anubhav Agarwal: Sure. Just one more clarity here . So, let's say versus last quarter , now the litigation for Mirabegron looks to be little more extended now. So, let's say what you guided last time was what you guid ing now. I am assuming that we have taken more sales of Mirabegron

versus what you have guided, but isn't your guidance still the
same as what you have guided earlier for the US ?
Dr. Sharvil Patel: Sorry, maybe I didn't get your question the way you tried. Maybe you could clarify a little bit.
Anubhav Agarwal: Yes, I am just trying to say that you know , versus the call that we had in January , when we had the December results versus now, so the expectation , at least my understanding was that Mirabegron will at least sell till the first half of this fiscal 26. Now, looks like because of the litigation date which is delayed a bit , at least till end of fiscal 26, we will continue to sell Mirabegron at least till the end of this fiscal. So, ideally the US sales guidance should have been more than the single digit increase in fiscal 26 . I am just trying to think from that perspective.

Dr. Sharvil Patel: So, we had not assumed that we are not going to be able to sell Mirabegron. So, our guidance cannot change because it is still , we still cont inuing with the same guidance that we will continue to sell Mirabegron. So, we have not built in for more sales of Mirabegron this year.
Anubhav Agarwal: Okay. And on Sitagliptin, can you just give what kind of market share, IQVIA I think , still shows a low single digit market share for all three brands of Sitagliptin. So, is that a good representation at least on the CVS front?
Dr. Sharvil Patel: I think , we will see a further traction on CVS conversion. But we can definitely say that for our earlier estimates , what we thought we would do on Zituvio franchise , we have done multi fold better. So, we are doing well . It is a good product . We are going to stick around for the next two years. I t hink with the 5 year s contract also, national contract , we will continue to do that. And we would see more uptick I believe in the coming quarters .
Anubhav Agarwal: Okay, that's helpful, thank you .
Moderator: Thank you. The next question is from Bino .
Bino : Hi, good afternoon all of you. Just a couple of follow up questions. Sharvil bhai, earlier , whenever we have spoken on calls, your guidance was that Revlimid would be coming up lumpy in Q1 and Q4. So, how come it changed in this Q4 ? There was no Revlimid, if you can share.
Dr. Sharvil Patel: So, I think , generally we always get most of business in the last 10 days of March and all. So, this time , with the negotiation that went through and obviously there has been challenge in negotiation and pricing , we have pushed it out to the first quarter in terms of sales, first quarter of the financial year in terms of sales. Anyways we only have 8 to 10 days in last month, in March generally and this time we had to wait and negotiate better for the quantities. So, we have postponed it to the first Q.
Bino : Understood. And going forward , next year in Jan , the sort of exclusivity is getting over. So , would your entire quantity or your allocation for the year will all that get over Q1 itself or is that what your thought is?
Dr. Sharvil Patel: No, I don't think , we will have all sale in 1Q. I think it will be staggered . Exactly , still it is very difficult to say how the ordering will happen and how much ordering will happen after the first buys. So, we have to wait and see but our current best estimate is

that it will be spread across for the next 2 to 3 quarters. It won't be lumped in Q1.
Bino : Got it. And on the US guidance you gave , if I understood correctly

,
it is a single digit growth in US sales in FY26 over FY25 . Is that right?
Dr. Sharvil Patel: Yes.
Bino : And looking ahead into FY27 , of course it is too early , but do you see a sharp fall -off from the FY26 level in FY27, or will it be you know more or less plus/minus those levels ?

Dr. Sharvil Patel: No, I mean , see, we have important launches in FY27 . So, assuming we are doing well with our approvals and regulatory front , we don't see any major fall -out.
Bino : Got it. One last question if I could push in, any margin guidance EBITDA major guidance for FY26 ?
Dr. Sharvil Patel: So, F Y26, we believe , we will exceed 26 or around 26% comfortably in terms of EBITDA margins and that's our current best estimate.
Bino : Thank you. I will join back in the queue .
Moderator: Thank you. The next question is from Surya Patra .
Surya Patra: Thank you for the opportunity . Sir, my first question is on the US business again . Sir, although you have given some clarity about the change of around 80 million dol lar this quarter versus last quarter what we have seen . See, if there is no Revlimid this quarter and there is a jump of 80 million do llar, what is that is contributing ? Is it driven by Mirabegron or there is a kind of any licensing income or anything is there this quarter that is why we are seeing a kind of consequent improvement in the gross margin ? What is really driving this US business this quarter? Is there any one -off kind of licensing income or any sort of that? Can you justify please?
Management : So, I don't think there is any licensing income or one -off income that is existing there, so there is nothing there. It is do with the base portfolio, Mirabegron sales and overall other launches scaling up. So, it is a mix of all of those things other than Revlimid not being a very important part this quarter.
Surya Patra: Sir, few of your peers have already indicated that Revlimid has already started seeing some kind of price erosion in the US. So, given that , do you agree to that fact and this is likely to be the

scenario going ahead till the time of this entire opportunity expiry?
Dr. Sharvil Patel: Yes.
Surya Patra: And is it fair to believe that FY26 would be the peak Revlimid sales for us? Or we have already seen that?
Dr. Sharvil Patel: I think maybe FY25 , I mean , it is an unfolding scenario . So, I would say FY25 would have been mostly the peak.

Surya Patra: Sir, and FY27, generally like could se e the impact of a Mirabegron and Revlimid put together could be cumulatively let's say around 400 odd million dollar s kind of impact. So, our new product launches can cope up to that level so that it can manage the growth for following period.
Dr. Sharvil Patel: So, I have always said that our base business , we believe without any of the one -offs, we can sustain easily over billion dol lars. And obviously, we have a lot of new products that we need to launch and depending on different status of that obviously , we can see the scale up but we are comfortable at billion dollars without those exceptional items.
Surya Patra: And, last one sir from my side . In the domestic business side, while the industry has been moderating in terms of growth consistently and gradually, sequentially, we have started delivering even stronger num bers outpacing the trajectory what we are seeing for the industry. So, since we are closing the year now at least if you can give some sense that what is the split within the domestic business of the specialty portfolio, let's say the biosimilar , NCE, all put together ? And what is the kind of growth those are seen , compared to the other portfolio ?
Dr. Sharvil Patel: So, the innovation portfolio which you mentioned , has definitely grown significantly better than the overall growth and also led by volume led growth. I would say many of

the changes that we have made strategically in terms of both , reducing complexity as well as putting the right resources and focus behind our growth booster brands , has led to this better -than -market growth for both ,

annually as well as the quarter , and we see that momentum to
continue for the financial year coming too. And I think , we still
hope to have important launches during the year again for our
differentiated p ipeline of products that will come in the coming
year. So, we are seeing a good trajectory towards that . And I think
because of India business or India geography doing very well also ,

both consumer as well as the animal health business , many times ,
when we're discussing margins , the lot of the margin is also driven
by these businesses which significantly give you a better value
return.
So, I think it's a , when you look at the overall margins , it's not only
driven by US but driven by other businesses . And also businesses
that were in the earlier initial stages of the investment cycle but
now are giving better returns every quarter -on-quarter are also
leading to better margins.
Surya Patra: Sir, but double -digit growth is a kind of a possible scenario for the
domestic business for FY26 , given the industry is expected to see a
low or mid -single digit kind of growth ?
Dr. Sharvil Patel: So, this year we grew at 10% and quarter 11%. We are
committing , we feel comfortable that we will grow better than
market now that is assuming that market grows at a certain
percentage. But we have a lot of products and important products
to launch which will , I believe , continue with this momentum.
Surya Patra: Sure Sir . Yeah. Thank you. Wish you all the best.
Moderator: Thank you. The next question is from Am ey Chalk e. Hi Am ey,
requesting you to please unmute and ask the question.
Okay. We'll move to the next question. The next question is from
Bino .
Bino : Hi, just a follow up question. We r ecently got approval for this
product Deflazacort which I believe you are launching with the
under a brand name. Now, I believe there are already a couple of
generic players in the market for this. So, can you explain the
strategy behind launching this product with a brand name?
Dr. Sharvil Patel: I think , earlier our strategy was , it could be a branded launch . But
with the genericization , I think it will not be a particular branded
launch anymore.
Bino : Okay. Got it. Thank you.
Moderator: Thank you. The next question is from Tushar Manudhane .
Tushar Manudhane: Hi sir. Am I audible?
Dr. Sharvil Patel: Yes.
Tushar Manudhane: Thanks. Thanks for the opportunity. S ir, just on the margin
guidance for 26 %. Just to sort of understand , while probably the

competition in generic Revlimid might keep profitability under
check , but then we continue to sell Mira begron, which given that
it is also a limited competition product , will help get better
margins which will offset Revlimid . So, just trying to understand
that in FY 25, we ended with a healthy margin of almost 30% and
then we are guiding for F Y26 for 26. So, what is dragging us down
by almost 300 bps?
Dr. Sharvil Patel: Revlimid is obviously going to be a driver because there is
challenges in pricing and competition . And we have lost Asacol
also since last year. Plus R&D expenses upon Saroglitazar we
would have at least 100 basis points higher than last year , at least.
So, all of that will lead to our guidance right now.
Tushar Manudhane: So, basically. So, R&D expense how much should one take for F Y26
on overall basis ?
Dr. Sharvil Patel: 8%.
Tushar Manudhane: Okay. Secondly, on Mira begron, while since you as well as Lupin
continues to sell the product . So, from a generic competition
perspective , do you see any threat coming through?
Dr. Sharvil Patel: I am sorry , I could not understand the question.
Tusha

r Manudhane: So, given that despite the at -risk launch like being done by Lupin as well as Zydus Life. So, any scope for other guys getting approval , subsequent launches ? Any market intelligence if you could sort of share?
Dr. Sharvil Patel: I do not have that intelligence to share right now.
Tushar Manudhane: All right sir. Thanks. That’s it from me.
Moderator: Thank you. The next question is from Saion Mukherjee .
Saion Mukherjee : Hi sir. Good evening. Sir, the 505 (b)(2) products that you have mentioned , is it possible to share the opportunity size for these two products in terms of commercial timeline in the US?
Dr. Sharvil Patel: So, as I said , we have to still file those products. So, once we file it I think and once the IP strategy and everything is clear , we can share a little bit more . But the one thing I can say that they are part of a very large , I mean the portfolio that we are developing, the molecule , is quite large in the market.
Saion Mukherjee : And so , you expect it to be probably FY28 or beyond that ?
Dr. Sharvil Patel: Sorry?

Saion Mukherjee : The launch is expected you know , not in the next two years. Will that be fair to assume , given that you have to file and there are potential IP challenges?
Dr. Sharvil Patel: Yeah.
Saion Mukherjee : Okay. And the second one was on vaccine. You had earlier mentioned about potential tender s participation in vaccine. Where are we ? And any expectations that you have for next year or FY27?
Dr. Sharvil Patel: Thank you for that question. I think on the vaccines front , I'm quite upbeat and positive on the overall trajectory for the business and the opportunity. So, as I said , it f orms three important areas. One is our India business which continues to do well. We believe that we are a critical contender in the public tenders for the MR vaccine that has come out , and we believe that it will be an important MR tender supply for Zydus in the coming year.
We are also seeing requirements from UNICEF and PAHO for some of our pre -qualified vaccines for different markets , and we will be able to participate in some of these tenders. So, that could offer additional opportunities in the coming years , both from the UNICEF tenders as well as the PAHO tenders. And also registering these products in some important markets outside , like Egypt and others , will also offer us some additional opportunities on the vaccines.
So, both , I think our non-tender sales which is doing very well. We are selling , I think , the highest doses of the flu vaccines now. We are selling out all capacities on our rabies vaccine. We have the other two vaccines that are coming up and the new vaccines that are getting added to the portfolio . And with potential access now to both India public and the WHO pre -qualified public markets , we are seeing a good trajectory for the vaccines in terms of scaling it up.
Saion Mukherjee : So, the timeline , will we start seeing that scale up this year in FY26?
Dr. Sharvil Patel: Yes.
Saion Mukherjee : Okay . Sir, if I can ask one more question on GLP -1 Semaglutide . You had mentioned about your plans for India. Will this be limited to India, or there are other emerging markets that you can consider for the first wave launch in fiscal 2026 or 2027?

Dr. Sharvil Patel: Our current strategy for Semaglutide, both for India and developing markets, is that we have a novel formulation for Semaglutide that we are going to commercialize both, in India and other markets. We are on track for a day -one launch in India , and we see it as a very and we would also partner this molecule with some companies , because we have a unique formulation with a very strategic advantage . And we hope to take that same

capability into other emerging markets.
Saion Mukherjee : Understood. Thank you.
Moderator: Thank you. The next question is from Am

ey Chalke.
Amey Chalke: Am I audible now?
Dr. Sharvil Patel: Yes.
Amey Cha lke: Thank you so much for taking my question. First question is on Saroglitazar. If I understand correctly, our data will be out by December or year -end. What is our strategy for the PBC indication post -trial?
Dr. Sharvil Patel: Once we have the data, if we see our data to be equivalent or better than today's treatment guidelines, we will be planning our commercial activities for launch, including obviously first filing the NDA. That's our current status on Saroglitazar for PBC.
Amey Chalke: Are we going to do this on our own, considering the PBC indication would be bit smaller in size?
Dr. Sharvil Patel: It's quite a sizable indication for what we as a company can do, and yeah, we will be doing it ourselves.
Amey Chalke: Sure. Regarding the MASH indication, do you think it remains lucrative , considering GLP -1s are also covering the market now?
Dr. Sharvil Patel: Yeah, because PBC and GLP -1s have nothing to do with each other.
Amey Chalke: No, no, the MASH indication ?
Dr. Sharvil Patel: So, in MASH, we are still only in phase -2, and we have only talked about commercialization for the PBC indication for the US market.
Amey Chalke: My second question is about FY27. I heard you say ing that there won't be a problem in FY27 post -FY26 once Revlimid is out. Is it

possible to give some colo ur on the product launches which would be able to offset the fall in some of the key products?
Dr. Sharvil Patel: I had stated when the question was asked to me, that in terms of our base business , without exceptional products, we are comfortable to be above a billion dollars in revenue. Obviously, today, we are much higher than a billion dollars. So that's what I had stated. But, I said irrespective of that, we have a lot of important launches in FY27, almost 14 to 15 important, critical launches in FY27. And i f many of them materialize, we will do better than that.
Amey Chalke: Thank you so much. I'll join back.
Moderator: Thank you. The next question is from Gaurav Tinani .
Gaurav Tinani : Hello, yes. Congratulations and good afternoon. Firstly, o n Revlimid, after the patent expiry, given the nature of the product , the distribution, can we see Revlimid still being a significant $50 million odd kind of sustainable opportunity for FY27 and beyond that?
Dr. Sharvil Patel: No.
Gaurav Tinani : Okay. In terms of the composition of our US base for FY27, could you give an idea of what percentage of contribution can come from NDAs or 505(b)(2) opportunities in FY27, or what's the long - term goal there? What percentage of US revenue that can scale up to?
Dr. Sharvil Patel: I think, i t's a little difficult to talk product -wise in terms of contribution. Currently, we've given FY26 guid eline , which is high single -digit growth for FY26. But, f or FY27, it's still early to say . But, what I can say is that, we have launches that get launched. We have s ome products where we have sole exclusive launch plans depending on exclusivity, which also has tremendous opportunities. Plus, as I said, we continue to launch anywhere upwards of 20–25 products every year, so that continues to add to the base of products .
While I stated that our base business has continued to grow , so we are also quite excited that our products that we currently also sell, are seeing a higher demand . I think all put together, we are still seeing an important … I mean, we're seeing the US FY27 also as an important.

There's a lot of background noise, maybe where you are.

Gaurav Tinani : Okay. Thank you.

Moder ator: Thank you. The next question is from Saion Mukherjee.

Saion Mukherjee: Hello. Yeah. Sorry. Thanks for the follow -up. Dr. Sh arvil, just wanted to check with you , there's been a lot of talk on the US imposing tariff on pharma

ceuticals. Have you made an assessment for Zydus business? What can be the potential impact? And strategically, are you thinking about investing in facilities in the US? Because that's an uncertainty the industry is dealing with. If you can share your thoughts and impact on Zydus.

Dr. Sharvil Patel: So, I think it's a lot of moving parts. It's very difficult to know what could be the impact. Any tariff will obviously have an impact. But with the reference pricing, which I don't know how that works on generics. I don't know that will work on generics or not. But I would say , on setting up facilities in the US , we do always explore opportunities to co-develop , manufacture at a third party location, both in Europe and in US for the products that we need to do sometimes. And we are looking at opportunities where we feel that the value is there for manufacturing in the US. But I think any of the se decisions will require a lot of time for setting it up. So, it's not something that can happen in the short term. But we have committed to making good amount of investment in the US with our foray into speciality and other areas.

Saion Mukherjee: Okay , sir. Thank you.

Moderator: Thank you. The next question is from Devang Sarawgi .

Devang Sarawgi : Hello. I have two questions. Is there any update on speciality acquisition in the orphan drug space in the US, especially for the launch of Saroglitazar approaching?

Dr. Sharvil Patel: We have acquired Zo kinvy last year, which was a rare disease asset for treatment of Hutchinson -Gilford progeria syndrome . And we continue to look for more opportunities in the rare disease side.

With respect to it synergizing anything with Saro right now, no, that is not something that we have in our pipeline, but we will continue to look for more opportunities to synergize for Saroglitazar.

Devang Sarawgi : And the second question is about revenue guidance for emerging market and consolidated business for FY26.

Dr. Sharvil Patel: So, for the overall business, we are looking at a double -digit growth in revenue led by strong growths in India and international markets, and also our new growth themes like biologics, vaccines, and all scaling up. We believe , in India, we will continue to outperform the IPM market for the year. US, we will see a single - digit growth going forward. Yeah, those are the hope for FY26.

Devang Sarawgi : And sir, a ny contribution from vaccine for this year?

Dr. Sharvil Patel: Yes, we will see some good contribution from vaccines for FY26.

Devang Sarawgi : And any guidance on emerging market scale up?

Dr. Sharvil Patel: Emerging market has been consistently growing at a strong double -digit CAGR and also improving profitability. And that trend is also continuing and we are quite positive for a faster scale up.

Devang Sarawgi : Thank you , sir.

Moderator: Thank you. The next question is from Surya Patra.

Surya Patra: Yes, just one clarification. Post this Asacol HD, the competitive pressure what we have witnessed in the US , how important is this entire mesalamine franchi se currently in the US business for our US revenue ?

Dr. Sharvil Patel: Sorry, can you repeat the question? Because I get always some other noise from behind.

Surya Patra: Sorry for that.

Dr. Sharvil Patel: In fact, it's very difficult to figure the question out. I know you said something to do Asacol .

Surya Patra: I was asking about the mesalamine franchise that we have created. But one of the important product, having seen the generic competition or kind of other peer's competition , how important this entire mesalamine franchise that we have created? And in terms of the revenue contribution to the overall US business of Zydus , how significant is this going to be, let's say for 26 and beyond?
Dr. Sharvil Patel: So mesalamine has been a very important franchise for the organization. Over

multiple years, it has delivered strong value and shown us through the capability of complex dosage forms and how Zydus has sort of created them and also obviously created value out of them.

And mesalamine as a n overall franchise will still remain very relevant , because we have at least three mesalamines in the market and we hope to add more mesalamine franchises to launch. So, it's a good product. Obviously, it has lost its hay days of the significant value, but it is still a very meaningful product and will continue to remain so.
Surya Patra: And in terms of size, let's say 10% of the US currently or any sense of how big it could be , the franchise as a whole?
Dr. Sharvil Patel: As I said, it is an important franchise and it will remain relevant. Now, I won't be able to give you individual percentages for that.
Surya Patra: Okay, fine. Thank you, sir.
Moderator: Thank you. The next question is from Srikant Akolkar .
Srikant Akolkar : Hi, just one question. If you can talk about our peptide pipeline development . And in the next two years, are we expecting any peptide launch? That means a non -GLP1 peptide. Thank you.
Dr. Sharvil Patel: So, I think , we have obviously a couple of peptides that are the GLP1s, including Liraglutide, Semaglutide, Tirzepatide that are either filed or under development. And then we have some other like Teriparatide and others, but those are more on the recombinant side. So , I would say that is the overall pipeline right now. Beyond that, we are looking at further pipeline in terms of how to add, but this is our current pipeline.
Srikant Akolkar : Understood. Thank you.
Moderator: Thank you. The next question is from Tushar Man udhane .
Tushar Manudhane: Sir, just on e, this impairment of a product. So , if you could just highlight which product on which we have taken this impairment in the quarter?
Nitin Parekh : It was Rotigotine.
Dr. Sharvil Patel: It is a product that we had acquired from Teva. It is under litigation. I said it is a product that we had acquired as part of Teva's divestment and we had acquired it . And it is under litigation and we have impaired it.
Tushar Manudhane: Got it, sir. And this goodwill related to this Brazil business also, if you could just elaborate ?
Nitin Parekh : It is a goodwill which was created at the time of acquisition , and the overall scenario in terms of both branded and generic in Brazil,

has undergone a change . And we were looking at our own products and pipeline and expected sales. Basis that, as a matter of prudence, we thought it better to do the impairment of the goodwill.
Tushar Manudhane: Got it, sir. Thanks. Thanks a lot.
Moderator: Thank you. The next question is from Ap uva Rastogi. Hi, Ap urva. Can you please unmute and ask your question?
Maybe we can move to the next one till maybe they come back.
Okay. We will take Gaurav's question next.
Gaurav Tirani: Yeah. Hi. Thanks for the follow -up. So , would you be able to share any more color on the 14 to 15 critical launches that you expect to do in FY27? Number of FTF launches there, number of differentiated dosage -form launches there, other limited

competition . Any colour on further breakup that you can shed
light on this?
Dr. Sharvil Patel: So I think, as I said, the launch … I mean, it's difficult to answer it
that way right now and it's too early, but many of them are
complex launches with semi exclusive or exclusive launches also.
And the mixture of portfolio is a mix of orals as well as injectables.
So that's the current portfolio that I am talking about. Obviously,
this doesn't include other launches that we are still planning. And
it's still a development . It's still a growing phase because we are
still sitting in April or May of this year to talk about FY27.
Gaurav Tirani: Okay. On the acquisition of your Amplitude, I think we're
exp

ecting to close by H2 of this year. Just one clarification, do we
expect this to be earnings accretive or dilutive for FY26 -27,
please?
Dr. Sharvil Patel: Accretive.
Gaurav Tirani: Okay, thank you. All the best.
Moderator: Thank you. The next question is from Jaydutt Parekh.
Jaydutt Parekh: Hello, good evening, sir. Thank you for the opportunity. Sir, you
mentioned about multiple product launches for FY27, potentially
to offset the decreasing rate of Revlimid. Can you tell me, will this
be in the existing therapy area or in any new therapy areas?
Dr. Sharvil Patel: You know, generic development is sort of agnostic to therapies.
So, we don't select products by therapy, but we select by size and
opportunity and competition. So , as I said, it forms oral dosage
forms, which obviously form large part of the portfolio generally,

which includes liquids and transdermals, as well as topicals. And
then obviously the injectable portfolio, which also forms another
sizable part of launches. So those are the overall ways in terms of
dosage forms when we plan for generics.
Jaydutt Parekh: All right. Got it. Thank you very much.
Moderator: Thank you. The next question is from Devang Sarawgi .
Devang Sarawgi : Hello, thank you for follow up. When can we expect meaningful
revenue contribution from medical devices business? And what
kind of scale up are we targeting for next two to three years?
Dr. Sharvil Patel: So, medical device is an important area for the organization. And
we have had important , both organic as well as inorganic
opportunities that we have looked at and have been successful at.
So, we are organically building on the nephrology side. We are
organically building on the cardiovascular side with also a critical
partnership that we have done for TAVI. And we have been , we
are also looking at successful closure of the acquisition of
Amplitude for orthopedic implants. So , these are the areas that
we are going to focus on. Some of these are already revenue
generating and profit -making businesses. So , we will look to add
more geographies, bring down cost and grow this business. So yes,
we have a n important growth theme for the business over the
next five years. But it is not going to be short term. It is going to
be… you know, the scale up we really get to see after three years.
Devang Sarawgi : Okay, thank you.
Dr. Sharvil Patel: I don't have a number right now. But we have obviously , as a
business, we have strong aspirations to make it a meaningfully
large business. Thank you.
Moderator: Thank you. As we do not have any questions , I request Ganesh sir
for closing remarks.
Ganesh Nayak: So, thank you very much and look forward to interacting with you
during our next quarterly analyst conference . Have a good
evening.
Moderator: Thank you very much to management team . Ladies and
gentleme n, on behalf of Zydus Lif esciences, that concludes today's
conference. Thank you for joining us and you may now disconnect
your line and exit the webinar. Thank you.
END OF TRANSCRIPT

Call: Aug 2025

August 20, 2025

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Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the post results earnings call held on August 12, 2025, pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“the Listing Regulations”)

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company’s Q1 FY26 post results earnings call held on August 12, 2025.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY AND COMPLIANCE OFFICER
MEMBERSHIP NO. FCS7063

Encl.: As above

“Zydus Lifesciences Limited Q 1 FY26
Post Results Earnings Call”

August 12 , 202 5

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. NITIN PAREKH - CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. TUSHAR SHROFF – PRESIDENT , CORPORATE FINANCE , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - HEAD, INVESTOR RELATIONS , ZYDUS

LIFESCIENCES LIMITED
MR. ALOK GARG - MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Ganesh Nayak: Good evening, ladies and gentlemen. It's my pleasure to welcome you all to the post results teleconference for the first quarter ended June 30th, 2025. For today's call, we have with us , Dr. Sharvil Patel, Managing Director, Mr. Nitin Parikh, CFO, Mr. Tushar Shroff, President - Corporate Finance, Mr. Arvind Bothra , Head of Investor Relations and Mr. Alok Garg from the Managing Director's office.

To begin with, let me now give you a broad overview of the developments during the quarter.

We commenced FY26 on a strong note following a formidable base of FY25 . We delivered a stable revenue growth during the quarter , with most key businesses performing well. Our US formulations business sustained execution excellence, delivering both sequential and year -on-year growth on a high base. On the India geography front, our branded formulations business in India sustained the growth momentum , outpacing the market growth for yet another quarter. The business has consistently outperformed the market growth in the last couple of years. Consumer Wellness business navigated through the challenges posed by early monsoon conditions, which impacted the seasonal brands. However, the non -seasonal portfolio remained resilience, cushioning the overall performance. International markets formulations business delivered yet another strong growth performance seen over the last several quarters , driven by all round growth across key geographies, reflecting a good diversity of performance.

With that, let me take you to the financial numbers for the quarter gone by. We registered consolidated revenues of ■ 65.7 billion, up 6% on a year -on-year basis. Our operating profitability continued to remain strong with an EBITDA margin of 31.8% during the quarter. Consequently, EBITDA for the quarter stood at ■ 20.9 billion. Net profit for the quarter was ■ 14.7 billion, up 3% year -on-year. Aided by strong profitability, our balance sheet strengthened further with the net cash position of ■ 56.3 billion as of 30th June 2025 against the net cash of ■ 48.8 billion as at 31st March 2025.

Now, let me take you through the operating highlights for the first quarter of FY26 for our key business segments. The US business registered revenues of ■ 31.8 billion during the quarter, up 3% year -on-year and 2% quarter -on-quarter. We filed

3 ANDAs and

received 6 approvals including 2 tentative approvals and launched 3 new products during the quarter.

Our India geography comprising of formulatio ns and consumer Wellness business , accounted for 37% of the total revenues during the quarter and grew 6% year -on-year. As mentioned earlier, the branded formulations business in India grew faster than the market during the quarter with 9% year -on-year growth driven by strong uptick in pillar brands and innovation products. Chronic segment continued to grow at a faster pace, driving the overall growth of the business. In terms of therapeutic performance, the business grew faster than the market in key therapies of Cardiology, Respiratory Anti-infectives, Pain Management, and in the super specialty area of Oncology. On the super specialty front, we continue d to retain leadership position in the Oncology therapy. Contribution of chronic portfolio has increased consistently over the last several years and stood at 43.7% as per IQVIA MAT June 2025, an improvement of 420 basis points over the last three years. Our Consumer Wellness business recorded revenues of ■ 8.5 billion , up 2% year -on-year. Excluding the seasonal brands, the business posted strong double -digit growth, reflecting the underlying strength of the portfolio and balanced business model.

International markets formulations business posted revenues of ■ 7.3 billion with a strong year -on-year growth of 37%. The growth was well spread across different regions as both the emerging markets and Europe delivered strong demand led growth during the quarter , benefiting from focused execution.

On the MedTech front, we recently completed acquisition of 85.6% stake in Amplitude Surgical. During the quarter, we entered into a strategic partnership with Braile Biomedica , an innovative cardiovascular device manufacturer in Brazil , to exclusively commercialize its Transcatheter Aortic Valve Implantation, which is TAVI technology , across Europe, India, and other select markets. With this partnership, we look forward to expand into the fast -growing interventional Cardiology segment.

On the operations side, our API manufacturing facilities at Ankleshwar and Dabhasa received EIR from the USFDA against inspections conducted in March 2025 and April 2025 respectively.

This concludes the business review. I would now request Dr. Sharvil Patel to take you through the key driver s across businesses as well as initiatives in our innovation program.

Dr. Sharvil Patel: Thank you, Mr. Nayak, and good evening, ladies and gentlemen. It's a pleasure to have you all here today on the call. We had a steady start to FY26. All our businesses maintained the growth momentum with robust operating profitability and performed in line with expectations except for a couple of summer -oriented brands in the Consumer Wellness business, which faced seasonal challenges. We stay committed to achieve our targeted top line growth and profitability for the current financial year. This will be driven by our strategic intent of going beyond the pill to address diverse healthcare needs of the patients and also superior execution.

In the US generics market, we have steadily expanded our footprint by building a robust and diversified portfolio across various dosage forms. This growth has been driven by a combination of strategic in -house development efforts and prudent licensing initiatives. To broaden access and provide diverse treatment options, we have been expanding our presence in the specialty space by enriching our portfolio of the 505(b) (2) products and enhancing our focus on the pediatric rare disease platform. Powered by robust customer relationships, a versatile network of manufacturing facilities capable of delivering a wide array of dosage forms , an agile and responsive supply chain , and disciplined cost management , our US business is firmly positioned to have a sustainable growth trajectory.

On the India formulations front, our branded formulations business continues to outpace the market growth. Our strategic initiatives are focused on expanding our presence across targeted therapeutic areas, thereby enabling us to serve a broader patient population. We have effectively leveraged our rich and diverse portfolio of innovative products to deliver novel solutions that address critical unmet medical needs. In the Consumer Wellness space, we are driven by our mission to meet evolving consumer preferences and choices in the wellness domain and inspire healthier lives. Our portfolio of wellness products built over the years position s us well for the future customer needs. We look forward to drive growth through innovation, scale sustainab ly, and serve consumers with differentiated , evidence -backed wellness products.

The International markets formulations business, which comprises of different countries of emerging markets and Europe, has emerged as a reliable third pillar of growth and continues to deliver strong double -digit growth over the last several quarters.
In the emerging markets, we remain committed to satisfy diverse patient needs across chosen therapies through multiple levers. In Europe, our focus remains on expanding our offerings and enhancing the market coverage.
In line with the vision of going beyond the pill to make deeper impact in patients' lives , we forayed into a global biologic s CDMO Business through our plan to acquire Agenus Inc. 's US-based biological manufacturing facility. Agenus Inc. is a clinical stage immun o-oncology company committed to developing immune therapies to combat cancer. The acquisition marks our strategic investment in the US -based manufacturing for biologics thereby adding a sustainable growth driver for the future.
I'm also happy to note that we successfully completed our stake acquisition in Amplitude Surgical SA in France, a European MedTech leader in high quality, lower limb orthopedic technologies. Amplitude 's portfolio comprises of technologically advanced products and solutions backed by cutting edge research and innovation and complemented by robotic surgery platform. With this acquisition, we look forward to offer numerous value - added innovations to meet the needs of patients, surgeons, and healthcare facilities.
With this, let me share some material developments on the innovation efforts during the quarter. On our NC E research front, we initiated a Phase II(b) clinical trial of Usnoflast , a novel oral NLRP3 inflammasome inhibitor , in the US , in patients with Amyotrophic Lateral Sclerosis, commonly known as ALS. The US FDA granted fast track designation to the molecule for ALS indication during the quarter. The molecule also holds an orphan drug designation from the USFDA for this indication.
In the biotech R&D space, we received market authorization approvals from the drug regulator for rituximab and aflibercept biosimilars. We also received regulatory approval to initiate a Phase III clinical trial for our second antibody drug conjugate.
On the vaccines R&D front, we completed a Phase II clinical trial of Hepatitis E vaccine. We also initiated a Phase IV trial of rabies

vaccine to evaluate the long -term immunogenicity and safety viz-à-viz the WHO pre -qualified vaccine in animal bite cases.
Thank you and now we start with our Q&A. Over to the coordinator for the Q&A session.
Moderator: Thank you, Sir. Now, we will open the forum for a question -and-answer session. Anyone who wishes to ask the question, please raise your hand from the participant tab on the screen. Please note this conference is being recorded. The first question is from Kunal Dhamesha.
Kunal Dhamesha: Hi, can you hear me?
Dr. Sharvil Patel : Yes

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Kunal Dhamesha: Yeah. Thank you for the opportunity and congratulations on good set of numbers. The first question on our US run rate, which is obviously good this quarter, but when we look at let's say beyond FY26, we had initially commented last quarter that we don't expect a sharp fall, so can you provide some more color there? How are we seeing the FY27 US revenue shaping up and some of the key products that we are expecting to launch?
Dr. Sharvil Patel: So, in FY26, with the price challenges on Revlimid, we still believe we will have a single digit growth in this year. So, we are maintaining our current guidance of growth in the US for FY26 and we expect to launch 30 plus products and with clearance potentially of our injectable facilities also , some more launches.
Kunal Dhamesha: For FY27 or for FY26, Sir?

Dr. Sharvil Patel: FY26.

Kunal Dhamesha: Okay, but my question was more on FY27, Sir . Beyond , let's say, Revlimid, how are we basically planning to offset the Revlimid cliff with the kind of products that we have?

Dr. Sharvil Patel: So, there will be obviously, we continue to have important launches in FY27 also. Ibrance as well as the other two molecules, where we believe , we will have decent launches. Also , our 505(b)(2) scale up is going to be seen in FY26 end, but more so , in FY27. So, that will substantially add to the business and we're quite excited with that prospect , especially with our 505(b)(2) , we have almost 25 product pipeline with 15 products that have already been filed and future products that are to be filed. So,

that is also going to create a long -term differentiated portfolio for the organization.

Kunal Dhamesha: Sure. So, shall we expect like FY27 to be more flattish growth?

Dr. Sharvil Patel: I think , it's still early to tell because we have to see many things play out, but as I said, the pipeline -wise we have exclusive launches. We have a 505(b)(2) program that will scale up. So, we are quite and obviously regular products of 20 to 30 launches every year. So, we believe , all of that will aid to the growth, but I think , better clarity we can give only probably end of the fourth quarter once we are clear about what will be the current status.

Kunal Dhamesha: Thank you for that and my second question is on Saroglitazar. If you could provide an update there, how the trials are progressing, whether was there any interim clinical trial data readout, which you have seen interim data etc., how does it and then on the timeline of launches , I think we have suggested late FY27 or early FY28, but how are we looking on those timelines?

Dr. Sharvil Patel: So, I think it's the same , nothing has changed. I think , we have completed our trial . The last patient readout is also done. So, we will wait for the data to be seen in the next quarter and if the data looks promising, which we hope , then , we will be going for NDA filing and if all that goes well, then FY27 , we'll see a launch for Saro.

Kunal Dhamesha: So, just the last bit, data is already there and it's being analyzed ? This is what you are suggesting?

Dr. Sharvil Patel: No, no, it's under lock right now. So, once everything is done, then we'll be able to unlock data and do a readout. So, we are saying it will be in the second end or third quarter beginning.

Kunal Dhamesha: Okay. Sure. Sure. Thank you and all the best.

Moderator: Thank you. The next question is from Bino.

Bino: Hi.

Dr. Sharvil Patel: Hello.

Bino: Hi. Can you hear me?

Dr. Sharvil Patel: Yes, I can hear you.

Bino: Okay. Great. Sharvil Bhai, you also comment on Mirabegron. First of all , in this quarter, has it been pretty much similar levels as last two -three quarters and is it likely to continue for the time being?

Nitin Parekh : So, Revlimid and Mirabegron two special products, you know , in totality , are more or less

the same kind of sales.

Bino: Okay and has it changed significantly for Q2 vs 1Q or more or less similar continuing?

Nitin Parekh : More or less similar.

Bino: Okay, got it and what is your outlook for Mirabegron? You know, of course litigation is pinching, but when you look forward into FY27, do you see this continuing in FY27 or it is highly unlikely that it stays in FY27?

Dr. Sharvil Patel: So, we'll have to wait for the trial before we can comment on that. So, I think , as I said, the trial date is in February 2026 . So, only post that, we can give any more comments on that. Until then, we do

continue to commercialize the product.
Bino: So, what is the best outcome of the trial , that the product continues to be under patent , you will be non-infringing and only the current two players will stay for 3 -4 years, is that such a ?
Dr. Sharvil Patel: I think it would be very difficult to speculate what outcomes can be. So, I would not do that right now. We'll have to wait till then, I said until then, we know we are commercialized the product.
Bino: Got it. Another question about these two facilities, which you have acquired . One is the Agenus one in California and the earlier acquisition in India of the Stirling Bio facility. When can we look at some sort of meaningful scale up in these facilities? You have , you have paid the decent quantum of money . Even if one applies 1½ to 2 times asset turnover , still it could be US$ 100 to 200 million revenue coming from these kinds of facilities. When can we see this kind of revenue?
Dr. Sharvil Patel: So, on the , on the second facility with the bio CDMO facility that we have acquired in US, it is under qualification, it's a brand -new facility which is under qualification and once it's qualified, it is going to produce a BOT/BAL for Agenus and there is a contract for them for the next three years to produce BOT/BAL. Beyond that, we will be looking to bring more bio CDMO manufacturing into

this facility and also potentially bring some biosimilar manufacturing. So, that's the current plan. So, I would say it's probably at least a two and a half year , three year plan before we'll see large, I mean see capacity utilization and revenue uptick. With respect to our other joint venture which we have for the Sterling Biotech facility, we have a large capex program going on to build, I would say , world's first recombinant whey protein manufacturing at scale that have never been made in the world. So, we are making large scale manufacturing for the whey protein and re -isolate through fermentation and that program , probably in the next two years, we would see commercialization kick in. So, it's nothing in the short -term for both of these facilities.
Nitin Parekh: But just one point on that . When you talk of for Sterling Biotech, it is an existing company with , you know , sales and EBITDA and what we have paid for is, you know , that existing business . What Sharvil Bhai just now mentioned is the future project that we intend to put up in the same company .
Bino: Understood. Great. Great. I'll join back. Thank you.
Moderator: Thank you. The next question is from Neha Manpuria.
Neha Manpuria: Yeah. Thanks for taking my question. My first question is on the 505(b)(2) portfolio that you indicated would ramp up by the end of this year. Currently, we have Sitagliptin . I think there was one more , Docetaxel , that we had in-licensed last year . Are there any other launches in the 505(b)(2) portfolio that is expected as we think about the next year? And how big can the 505(b)(2) portfolio be for Zydus next year?
Dr. Sharvil Patel: So, we have , obviously you mentioned already that one product that we commercialize and Docetaxel which will commercialize in the next quarter. We also have some , two more like , 505(b)(2) , that one is about to get commercialized.

One we're waiting for
approval to commercialize. Over a period of time, I think , the 505(b)(2) will definitely be a significant value as well as profitability driver for the specialty space, which would be more sticky. So, we already have a decent revenue on 505(b)(2) with good profitability, but we are seeing a major scale up, you know , in the FY27 and beyond.
Neha Manpuria: Besides Sitagliptin , can the other portfolios also , I think , Sita you had mentioned that can be , you know , $50 odd million . So, can

the other products be as large as Sita, or Sita would still end up being the largest product in that portfolio?

Dr. Sharvil Patel: Others will be larger.
Neha Manpuria: Others would be, okay, okay. And the usual ramp up for these would be similar to what we've seen in Sitagliptin , for Docetaxel and the two other products that we commercialized.
Dr. Sharvil Patel: No, I would say , the peak for the others would be in the second or third year.
Neha Manpuria: Okay , okay.
Dr. Sharvil Patel: But they will have longer patent life. They will not be facing generic competition that way.
Neha Manpuria: Got it. Oh, okay, okay, okay, understood. My second question is, I think , in the opening remarks you mentioned about emerging market being the third pillar of growth. We've seen a significant step up in emerging market revenues this quarter. Is there any one of f that we are seeing in EM ? Could you provide some color on what sort of growth we should expect and what's driving this acceleration and growth in the emerging market business?
Dr. Sharvil Patel: So, for us, the emerging market including EU, both have driven very strong growth and it's been broad based across geographies. We are very confident of strong double digit , high teens to mid - twenties growth going forward for the overall international markets and we are seeing that to be sustainable.
Neha Manpuria: And the high teens to mid -twenties is there anything, I mean there's no tender component which is you know probably one off to this year which we don't see ? I mean there's the sticky run rate that we should assume for the emerging market business?
Dr. Sharvil Patel: Yeah. Yeah. We are talking about high teens to mid twenties growth for the International Markets.
Neha Manpuria: Okay. Thank you so much.
Moderator: Thank you. The next question is from Harith Ahmed.
Harith Ahmed: Hi, thanks for the opportunity. Hope I'm audible.
Dr. Sharvil Patel : Yes.

Harith Ahmed: First question is on Usnoflast . Given it's a very promising molecule and you talked about commencement of Phase II(b) trials, can you give some more color on the timelines for Phase II(b) trials and you know the best case scenario for the launch for this product?
Dr. Sharvil Patel: Yeah. So, I think we're just about to initiate the trial. We have a global CRO whom we have contracted and everything is in place. So, the trial will begin in the next one to two months. It will be a two-year kind of trial and then post that readout. So, we are talking about a two to three -year window for seeing our clinical data for ALS, but it's mostly an efficacy trial. So, we believe that depending on the results, we could see an approval on Phase II(b) or we may have to then further do Phase III, but high chances that we if we see good data, we could go for an approval post this trial.
Harith Ahmed: Okay. Thanks for that and next one is on biosimilars . So, far, we've refrained from any investments targeting regulated markets for our biosimilar portfolio. Given that we have fairly broad portfolio of around 14 -15 biosimilars , is there any rethink on our regulated market strategy or is there any plan to partner with someone who will undertake all the R&D spends and the commercialization part of it?
Dr. Sharvil Patel: So, we are working on both the ideas. One

is the regulatory scenario has changed for certain class of biosimilars, there is no longer a requirement for an efficacy trial. So, the pathway has become obviously much better for US. The second is we have a manufacturing footprint now in the US to make biologicals. So, we are looking at both opportunities , in-house portfolio as well as licensing in with manufacturing in US as an opportunity to add may be one to two products in the biosimilar space to launch, I mean to develop and launch.
Harith Ahmed: Okay, got it . And one clarification on the Saroglitazar comment in PBC as we await the data and you mentioned that we'll be looking at the data before deciding on the next steps. So, what exactly are

we waiting? I mean, are we going to compare the data for
Saroglitazar, with some of the existing products in the market and
only if we meet the expectations versus those products, we'll be
taking a call to go forward with Saroglitazar, is that the correct
understanding?
Dr. Sharvil Patel: No, it's a blinded trial. So, we're waiting for the efficacy as well as
safety data to come out. So, if both those are good and if it is

comparable with the treatments available today, we will obviously
take the next step of filing for an NDA.
Harith Ahmed: Got it, Sir. I'll get back to the queue . Thanks.
Moderator: Thank you. The next question is from Surya Patra. Hi Surya , are
you able to hear us?
Surya Patra: Hello. Can you hear me?
Dr. Sharvil Patel: Yes.
Surya Patra: Yeah. Sir, just first question is on the Amplitude acquisition. If
you can just give some more color , after the acquisition, what is
your thought process about it? Is there any kind of acquisition
related cost that we could see in this quarter? And having done
the licensing arrangement for the devices also what is the kind of
MedTech thought process or the goal that we would be having
going ahead, if you can?
Dr. Sharvil Patel: So, with the acquisition of Amplitude, obviously , we have become
at least from an Indian context perspective, a decently important
player in the Med devices space. The acquisition gives us the
opportunity to enter into the orthopedic implant space for knee
and hip. It gives us a navigation and robotic capability as well,
which is the future for all surgeries as you see. So, it gives us both
those capabilities. It has a strong footprint in Europe with a strong
presence in France and what we hope to do is obviously continue
to build and increase our share in these markets, but also enter
and scale up markets like Australia, Brazil, Mexico, and enter more
markets through both their network as well as Zydus' capabilities.
Also, India offers a great opportunity to launch high technology,
high end implants in India, and we will be also launching these
products in India. Beyond that , we do see opportunities to
improve on our profitability with looking at cost reduction through
helping us improve margins. Also, on the Interventional
Cardiology , our licensing capabilities with the TAVI allows us to
enter more markets, including India. We will be doing clinical
trials for CE approvals for Europe as well as in India and we hope
to build an Interventional Cardiology business both through
stents, balloons, TAVI, and future more products in this category.
Nitin Parekh: And acquisition related cost, so , we have largely booked in March
quarter only.

Surya Patra: Sure. Okay. Yeah. Thank you, Sir and second question is on the
GLP opportunity. So, in the emerging market that is now likely to
be activated, starting with Canada, Brazil like that as well as in
India. So, if you can give some clarity about your preparedness for
these markets and your ultimate plan of integrated operation here
for the advanced market in the subsequent period, your plan
please?
Dr. Sharvil Patel: Sure. So, first , we have , in Semaglutide , a differ

ent formulation, a
formulation that gives convenience and ease of administration
and also reduces the overall burden in terms of economics. So,
we hope to , we will be launching this new formulation in India,
and we are on track to do so, and we should be present when
market formation happens. So, we're quite excited with that.
This formulation does offer significant benefit versus the existing
formulations in the market. Similarly, we hope , we are also taking
this novel formulation to the other markets like Brazil, Canada and
future other markets which will open up. So, our strategy is not to

go with the same, but differentiated formulation in all other
markets and we will get to see that . The filings will start to happen
by end of the year and we will see maybe from a year to two years
from then launches in different markets depending on our
approval, how long does it take for the approvals to come . But
right now, I think , from the commercialization point of view, India
will offer the most benefit to us in terms of revenue.
Surya Patra: Okay . Sir, regards the CDMO acquisition or entry into this
biologics CDMO business . So, these two acquisition - these two -
facility acquisition obviously facilitate your foray, but is there any
investment plan beyond that?
Dr. Sharvil Patel: No, I think our current , the investment plan is to get these
facilities up and running and qualified and start doing business
through them. We don't have any more bio CDMO expansion
plans in US.
Surya Patra: Okay. Just last one on the Sitagliptin . So, considering the kind of a
bulk supply arrangement as well as the government supply put
together, is it fair to believe that this is kind of compensating for
the losses, means the revenue losses what we have been facing in
the Asacol HD in this current year and what will happen to that
revenue stream once the generic competition in Sitagliptin starts?
Dr. Sharvil Patel: Yeah, I think , so, I would say the franchise is a good product which
will have business over the next couple of years. It is definitely

not replacing the loss of revenue for the Lenalidomide, but from a
new product 505(b)(2) point of view, it's a, it's a good product
which has a good NPV with at least two to three years of good
earnings. So, we are quite excited, happy with that . But it doesn't
replace on its own, doesn't replace any earnings.
Surya Patra: No, I was asking about the Ascol HD revenue loss is getting
compensated by this product right now this year, Sir?
Dr. Sharvil Patel: Asacol has gone quite, I mean there has been steep decline, so the
revenue gap has been obvious some of this, but also so many
other products that we have launched. So, I would not attribute
all of it to this product.
Surya Patra: Okay, okay. Yeah. One just clarification, Sir, about the finance
cost. See we have been talking about reducing our debt and
hence the finance cost, but that is still been kind of stagnated or it
is remaining there only? So, some clarity on that front would be
useful.
Nitin Parikh: So, there are two kinds of finance cost. One is because of the
accounting treatment that we do for liqmed acquisition where we
have to do unwinding of interest amount on the contingent
payments that we need to make to the sellers. So, that is one
important component. I'll give you separate amounts, we'll
provide that specific amount for that. The second is that we are
having arbitrage income in terms of government securities . So,
we have made investment, we buy government securities, we
place the government security again, the securities again, you
know , borrow so that actually helps us in terms of maximizing
return on our own capital. So, you would also find increase in
other income in our results and increasing other income is largely
attributed to interest income. So, on a net -net basis, there is still
a gain in what we are doi

ng. So, you will have a large cash balance
and there will be some borrowings also against the government
securities. On net -net basis, we have net surplus only. There is no
borrowing.
Surya Patra: Okay, okay. Sure Sir. Thank you.
Moderator: Thank you. The next question is from Kunal Dhamesha.
Kunal Dhamesha: Hi, thank you for the opportunity again. One on the medical
devices business . Beyond let's say Amplitude and the in -licensing,
are we planning to do any organic capex here and if yes, what

would be the amount and how will it be spread over the next
couple of years?
Dr. Sharvil Patel: Yeah, we are building a dialyzer facility which is under
construction and in the next one year, we hope to get it up and
running. So, that is the capex that is going on . Also some small
capex on our Intervention Cardiology side. So, between the two ,
we're spending around 300 crores of capex on Med devices.
Kunal Dhamesha: And that will be completed this year mainly?
Dr. Sharvil Patel: No, in probably 12 to 18 months.
Kunal Dhamesha: Sure, sure and then second one on the Agenus facility that we
have in the US . Would you share the current bio reactor capacity
that we have and is it a single use reactor or a stainless -steel
reactor facility?
Dr. Sharvil Patel: So, these are single use bag reactors and I think the capacity is
around 2X4 , 2 KL X 4.
Kunal Dhamesha: Okay.
Dr. Sharvil Patel: 2000 KL, 4 reactors, and also , we have small scale reactors also.
Kunal Dhamesha: Yeah. So, this would be mainly mammalian cell culture reactors
that we'll be using?
Dr. Sharvil Patel: Yes, yes.
Kunal Dhamesha: Okay, sure, sure and then you know, Sir, are we looking at any
cost efficiency program as we enter into post Revlimid era? And if
yes, what are the cost lines that we are looking at and potentially
how much savings we can kind of , you know , accrue over the next
couple of years?
Dr. Sharvil Patel: So, we do, I mean not because of Revlimid but I would say since
the mid, early 2000s, we have institutionalized cost reduction
programs in the organization with SLIM , PRISM , and other critical
initiatives. So, every year , we have a very strong savings target
which the team is quite good and have been surpassing those
targets every year and so that continues. As our cost base goes
up, from procurement savings, same vendor negotiations,
alternate vendors, improvement in efficiency in manufacturing
both from productivity as well as batch size yield, I think all of
those put together, we do have savings that we achieve every year

which are meaningful and so that will continue. By and large , on
many metrics , we are sort of very good and best in class, so to say.
So, we hope to stay in that kind of metrics.
Kunal Dhamesha: Sure, Sir and last one from my side . At this point in time, shall we
pencil in , Ibrance, generic launch in FY27, do we have that clarity
from the settlement?
Dr. Sharvil Patel: We have clarity, but we have to wait for , if there is any pediatric
exclusivity. If not, yes , it will be a FY27 launch, late FY27 launch. If
there is pediatric exclusivity, then early FY28 launch.
Kunal Dhamesha: Sure. And Sir, just the Ibrance, the molecule itself for the
innovator has seen a significant decline this year. Do we expect
once genericization happens and the low -cost alternative is
available, some share can be gained back?
Dr. Sharvil Patel: Generally, when genericization does happen, unless the therapy
has shifted, obviously you see volumes grow, but today also
irrespective, that's still a very, very large opportunity. So, after
genericization , generally volumes will pick up for most therapies
unless there is a shift of therapy, but I would say the molecule still
offers a very significant opportunity in the medium term.
Kunal Dhamesha: Sure, Sir. Thank you and all the best.
Moderator:

Thank you. The next question is from Bino .
Bino: Hi, good evening again. Just one follow up question on
Semaglutide . Are we fully integrated backwards in Semaglutide
both the API as well as formulation?
Dr. Sharvil Patel: Yes.
Bino: Okay. And do we have sufficient capacities for India launch and
the other emerging market , Canada etc. launch over the next two
years?

Dr. Sharvil Patel: Yeah, we have planned for enough capacity. We also have alternate source on API. So, we are dual -sourced and we have obviously PFS and cartridge facility sufficient of that and obviously the devices also we have been planned for. So, hopefully , we are in control.
Bino: Got it. Thank you.

Moderator: Thank you. The next question is from Neha Manpuria.
Neha Manpuria: Yeah, just wanted to get a sense on what the capex would be given the CDMO capacity that we are setting up in the US and you said 300 crores for the intervention ? Is there anything else that we have planned? What would be the capex roughly for the year?
Nitin Parikh: Total capex for the current financial year is estimated at about 1,200 crores. That includes 300 crores of MedTech.
Neha Manpuria: And the US capex also, right?
Nitin Parikh: Sorry.
Neha Manpuria: And the US facility?
Nitin Parikh: No, the acquisition is separate.
Dr. Sharvil Patel: No, but there is no capex in that because that facility is already, I mean the fully capex ed and it's only under qualification now.
Neha Manpuria: Okay. So, there is no additional capex that is required for that?
Dr. Sharvil Patel: I mean, there could be incremental small capex , but the facility is only under , I mean , now is under qualification.
Neha Manpuria: Okay, got it , that is helpful. Thank you so much.
Moderator: Thank you. The next question is from Devang Saraogi.
Devang Saraogi: Good evening, Sir.
Dr. Sharvil Patel: Good evening.
Devang Saraogi: I have two questions. When can Desidustat be expected to receive approval from Chinese regulator and what could be the potential revenue opportunity for this drug in Chinese market?
Dr. Sharvil Patel: So, I think , as I said, we have completed the clinical trials in China with our partner. The data read out was already published. We have mostly answered all our queries with the Chinese authorities. So, we are hoping that in the next 12 months , we would see approval for Desidustat in China. From our point of view, Desidustat offers a tremendously large opportunity potentially for the company. China is probably one of the largest markets for HIF inhibitors with an existing product also which are in multi million

dollars. So, we do hope for it to be a very meaningful launch and commercial opportunity for Zydus.
Devang Saraogi: And Sir, second, is there any change in approval timeline for CUTX 101?
Dr. Sharvil Patel: No, we still are looking forward to approval in this financial year.
Devang Saraogi: And Sir, lastly on the andy robot arm from Amplitude Surgical appeared to be promising. Do you have any information on the expected launch timeline and market size potential?
Dr. Sharvil Patel: Yes. So, it has been already applied for CE approval and the launch will be in this financial year.
Devang Saraogi: And any revenue expectations?
Dr. Sharvil Patel: Yeah, there are revenue expectations built with this robot, which will improve our revenue in Europe also and we also potentially will look to bring the robot to other markets as well after CE approval.
Devang Saraogi: Any differentiation between competitors in this product?
Dr. Sharvil Patel: So, the good part of this is that there has been a navigation system that has been in use for many years and with strong data . So, we are very excited with the capability that it has. Now, with the robotic arm , also it builds additional capabilities. So, I think , we be

lieve , we will see good traction for the robot going forward . Beyond that, obviously the knee and hip joints are high -tech, high - quality products and we hope to see good success of them in different markets.

Devang Saraogi: Sir, if you allow last question on tariffs, any comment how can it affect, any insight?
Dr. Sharvil Patel: So, I don't have any comment because we don't know the extent of the tariff on pharmaceuticals or generics. So, as and when we are clearer on that, we can give a better understanding, but as I said, US is an important market for us. In US, a lot of medicines are made available and affordable because of generics. Generics are almost 90% of the volume in the US and that helps bring the healthcare cost down. So, I think , we are committed to making sure that we continue to create this access in the US. Once we see the tariffs, we will see the impact and work accordingly as to what we can best achieve after that.

Devang Saraogi: Thank you, Sir. Thank you.
Moderator: Thank you. The next question is from Nitin Agarwal.
Nitin Agarwal: Thank you for taking my question. Sharvil Bhai, on Lenalidomide, for the remaining quarters, do we still have quantities that we intend to book or are we largely done with the quota?
Dr. Sharvil Patel: We're most largely done. No, the quota we still have some left, but I think , by and large , we're largely done in terms of majority of our revenue in the last, we have booked it in the last quarter.
Nitin Agarwal: Sharvil Bhai , when we look through the remaining 3 quarters for the year, you know when we're talking about growing on, you know the business that we did last year in the US , given the fact that we did have a large mirabegron , we did have a largish Q4 contribution from Lenalidomide plus the Asacol erosion which come through this year, what sort of drivers do you see will make up for some of these things going forward?
Dr. Sharvil Patel: So, as I said, we still continue the guidance of single digit growth in the US this FY26. It will be driven obviously by the launches that we have done in the last year. The products like the 505(b)(2) , which we have launched and which we are hoping to launch in the coming quarters . Also we have base business that has done well. So, while Asacol may have gone down, but overall, we are gaining on our base business as well and Mirabegron also continues to be favorable. So, putting all of this together, we believe that we will still see growth in spite of last quarter four that happened where we won't see any majority business on Lenalidomide.
Nitin Agarwal: Thanks, and Sharvil Bhai on the EBITDA margins, how do you see the EBITDA margins versus the last year?
Dr. Sharvil Patel: So, we believe , we will be better than 26% EBITDA margins and that's what we have maintained as our guidance.
Nitin Agarwal: Okay. Thank you so much.
Moderator: Thank you. The next question is from Tushar Manudhane .
Tushar Manudhane : Am I audible?
Dr. Sharvil Patel: Yes.

Tushar Manudhane : Thanks for the opportunity, Sir. Sir, just with respect to Desidustat , while you know , maybe probably approval taking next 12 months and then subsequently the commercial channel probably you know how long will that take to see that stable, the scale up in the sales?
Dr. Sharvil Patel: So, we have partnered with the commercial partner in China who's a large player in the market and they are already preparing for commercial launch. So, they're well prepared to do so. The market size of this kind of CKD molecule in China is already above billion dollars and more. So, we see a great opportunity for this to take share in the Chinese market and I think our partner is well prepared and excited to prepare for the launch. I think most of the work with the authorities is completed and we hope that we will see approvals in the next one y

ear.
Tushar Manudhane : And for us, it will be just like royalty kind of income, of course, including the profit share because let's say the manufacturing and

the commercial ?
Dr. Sharvil Patel: Yeah, it's a profit share, I mean it's a markup plus royalty income.
Tushar Manudhane : So, any broad range you would like to highlight like how much this would be as a percentage?
Dr. Sharvil Patel: No, we can't talk about it yet because we have to get pricing approvals also and other aspects. So, once we commercialize it, we can give better color, but obviously the nature of a licensing is where we don't have any other fixed costs, so obviously the profitability will be high.
Tushar Manudhane : Okay. So, then just secondly on this Agenus Biologics facility with this Botensilimab and Balstilimab, the capacity would be largely utilized or there would be still , you know , sufficient amount and then what kind of products we intend to sort of get the, let's say exhibit batches or validation done from this facility?
Dr. Sharvil Patel: So, for current requirements for BOT/BAL for their clinical trials, the facilities obviously far more, I mean , it has far more capacity than the production that we'll do. So, we do have opportunity to add more products beyond BOT/BAL. If BOT/BAL goes fully commercial and the uptick is very strong, we have a potential to further add capacity also . But we do believe that we can have more than one product in this facility. As I said, we have four 2 KL reactors and we also have another facility though smaller, but also

can be retrofitted. So, depending on the requirement , we will look to how do we scale up if needed, but currently we look at clinical supplies on BOT/BAL as well as potentially adding some biosimilars and third party business to the CDMO.
Tushar Manudhane : Okay. Sir, sorry for my ignorance, but just wanted to understand this. Given that it is a biologics facility, this entity has scaled up earlier in terms of manufacturing from, let's say, lab to the commercial level, right? And which is where the confidence for this BOT/BAL product?
Dr. Sharvil Patel: Yeah. So, BOT/BAL has already been given to more than 1000 patients through their different clinical trials . So, there is already , the team already has the capability from both , as you said , from lab scale to 2 liters to 20 liters to now 2 KL . So, they have those , they already have proven capabilities to manufacture this.
Tushar Manudhane : Okay, Sir. Got it. Got it. Thanks. That's it from my side.
Dr. Sharvil Patel: Thank you.
Moderator: Thank you. We will wait for few minutes for the question queue to assemble. You can click on raise hand tab on the screen. I request management for the closing remarks, please.
Dr. Sharvil Patel: Thank you for today's conference call and your active participation. We look forward to interacting with you in the next quarter. Thank you.
Moderator: Thank you very much to Zydus Management Team. Ladies and gentlemen, on behalf of Zydus Lifesciences Limited, that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.

END OF TRANSCRIPT

Call: Nov 2025

November 13, 2025

Listing Department Code: 532321
BSE LIMITED
P J Towers, Dalal Street,
Mumbai–400 001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the post results earnings call held on November 6, 2025, pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations")

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company's Q2 FY26 post results earnings call held on November 6, 2025.

Please find the same in order.

Thanking you,

Yours faithfully,
For, ZYDUS LIFESCIENCES LIMITED

DHAVAL N. SONI
COMPANY SECRETARY AND COMPLIANCE OFFICER
MEMBERSHIP NO. FCS7063

Encl.: As above

"Zydus Lifesciences Limited Q 2 FY26
Post Results Earnings Call"

November 6 , 202 5

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. TUSHAR SHROFF – CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - HEAD, INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Ganesh Nayak: Good evening, ladies and gentlemen. It's my pleasure to welcome you all to the post results teleconference for the second quarter ended September 30th, 2025.
For today's call, we have with us , Dr. Sharvil Patel - Managing Director, Mr. Tushar Shroff - CFO, Mr. Arvind Bothra - Head of Investor Relations and Mr. Alok Garg from the Managing Director's office. To begin with, let me now give you a broad overview of the developments during the quarter.
I'm happy to inform you that we delivered robust financial performance during the quarter with healthy growth across our key business segments. Our US formulations business delivered strong double -digit year -on-year growth driven by volume expansion and new products launched over the last 18 months. Our branded formulations business in India sustained growth momentum, outpacing the market growth for yet another quarter. The business has outperformed the market growth over the last several quarters. In the consumer wellness space, we made our first international acquisition by acquiring the UK -based Comfort Click Limited (CCL) . This strategic move will significantly strengthen our international presence across key markets of the UK, EU, and the U S. CCL is among the fastest growing digital consumer healthcare platforms in the VMS i.e. vitamins, minerals, and supplements space, and derives most of its revenues from e -commerce and D2C channels. Our international markets formulations business delivered strong growth for yet another quarter on the back of robust execution excellence across markets.
With that, let me take you through the financial numbers for the quarter gone by. We registered consolidated revenues of Rs. 61.2 billion up 17% on a year -on-year basis. Excluding the acquisition impact, the growth was in double digits. Our operating profitability continued to remain strong with an EBITDA margin of 32.9% during the quarter, which is an improvement of 500 basis points on a year -on-year basis. Consequently, EBITDA for the quarter stood at Rs. 20.2 billion, up 38% on a year -on-year basis. EBITDA margin for the first half stood at 32.3%. Net profit for the quarter was Rs. 12.6 billion, up 38% year -on-year.
Now, let me take you through the operating highlights for the second quarter of FY26 for our key business segments. Our US business registered revenues of Rs. 27.4 billion during the quarter, up 14% year -on-year. We filed six ANDAs, received four approvals, including one tentative approval, and launched seven new products during the quarter. On the specialty front, in October '25, we launched B eizray, albumin -solubilized docetaxel injection, further strengthening our 505 (b)(2) portfolio. We remain committed to expand our specialty portfolio going forward and address diverse healthcare needs of patients. We received the first Notice of Compliance (NOC) approval, in Canada during the quarter with receipt of NOC from Health Canada for Varenicline tablets, 0.5 and 1 mg. We have received three NOCs from Health Canada so far, including two received in October '25.

As mentioned earlier, the branded formulations business in India grew faster than the market during the quarter, with 9% year -on-year growth driven by sustained traction in innovation products and pillar brands. Chronic segment continued to grow at a faster pace, driving the overall growth of the business. In terms of therapeutic performance, the business grew faster than the market in key therapies of cardiology, gynecology, and in the super specialty area of oncology.
On the super specia lty front, we continue to retain leadership position in the oncology therapy. Contribution of chronic portfolio has increased consistently over the last several years and stood at 44.5% as per IQA MAT September '25, an improvement of 500 basis points over the last three years.
During the quarter, we launched Vaxi Flu, India's first trivalent influenza vaccine for flu protection, aligning with the global recommendations of WHO. Flu remains a significant global health concern of seasonal influenza, causing 3 to 5 million cases annually of severe illness with 290,000 to 650,000 respiratory deaths annually.
In the consumer wellness space, acquisition of Comfort Click marked our entry into the high growth VMS segment. VMS market in Europe is estimated to be around £11 billion. CCL's business portfolio comprises of three brands viz.

WeightWorld, which includes plant -based supplements, vitamins and minerals, collagen, omegas, probiotics, and micronutrients, and sports nutrition for adults. Max medix, a specia lty VMS gummy brand, which caters to all pediatric nutritional requirements, and Animigo, a natural pet VMS brand, which offers a range of pet care products. The acquisition will enhance the company's digital business platform and is well positioned to benefit from rising health awareness and the growing focus on preventive healthcare. Overall, the consumer wellness business recorded revenues of Rs. 6.4 billion, up 31% year -on-year .

Our international markets formulations business posted revenues of Rs. 7.5 billion , with a strong year -on-year growth of 39%. Growth was broad -based across regions with strong demand -driven performance in both emerging markets and Europe, supported by focused execution.

On the MedTech front, recently in October '25, we acquired the remaining 14.4% stake in Amplitude Surgical after acquiring 85.6% during Q2 FY26 and completed 100% acquisition of the company. Going ahead, we are looking to expand our presence in focused areas of orthopedics, nephrology, and cardiology.

On the operations front, our oncology injectable manufacturing facility located at SEZ-1 Ahmedabad and Baddi formulations facility received EIR reports with voluntary action indicated from the USFDA against the inspections conducted in June '25 and August '25, respectively.

This concludes the business review. I would now request Dr. Sh arvil Patel to take you through the key drivers across business es as well as initiatives in our innovation programs. Thank you.

Dr. Sharvil Patel: Thank you, Mr. Nayak. Good evening, ladies and gentlemen. It's a pleasure to have you all on the call today. We are pleased with our performance during the quarter and the first half of fiscal '26. The business continued to demonstr

ate

strong growth momentum driven by consistent performance across segments and underpinned by robust operating profitability. We are on track to achieve our targeted top -line growth and profitability for the current financial year. We remain committed to accelerating innovation that drives our long -term growth across our businesses and are guided by our strategic vision of going beyond the pill to meet diverse patient needs and deliver superior outcomes for all stakeholders.

In the US generics market, we consistently scaled our presence by building a diversified portfolio across multiple dosage forms through in -house development as well as partnerships. Our growing presence in the specialty through 505 (b)(2) product development initiatives and a sharpened focus on the pediatric rare disease s, underscores our commitment to broadening patient access and delivering differentiated therapies. With strong customer relationships and a flexible manufacturing network and agile supply chain and disciplined cost management, our US business is well positioned for sustained long -term growth.

On the India front, our branded formulations business has been growing ahead of market over the last several quarters. We are committed to building on this momentum by deepening our presence in key therapy areas through multiple growth levers. Backed by a rich and diverse innovation pipeline, we continue to deliver differentiated solutions that address unmet patient needs and expand our reach across a broader customer base.

In the consumer wellness space, we aim to empower consumers to integrate wellness -driven products into their journey towards better health. Acquisition of Comfort Click Limited marks a significant step in the wellness domain. Through this acquisition, we look forward to enhance our global capabilities, expand our footprint in digital health and personalized wellness, and pioneer scalable, sustainable models that redefine the future of well -being.

The international markets formulations business, which comprises of different countries of emerging markets and Europe, have emerged as another resilient pillar of growth and continues to grow in strong double digits over th e last several quarters. In the emerging markets, we have adopted a focused , therapy - led approach, tailoring the offerings to meet the needs of specific markets and, in turn, build a more agile, market -responsive portfolio. In Europe, the focus remains on expanding our offerings and enhancing the market coverage.

In the MedTech space, we have identified cardiology, nephrology, and

orthopedics as the focus areas to execute our global strategy. We shall leverage Amplitude's portfolio in Orthopaedics space to offer various value -added innovation to meet diverse patient needs , for surgeons and healthcare facilities across different geographies globally. On the cardiology front, we look forward to expanding our portfolio, and in the nephrology space, we are putting up a facility for producing high -end membranes for dialysis to meet the global demand.
With this, let me share some other material developments on the innovation front during the quarter.
On our NC E research front, we reported a positive top -line result from the Pivotal EPICS -III Phase 2(b)/3 trial of Saroglitazar Magnesium in patients with PBC for the U S market. The trial met the primary endpoint with a statistically significant treatment difference in the percentage of patients achieving a clinically meaningful biochemical response with Saroglitazar compared to placebo. We are on track to file the new drug application for Saroglitazar with the USFDA in Quarter 4 of FY26.
On the vaccines front, we have received regulatory approval to initiate Phase II clinical trials for our Bivalent Typhoid Conjugate vaccine in India.
Thank you, and now we will start with the Q&A session. Over to the coordinator for

the Q&A.
Question & Answer Session:
Moderator: Thank you, sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. While asking questions, we request you to please identify yourself and your company. Please raise your hand from the Participant tab on the screen to ask the question.
The first question is from Devang.
Mr. Devang: Good evening, Sir. Sir, there has been a significant increase of about 32% in other operating expenses. Could you elaborate, key drivers here, what aided these expenses?
Dr. Sharvil Patel: Yeah, Tushar, can you take that?
Mr. Tushar Shroff: Yeah, sure. So, during this particular quarter, we had acquisitions, we completed the acquisitions of Amplitude and CCL. The Amplitude was for two months and CCL for one month, which has resulted into the increase in the other operating expenses. As well as we had … because of the M&A activities, there were project - specific expenses, which also resulted into the increase in the overall operating

expenses for the quarter. Those expenses were not there in the previous quarter. And we expect the run -rate going forward , post-acquisition , to be at about 1 ,500 to 1,550 crores.
Mr. Devang: Thank you, sir. My second question is, could you please elaborate the rationale behind proposed fundraising initiative? Is the company evaluating any large acquisition opportunity or strategic investment in either domestic or international market?
Dr. Sharvil Patel: So, the key objective is to deleverage our balance sheet by reducing our existing debt. Also, there are strategic moves, which will enhance our financial ability and agility to strengthen our capital structure , position s us better for future growth.
Also, the board has approved the enabling QIP resolution to allow us to have the flexibility to tap capital markets, which are when required. And more importantly, we also have potentially, as we have always stated, opportunities to look at the US specialty business and scaling it up beyond Saroglitazar.
Also, opportunities in the international market, specifically Europe, and also some more innovative assets that we are looking at. So, this will allow us the capability to execute on some of these.
Mr. Devang: Sir, can you elaborate the potential deal size ? In what band you are looking?
Dr. Sharvil Patel: So, we don't have currently any immediate actionable deal. So, but as I said, the key areas is US specialty , international markets, and obviously, specific brands for India if any opportunity arises, and also our adjacency areas that we are working on, on the med devices side.
Mr. Devang: Sir, lastly on Saroglitazar, can you please share the management perspective on the US market's opportunity size in the PBC , given Gilead recent acquisition of Livdelzi for $4.5 billion? What is your view on the transaction in context to Saroglitazar 's commercial potential and market positioning in the same indication?
Dr. Sharvil Patel: So, there are two approved drugs on the market today for PBC ; we would be the

potentially the third -to-market. We see this as a tremendous opportunity with
the current , the use of medicines for PBC has seen a big uptick. And so, we are
seeing a good traction for this class of drugs , and we are quite excited with the
potential launch that we will see in about 14 to 15 months from now. So, we see
it as a large , sizable opportunity and an unmet need that exists , and with our
clinical evidence, we should be able to have a level playing field.
Mr. Devang: Thank you, sir.
Moderator: Thank you. The next question is from Bino.

Mr. Bino: Hi, good afternoon. Sharvil bhai , would you give some idea about how Revlimid
and Myrbetriq panned out? Has Revlimid come off from last qua

rter? And what
is your expectation for next two quarters?
Dr. Sharvil Patel: So, Revlimid for the next two quarters , will not see any meaningful numbers as it
was in the first quarter. So, it has significantly come off in terms of its sales.
Substantial portion happened in Quarter 4 of last year and Quarter 1 of this year.
And we are trailing quantities in this quarter and next quarter. But Quarter 4
onwards, obviously, there will be genericization.
On Myrbetriq , we are seeing good traction and steady market share increase. So,
we are quite pleased with the performance.
Mr. Bino: Got it. So, you said generic Revlimid in Q2 is significantly lower than Q1?
Dr. Sharvil Patel: Yes.
Mr. Bino: Okay. And do we have yet a clear visibility about how the US revenues will pan
out into FY27, given that Revlimid is not there? Myrbetriq remains unpredictable.
Do we have a confidence that the US revenues organically can grow FY27 over
FY26?
Dr. Sharvil Patel: So, I think obviously, it is subject to the court decision , and we have to wait till
February for the court decision to come. But, as I said, we believe that with the
current pipeline of products that are supposed to come and the new launches,
we will be able to maintain our current pace.
Mr. Bino: I understood. Thank you.
Moderator: Thank you. We will wait for a few seconds to for the question queue to assemble.
If anybody wants to ask the question, please raise your hand from the Participant
tab.
The next question is from Annamalai Natarajan.
Mr. Annamalai N: Hello, sir. Good evening. First of all, thank you very much to have a detailed
discussion on this. And congratulations for giving good results. Sir, my first
question is on your US revenues being come for 45% of your...
Dr. Sharvil Patel: Mr. Natarajan, for some reason, I'm getting your voice is coming in.
Mr. Annamalai N: There is a 14% decrease quarter -on-quarter…
Dr. Sharvil Patel: I think we're not able to hear you well, so maybe we can get a better line.

Moderator: Yes, we would request you to join back in the line for the same. The next
question is from Neha Manpuria.
Ms. Neha Manpuria: Yeah, thanks for taking my question. So, first on the MedTech business . In the
opening comments, you mentioned wanting to expand presence in Nephro ,
cardiology along with Ortho. Could you give us some colo ur on how we see this
evolving after Amplitude? When should we start seeing ? What can we do? In
Nephro, I think you're setting up a facility, but in cardiology, will it be another
acquisition? And how should we look at the entire MedTech business evolving
for Zydus , let's say, in a three -year perspective?
Dr. Sharvil Patel: So, for the orthopedics, obviously, we hope to bring the portfolio of Amplitude
into more geographies and continue to strengthen their position in Europe with
more market access. We are very close to … also we have a future launch with
our robot. So, I think that is also going to also pave way for future entry into
both , further market share increase in Europe, specifically France, and then also
we take it to Australia, India, and other markets. And also build our front end in
India in the orthopedic space. So, we believe Amplitude acquisition will allow us
to commercialize this and grow in double digits for the business.
On the cardiovascular side, we already have the stents business that we have,
and we have both drug -eluting stents and normal stents, and we will also have
future drug -eluting balloons. And also , TAVI, which we have in -licensed, and we
are going through a clinical development for Europe, and also a potential launch
in India for TAVI for intervention cardiology. So, that's how we will continue to

build on the cardiovascular side.
And N ephro , the facility will get commissioned in the coming year, and then we hope to start filing for the dialy zers for both India and for f

uture European markets as well.
Ms. Neha Manpuria: Understood. And historically, if you were to look at, let's say, the European market . How much of a risk is pricing regulations in your assessment? Has there been instances ? Because we've seen it in probably pharmaceuticals, I'm not so sure about MedTech. B ut is that a risk that we need to sort of keep in mind, price control or price regulations for MedTech in Europe? Any colour there?
Dr. Sharvil Patel: Yes, every, like generics, there is price regulation. Yeah, so as generics are there in medical devices, there is every three to four years price negotiation. We did have a 3-4% kind of price reduction in France, which is sort of normal as it happens every three to four years. So yeah, that is some part and parcel of it. We do believe that going forward, it will be in similar lines as we move forward.
And we do see a lot of potential on cost reduction in Amplitude , by today what they're outsourcing as well as how they're sourcing. So we do see a benefit of

Zydus bringing in significant cost reduction to improve our margins and profitability there , and also gain more market share.
Ms. Neha Manpuria: Understood. And based on the comment that you made in fundraising, is it fair to assume that your priority for any M&A would actually be the specialty business in US and Europe over, let's say, you know, something in MedTech ? Would that be a fair assumption?
Dr. Sharvil Patel: Both are important, but yes, our first priority will remain the specialty in US, Europe.
Ms. Neha Manpuria: And in specialty , what areas would be focused on ? I mean, which are the therapies or segments that you're looking at for acquisition ? Any particular focus areas? I mean, part of it would be for PBC ?
Dr. Sharvil Patel: For us, we have, I mean, so we are in, obviously, pediatric rare disease. So that's one area that remains important, but we don't see any very large ticket item there. The area which we are looking at is gastroenterology as a call point, and we are seeing how do we see if we can build some capability there through strategic acquisition. Also, we have U snoflast in ALS and also Recurrent Pericarditis. So we see some opportunity also in the CNS or in the c ardiology space. So I think these are some of the areas in the Super specialty, the specialty side that we will focus on in the US.
Ms. Neha Manpuria: I'm sorry, one last question. What would be given specialty assets don't come cheap, what would be your… when I think about sort of target net debt to EBIDTA, what is the level of leverage that you would be okay with, given the deal size that comes your way?
Dr. Sharvil Patel: So currently, we don't have immediate , something that we can really talk about. But obviously, we are looking at a commercial capability in the US through the commercially launched products, which is either EBITDA neutral or EBITDA positive. And that's what we will look to do.
And in terms of our net debt to EBITDA ratio, we have always said that, without any acquisition , we don't want to cross one time, and for a short period of time, we can go two times and obviously then obviously reduce our net debt to one time. So that's the kind of range of spend that we'll look at.
Ms. Neha Manpuria: Understood. Thank you so much, sir.
Moderator: The next question is from Kunal Dhamesha.
Mr. Kunal Dhamesha: Hi, thanks. Thank you for the opportunity. First one on Saroglitazar in PBC. Now that you would have some details on the results, etc. , if you could share how does our molecule compare with the currently marketed therapies? And what

are the opportunity areas that we are seeing in terms of positioning the molecule?
Dr. Sharvil Patel: So, as I said, on Saro glitazar for PBC, we did meet our primary endpoint. I think the main results will be declared in one of the major conferences , because that's

how we would like to release the data in a proper conference. So that will happen either most probably in the May ESL or maybe something before that. But in the coming calendar year … And that's where we will put out our results.

But we are quite happy with the results in terms of what we have seen.

Mr. Kunal Dhamesha: Sure. And now that the Phase III trial is over, do we expect our R&D intensity to kind of go down a bit from where we were in the last 3-4 quarters?

Dr. Sharvil Patel: Not really, because we still continue with our studies on Saro glitazar. We still continue with the new phase 2b for Usnoflast . We are adding Recurrent Pericarditis as a next trial. So no, I don't think we will see any major reduction in R&D because of this.

Mr. Kunal Dhamesha: Sure. And beyond Saro glitazar , I think the next in the pipeline would be CUTX -101. Is that fair understanding?

Dr. Sharvil Patel: CUTX -101 has completed all work. Yeah, so that will be , we are potentially looking at a fourth quarter or first quarter launch next year.

Mr. Kunal Dhamesha: Quarter 4 or quarter 1 of next year, which is calendar year or fiscal year?

Dr. Sharvil Patel: So, between Jan to June, we will see a launch , exactly.

Mr. Kunal Dhamesha: Jan to June of 2026?

Dr. Sharvil Patel: Yeah.

Mr. Kunal Dhamesha: Yeah. Okay. So , that would be the first one and Saro glitazar would be potentially the second one ?

Dr. Sharvil Patel: Yes, you're right.

Mr. Kunal Dhamesha: And sir, with let's say getting a good trial result, would you be open to leveraging these molecules for other developed markets in terms of partnership or your own venture into other developed markets? How should we think about that?

Dr. Sharvil Patel: Yes. So , for them, for Saro glitazar specifically, we will look at other markets where we don't have direct access through partnership. And also, we already have direct market access partnerships for our rare disease portfolio. We'll also build that for CUTX -101.

Mr. Kunal Dhamesha: Sure, sure. So , do we have anything like any potential partners, etc., with whom the talks for Saro glitazar are ongoing , given that we have trial results , etc.?

Dr. Sharvil Patel: I think , we will, we have opportunities and options in mind but we will wait for our publications, and then and our filing before we initiate some of these.

Mr. Kunal Dhamesha: Sure and sir, if I can squeeze in? On the QIP or the or the fundraise resolution what are the areas ? I think you suggested specialty and MedTech but do we have more of an upper cap on MedTech at this point in time that these are the 2 -3 areas that we want to invest in and then kind of execute it and see where it goes? How do you think from a let's say next 2 -3 year perspective?

Dr. Sharvil Patel: Our current priority will be US specialty and international market opportunity. MedTech, we don't have anything immediate, so that is not something immediate. But obviously, we continue to be opportunistic there.

Mr. Kunal Dhamesha: Sure, sure. Okay, thank you and all the best. Thank you.

Moderator: Thank you. The next question is from Damayanti Kerai.

Ms. Damayanti Kerai: Hi, good afternoon and thank you for the opportunity. I hope I'm audible?

Dr. Sharvil Patel: Yes.

Ms. Damayanti Kerai: Okay, so my first question is , can you update us on three of your focus ed segments which are injectables, transdermals and vaccines, in terms of progress in last few years? And then what is the current contribution at the consolidated level and how do you see these segments growing in medium term?

Dr. Sharvil Patel: So, on the transdermal side, we have obviously launched hormonal patches as well as Rivastigmine and Scopolamine as the critical patches. So , we have four approvals for that. We have remaining capacity and launch for these molecules as well. One more hormonal patch and one Clonidine. And the b

usiness is doing well. It's a sticky business. We continue to hold good market share on that . So, I think that's going well and we have also filing plans for remaining one or two products, and we have capacities built for that.

With respect to our injectables piece, obviously we have had not any substantial launches in the last 12 months because we had facility challenges, but we have niche products launched in the US through partners and also we have just launched our first 505(b)(2) in the injectable space which is Beizray, which can potentially be quite a significant product for us in the specialty injectable side. And with facilities coming out of issues , we see very important launches over the next two to three years, both from simple vials, PFS, cartridge and pen device products, as well as also products which are dyes related. So , we have a lot of products that we have in the pipeline for launch where we could have limited competition in some of them. And it's still an under scaled business. We believe in the next three years we will see it meaningfully scale up the injectable side of our business in the US.

With respect to vaccines, we are a strong Indian vaccines player. We have the flu as well as rabies as the two important products that are sizable today. With the winning of the MR tender, MR also becomes a very important immunization program vaccine for us. We have TCV which is approved and pre -qualified . So, we are also going to participate in TCV global tenders, and potentially also MR global tenders going forward. And the flu vaccine is doing extremely well. We are the first company to launch the trivalent flu vaccine now and we see significant market share for Zydus vaccine in India. So that's how we are scaling up vaccines. I think, as I have said before, in two years , it will become a very meaningful part of our business. It's already tracking very well and we are seeing good traction by winning these tenders.

Ms. Damayanti Kerai: But vaccine mostly remains India -focused business, right, and your international part is yet to pick up.

Dr. Sharvil Patel: Today rabies is partly export as well. But other than that, currently it is India - focused. I think by FY27 –28 you will see public market access to global tenders and we will see more foray of our vaccines in global market.

Ms. Damayanti Kerai: Okay, so in medium term, when you say these will be sizable, so that will be broadly what 10-15 percent of consolidated number, or how should we look at that in terms of contribution at top line?

Dr. Sharvil Patel: Which part? You're talking about, all three combined?

Ms. Damayanti Kerai: Yeah, maybe injectables is something I guess which sounds more promising . So maybe from injectables if you can give some thoughts.

Dr. Sharvil Patel: I say , injectables , we still need two years, at least two years to scale up. I would say they will be part of our overall generic strategy. We don't drive injectables as a separate strategy. So , part of our portfolio forms oral solids, topicals, injectables, transdermals , and that's how we are building the portfolio. So it's not a focus by that, it's focused by the value and product that we launc h. We do have a lot of 505(b)(2) ideas on injectables on which we see traction. So , as you said, the Be izray product is our first launch which we are very excited about . And potentially , you will get to see more of these opportunities in the next couple of years. So , with 505(b)(2) as well as 505(b)(2) injectables plus generic injectables it will be meaningful.

Ms. Damayanti Kerai: Sure, that's helpful. My last question is on Comf ort Click acquisition. So how do you see this portfolio scaling up , in again , say next three to five years ? And what will be the key growth levers here?

Dr. Sharvil Patel: So, Comf ort Click is a D2C platform for fast -growing vitamins, minerals and supplements business. It's a very strong Europe -driven business. It is the largest market share on the online platform in Europe. So , this allows us to be present in the D2C digital VMS market. It also has a very strong own loyal platform business that it does and it's also scaling up meaningfully. So that also helps us in terms of building it. CCL does enjoy very strong brand recognition and high customer loyalty and retention , and we believe that this product portfolio and business is strongly positioned towards the high -growth area that exists for VMS . And we are quite bullish with how we can scale up not only Europe where they are very strong , but also launch in more markets in the Middle East, US and other geographies . And they have gained significant share and lead the lion's share of the business , and we hope they can continue to build that in other markets also.

Ms. Damayanti Kerai: Sure, so it's basically market expansion plus improving the reach within the existing ?

Dr. Sharvil Patel: Yes, and so far it has three assets. One is WeightWorld, which is , then the second is the animal, I mean pet supplements , and then third is pediatric or the children gummy bear kind of range. So one of them is scaled up, the other two still need to scale up. So yeah, we have plenty of opportunity. I think , the key thing would be to focus and make sure we continue to build a market presence from there.

Ms. Damayanti Kerai: Sure, thank you . This is very helpful. I'll get back in the queue.

Moderator: Thank you so much. The next question is from Saion Mukherjee.

Mr. Saion Mukherjee: Hi, good afternoon. Dr. Sharvil, you mentioned about the specialty business is one area where you would probably like to invest. In the current context where there are some concerns on pricing, particularly in the US market, tariff is still uncertain , does that in any way change your view around specialty and do you

consider it at high risk ? And how you're factoring in that risk in case you want to make a big capital commitment for that market ?
Dr. Sharvil Patel: So, from our point of view, in the space we are in, the price is already very well established by the incumbent players. So, it's a rare disease business. So I think it has a very different connotation. We believe that , currently, we don't see any major pricing challenge when it comes to the indication that we are working for. And there is already precedence there that exists. So , I don't see that as today's concern for us. And we see whenever we are looking at anything in the Specialty, we are obviously looking at the importance of what pricing could be in

the future , and that is going to be an important factor for us to make any kind of choices.
Mr. Saion Mukherjee: And for Saroglitazar PBC launch. What is the kind of investment in terms of front end you need to make ? Can you sort of… at least for the first year as you roll out the launch that we should model in our models?
Dr. Sharvil Patel: So, I think we still have to go through an NDA submission. We need to then wait and see whether we get fast track or we get… I f it's fast track it's a 6 to 9 month launch. If it's a normal submission , it's a one -year launch. Depending on that obviously we need to then decide on scaling up our presence. So , what we are doing is the preoperative work right now in the U S for preparing for Saro glitazar commercialization. But the feet -on-street and the real hiring will happen much later once we are more clearer towards launch. So , you would see that getting formulated in the next … as we present in the next financial year , we'll have much more clarity in terms of where we will be. As I said today , the major part is filing , and then maybe six months from then once we have a first review with the FDA , then talk about the ramp up.
Mr. Saion Mukherjee: But can we assume like 50 -100 kind of a

field force that you need for this kind of a product , or do you think it could be more?
Dr. Sharvil Patel: Yes. 60 to 80 kind of number. Yeah.
Mr. Saion Mukherjee: Okay. And one more question I have actually , if I can ? Essentially, if you have made significant investments in new areas, the business has expanded in terms of new verticals as well as geographic footprint like MedTech, Specialty etc. I mean, how do you ensure that there is enough management bandwidth so that execution is proper, given this very sudden and significant expansion that we have seen?
Dr. Sharvil Patel: I think, well, for us it is important to make sure we have the people and the process and the structure in place before we obviously do these things. So when it comes to our medical device or Amplitude acquisition, we have had a leadership position , as well as key people in the medical devices business over the last 12 to 15 months. So those positions have already been filled in the last 15 months. Our leadership team in Amplitude will continue to work with us for the foreseeable future to build on to what they've already built. This was the team that built the business and they're continuing . So there is business continuity in terms of the leadership team that exists in Amplitude , and they're quite motivated to be there to scale this business up. I think we are similarly the same I can say about Comf ort C lick acquisition ; the leadership team that built the business from zero to now are also committed over the next five years to take it to the next level of growth and size and scale.

On the specialty front, more than two years , we have had a commercial head in space, we have a regulatory person, a medical director . We already have Sent ynl which has all other core capabilities on pricing and market access.
So, I think for the majority of the businesses that we have or we are building, we already had leadership in place, or the incumbents are ready to continue with us for the foreseeable future. So , I think , from that point of view, we not only obviously have the acquisition, but we also have the key talent staying with us.
Mr. Saion Mukherjee: And this talent, especially for the acquired entity like Comfort Click and Amplitude, how are you incentivizing? Is there a stock option available for the leadership team that they continue?
Dr. Sharvil Patel: Yeah, there is a long -term incentive plan for all of them.
Mr. Saion Mukherjee: And just a related question, for the consumer business, do you think it makes sense , at some point , to list the MedTech business , because that seemed to be something very different from pharma which is your core business?

Dr. Sharvil Patel: I think once it attains certain scale and certain revenues , we will potentially look at how to further expand it. So maybe not in the near term , but yeah, that we'll see as we continue to stitch together more opportunities for MedT ech.
Mr. Saion Mukherjee: Okay, thank you.
Moderator: Thank you. The next question is from Vamsi.
Mr. Vamsi: Hello sir. Thanks for the opportunity , sir. Most of my questions have been answered . But I just wanted to know with regards to Saroglitazar. So, is there any update regarding the drug's capability to address pruritus and fatigue also?
Dr. Sharvil Patel: Sorry, what is the second point you said?
Mr. Vamsi: Fatigue sir, fatigue.
Dr. Sharvil Patel: So I think , as I said, the primary endpoint has been met . The key secondary endpoints as well as the other benefits , obviously we would talk about it more once we have the right publications done. So , I think we will be able to talk more about some of these things in the future once the data is out.
Mr. Vamsi: That's it sir. Thank you and all the best.
Moderator: Thank you. The next question is from Vishal Manchanda.
Mr. Vishal Manchanda: As I can see in the balance sheet, our i

ntangible assets under development has doubled in the last six months , from 1 ,300 crores to 2 ,600 crores. So , can you

share some colo ur on what these investments pertain to? Are these in -licensed complex generic assets , essentially?
Tushar Shroff : So, in this particular quarter , we have completed two major acquisitions. One acquisition is related to Amplitude Surgical and the other acquisition is related to Comfort Click . All these acquisitions are… say for example Comfort Click had a couple of brands and these couple of brands have been revalued to ensure that they are reported as intangible assets. Similarly, as a purchase price allocation for Amplitude, a couple of technical know -how and other intangible assets have been classified as intangible assets.
Mr. Vishal Manchanda: Actually , I meant intangible assets under development.
Dr. Sharvil Patel: That is mostly to do with our licensing. Yeah.
Mr. Vishal Manchanda: Anything that can be commercialized in the near term?
Dr. Sharvil Patel: We just commercialized Beizray which was one of our licensing products.
Mr. Vishal Manchanda: On Beizray , could you talk about the clinical advantages that the drug has over the traditional Docetaxel formulation?
Dr. Sharvil Patel: So I don't think I can offhand tell you everything , but I think, there are a couple of benefits. One, it is a polysorbate -free formulation. So it does help in terms of other side effects. Also , I think there are benefits in terms of stability which exist with this formulation. So I think these are the two . But beyond that , there are many incremental benefits for this which we see in terms of better usage with the practitioners , and we are already seeing good traction with the launch.
Mr. Vishal Manchanda: Okay. And on generic Copaxone where we got an approval, has that been launched in the US?
Dr. Sharvil Patel: It will be launched very soon.
Mr. Vishal Manchanda: Right. And just one more on the typhoid vaccine. Any timelines on when you can bid for the tender and start supplies?
Dr. Sharvil Patel: We have started already bidding for some tenders. Obviously , the major tender will still come out in the coming year . But we have bid for certain tenders , and as we see any success , we will obviously appraise you all about it.
Mr. Vishal Manchanda: What would be the annual tender value?
Dr. Sharvil Patel: So generally , the annual UNICEF tender volumes range between 80 to 100 million doses . And so yeah, it's a meaningful opportunity if we get part of the tender.

Mr. Vishal Manchanda: Okay. And just one final on the dialyzer project. Is this something that you're going to front -end, or you're going to be a supplier to the other dialyzer companies that sell across the world?
Dr. Sharvil Patel: It's a consumable part . So obviously , a good part of it will be for supplying to partners . And then , we'll later see whether we can also build up further capabilities.
Mr. Vishal Manchanda: You'll do the final product and sell to partners?
Dr. Sharvil Patel: Yes.
Mr. Vishal Manchanda: The final dialyzer which is used as a consumable in dialysis.
Dr. Sharvil Patel: The dialyzer membrane .
Mr. Vishal Manchanda: Right. Understood. Okay. Thank you. That's all from my side.

Moderator: Thank you. The next question is from Nitin Agarwal. I think we are not able to hear him. Nitin, are you there?
We'll move to the next question. The next question is from Tushar Manudhane.
Mr. Tushar Manudhane: Hi. Am I audible?
Dr. Sharvil Patel: Yes, Tushar. Yes.
Mr. Tushar Manudhane: Sir, just with respect to Saroglitazar, is there sort of a thought in terms of tying up with a partner who would have a well -established commercial channel , given the product has its own … definitely a great USP. But from a commercial channel perspective, given that we have limited presence , so is there a scop

e to tie up with someone so that the scale -up for the product can be faster?
Dr. Sharvil Patel: So I think as a part of our strategic imperative, we are looking at all options. Our first priority is to build our own capability. But as we evaluate opportunities to license, opportunities to launch on our own, opportunities to have a larger footprint in the specialty front, we are looking at all options. And obviously, we'll take the best option, which is in the long -term interest for the company. And as I said, our long -term interest is still to build it ourselves. But as I said, we're not giving up on other options.
Mr. Tushar Manudhane: Yeah, because that might take longer time. But, yeah.
Dr. Sharvil Patel: Yeah, but we are there for the long term.

Mr. Tushar Manudhane: And just secondly, on Comfort Click , this business is also spread evenly across the four quarters per se, or like , the we have it in our wellness , it is concentrated in few quarter s?
Dr. Sharvil Patel: No, it is well spread, the Comfort Click business.
Mr. Tushar Manudhane: And is there an additional OpEx which is going to be there for this business in the initial year?
Dr. Sharvil Patel: No, I think the business is sufficiently manned. And it doesn't have any manufacturing footprint or other things. So it's quite a light -asset business that way. So it should, it has room to continue to expand without challenges.
Mr. Tushar Manudhane: And just lastly, on the MedT ech side on the similar lines , in terms of additional operational cost to think about with respect to TAVI or with respect to this Nephro facility coming up. How to think about let's say the operational cost ?
Dr. Sharvil Patel: So on the TAVI, we already … we will be doing a clinical trial, Europe -based clinical trial. We will also be launching it in India. On the nephrology side, obviously, we're still building the facility . We need to commission it and then start manufacturing , and then obviously registering it. On the Amplitude side, it's already a well -established CE -approved product and business. Its robot is also close to approval and launch. So majority of the investments have happened. I think the value driver for Amplitude will be obviously growing in double digits , and then saving a lot of cost. I understand. So that's it for my side.
Mr. Tushar Manudhane: Understood, sir. That's it from my side.
Moderator: Thank you. Next question is from S hayon Mukherjee.
Mr. Saion Mukherjee: Thanks for the follow -up. The dialyzer membrane market, I mean, what is the size of the market? And are there any local players manufacturing it , or these are all imported currently?
Dr. Sharvil Patel: So currently in India, nobody is currently manufacturing and selling. So we can be amongst the first one or two people who can be doing it from India point of view. So, there we do still believe there is a good opportunity. Obviously, it will be competitive, but we will be able to bring scale and cost advantage.
Mr. Saion Mukherjee: How large is the market size currently for India?
Dr. Sharvil Patel: We are not targeting India. We're targeting more than India. So I can ask maybe Arvind to give you the overall opportunity size, but it's not an India opportunity launch. We are not … N one of our business on the med devices are India -first strategy. It is a global -first strategy.

Mr. Saion Mukherjee: Okay. So the other question I have was product -specific . For the Semaglutide launch in India , can you confirm like your visibility for being in the first wave for that?
Dr. Sharvil Patel: Currently, yes, we strongly believe we will be in the first wave.
Mr. Saion Mukherjee: Okay. And for the Sitagliptin 505(b)(2) in the US, has the revenues kind of peaked out, or how should we think about that opportunity in quarters ahead?
Dr. Sharvil Patel: I think it's peaked out. We will h

ave a steady growth till genericization. And then obviously we still have a government business that will continue till the next one to two more years. So that’s how it is right now.

Mr. Saion Mukherjee: Okay. Thank you.

Moderator: Thank you. The next question is from Rashmi Shetty.

Ms. Rashmi Shetty: Yeah. Am I audible?

Dr. Sharvil Patel: Yes.

Ms. Rashmi Shetty: Just on the US business again, excluding Revlimid and Mirabegron, for y our base business, have you seen any erosion quarter on quarter?

Dr. Sharvil Patel: Our base business has been quite stable , generally. And I said we have generally alluded to a single -digit price erosion , and that’s what we maintain also.

Ms. Rashmi Shetty: Okay. And earlier you mentioned that you will be doing around 30 product launches , and we have done around 10 product launches in the first half. So is the guidance intact? I mean, are we on track on doing majority of launches in the second half?

Dr. Sharvil Patel: Yes, we will see 25 plus launches.

Ms. Rashmi Shetty: 25 plus launches for this entire year?

Dr. Sharvil Patel: Year. Yes.

Ms. Rashmi Shetty: Okay. And so that means that your quarterly run rate for the US business will be higher compared to this quarter i.e. Quarter 2, in Quarter 3 and Quarter 4.

Dr. Sharvil Patel: No, you will have a Revlimid drop, right?

Ms. Rashmi Shetty: Yeah, but Revlimid is not significant in this quarter also, right?

Dr. Sharvil Patel: But it is still there in this quarter. So it’s not not there.

Ms. Rashmi Shetty: Okay, got it. Understood. And just one more question on the operating margin side. You mentioned that we would be able to maintain 26% plus margin for this entire year. Is the guidance intact for the entire year , or are we … because in the first half, we have done around 32% .

Dr. Sharvil Patel: No, our guidance is intact for the year. And as I said, while US business has been stable and good, I think our international business and domestic business have driven good EBITDA growth s.

Ms. Rashmi Shetty: Okay. And despite this Comfort Click , which has got a lower margin, right compared to the company level margin?

Dr. Sharvil Patel: Yes, it is lower.

Ms. Rashmi Shetty: And despite that, you are still maintaining your 26% plus margin?

Dr. Sharvil Patel: Yeah, 26% margin.

Ms. Rashmi Shetty: Okay, okay. Thank you, sir. That’s it from my side.

Moderator: The next q uestion is from Devang Shah. Hi, Devang, requesting you to unmute and ask your question.

Dr. Sharvil Patel: I think if we have no more questions, then we can go ahead and wrap up.

Moderator: We don’t have any more questions. Requesting for management’s closing remarks.

Ganesh Nayak: So, thank you very much. And wish all of you a Happy Christmas and a Happy New Year, and look forward to seeing you again in the month of February for the Quarter 3 results. Good night.

Moderator: Ladies and gentlemen. That concludes today’s conference. Thank you for joining us, and you may now disconnect your lines and exit the webinar. Thank you.

END OF TRANSCRIPT

Call: Feb 2026

February 15, 2026

Listing Department Code: 532321
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P J Towers, Dalal Street,
Mumbai–400 001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the post results earnings call held on February 10, 2026, pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("the Listing Regulations")

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company's Q3 FY26 post results earnings call held on February 10, 2026.

Please find the same in order.

Thanking you,

Yours faithfully,
For, Zydus Lifesciences Limited

Dhaval N. Soni
Company Secretary and Compliance Officer
Membership No. FCS7063

Encl.: As above

"Zydus Lifesciences Limited Q 3 FY26
Post Results Earnings Call"

February 10 , 202 6

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. TUSHAR SHROFF – CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - HEAD, INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Moderator : Ladies and gentlemen , good day and welcome to Zydus Lifesciences Limited Q3 FY26 Earnings Call. Please note, this call is being recorded. I now handover the call to Mr. Ganesh Nayak for opening remarks. Thank you and over to you, Sir.
Mr. Ganesh Nayak: Good morning, ladies and gentlemen. It is my pleasure to welcome you all to our post results teleconference for the third quarter ended December 31st, 2025. For today's call , we have with us Dr. Sharvil Patel - Managing Director, Mr. Tushar Shroff – Chief Finance Officer , Mr. Arvind Bothra - Head of Investor Relations , and Mr. Alok Garg from the Managing Director's office.
Let me talk about the key developments during the quarter.
I am happy to inform you that we ended the calendar year with a strong double digit growth and operating profitability. All our key businesses contributed to the performance during the quarter.
Let me take you through the financial performance for the quarter gone by.
• We registered consolidated revenues of ■68.6 billion , up 30% on a year -on-year basis. Excluding acquisitions too, the base sustained double -digit growth with all key businesses delivering ahead of expectations.
• EBITDA for the quarter stood at ■18.2 billion , up 31% on a year -on-year basis. Our o perating profitability continued to remain strong with an EBITDA margin of 26.5% during the quarter , up 20 basis points on a year -on-year basis. EBITDA margin for the first nine months of fiscal stood at 30.3%.
• Net profit for the quarter , adjusted for the exceptional expense on account of the new labor code impact and acquisition related cost , was ■11.1 billion , up 9% year -on-year.
Now let me take you through the operating highlights for the third quarter of FY26 for our key business segments.
In the Pharmaceutical space,
North America business , comprising of the United States and Canada , registere d revenues of ■28 billion during the quarter , up 16% year -on-year. The base US business continued to grow driven by sustained volume expansion and new products launched over the last 12 months. On the US generics front, we filed 18 ANDAs , received 8 approv als and launched 4 new products during the quarter. On the US specialty front, we launched BEIZRAY (albumin -solubilized docetaxel injection), our first oncology 505(b)(2) product, further strengthening our specialty portfolio.

On the orphan and rare Disea se front, i

n January ’2026 , we received final approval from the USFDA for Zycubo (copper histidinate). With this approval, Zycubo has become the first and only therapy approved for the treatment of Menkes disease , which is an ultra -rare disease. We now have 3 rare disease products being marketed by Sentynl .
In Canada, we filed 5 ANDS, received 4 approvals and launched 1 new product during the quarter.
In India, our branded formulation business sustained its growth trajectory with a robust 14% year -on-year growth outperforming the market growth for yet another quarter. The growth was driven by persistent traction in innovation products and the pillar brands. Chronic segment continued to grow at a faster pace driving the overall growth of the business.
In terms of therapy performance, the business grew faster than the market in key therapies of Cardiology, Respiratory, Dermatology, Pain Management and in the super specialty areas of Oncology and Nephrology. On the super specialty front, we continue to retain leadership position in the Oncology therapy.
Contribution of chronic portfolio has increased consistently over the last several years and stood at 45.3% as per IQVIA MAT December 2025, an improvement of 560 basis points over the last 3 years.
During the quarter we expanded our presence in the diagnostics area through a strategic collaboration with Myriad Genetics of the US, introducing 3 advanced tests, viz MyChoice, MyRisk, and Prolaris , and thereby strengthening the country's precision oncology ecosystem.
International markets formulation business further accelerated its gro wth trajectory and posted revenues of ■7.9 billion , with a strong year -on-year growth of 38%. The growth was broad -based with a demand -driven performance in both emerging markets and Europe , supported by focused execution . On a YTD basis

as well, the busin ess delivered 38% growth.
On our Consumer Wellness business,
We recorded revenues of ■9.6 billion , up 113% year -on-year with full quarter of consolidation of Comfort Click business in this quarter. Excluding the impact of the recently acquired Comfort Cli ck, the business delivered double -digit volume growth during the quarter , reflecting the underlying demand momentum.
Comfort Click portfolio , that was acquired this year , continued to perform in line with expectations. The Comfort Click business deepened its portfolio with the launch of 4 adult gummy variants , one probiotic gummy variant for the kids and one Pure Himalayan Shilajit Resin , reinforcing its position in high -growth wellness categories.

Additionally, the WeightWorld brand advanced its European e xpansion by entering Poland, Finland, and Portugal, strengthening Comfort Click's regional footprint and unlocking access to fast -growing wellness markets.
In the Medical De vices space,
The business performed registered revenue of ■3 billion . This was the first full quarter consolidation of our Amplitude Surgical ’s business.
On the Operations front –
Our injectable manufacturing facility located at Jarod received the EIR with voluntary action indicated status from the USFDA post the inspection conducted in September ’2025. Our oral solid Dosage formulations facility located in Ahmedabad SEZ (SEZ II site) received EIR with no action indicated status post the pre-approval inspection conducted in August ’2025.
This concludes the business review. I would now request Dr. Sh arvil Patel to take you through the key drivers across business es as well as initiatives in our innovation programs. Thank you.
Dr. Sharvil Patel: Thank you, Mr. Nayak, and good morning, ladies and gentlemen. I am pleased to report that our core strategic pillars are delivering as intended. Our focus on supply chain resilience and stringent execution has allowed us to navigate market complexities effectively. 2025 was a remarkable year for us, characterized by exc

eptional topline growth and healthy profitability.
Our disciplined M&A and business development strategy has complemented existing businesses well and activated new growth engines that are already delivering tangible impact . Building on the seamless integration of LiqMeds and NIPL, which is the Ritebite Max Protein , our recent acquisition s of Amplitude, Comfort Click, licensing of biosimilars and our strategic biologic s facilities will serve as key enablers of sustained , long -term growth for us.
We continue to evolve our business model to go beyond the pill, prioritizing patient -centric outcomes through sustained R&D investments. This focus is not just about better healthcare, it's about creating superior value for everyone who has a stake in our success.
In the US, our generic s foundation is stronger than ever anchored by our diverse portfolio of internal and partner products. As we pivot to specialty, we are well positioned to drive further growth. We have identified and engaged key levers to expand our footprint , ensuring we bring highly differentiated , high -impact therapies to the market. This includes the 505(b)(2) pipeline of products

developed inhouse as well as through partnerships , leveraging LiqMeds portfolio and broadening access to 3 pediatric disease products by Sentynl .
In the US biosimilar space, we have attained a critical milestone with the licensing of 2 large molecules, Pembrolizumab and Ranibizumab . We shall leverage the recently acquired biologics manufacturing facility in the US to accelerate our proprietary pipeline while maximizing capacity utilization through our continued supply of BOT / BAL to Agenus and the onboarding of new partners.
Looking ahead, we are particularly optimistic about the upcoming NDA filing for our molecule Saroglitazar in the US market. This is a pivotal milestone that will not only catalyze our next phase of growth but also solidify Zydus’ position as an innovation -driven leader in the specialty pharmaceutical space.
Turning to our India formulations business, our branded portfolio has consistently outperformed the market for several quarters. We are accelerating this momentum by sharpening our focus on our core therapeutic areas. Our

commitment to patient -centric innovation has yielded a robust pipeline of novel , differentiated products that not only address significant unmet needs but also serve as a foundation for sustained long -term value creation.
On International Markets formulations business, spanning both emerging markets and Europe, it has delivered strong double -digit growth over the past several quarters. In emerging markets, we are driving growth through our therapy -led approach, tailoring offerings to local needs and building a more agile market responsive portfolio. Whereas in Europe, our priority is to broaden our portfolio offerings and strengthen our market coverage.
Our strategy for Consumer Wellne ss is centered on making wellness a natural extension of the consumer's journey. The acquisition of Comfort Click has uniquely positioned us with a strong presence in both India and Europe's developed market s, enhancing diversification and growth potential. With the addition of Comfort Click, we have reached a critical inflection point. This move not only expands our global footprint but also secures a leadership position in the rapidly evolving digital world. Using these capabilities, we are building a sustainable, scalable wellness framework designed to deliver superior long -term returns.
On the MedTech front, we achieved an important milestone with the CE mark approval for our proprietary Andy robotic surgical system. This confirms its compliance with European standards for safety, performance and quality.

With this, let me share some material developments on our innovation efforts during the quarter.
On the NCE front, as I m

entioned, we plan to file Saroglitazar Magnesium with the USFDA for PBC indication.
In the Biotech R&D space, we received regulatory approval in India to initiate Phase III clinical trials of our second biosimilar ADC.
On the vaccines front, we initiated a Phase II trial for Bivalent Typhoid Conjugate vaccine in India. And our global vaccine strategy is now playing out as recently we have been awarded the tender to supply rabies vaccine to PAHO for Latin American countries and the typhoid conjugate vaccine to UNICEF for low and middle -income countries.
On the 505(b)(2) front, we have entered into an exclusive licensing and commercialization agreement for a novel sterile 505(b)(2) product in the area of supportive oncology care. And the NDA for the product is expected to be filed with the USFDA in 2026. This will allow us to have a second launch.
And now we can start with the Q&A session. Over to the coordinator for the Q&A.
Question & Answer Session:
Moderator: Thank you, Sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to 2 questions and then return to the queue for more questions. Please raise your hand from the ‘Participant ’ tab on the screen for asking the question.
The first question is from Neha Manpuria.
Ms. Neha Manpuria: Yeah, thanks for taking my question. My first question is on the Agen us deal. Now that we have completed the acquisition of the asset . As Sir you mentioned in your opening remarks that initially there will be supply of BOT, BAL before we start onboarding customers. In true sense, when should we start assuming revenue from the CDMO business? Would it be F Y27 the latter half, F Y28 or could it take some more time?
And, you know, let's say over a 3-4 year period, how big can the CDMO business be for us under Agen us?
Dr. Sharvil Patel: Yeah, thank you, Neha. So, I think you'll see the commercialization start from the second half of FY27 when we start supplying BOT, BAL. In the meantime, we are obviously getting the facilities qualified and we'll go with the portfolio of both. But I would say the commercialization will be second half of F Y27.

In terms of scaling up of the CDMO business, it will take at least 2-3 years. Obviously, one milestone will be how BOT, BAL moves forward in its clinical and regulatory journey. And we're quite optimistic with the traction it is seeing in

Europe and also the trial how they're moving. And then obviously , further addition of new CDMO business. So, in the next 2 -3 years, say, we would have a meaningful Bio CDMO business.

Ms. Neha Manpuria: Are we quantifying, Sir, what this meaningful would be? I mean, would it be, let's say, 50 or 70, 100 million? I mean, what can be the number that we could look at from this facility?

Dr. Sharvil Patel: No, it will be little higher than that.

Ms. Neha Manpuria: All right, okay. My second question is on the cost. Now, obviously we saw the full consolidation of Comfort Click and Amplitude in this quarter. We'll probably have, you know, the CDMO cost coming through and then we have Saro next year. So , if I were to look at F Y27, you know what should be a good cost estimate that we should look at? I mean, from the current if I were to strip out the R&D number, I think we 're close to about, ■1,600-■1,650 crores. So, roughly what would be this number on a run rate basis in FY27? And when should we start seeing the Saro commercialization cost, the MR, etc ., that cost?

Mr. Tushar Shroff : Hi Neha, this is Tushar. Yeah, so our current run rate in terms of other expenses, excluding R&D expenditure for this particular quarter, and what we expect is about ■1,750-■1,800 crores excluding R&D spend. But, the Agenus expenses will be, you know, we are expecting that to be around 20 mil lion on other expenses. So

, we'll have to see that in terms of on annualized basis if it is about 20 million, how the phasing is going to happen. But our current run rate is expected to be about ■1,750 -■1,800 crores, excluding R&D opex .

Ms. Ne ha Manpuria: And this includes the 20 million from Agenus and the Saro cost that we will incur, right?

Mr. Tushar Shroff : No, this does not include that.

Ms. Neha Manpuria: Oh, the ■1,750 -■1,800 crores is excluding the Agenus and Saro costs?

Mr. Tushar Shroff : Yeah, the Saro, any kind of a launch specific expenses is not included in this.

Ms. Neha Manpuria: And when would we start seeing that, given that we will file the product now, you know, probably by earliest , if we expect launch in end FY27, fiscal 27, should we start assuming some cost coming through in 27 or it will largely be a 28 sort of, you know, cost where we see for Saro?

Dr. Sharvil Patel : No, 27 we'll see a meaningful cost on Saro.

Ms. Neha Manpuria: Okay, and we are not quantifying that at the moment?

Dr. Sharvil Patel : No, I think , as I said, it will slowly ramp up because it depends once on filing and how we are going ahead with the hiring and other strategic initiatives. So , it's too early to give a guidance but it will be meaningful but it will be building up as we move through the year.

Ms. Neha Manpuria: All right. Thank you so much.

Mr. Tushar Shroff : So, I think, Neha, the idea is that once we are able to close on the budget and other things, probably Q4 will be the better time for us to give you the better guidance.

Ms. Neha Manpuria : Okay, that's helpful, Tushar . Thank you so much.

Moderator: Thank you. The next question is from Saion Mukherjee .

Mr. Saion Mukherjee: Yeah, hi. Thanks for taking my question. Sir, the R&D cost has gone up significantly this quarter. Can you just explain ? And, you know, your comment mentions around maybe ■100 crore plus increase in other expense in the quarters ahead , what is going to drive this further increase? Is it R&D or something else which will drive that number?

Dr. Sharvil Patel: Thanks Saion . So, R&D, as I said, we expect a 7.5 %-8% of ou r revenue for FY26. That's what we guided for. There is always lumpiness to R&D in the third quarter, which is October -December quarter. And also then the different clinical trials that are going on for biologics and others. So , it's generally that lumpy. And we've seen that in the last year same quarter as well. But, yeah, we are guiding towards the 7.5 %-8% for this financial year.

Mr. Saion Mukherjee: Okay -okay. My second question is regarding international market where we have seen significant growth in the recent past . If you can give some color what happened like o ver the last 4-5 years, you know, the business has almost tripled ? And how should we think about it going forward?

Dr. Sharvil Patel: So, I would say, as I said, there are 2-3 things . One is the key focus on the markets and doubling down on the branded space in the EM space with CVS. I mean, CNS being the most important part and then we also expanded to some other metabolic disorders including pain. So, that's helping us. So, while there have been up and down that have happened in different markets but, overall, I

think markets have done very well in terms of growth.
The second is expanding our access to more markets with the quality of filings that we have and the products that we have , where we are many times semi

exclusive or exclusive because of the technology, we are seeing good traction to execute new markets in terms of launch.
And Europe, which was going through a challenge for us in the last 3 years, in the last year and this year have done meaningfully better and they're significantly scaling up their business, with both reach as well as the product portfolio growing. And that's also helped the overall business in terms of growth.
And I would say also that all the new markets that we entered like UK and some of the markets in EM, all of them have significantly tracked better than expectations, both on revenue and margins. So , that has led to the overall growth. So, I would say a lot of it led by good portfolio, which is there, which we are accessing for these markets, and then a very strong execution in the market.
Mr. Saion Mukherjee: So, you see this as sustainable like at least double -digit growth to continue in the coming 2 -3 years?
Dr. Sharvil Patel: Yeah, we see meaningfully 20% plus growth continuing for the near future.
Mr. Saion Mukherjee: Okay. And, Sir, just one last question on the US, if you can comment on Revlimid, whether it was large, low this quarter ? And also on Mirabegron , there are some news of settlement by Lupin. So , how should we think about the landscape on Mirabegron , which is a big contributor for you currently in the US?
Dr. Sharvil Patel: So, yeah, on Revlimid, as I said, every quarter the trajectory is on a downward trend. And even in this quarter gone by, it's a very small part of the overall business now. And we won't see anything in the next quarter . So, we have sort of completed our business , sort of, so to say, FY26 on Lenalidomide. And, so, by and large this quarter is gone and next quarter we will not see anything.
With regard to Mirabegron , the trial started as of Monday, on 9th, Feb, with jury selection . The party will start presenting the case on Tuesday, which is Feb 10th. And the court has directed the parties for mediation while the trial is proceeding. So, that's where we are today.
Mr. Saion Mukherjee: Sir, any comment on possible competitive landscape here over the next year or so?
Dr. Sharvil Patel: No, I mean, it's difficult to say. Look, Lupin has settled from what we hear today morning . So, there is some writeup there. But I would still refrain from saying anything till after the trial or after the mediation.
Mr. Saion Mukherjee: Okay, thank you.
Moderator : The next question is from Bino.

Mr. Bino : Hi, good morning. Sharvil Bhai, just to follow up on the previous question, what is the outcome of the trial? Or let me put it this way, is there any sort of outcome of the trial by which this opportunity of Mirabegron can stay exclusive to current players in the market for next 3-4 years?
Dr. Sharvil Patel: As I said, the trial is just about to start, it will be better to not comment on that outcome right now.
Mr. Bino : Got it. On this Keytruda partnership that you have got into, are you expecting this to be the first biosimilar to market to Keytruda ?
Dr. Sharvil Patel: So, in terms of the product that we have licensed, I think from public domain it is also known that this company is the furthest ahead in terms of both the clinical trial and the revised clinical trial guidelines. Actually, they shaped that almost, you know, way of in terms of how this will move forward. So , they are furthest ahead in terms of the clinical development and FDA guidance that the firm has received. So, we are also hoping that we do get to file as the first biosimilar and potentially also find a meaningful opportunity for launch being the first filer.
Mr. Bino : Understood. And, again, from public sources , it seems that Keytruda key patents are expiring in 2028, 2029. You know, without any explicit guidance, is that roughly the timeline around which we could target the launch?
Dr. Sharvil Patel: Yeah, we would be prepared with the kind of timelines that IPDA and others are saying and even the commentary that we heard from various sources. So, we would want to be prepared for that time.
Mr. Bino : Understood. And one last question on Jardiance empagliflozin . I believe we are one of the first-to-file. So, do we have any chance of like , is it going to be any materially meaningful product for us, even i

f it is a couple of years out?

Dr. Sharvil Patel: So, I would say, overall, we do have had a good success in terms of first-to-file and also settlement. So , we do see a lot of good pipeline of products coming through, including Empa. But also importantly even in the year gone by, we have filed almost 4-5, again, sole exclusive first-to-file. So, it's probably been one of the best years for Zy dus in terms of sole first-to-file opportunities that we have seen. So, we are quite excited with the prospect of future pipeline that we will get to launch.

Mr. Bino : Sorry, I didn't understand. Is Empa going to be a sole opportunity for you or will it be shared?

Dr. Sharvil Patel: No-no, Empa is not a sole but, as I said, beyond that also , we have filed at least 4 sole first -to-file this year.

Mr. Bino : Understood. Okay, thanks. I will join back the queue.

Moderator : Thank you. The next question is from Nitin Agarwal. Hi, Nitin , can you hear us?

Mr. Nitin : Hello?

Moderator : We move on…Yeah, Nitin, can you hear us?

Mr. Nitin : Yeah -yeah, I can hear you. So I was just saying, Sir, in the US , with Revlimid not being there from the next quarter onwards, as you guided, and some of our major first -to-file also kicking in the second half of the year, how should we think about the US business growth for the interim next 3-4 quarters?

Dr. Sharvil Patel: So, we have guided that we will still see growth in the US in the coming year. In fact, even in FY'26, in at least the calendar year we have seen 11% volume growth for our US Business. While the market has grown at 1 %, we have grown at 11 plus % on the volumes, so which is also helping. So, both the base business is robustly growing, we still continue to launch meaningfully a lot of products in the US and will continue in this year also. And then, as I said, as the year comes nearer to the end, we'll have some exclusive launch also. So, we will see a good growth continue in the US generics business.

Mr. Nitin : Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from Surya Patra.

Mr. Surya Patra: Yeah, thank you for this opportunity, sir. I will just extend my question on the US growth side. Sir, what are the key triggers that you are facing as the growth driver for, let's say, the next one or two years? And when we talk about the speciality opportunities, we have already seen this rare disease products also that is there in the US market already. So, considering all that how big the speciality contribution would be to the US? And how significantly it can ramp it up, what do you think? And what other trigger that you find for the US growth for the next 2 years?

Dr. Sharvil Patel: So, in the next, medium term, in the next two years, obviously, we have very important launches, 4 to 5 sizable launches that we will get to see. And somewhere we are sole exclusive in the market. Beyond that obviously, we have plans to launch 40 to 45 plus products in FY'27 and we'll continue to have a large growth trajectory going forward as well. And then the whole 505(b)(2) franchise of liquids, as well as, the supportive onco product like BEIZRAY. As I said, we hope to file one more soon with a partner and also potentially launch it in a year's time. So, all of that will lead to adding further value on that and we just licenced Ranibizumab, also biosimilar. So, we also see that in the second half of the year, a launch of that. So, overall, I would say the speciality / 505(b)(2) pipeline will grow very well with biosimilars entering also. Beyond that obviously Sentynl has just launched Zycubo and we'll see a good year for Sentynl in the

coming year . So, that part of the speciality business will also meaningfully track. And as I said, our generics business continues to do well. We had 11% volume growth in spite of what the market is, and that likely will continue.

Mr. Surya P

atra: Okay. So here price erosion is the single digit, that is how one should consider, sir, when you say 11% volume growth?

Dr. Sharvil Patel: Yeah, I mean other than Lenalidomide and others , single digits.

Mr. Surya Patra: Okay.

Dr. Sharvil Patel: Sorry, can you repeat that?

Mr. Surya Patra: So, when you say 11% kind of volume growth, price erosion should be single digit, that is what one should believe?

Dr. Sharvil Patel: Yeah.

Mr. Surya Patra: Okay, my second question is on the margin scenario, going ahead. See a couple of factors that is likely to play out, see, obviously the Lenalidomide factor. Well, secondly the R&D, higher R&D spend that we are likely to see and the blended margin implication of the two larger acquisitions what we have recently seen, 'Amplitude' as well as the 'Comfort Click.' I think that is a on a blended basis margin is lower than the current margin scenario or our reported margin, our base business margin, excluding Revlimid. That is the kind of margin what the acquisitions would be having. So, given that there is a kind of a visible pressure on the margin on the subsequent quarters, that is it looks like. Any sense or any commentary on that?

Dr. Sharvil Patel: So, I think , we have had exceptionally high margin, much significantly higher than even any industry margin that is existed in FY'26. If you look at going forward Lenalidomide that we will see, in Quarter 4, which would probably see very little growth or no sale also on Lenalidomide, we still expect a 23% plus margin. And so, I think, while we, yes, you're right CCL will have lower margins, overall consumer business next quarter which is a bigger quarter, will have lower margins and Amplitude has a little, I mean, it's near to it, but similar margin. We will still track at 23% plus margin in the Quarter 4.

Mr. Surya Patra: Okay, so just one clarification, sir. This Amplitude, what is the like -to-like growth that we would have seen in this quarter? Whether the MedTech revenue what we have reported it is purely Amplitude or something else also that is included there?

Dr. Sharvil Patel: It's that plus some cardiovascular sales as well.

Mr. Surya Patra: Okay, and what is the like -to-like growth in the Amplitude, sir?

Dr. Sharvil Patel: So, it's high single -digit growth for the like -to-like business.

Mr. Surya Patra: Sure, sir. Yeah. Thank you. Wish you all the best.

Moderator: Thank you. The next follow -up question is from Bino.

Mr. Bino: Hi. Thanks again. Just following up on the product Palbociclib, which we have in licensed, is it , as of today , an FY'27 opportunity or an FY'28 opportunity?

Dr. Sharvil Patel: The first part I missed, when you said licensed.

Mr. Bino: Yeah, Palbociclib which we have in licensed, I believe there was some patent pediatric extension which was awaited. So as of now would it be a FY'27 opportunity or a FY'28 opportunity?

Dr. Sharvil Patel: So, that we can't answer because if the pediatrics exclusive is granted then it will be FY'28, otherwise it could be FY'27.

Mr. Bino: Okay. And Riociguat continues to be FY'27 opportunity, right?

Dr. Sharvil Patel: Yes.

Mr. Bino: Got it. And one last question on this product Enzalutamide Xtandi, is that a material product for us, whenever it comes?

Dr. Sharvil Patel: I'll ask Arvind to come back to you on that specific product.

Mr. Bino: Okay.

Dr. Sharvil Patel: ….because I don't have the correct….Yeah.

Mr. Bino: Thank you.

Dr. Sharvil Patel: Thank you.

Moderator: Thank you. The next follow -up question is from Saion Mukherjee.

Mr. Saion Mukherjee: Yeah, thanks for the follow -up. Just a couple of questions on India. I think the growth that you are reporting , would it be fair to assume , is it that a fair bit of it is being contributed by Saroglitazar , Desidustat and your Biosimilar portfolio ? And in that context , like, how should

we think about these products growing, because I think this year has been a good step up , particularly for Desidustat. Where do you see these brands, you know the peak sales potential, particularly for Saro and Desidustat? And are there any patent risks that we need to be worried about , on these products over the next 3 -4 years?

Dr. Sharvil Patel: On the patent risk, No. We have a longer patent life. In terms of traction, yes, our innovative portfolio is growing much faster. It's growing at 23 plus%. But also, our growth booster brands which are those 30 odd brands that we focus on, are also growing at greater than 13 %. So, I would say , overall the portfolio is tracking very well. And as this product s scale up like Saro, Desi, also our biologics portfolio business also, we'll see a better trajectory on that. You know, Saro is already overall a 450 plus crore franchise as a molecule and we see very strong, very significant strong growth continuing for the franchise. So, we're quite bullish on Saro. Also, for Desi similarly, we only see stronger traction going forward. And so, I think from that point of view, yeah, the patented molecules are doing very well. The biologics are also doing extremely well. And as I said, even beyond that our growth booster brands, which are beyond these are also tracking significantly better than market. And vaccines and other business also, which is separate. Yeah.

Mr. Saion Mukherjee: Okay, okay. Sir, just on mentioned about some tender wins on vaccines, so how large are this potential and when should we pencil in these revenues in our models?

Dr. Sharvil Patel: So, this year , we have definitely grown very well and next year also, we have a very significant growth expectation on vaccine. In the India public tender market, we had won last year, FY'26, the MR tender, which is a hundred plus crore already opportunity that we have realized on a single product. Also very strong traction on our Flu vaccine, which is also gaining meaningfully, and we hope to become the largest flu player in India very soon. And the rabies vaccines have done extremely well in the Indian market as also with pre -qualification. Icing as we get to the global tenders, you know, obviously there are, we're starting off on some of them, so the initial starts are small, but as we get into the second year, third year the supplies go up. So, as I said, we eye very strong value out of vaccines. In the next 3 to 4 years we want to have a thousand crore plus business on vaccines, for sure. And that's what we are conservatively aiming for.

Mr. Saion Mukherjee: Okay, okay. Thank you.

Moderator: Thank you. The next question is from Bansi Desai .

Ms. Bansi Desai: Yeah. Hi. Thanks for the opportunity. Sharvil bhai, my question to you is on our M&A Strategy . So, you had earlier outlined, you know, that you would want to scale up US Specialty through inorganic opportunities. And therefore, if you could provide an update on the progress of this strategy and the nature of assets that you are prioritizing in terms of therapy areas or commercial stage of these assets?

Dr. Sharvil Patel: So, in the US , as I said, yes, we are looking to how do we diversify and have more specialty driven business. So, it's a meaningful…I mean, I think the couple of

meaningful things that have happened for us is , obviously , the launch of Zycubo , which is our third specialty drug or a rare disease drug that has happened. We do see traction to being able to find more of these opportunities in the next year or two. We hope to at least get one or two deals almost every year. So that's one BD&L opportunity and licensing and we've done well so far and we continue to track well in terms of getting more leads. Beyond that, obviously, we're building the 505(b)(2) specialty space with supportive onco as the key area that we are focusing on. And we want

to push for that further. I think the biosimilar launches will also aid to that. Ranibizumab will also be a type of specialty launch in the in the US market. So, we are excited with that opportunity also, as we move forward. So overall, yes, the specialty business will continue to grow and then finally for our Saroglitazar part of the portfolio, once we come near to launch, we are hoping to find more assets to add to Saro, both mostly commercial assets. And we continue to track and see what we can look for and , but it will be in the liver hepato -gastro space adjacency or at least any niche adjacencies in major diseases. So, it will be mostly specialty driven portfolio acquisition, if we are able to do.

Ms. Bansi Desai: And any plans to augment this, you know via assets which have commercial infrastructure or capabilities around that?

Dr. Sharvil Patel: Yes, that is also a way we are looking at it.

Ms. Bansi Desai: All right. And my second question is on India . You know , given our innovative brands are doing well, our chronic mix is going up, we will also see potentially GLP-1 launches, so fair to assume that our India business should track that double -digit growth for the next 2-3 years, based on the portfolio that we have today?

Dr. Sharvil Patel: Yes, I think , we have a strong momentum for our innovative brands . Also, we will have Sema launch, as well as, many other interesting first day one launches in the market. Also, future more proprietary new drugs to come. So, we are quite bullish on double -digit growth for India.

Ms. Bansi Desai: All right. Thank you.

Moderator: Thank you. The next question from Devang Sarawgi .

Mr. Devang Sarawgi : Good morning, Sir.

Dr. Sharvil Patel: Good morning.

Mr. Devang Sarawgi : We secured shareholder approval for Rs. 5,000 crore QIP back in December. Given that 2 months have already passed, could you clarify if the fundraising is strictly contingent on any acquisition or we are waiting for better market conditions to minimize dilution?

Dr. Sharvil Patel: It is mostly contingent on, if we get to see any major opportunity. As I said, our internal accruals are, I mean, and cash flows are sufficient for us to continue to do what we need to do without fund raise. Fund raise is an enabling provision for us to use if we feel that we need to, provided we can see any meaningful acquisition.

Mr. Devang Sarawgi : And secondly, if you can provide any clarity for Mirabegron litigation ? What should we assess the maximum risk limit for the product?

Dr. Sharvil Patel: As we speak, we are in litigation. So, I don't think we will be able to make any comments for now.

Mr. Devang Sarawgi : Okay. Thank you.

Dr. Sharvil Patel: Thank you.

Moderator: Thank you. The next question is a follow -up from Surya Patra. Hi Surya, requesting you to unmute and ask your question.

Mr. Surya Patra: Yeah, thank you , Sir. Just wanted to understand how important this Myriad Genetic collaboration will be for us? And what is the opportunity that we are trying to target here?

Dr. Sharvil Patel: So, you know, we had earlier already licensed one opportunity in the liquid biopsy space with Guardant and that's tracking extremely well in India. And the liquid biopsy business for Guardant which Zydus is exclusively managing is doing extremely well. This will significantly add to that capability on creating more opportunity and access for patients to test for genetic disorders as well as…. not genetic, for genetic conditions with related to cancer and others. So, this I think, our views in the next 2 to 3 years, this would be a very meaningful business, sticky business for the company. It's already tracking very well with just CanAssist and the liquid biopsy business. And this would significantly add further opportunity for the company. Beyond that, obviously, we create a very strong patient angle to how we manage the whole

ecosystem or for cancer, for both the oncologist, as well as, the cancer patient, in terms of giving them additional opportunities for them to test and early diagnose. So, I think all of that will lead to us continue to be the largest Indian oncology player as we intend to be. But also, not only be the largest, but also create more value for the patient.

Mr. Surya Patra: Second one, just a clarification further again on the GLP -1. I believe, we had mentioned earlier that we may not be there in the first wave of commercialization in India or emerging market because our product could be slightly differentiated product than the pure plain vanilla generic of Semaglutide. So, if you can clarify sir, because you have got the approval from the CDS CO about your generic version. So, what strategy that you are likely to play here?

And what is your manufacturing arrangements or partnership arrangements for GLP-1?

Dr. Sharvil Patel: So, I think Surya , there may have been some misunderstanding, we will be in the first wave of launches, when it comes to India launch. We will also be partnering with at least 2 or 3 companies, who will use Zydus' Sema to launch. So, we are definitely in the first wave. We already have marketing authorizations and all of that. So, that is happening in terms of, and that will be with our novel formulation. In terms of other markets, as I said, we are saying we are not in the first wave when it comes to other markets, but probably in the next 12 months, we will enter those markets also. But in India , definitely , we will be on day one, post IP.

Mr. Surya Patra: What is the novelty that we are talking about here?

Dr. Sharvil Patel: So, we have a new formulation where it's a very significant ease to the patient in terms of use. Also, there is a very meaningful benefit in terms of cost because today , we have in , typically for weight loss, you have to shift from the first four weeks to the next four weeks with a different dose and that means a different pen device. For us, we have a…. and we don't need to make any changes from the initial dosing to the higher dosing. With the same device it continues. So, it will definitely add significant ease of use for the patient, much less complexity for patients to learn 2 devices. Also, the supply chain wise, it becomes much easier,

because you're not carrying 2 different devices for early first four weeks and then the future. So, all of that is going to lead to very meaningful, I would say, patient burden being lowered in terms of understanding and use and carrying and also in terms of supply chain, also convenience of dosing.
Mr. Surya Patra: Okay. Okay. Just last one -point Sir. On the finance cost side, we are having the cash balance as well as the debt. So that's why the interest cost is being a kind of a sequential rise. So, generally, what is the kind of a thought process here going , when we think about FY'27 and beyond?
Dr. Sharvil Patel: So, on our net debt basis , we are 3,000 crores of debt , as of now, and I would say that's because of, obviously, the large acquisitions that we have done recently. But I think, we are more than comfortable in terms of our net debt position.
Mr. Surya Patra: Okay. Okay. Yeah. Thank you, Sir. Wish you all the best.
Mr. Tushar Shroff : Thank you.
Moderator: Thank you. The next question is from Gaurav Tinani.
Mr. Gaurav Tinani: Yeah. Hi. Good morning. So, first questions, on the biosimilars strategy. Firstly, on Ranibizumab, just want to understand the landscape right now. I believe, Sandoz was also selling, or was in a partnership with Formycon for Ranibizumab, but

then they kind of withdrew from the market. Now, we've also got into an alliance with Formycon. So, do we see the commercial landscape still attractive and do we see this as, you know, Sandoz, when can they re -enter the market and when can Zydus enter the market here,

please?
Dr. Sharvil Patel: So, as I just said , we hope to enter by the second half of the year. That's where we are planning for launch. There is definitely an opportunity where there is not enough biosimilars available on Ranibizumab in the market and we see that as an opportunity.
Mr. Gaurav Tinani: Sir, so, Sandoz had, you know, almost a 48% share and they still withdrew from the market. Now, you know, any read through from there, why did they withdraw from the market and now we've also taken Formycon's product. So, you know, why did Sandoz withdraw the market and…..
Dr. Sharvil Patel: No, I don't have…..regulatory reason, maybe a commercial reason. I don't know.
Mr. Gaurav Tinani: Got it. Got it. Okay. Secondly, for biosimilar Keytruda, you know , the next clinical milestone in terms of the Phase -1 study completing, when can we expect the readout for that? Do you see that in H1 of this calendar year, H1 of CY'2026?
Dr. Sharvil Patel: Yeah, we will see it in this year. I mean this calendar year.
Mr. Gaurav Tinani: This calendar year, okay. Got it. And if the study is successful, in the press release we've also mentioned that we can use Agenus's facility for manufacturing in the future. Now the initial filing on successful study, wi ll that include Agenus site or that will include an alternate site initially for Formycon and then Agenus site will be included subsequently. Any readout on that , please ?
Dr. Sharvil Patel: No. Currently, Formycon manufactures it in a European facility and we are going to file as a primary filing through that. Subsequently, we will evaluate as a second source filing, whether we need to, we will use our US facility. But currently, the BLA application will be submitted through the European site .
Mr. Gaurav Tinani: Got it. Last question. I think, we've guided for 23% plus margins in Q4 of this year. With next year , the US growing, emerging markets growing 20% plus, India also going in double digits, any guidance for EBITDA margins for next year?
Dr. Sharvil Patel: I think, as I said, the best is for us to give you the next quarter guidance and I think as we start the next financial year , we will probably come out with better , more near -term guidance. But right now, I would say , the nearest guidance is, we will be in the fourth quarter , despite no revenue on Lenalidomide, we will see a 23% plus margin.
Mr. Gaurav Tinani: Okay, Sir. Thank you. All the best.

Moderator: Thank you. We wait for a few minutes until the queue assembles. Requesting participants to please raise their hand from participant tab on the screen to ask question. As there are no further questions, we take a follow -up question from Gaurav Tinani.
Mr. Gaurav Tinani: Yeah. Sorry, one last question. So, as we are building in, you know, slight ramp - up in other expenses ex R&D which we guided earlier in this call, what would be the key levers for this higher OPEX spec? Would there be a field force dedicated for GLP? Would there be a field force for biosimilars driving this or would there be you know , marketing spend in Comfort Click or additional field force in

Amplitude driving this ? Any read through for that, please?
Dr. Sharvil Patel: None of those. It's the acquisitions that have led to, obviously, some of the higher base being created. But there is no addition of field forces in the current acquisition or the current businesses. Future , Saro will have a commercial team, which is not baked in yet.
Mr. Gaurav Tinani: So, the biosimilar field force for Rani would be the same which we use for the 505(b)(2) products?
Dr. Sharvil Patel: Yeah. This largely in the same number of people we have. We'll reorganize a little bit.
Mr. Gaurav Tinani: Okay, sir. Got it. Thank you.
Dr. Sharvil Patel: Thank you. I think as….
Moderator: Thank you. Yes Sir. We can have our closing remarks and then close the call.
Dr. Sharvil Pat

el: Yeah, thank you. I think as the organizer said, there are no further questions. Thank you everyone and we look forward to seeing you in the next quarter.
Moderator: Ladies and gentlemen that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.
Management: Thank you .

END OF TRANSCRIPT

Call: May 2026

May 24, 2026

Listing Department Code: 532321
BSE LIMITED
P J Towers, Dalal Street,
Mumbai–400 001

Listing Department Code: ZYDUSLIFE
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai–400 051

Sub: Transcript of the post results earnings call held on May 19, 2026, pursuant to regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“the Listing Regulations”)

Dear Sir / Madam,

Pursuant to regulations 30 and 46(2)(oa) of the Listing Regulations, please find attached the transcript of the Company’s Q4 FY26 post results earnings call held on May 19, 2026.

Please find the same in order.

Thanking you,

Yours faithfully,
For, Zydus Lifesciences Limited

Dhaval N. Soni
Company Secretary and Compliance Officer
Membership No. FCS7063

Encl.: As above

“Zydus Lifesciences Limited Q 4 FY26
Post Results Earnings Call”

May 19 , 202 6

MANAGEMENT : DR. SHARVIL PATEL - MANAGING DIRECTO R, ZYDUS LIFESCIENCES LIMITED
MR. GANESH NAYAK - DIRECTOR , ZYDUS LIFESCIENCES LIMITED
MR. TUSHAR SHROFF – CHIEF FINANCIAL OFFICER , ZYDUS LIFESCIENCES LIMITED
MR. ARVIND BOTHRA - HEAD, INVESTOR RELATIONS , ZYDUS LIFESCIENCES LIMITED
MR. ALOK GARG - MD OFFICE , ZYDUS LIFESCIENCES LIMITED

Moderator : Ladies and gentlemen , good day and welcome to Zydus Lifesciences Earnings Conference Call for Q4 FY26 . Please note all participants ' line will be in ' listen - only' mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conference, please raise your hand from the 'participant ' tab on the screen. While asking questions, request you to please identify yourself and your company. Please note this conference is being recorded.

I now hand over the conference to Mr. Ganesh Nayak, Director at Zydus Lifesciences . Thank you and over to you, Sir.

Mr. Ganesh Nayak: Good evening, ladies and gentlemen. It is my pleasure to welcome you all to our post -results teleconference for the fourth quarter and the financial year ended March 31st, 2026. For today's call, we have with us , Dr. Sharvil Patel, Managing Director , Mr. Tushar Shroff , CFO , Mr. Arvind Bothra , Head of Investor Relations and Mr. Alok Garg from the Managing Director's Office.

To begin with, let me give you an overview of the performance for the year. I am happy to inform you that we have ended the fiscal 2026 on a strong note. Overall, we delivered healthy double -digit growth during the year ahead of our expectations. Even after adjusting for acquisitions, the base business grew in double digits. This reflects the underlying strength of our operations. On the profitability front, we surpassed our expectations, achieving the highest ever operating profit as well as margins during the year. A strong product mix combined with operating leverage and forex tailwinds propelled profitability.

In the Pharma space, our U S formulations business grew on a higher base of the previous year despite the increased competitive intensity in key products. Base business volume expansion, new launches and sustained traction in the specialty portfolio drove growth during the year. Our branded formulations business in India outpaced the market with strong double -digit growth supported by healthy volumes and new product introductions. Our international markets business , spanning emerging markets and Europe , sustained strong momentum with demand -led growth across geographies.

We expanded into the international consumer wellness space by acquiring and integrating UK -based Comfort Click Limited. This move establishes our footprint across the UK, EU and the U S. It significantly strengthens o

ur presence in the high growth VMS segment, covering adult nutrition , pediatric wellness and animal health.

On the medical devices front , we took significant strategic steps as we established it as one of the three business verticals for Zydus. We acquired the French orthopedic firm , Amplitude Surgical , and entered the nephrology and

cardiovascular devices space. These moves position us well for the next phase of our growth.

We are also accelerating our digital transformation. Advanced analytics, automation and AI are now embedded into our operations, improving efficiency and the way we serve our stakeholders.

With that, let me take you through the financial numbers for the year gone by. We recorded consolidated revenues of ■ 271.5 billion, up 17% on a year -on-year basis. The business delivered strong operating performance with an EBITDA margin of 31.2%, which is an improvement of 80 basis points over t he high base of the previous year. Consequently, the consolidated EBITDA for the year grew by 20% to ■ 84.8 billion. Net Profit , adjusted for exceptional items , for the year was ■ 54.6 billion , up 15%. Thanks to our strong financial performance and discipl ined financial management, we kept our net debt to EBITDA ratio comfortably within the benchmark levels, even as we pursued several inorganic growth opportunities during the year. Our net debt to EBITDA ratio stood at 0.5 times as on the 31st of March 2026.

Coming to our quarterly financial performance , we ended the year on a strong trajectory. Our consolidated revenues for the quarter stood at ■ 75.9 billion, up 16% on a year -on-year and 11% on a quarter -on-quarter basis. Our operating profitability continued to improve with an EBITDA margin of 33.7%, which is an improvement of 110 basis points on a year -on-year and 720 basis points on a quarter -on-quarter basis. EBITDA for the quarter stood at ■ 25.6 billion, up 20%

on a year -on-year and 41% on a sequential basis. Net Profit for the quarter , adjusted for the exceptional expense , was ■ 15.9 billion , up 15% on a year -on-year and 43% on a quarter -on-quarter basis.
Now , let me take you through the operating highlights for the fourth quarter of FY26 for our key business segments.
In the Pharmaceutical space,
North American business , comprising of the US and Canada , registered revenues of ■ 29.5 billi on during the quarter up 5% quarter -on-quarter. Growth during the quarter was driven by volume expansion in the base business, new product launches and sustained traction in the specialty and rare disease portfolio. On the US Genetics front, we filed 3 ANDAs, received 9 approvals and launched 6 new products during the quarter. On the US specialty front, in the month of April 2026, we filed 2 new product dossiers through the 505(b)(2) route , thereby bolstering our pipeline. In the orphan and rare disease space, we launched Zycubo , which is copper histidinate , for the treatment of Menkes disease , which is an ultra -rare disease. With this launch, we now have 3 rare disease products marketed by Sentynl.

In India, our branded formulations business sustained its growth trajectory with a robust 15% year -on-year growth, outperforming the market growth for yet another quarter. Chronic segment continued to grow at a faster pace, driving the overall growth of the business. In terms of therapy performance, the business grew faster than the market in key therapies of cardiology, respiratory, dermatology and in the super specialty areas of oncology and nephrology. On the super specialty front, we continue d to retain leadership position in the oncology therapy. Contribution of the chronic portfolio has increased consistently over the last several years and stood at 46.3% as per IQVIA MAT March ’26, which is an improvement of 620 basis points over the last 3 years. During the quarter, we launched the world's

first biosimilar of Nivolumab under the brand name
TishthaTM, reinforcing our growing capability in advanced biologics and immuno - oncology. This immunotherapy will reduce the treatment burden by making it accessible at approximately one -fourth the cost of the reference drug and is likely to benefit over 500,000 patients. We also launched the country's first indigenously developed biosimilar of Aflibercept 2 m g under the brand name AnyraTM for advancing ophthalmic care. During the quarter, we launched semaglutide injection under the brand names SemaglynTM, MashemaTM, and AltermeTM. in a reusable multi dose pen, enabling flexible dosing, better adherence, and lower therapy costs. To expand patient access to these advanced diabetes and weight management therapies, we also entered licensing and supply agreements with Lupin and Torrent Pharma for co -marketing in India.
Our International Markets Formulations business continued to deliver strong double -digit growth with revenues of ■ 8 billion , up 45% year -on-year. The growth was broad -based across regions with strong demand -driven performance in both the emerging markets and Europe, supported by focused execution.
Our Consumer Wellness business recorded revenues of ■ 14.6 billion , up 61% year -on-year. In the domestic business, we retained leadership position across most product categories that we operate in. Skin and haircare brands and food and nutrition brands registered growth of 39.7% and 9.4% respectively, whereas seasonal brands declined by 9.8%. International business, including the Comfort Click business, delivered a like -to-like growth of 31.4%.
In the Medical Devices space, the business performed in line with expectations and registered revenues of ■ 3.3 billion. We expect the business to deliver steady performance in the coming quarters. This will be driven by expanding our geographic presence to capture newer markets, unlocking cost synergies over time to improve profitability and leveraging our te chnology -driven advanced portfolio to deliver superior patient health outcomes.
On the Operations front , our oncology injectable manufacturing facility located in Ahmedabad SEZ received an EIR , Establishment Inspection Rep ort, for the pre - approval inspection conducted in the month of November , 2025.

This concludes the business review. I would now request Dr. Sha rvil Patel to take you through the key drivers across businesses as well as initi atives in our innovation program. Thank you.

Dr. Sharvil Patel: Thank you, Mr. Nayak, and good evening , ladies and gentlemen. It is a pleasure to have you all here today on the call. Fiscal 2026 was remarkable with robust double -digit growth and record operating profitability. Even excluding inorganic moves, the base business delivered strong double -digit growth , reflecting the strength of our portfolio, our pipeline of innovation and the resilient supply chain and strong execution capabilities.

Over the last couple of years , we undertook several inorganic initiatives to acquire new capabilities to expand our offerings and enable the patients to fulfill their diverse healthcare needs. These organic moves coupled with various business development initiatives have complemented the existing business well and will be the key pillars for sustained long -term growth going forward.

In the U.S. market, we ranked amongst the top 3 players in the generic space, backed by a rich and differentiated products portfolio built in -house as well as through partnerships. As we pivot towards specialty, we are driving growth through multiple levers. Our 505(b)(2) pipeline built via in -house development , partnerships and LiqMeds acquisition is expanding steadily. Sentynl pediatric rare disease portfolio is broadening access to innovative therapies. In biosimilars, we have in -licensed two large molecules and strengthened capabilities with th

e

newly acquired US manufacturing facilities. We shall maximize the utilization of these facilities through continued BOT-BAL supply to Agenus and onboarding of new partners. Together, these initiatives position us strongly to accelerate our specialty play.

We are accelerating our U S specialty oncology strategy through the proposed acquisition of Assertio holdings. This is a pivotal move that provide s us with an immediate high -scale commercial platform in the oncology supportive care. At the heart of the deal is Rolvedon , a USFDA -approved long -acting biologic that anchors our portfolio. By leveraging Assertio 's deep oncology relationships and the strong share in Medicare Part B accounts, we are now not just expanding our footprint, we are building a highly differentiated, high -margin specialty oncology business in the US that is accretive and establishes a strong platform for the future.

The India formulation business remains a compelling growth story for us. Our branded portfolio once again outpaced the market with strong double -digit growth, driven by consistent strength of our brands, sharper therapy focus and a pipeline built around differentiation and unmet needs. Years of this deliberate, strategic interventions have created a compounding effect, broadening our reach, deepening our customer trust and accelerating our commercial

momentum. What makes this especially meaningful is that our engagement extends well beyond the point of prescription. Through patient support programs and value -added services, we remain a dependable partner at every step of a patient's healthcare journey.

Our international markets formulations business , spanning emerging markets and Europe , have consistently delivered strong double -digit growth over the past several quarters. In emerging markets, we are driving performance through a therapy -led approach, tailoring solutions to local needs and building a more agile, market -responsive portfolio. In Europe, our focus is on expanding portfolio breadth and strengthening market coverage, positioning us to capture incremental growth and deliver enhanced value to our customers.

Our Consumer Wellness business continues to drive our growth fueled by category -led leading brands and a shift towards premiumization. We are aggressively expanding into nutrition and vitamin, minerals, and supplement space while scaling our digital footprint through Comfort Cli ck acquisition. Our focus remains on innovation and digital first segments, ensuring we build a future -ready portfolio that delivers consistent results for our stakeholders.

In our MedTech business, we are strategically focused on three critical areas – cardiology, nephrology, and orthopedics, to build strong growth engines for growth. With Amplitude, advanced orthopedic portfolio, we are bringing cutting -edge innovations to patients, surgeons, and healthcare facilities worldwide. In cardiology, we are broadening our offerings to meet evolving clinical needs, while in nephrology, we are establishing a high -end dialyzer membrane facility to address the global rising demand. These initiatives underscore our commitment to deliver superior patient outcomes and build a strong, sustainable growth engine for the future.

With this, let me share some material developments on the innovation front during the quarter.
On the NCE research front,
Our Desidustat tablets, which we licensed to China Medical Systems Holdings in 2020, has now received approval from the Chinese regulator for the treatment of renal anemia. This marks a significant milestone for us , as an approval has come in China, the second -largest pharmaceutical market globally, reinforcing the global potential of our innovation pipeline. The US FDA has also granted orphan drug designation status to Desidustat for the treatment of sickle cell disease during the quarter.

Our novel an

ti -malarial candidate, Zintrodiazine , received the approval from the DCGI to conduct two Phase -III clinical trials in patients with uncomplicated malaria due to both Plasmodium falciparum and Plasmodium vivax in India.
In the Biotech R&D space,
we initiated a Phase -III trial of a second biosimilar ADC in India. On the novel biologics front, we initiated a Phase -I clinical trial for one new candidate and preclinical studies for another candidate in India during the quarter. On the global development front, the in -licensed Pembrolizumab biosimilar candidate , FYB206 , successfully completed the clinical development, marking a major step towards USFDA filing.
On the specialty and 505(b)(2) front,
We entered into an agreement with PRG S&T, a Korean company specializing in the development of medicines for rare genetic diseases, to license its investigational molecule Progerinin (SLC -D011) for Hutchinson -Gilford Progeria Syndrome (HGPS) . We shall acquire full rights to this drug candidate upon achieving certain milestones, making it a second therapy intended for the treatment of HGPS.
Thank you and we now will start with the Q&A session. Over to the coordinator for the Q&A.
Question & Answer Session:
Moderator: Thank you, Sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to re strict to 2 questions and then return to the queue for more questions. Please raise your hand from the ‘participant ’ tab on the screen to ask the questions.
The first question is from Kunal Dhamesha.
Mr. Kunal Dhamesha : Hi, this is Kunal from Macquarie. Thanks for taking my question and congratulations on good set of numbers. First one for you, Sharvil Bhai, FY26 has been exceptionally strong for us, where do you see FY27 , from the growth perspective as well as the profitability perspective? Any outlook here would be helpful.
Dr. Sharvil Patel: Thank you, Kunal. So, I think , we are very happy with the 2026 performance. Looking forward, I think , on the consolidated revenue , we still continue to see high teens growth for FY27. We do expect that in spite of a high base of FY26 for North America, we will still see a growth, single digit growth, in the North American business aided by the portfolio.

In India, we have now consistently demonstrated better than market growth and we are thinking , we will outperform the market by 200 -400 basis points versus the current IPM.
On the international markets, we have seen very significant 40 % plus compound, I mean , growth for the year and 45 % for the quarter and we see that momentum continuing also in the current year.
And with the consumer, on the consumer side also , we see a good momentum on double digit growth.
So, I think , overall on the revenue side, we see a strong momentum for the organization. On the margins front, we ended this quarter at around 25 point, around close to 26 %. I think FY27 , looking at competition, also Revlimid competition, Mirabegron competition, expenses related to Saro launch, we are expecting margins in excess of 24 %.
Mr. Kunal Dhamesha : Sure.
Dr. Sharvil Patel: It still assumes 8% of R&D expense.
Mr. Kunal Dhamesha : Okay, perfect. And , Sharvil Bhai, on the specialty front, now we have almost 3

molecules, especially the rare disease molecule in the market through Sentynl . We also have kind of 505(b)(2) portfolio through Zituvio Zituvimet . So, if we put all these together, which are, let's say, you know, high entry barrier kind of molecule, what would be the current contribution of this portfolio? And with our pipeline that we have Saroglitazar for PBC, Desidustat in China, where do we see this contribution going over the next 3-4 years for our overall business?
Dr. Sharvil Patel : So, currently, see, I think we are building on the three legs that you

just
mentioned. We have Sentynl , which has now three approved drugs. And with this it has become, you know, it has broken even and is going to make profits going forward. I think , with adding more portfolio to that business, we would see that business scale up but this will be high profitable businesses but not high value driven businesses.
On the 505(b)(2) , we have now today, obviously, a sitagliptin franchise . The scale up is getting along with our oncology supportive care through the in -licensing that we did on Beizray , with also the LiqMeds portfolio scaling up. I think this will become a more faster scalable business very soon and also very profitable as we are able to launch these products, including Ranibizumab, by end of the year. So, we would see, I think, ‘27 onwards good momentum and size for this business. This is just the beginning, I would say, this year. So, FY28 would be seeing a stronger momentum but this year also will be quite a good growth for these businesses.

And, finally, Saro, we are still in the early commercialization in the sense of hiring teams and preparing for the pre -launch activity. As we come closer to approval and launch, we can share more details. But, overall, yes, our vision is that our non-generic specialty portfolio will be the meaningful growth driver for the organization over the next 3 -5 years.
Mr. Kunal Dhamesha : Sure, that is great. Lastly, on this Assertio, I mean, potential acquisition of Assertio, how that kind of fits into, I mean, all these three growth driver? The product Rolvedon , we have seen it's primarily for the Onco supportive care, mainly competing with Pegfilgrastim , if I'm correct. So , how does that, you know, within that space, that product kind of how is it positioned? I believe Pegfilgrastim also has a device which kind of lets people administer the therapy at home rather than spending another day in clinic. So , how Rolvedon compares there as well as on some bit of clinical efficacy and safety side for us to kind of, you know, be more positive ? I mean, how are you seeing positioning this molecule?
Dr. Sharvil Patel : So, we already have a supportive oncology team, which currently markets Beizray . We have also partnered with RK for one more future supportive 505(b)(2) , which has been filed, and we hope in the next 9 -12 months we will see the approval and launch. This again adds to the portfolio of this team for launch. So, we have already a commercial platform to launch Rolvedon . Today, we believe it has around a 4% volume share. It has many benefits. One, it's still a novel, long -acting GCSF and not a biosimilar and it also can be administered the same day versus the other biosimilars or biologics in the market. So , there is a benefit to that. And we see the good momentum, the business tracking and we are very confident on once the acquisition is closed, how do we integrate it with the business and scale it up.
So, that's the overall plan and currently will be a pipeline of three. We also have Ranibizumab launch coming and we see also that with the current team and certain resources, we can use them also for the scale up of Ranibizumab.
Mr. Kunal Dhamesha : So, the commercial presence would be leveraged across many fronts , right? That is the way to look at it?
Dr. Sharvil Patel : Yes.
Mr. Kunal Dhamesha : Assertio presence and .
Dr. Sharvil Patel : Yes.
Mr. Kunal Dhamesha : And th at 24% plus EBITDA margin guidance bakes in that incremental commercial presence that we are going to build for , let's say , Saro or maybe let's say for Assertio ?

Dr. Sharvil Patel : Yes. Assertio we are not building yet but Saro is part of our plan. But Assertio will not have a cost. I mean, we will see more synergies versus cost.
Mr. Kunal Dhamesha : Sure. I have more questions , I'll join back the queue . Thank you.

Dr. Sharvil Patel : Thank you.
Moderator:

Thank you. The next question is from Ms. Neha Manpuria.
Ms. Neha Manpuria : Yeah, thanks for taking my question. My first question is on the India business. I think , you mentioned 200-400 basis points higher growth in India versus the market. I can see that obviously there has been an improvement in growth in the last two quarters for Zy dus. Could you talk a little bit about what gives you the confidence on maintaining this outperformance incrementally? Where would you see more growth coming from in India?
And, second, just a related question on India. Do you think , we need to make more investment in India either through MR expansion or probably acquiring more products to boost growth or using the investment base and , therefore , this growth should drive margin expansion for the business?
Dr. Sharvil Patel: Currently, we don't see any further rep investment in the short term. I think we are confident on the growth driven by the innovative portfolio, which is scaling up very meaningfully. Our focus on the growth booster brands that we have been speaking for the last two years now, which is delivering better growth now. Also, we are seeing a very strong traction on our key therapies with the launches and monetization of our portfolio on biosimilars and also the new launches that we have done. And , continuously, we are improving our chronic share consistently over the last few years and that is also aiding to better mix in terms of the business.
So, I would say , it's an all -round performance with many things, obviously innovation led also but also focus on brand building on our core brands is helping us succeed.
Ms. Neha Manpuria : Understood. And, second, you mentioned about the Saro investment . Could you provide some color on what you think the investment for Saro would be in Fiscal 27 to build out the commercial? And another unrelated question, given the investments that we've made in different areas, you know, CDMO, MedTech, Specialty business now with Assertio, could you provide us some milestones that we need to watch to give us confidence on when we should see this business becoming more meaningful to Zydus as a whole?
Dr. Sharvil Patel: So, on Saro, for this year , we'll have an additional 7 0 million kind of investment on the commercialization part on Saro. That is what we have factored in. And with respect to...

Ms. Neha Manpuria : Sorry, Sir, I missed that number. What did you say? Apologies, I missed that number.
Dr. Sharvil Patel: 70.
Ms. Neha Manpuria : 70. Okay, got it. Okay, thank you.
Dr. Sharvil Patel: With respect to Assertio, I mean, we still have to close on the deal but we see it being an accretive deal to the organization. So , that's what we can say now. Post, I think, closure, we can talk about more what it is.
Ms. Neha Manpuria : And for the other businesses, Sir?
Dr. Sharvil Patel: Sorry?
Ms. Neha Manpuria : And, you know, we've done like CDMO, we've done MedTech, there's obviously, Comfort Click. You know, so for these, what do you think would be a good inflection point for us to start seeing meaningful contribution to Zydus' performance ? For MedTech , yes, we are seeing Amplitude already contribute but do you think, you know, the scale up in this business in terms of what we have envisaged would take us a couple of years? Or do you think that could be witnessed in FY27-28?
Dr. Sharvil Patel: The Medical Devices business is a platform build that we are going through . So, it will take at least 3-4 years before we see a strong momentum. But I think , we would see improvement of cost and profitability as we build more synergies.
On the Comfort Cli ck business , it is already a strong growth business and for the last six months post the acquisition it has delivered on its numbers. It is already EPS Accretive in this fourth quarter and going forward also will be EPS Accretive.
So, I think , tha

t's on track. It's a steady growing, fast -growing business and is getting integrated well with the organization.
On the Agenus, on the acquisition of the manufacturing on Zylidac , again, that's a beginning, I would say . So, we would need the next 2 years to build capabilities.
What it gets is obviously immediate supply for the BOT-BAL to Agenus which will

continue and we're seeing good traction there. But as we add more partnerships and maybe more products, we would see better utilization of the facility over the next 3 years. But it will take at least next 3 years before we see that facility being well utilized.
Ms. Neha Manpuria : And this BOT-BAL contribution isn't very meaningful at the moment, right, Sir? It's just incremental but it's not like a big revenue contributor. That would be a fair assumption ?
Dr. Sharvil Patel: Yeah, so it's not going to be significant but it's around 10 to 15 million revenue.

Ms. Neha Manpuria : Okay, got it. All right. Thank you so much , Sir.
Dr. Sharvil Patel: Thank you.
Moderator : Thank you. The next question is from Harit h Ahmed.
Mr. Harith Ahmed: Hi, hope I'm audible.
Moderator : Yes.
Mr. Harith Ahmed : My first question is on Saroglitazar . So, we have guided for a 4Q FY26 filing in PBC indication. So , can you give an update on the status of that? And if it's filed, do we have a goal date from the FDA?
Dr. Sharvil Patel: So, in a new NDA filing, once the acceptance of the NDA happens, we can give you the goal date. So , I think we will update you once we have acceptance of the NDA .
Mr. Harith Ahmed : So, it's fi led but we are awaiting the acceptance ?
Dr. Sharvil Patel : Yeah, we have to await the acceptance of the NDA, which is the more important milestone.
Mr. Harith Ahmed : Okay, got it, Sir. You know, Semaglutide in India, can you give us a sense of the rationale for out licensing strategy here to Lupin and Torrent, given we have a very differentiated reusable pen device? What was the thought process behind going along with our own launch, licensing it out to partners? And then, from a realization standpoint, per device, how different is our own sales versus sales through partners?
Dr. Sharvil Patel: So, I think we have launched a novel formulation on S EMA . I think it is … obviously, as Zydus alone, we don't cover each and every doctor and specialty. Also, this being a highly competitive product with the multiple launches, we believe that the best strategy would be to launch with more players to create more share of voice and more impact for the new formulation with the customers. I think that strategy has worked very well. I think we are now number 2 in terms of share and closely followed by Lupin , and Torrent also has gained strong share. So, I think it's a good choice on partners. Together, we control a very meaningful part of the market share on S emag lutide, which is also very important, and I think it will only grow from strength to strength there. What we have been able to demonstrate is a very reliable supply, very strong product with a highly reliable pen, which has been the challenge in the market. First -to-market was also the big success for us and the companies that launched with us. So, we do see that this strategy of co -partnering has helped in terms of

gaining strong market share and share of voice and we hope this momentum will continue.
Mr. Harith Ahmed: Lastly, on Rolv edon, just to clarify, did you mention that the dosing schedule for this product is different versus Pegfilgrastim or is it the same?
Dr. Sharvil Patel: I think the… It's not. T he main thing is it can be administered on the same day, which is one of the benefits versus …
Mr. Harith Ahmed : … the next day for Pegfilgrastim . Okay, got it, sir. Thanks for taking my questions.
Moderator: Thank you. The next question is from Saion Mukherjee.
Mr. Saion Mukherjee:

Yeah, hi, good evening and congratulations on another good quarter. I have a question on R&D expenses, which have ramped up quite rapidly. It appears that almost 700 crore of quarterly run rate you have, which is probably one of the highest in the industry here. Is it all organically driven? Because if I look at the employee expense within R&D, that seemed to have increased at a much more moderate pace. And how should we think about the 700 crores ? Like what are the key investments ? And if you can just split it up into generics, biologics, vaccines, and innovation?
Dr. Sharvil Patel: Sure, so I think yes, we believe R&D is a very critical part for our future growth and profitability and we have been consistently investing in that. Obviously, we have a little bit of lumpiness during different quarters. As we are guiding for, we

are seeing around 8% of FY27 is our current expectation on R&D. The breakup is around … for the last year is around 50% was on generics and value -added generics and the rest 43% ... 40% plus was on NC E, biologics, and vaccines. So that has been generally the breakup of R&D. As we move forward, we will probably see a little bit higher uptick on the NC Es and biologics and probably a similar kind of number on , in terms of absolute number on the generic side.

Mr. Saion Mukherjee: Okay, so the other one is on S EMA . If you can give some colo ur based on your initial experience in India, how large you think it can be for Zydus over the next 2-3 years ? And the device and pen that you have, is there something you would like to do even in other emerging markets with this product or is this largely going to be India specific opportunity?

Dr. Sharvil Patel: So, I think a good beginning to the launch in multiple ways. One is , we do combine h ave one of the strongest market shares in this new device. So, there's been good acceptance to product. We are seeing a better forecast than earlier forecasted for all our partners and both Zydus. So, we are seeing a higher uptick and more confidence, I would say, going forward in terms of growth. So, internally, I think we are well poised to sort of do well in the Indian market with

both how it has gone and what the orders we have for the future to manufacture.

We have a plan to make sure that this new formulation is available across different markets. We already have a partnership /registration plan for more than 20 plus markets, which is already ongoing. We are not in the first wave in many of this, but we believe with this differentiation , which will offer a significant cost benefit to the government and the patient s, we would see a good momentum for the differentiated formulation in all of these markets. And we are going ahead with the filing and obviously partnerships in many multiple markets as we speak.

Mr. Saion Mukherjee: Okay. Any timeline in terms of launches? Is it expected in this year or next year?

Dr. Sharvil Patel: Depending on the cycle of approval, we could see some in this year or probably some in early next year.

Mr. Saion Mukherjee: Okay. And just one last question from my side. If you can guide for your capex number for next year, FY27 ? And also , depreciation number is high in the quarter. Is this the number we should bake in on an annual basis going forward?

Dr. Sharvil Patel: So, yes, we have had an uptick on our capital investment because of multiple initiatives that were taken on expansion. So, we are thinking , in FY27 , around 1,500 crore capex number. And the quarterly depreciation is around 550 crores.

Mr. Tushar Shroff : So Saion , this also includes the licensing fees that we have capitalized on the settlement of Mirabegron , which will be charged up to 2027, September 2027. So, it is a limited period charge -off that we will have. Thereafter, there w on't be any kind of cost that will be associated with this depreciation.

Mr. Saion Mukherjee: Understood. Thank you.

Moderator: Thank you. The next question is from Surya Patra.

Mr. Surya Patra: Yeah, thanks for the opportunity, sir. And congratulations for the great set of numbers. I'll start with a couple of clarifications that I wanted. First is that, what really led to this kind of sequential growth in the US business, despite Revlimid not being there ? Or if it is there, then you can qualify that. And also, what is the kind of like -to-like growth in the US business that we would have seen for the full year, FY26? That is one.

And another clarification that if you can give . So, about this $75 million which is still likely to be seen as a kind of amortization , beyond that, there is no royalty charge or anything, right, in case of Mirabegron ?

Dr. Sharvil Patel: There is a royalty charge.

Mr. Surya Patra: So, are you quantifying the royalty charge, sir? That is one. And secondly, about the US business, the sequential growth, what we have seen, there is a positive surprise considering no Revlimid sales sequentially. So, what has driven that? And what is the like -to-like growth in the base business of the US for FY26?

Dr. Sharvil Patel: Yes, I think, as we had stated in the last quarter also, that we had very little Revlimid contribution. And I think this and I would say there are 2-3 factors. One is definitely, December end, obviously, there is destocking and you will see higher uptick during the Jan, Feb, March quarter. So, there is a small incremental benefit that comes out of that. And also, I think multiple levers of new products, launches, the Specialty portfolio scaling up, there have been many levers to good growth. Also, we have said that our base business continues to do healthy, be healthy and consolidated share. So, all of those things have helped us, including some more share on Mir abegron . So, overall, we are around the 300 plus million base right now.

Mr. Surya Patra: Okay. Okay. So, that means this is a kind of sustainable base even going ahead, since you are talking about single -digit kind of growth for the next year, despite no Revlimid revenue in the subsequent year ?

Dr. Sharvil Patel: Yes.

Mr. Surya Patra: Okay. So, my second question is about the approach towards the biologics or biosimilar or the CDMO. So, it is a comprehensive approach, it looks like, from the initiatives that you have taken, either by creating capability in the biosimilar in the initial stage and building the BLEs also, and simultaneously trying to build kind of a CDMO capability in the biologic space. So, putting all this together, when is this vertical likely to be a kind of meaningful contributor to Zydus? If you can give some sense on that front, then it would be helpful.

Dr. Sharvil Patel: So, today, the biologics part of our business is very scaled and meaningful contributor to our India business . It continues to do extremely well , and we see that meaningful , continued scale up . With our partnerships and filings that we have done in the EM markets, we would see over the next three years, a meaningful scale up of our out licensing and launch of biosimilars in many of these markets, which will add to the overall non -US growth for the biosimilars business.

I think in the US, we have thought it through well, we have been waiting for regulatory framework to change to make it more beneficial to do R&D development. And having seen that happen, I think in a very short period, we've been able to license and co -develop and plan our biologics business in the US. And we would see, I would say on the next three years, important milestone for biologics, but more importantly, by 2029, FY29, FY30 , we would see the real scale up on the global biosimilars business.

Mr. Surya Patra: Okay, next question is about the overall growth. See, in fact, FY26 was obviously a kind of a great year, support

ed by Mira begron , Revlimid, then inorganic activities also. So for the next year, what would be your kind of capital allocation priorities or the investment priorities ? Whether the momentum on the inorganic growth side , will that continue ? The way that we have seen , it was a kind of very heavy inorganic activity year during FY26. So going ahead for FY27, your thought process about it?

Dr. Sharvil Patel: So yes, I think, you know, what we have been always talking about is building new capabilities when we look at our capital allocation strategy with new platform capabilities or new portfolio. And if you see many of the inorganic opportunities that we have looked at, we have seen where we can really build up capabilities and platform. So that has been good . And going forward also, you know, scaling up our Specialty business, including 5 05(B)(2) would be obviously one of the important areas that w e’d continue to add portfolio to. And I think beyond that, we have a good R&D pipeline of products to come through, which we are betting on and it looks exciting for us. So we are building towards that. So mostly it will be, you know, bolt -on acquisitions that we could look at from the Specialty point of view.

Also, potentially, our international business is doing extremely well , as I said, growing at 40 % plus. We are seeing opportunities to also create a strong leg of growth for the international market. So we would continue to look for opportunities there.

Mr. Surya Patra: Okay, just last one point from myself. See this about this Amplitude, we have possibly acquired something else also that FBC Medical, which is a distributions kind of setup for that business , and it is supposed to add or reduce the cost for the Amplitude. So can you give some more clarity to that? Like, what is the current profitability of Amplitude as per F Y26? And with the initiative, what is the kind of margin profile that you are thinking about that operation for next year?

Dr. Sharvil Patel: So Amplitude is a profitable business upwards of 20 % plus. The acquisition we did, you know, there are there are agents and distribution distributors that you can acquire. So it's a normal course of business that one does it. And it's not really … I mean, in parlance it's an M&A, but it's more abou t sales and distribution kind of consolidation that we do. And as I said, this business over the next few

years, we will look to improve our profitability and growth.
Mr. Surya Patra: Sure sir. Thank you. Wish you all the best.
Moderator: Thank you. Requesting participants to please identify themselves and restrict to two questions only. The next question is from Devang Sarawagi .

Mr. Devang : Hello. My question is on Saroglitazar . Firstly, on PBC, given the trial data is out in our hands, is company planning to present or publish the PBC clinical trial data at EASL 2026?
Dr. Sharvil Patel: Yes.
Mr. Devang: And secondly, on MASH, according to clinicaltrial.gov, the phase 3 clinical trial was completed in October 2025. Could you please share the expected timeline for publishing or presenting the top line results? Additionally, is company evaluating any out -licensing or co -development opportunity with large pharmaceutical company for Saroglitazar in the US MASH market?
Dr. Sharvil Patel: Currently, we have in India, large phase 4 trial with a 52 -week follow -up for fibrosis is continuing with its recruitment. And maybe in the next couple of quarters, we will close on the recruitment. And then as we get data, we will obviously publish the data on that.
With respect to US on PBC, the company has decided to launch the product on its own. And so , we are preparing for a commercialization strategy in the US. Post favorable approval in the US, we will look to see how do we co -partner or license for Europe and other countries.
Mr. Devang: And thirdly, whe

n to expect Desidustat launch in China? What is company revenue expectation from this product from Chinese market?
Dr. Sharvil Patel: We will hope to see launch in second quarter of FY27 in China. As we get more information on the commercial launch and readiness with the partner, we can talk about it as we get more information.
Mr. Devang: And lastly, any progress on specialty acquisition for synergizing Saro launch?
Dr. Sharvil Patel: No.
Mr. Devang: Okay. Thank you.
Moderator: Thank you. The next question is from Kunal Dhamesha .
Mr. Kunal: Hi, thank you for the opportunity again. Just one on the debt side, we are already at more around 4 ,500 crore debt , and with the buyback and Assertio acquisition, we would be almost close to around 7 ,000 crore net debt, not consider ing the cash generation in ‘27. So what is our plan from here? Do we de -leverage from here or are we comfortable at this kind of debt level, which would be more like slightly less than one -time net debt to EBITDA? I would like to hear your thoughts.

Dr. Sharvil Patel: So, we are comfortable around one -times net debt to EBITDA right now on an ongoing basis, so we don't see that as major concern. We continue to look for bolt-on acquisition opportunities for our specialty 505(B)(2) franchise. So that's what we'll continue to look at. And so, yeah, from that point of view, we are currently comfortable with our current financial metrics.
Mr. Kunal: And this bolt -on would be on the same strategy of orphan , rare disease , right?
Dr. Sharvil Patel: Yes.
Mr. Kunal: And lastly, we know on the working capital side, that is also kind of inched up quite a bit from Quarter 1 of FY26 through Quarter 4 . So, where do we see that? Do we see working capital coming back to the older levels?
Dr. Sharvil Patel: I think on the overall receivables as well, I think we are very healthy and probably amongst the best -in-class when it comes to working capital management in terms of number of days. So I don't see that being a major challenge. We continue to always look at ways of improving our health, both on receivables and on inventory. So we are comfortable where we are. And obviously with acquisitions, you would have additional capital that would have got added. But on the overall health parameters, we are probably amongst the top in terms of health in industry.
Mr. Kunal: Sure. And lastly, on the current geopolitical environment and its impact on the supply chain, what kind of disruption are we witnessing from, let's say, fuel availability to container availability, API prices or raw material prices? And how has that been factored into our FY27 outlook, along with the currency benefit, which I believe would be also a good positive driver. But on the adverse side, the other factor, what are we seeing there and how is it factored into our guidance?

Dr. Sharvil Patel: So it's very difficult to predict the next three months and six months. But we are every day , obviously , solving for challenges or opportunities that we see. Obviously, costs do go up on both freight, on times , logistics, as well as on other things, which we have to manage through our better sourcing and better rationalization and cost optimization. But we are sort of taking it as it comes. As we see new challenges, we're trying to respond to them. And I think the teams are quite efficient to make sure that they continue to improve on that. Wherever we see opportunity to improve our margins, we look at that. And that's what we continuously work towards cost efficiencies. But it's very difficult to predict what will happen in the next three to six months. So we are taking it as it comes.
Mr. Kunal: Sure. But at this point, the rupee depreciation, would you say rupee depreciation is enough to cover all the disruption in terms of increased cost line items?

Dr. Sharvil Patel: Yeah, we have a good export base. So obviously, rupee depreciation gives us a good cash flow.
Mr. Kunal: Sure. Thank you and all the best.
Moderator: The next question is from A vneesh Tiwari.
Mr. Avneesh Tiwari: Hi, my first question is regarding your domestic business. We observed that Onco IPM growth is also very strong. In fiscal 26, the volume growth was pretty strong. Fiscal 25 was very muted. And also the pricing growth in both the years is also very strong. Can you just explain what happened in ‘26 versus ‘25 in which this happened? And did you experience the same phenomena in your Onco division as well?
Dr. Sharvil Patel: So I think that IPM doesn't truly capture the full business specific to Oncology . Ipsos is probably a better data source to look at. I would say the growth has been there in the Oncology market, which with more government schemes getting implemented, executed and used and as well as, obviously, we have seen a higher incidence of cancers in the last growth on that , so we are seeing a good momentum on that. For Zydus , obviously, we have captured a strong share on our launches, Pertuzumab, Nivolumab, some of the oral Oncology drugs where we were first -to-market. So all of that has led to obviously a very strong patient … you know, we have been able to serve a significant number of patients doing so. And the strong medical support and patient support programs that we are running, we are seeing a very strong traction on the brands, which has led to a better growth. And now we are the largest Indian Oncology player in the market.
Mr. Avneesh Tiwari: Right. The second question I had was the trade generic proposition to your Indian formulation business. How do you see that as either a long -term opportunity or a long -term threat? Like, if you could just explain how are they taking market share within your line of businesses?
Dr. Sharvil Patel: I would say it's neutral to us and our own trade generics is a very small part of our business. So it's more of a cash c ow.
Mr. Avneesh Tiwari: Okay. But do you see the other trade generic taking away share over time because the government pushes towards that? I don't know how the customer acceptance or any other factors would limit this market share erosion over long term.
Dr. Sharvil Patel: So it does always. Yes, it is a channel and we have to look at the channel, how it progresses. And we do look at that. But I think with our innovation pipeline differentiation that we have and a core focus on key brands, I think we can sort of continue to do better than market from our perspective.

Mr. Avneesh Tiwari: Okay. Just to capture on the first point, is the pricing growth also strong in Onco line of business or other chronic line of business compared to overall Indian formulation business you have?
Dr. Sharvil Patel: I'm sorry, could you repeat the question?
Mr. Avneesh Tiwari: The pricing growth, the year over year pricing gains you see.
Dr. Sharvil Patel: Pricing generally deflates. Prices goes down, not doesn't go up.
Mr. Avneesh Tiwari: Okay, great. Thank you.
Dr. Sharvil Patel: It's a faster volume growth than value led growth.
Mr. Avneesh Tiwari: Okay, thank you.
Moderator: Thank you. Thank you very much to the management team. Ladies and gentlemen, on behalf of Zydus…
Dr. Sharvil Patel: I think if there are people in queue, you can still take a few more questions please .

Moderator: Okay. The next question is from Saion Mukherjee.
Mr. Saion Mukherjee: Yeah, thanks for the follow up. Two specific questions, Dr. Sh arvil, if you can answer. One is, the bio similar business size today in India primarily , how large is that? If you can share that.
And the second one, I was wondering if you can talk about out of the $1.2 billion US revenues, if you add all the Specialty , rare disease plus 505 (B)(2) , how large is portfolio currently?
Dr. Sharvil P

atel: So as I said , the Specialty still in early stages, so it's not meaningfully very large. We see that scaling up over the next three years. On the Oncology, it's obviously become a very large integral part of our business. You know, it's crossed 800 plus crores now.
Mr. Saion Mukherjee: Okay, thank you. Th at’s it.
Moderator: The next question is from Harith Ahmed.
Mr. Harith Ahmed: Hi, thanks for the opportunity again. So just following up on the previous question on the working capital increase this year. So when I look at the operating cash flows for FY26, there's a sharp decline . It's around 2 ,000 crores. It's a lower number compared to our EBITDA for the year being around 7 ,000 crores. So are there any one -offs? I understand there's a Mirabegron settlement

later to pay out. But anything else that can explain this relatively lower operating cash flow for the year?
Dr. Sharvil Patel: So this … I think, obviously, one is a settlement and we had a capex .
Tushar Shroff : The operating cash flow, I think if you really look at it from that perspective, I think whatever the acquisitions that we have done to that extent, whatever the incremental working capital, which has happened, it is also impacting us in terms of operational cash flow. So , the acquisition related working capital changes will have an impact on the operational cash flow.
Mr. Harith Ahmed: Okay. And last one with your permission, on international markets, I mean, through the year we've seen very strong growth in FY26. It's around 40 %. So I think you had talked about this in the last call as well, but just trying to get some more color on what exactly is driving this 40 % growth. We hadn't seen such a strong growth historically for the segment. And then , if you can also guide us on what to expect for the segment going forward.
Dr. Sharvil Patel: So I think it's actually has been an all -around growth across regions. So it's not a one-off region. So I think we're very happy with how most of the clusters are growing. You know, Europe, which was obviously not doing so well for us a couple of years ago , in the last two years, has also got a good trajectory. I think our new countries that we have launched have scaled up faster than we expected and done meaningfully well for us. And I think all of that is led by the portfolio that they've been able to launch in these markets.
So I would say again, a good execution, branded focus, key therapy focus and also aided by a very strong pipeline , has led to this growth, which we believe will continue in the coming years.
Mr. Harith Ahmed: Got it, sir. Thank you.
Moderator: Thank you. The next question is from Nitin Agarwal.
Mr. Nitin Agarwal: Hi, sir. Thanks for taking my question, sir. On the US, when you look through the next year guidance, should we expect like a pickup more in the second half of the year , or is this going to be a well sort of balanced growth to help lay out numbers through the year.
Dr. Sharvil Patel: So obviously, product specific, we would see some traction in the later part of the year, but we would still see … we will not see any major changes in this next two quarters.
Mr. Nitin Agarwal: And is there any part of the portfolio right now that you've sort of … 320 odd did we get in this quarter, which is probably subject to some faster erosion than the

average in general? Or this is all now a $320 odd million, which is going to just go off… keep growing as a typical generic manner.
Dr. Sharvil Patel: So we are around the 300 plus to 310 range. We had, as I said, maybe we'll have Mira competition, which we are factored in. So we will see some erosion from the current base. So that's what we are expecting.
Mr. Nitin Agarwal: And lastly, you know, if you were to look at the 505 (B)(2)s that you've done for this year, and some of the other Specialty launches, what proportion

of the 1 ,300
million … for the 1.3 billion you've done for the year would be on that portfolio?
Dr. Sharvil Patel: So as I said, it's still very small, the Specialty business. So it will probably require at least … this year, we would see some scale up. So from FY28, we would see the scale up on the Specialty business. So we're not calling it out separately, because it's not very large right now.
Mr. Nitin Agarwal: Okay. Thank you so much.
Moderator: Thank you. The next question is from Taran Agarwal. I think he dropped out of the call. Shall we close the call, sir?
Dr. Sharvil Patel: Yeah, thank you.
Mr. Ganesh Nayak: Thank you very much. And look forward to interacting with you during the next quarter results. Have a good night.
Moderator: Ladies and gentlemen, on behalf of Zydus Life Sciences, that concludes today's conference. Thank you for joining us, and you may now disconnect your line and exit the webinar.

END OF TRANSCRIPT